InterGlobe Aviation Ltd. (INDIGO)

Conference call transcripts, oldest-first. 19 call(s). Generated 2026-08-02.

Call: Aug 2022

"IndiGo First Quarter Fiscal Year 2023
Financial Results Conference Call"

August 03, 2022

MANAGEMENT : MR. RONOJOY DUTTA – CHIEF EXECUTIVE OFFICER
MR. GAURAV NEGI – CHIEF FINANCIAL OFFICER
MR. WOLFGANG PROCK -SCHAUER – CHIEF
OPERATING OFFICER
MR. SANJAY KUMAR – CHIEF STRATEGY AND
REVENUE OFFICER
MR. KIRAN KOTESHWAR – CHIEF PROGRAMS OFFICER
AND HEAD, INVESTOR RELATIONS
Ms. RICHA CHHABRA – ASSOCIATE DIRECTOR ,
INVESTOR RELATIONS

Operator: Good evening ladies and gentlemen and welcome to IndiGo's Conference Call to discuss the first quarter fiscal year 202 3 financial results. My name is Steven and I will be your coordinator. At this time, the participants are in a listen -only mode. A question -and-answer session will follow today's management discussion.

As a reminder, today's conference call is being recorded. I would now like to turn the call over to your moderator, Ms. Richa Chhabra from the Investor Relations team of IndiGo .

Richa Chhabra : Good evening, everyone, and thank you for joining us for the first quarter fiscal year 202 3 earnings call.

We have with us our Chief Executive Officer – Ronojoy Dutta and our Chief Financial Officer – Gaurav Negi to take you through our financial performance for the quarter. Wolfgang Prock - Schauer, our Chief Operating Officer, Sanjay Kumar, our Chief Strategy and Revenue Officer and Kiran Koteshwar, our Chief Programs Officer and Head of Investor Relations are also with us and are available for t he Q&A session.

Before we begin, please note that today's discussion may contain certain statements on our business or financials which may be construed as forward -looking. Our actual results may be materially different from these forward -looking statements.

The information provided on this call is as of today's date and we undertake no obligation to

update the information subsequently.
A transcript of today's call will be archived on our website. We will upload the transcript of today's prepared remar ks by day end. The transcript of the Q&A session will be uploaded subsequently.
With this, let me hand over the call to Rono Dutta .
Rono Dutta : Good evening, everyone and thank you for joining the call.
We announced our first quarter of fiscal year 2023 financial results today. We had an impressive quarter in terms of revenue performance with the highest ever capacity, highest ever revenue, highest ever yields and highest ever unit revenue. Unfortunately, the spike in fuel prices coupled with the deprec iating rupee prevented us from translating this revenue performance into net profitability. Excluding the foreign exchange impact, the net profit stood at 3.6 billion rupees for the quarter. We reported a net loss of 10.6 billion rupees for the quarter ending June 2022 as compared to a net loss of 16.8 billion rupees for the quarter ending March 2022 and a net loss of 31.7 billion rupees for the quarter ending June 2021.
The capacity deployed in the quarter ending June 2022 was around 35% higher than the previous

quarter and around 7% higher than our pre covid capacity. The unit revenue for June 2022 quarter came in at 4.69 rupees, an improvement of around 18% , sequentiall y. Yields also improved sequentially by around 19 % to 5.24 rupees and load factors increased by 2.9 points to 79.6%.
With these improvements we reported our highest ever quarterly revenue of 130.2 billion rupees, an increase of around 59%, sequentially.
On the cost side, fuel and currency movement continue to remain a significant headwind for us and led to sequential increase in CASK by 6.1% to 5.08 rupees. CASK ex -fuel ex -forex for June 2022 quarter decreased by around 18.1% as compared to March 2022 qua rter to 2.38 rupees primarily due to better absorption of fixed cost .
We resumed our scheduled international operations to most of our pre -covid destinations and we are now roughly operating at pre -covid international levels. We launched new service to Ba hrain on 1st August and plan to launch Ras Al Khaimah soon. Domestically, we added Deoghar as our 74th domestic destination. Along with network expansion we have a host of initiatives to enhance our customer experience. These includes initiatives by the di gital team, expanded meal offerings, and launching of new airport pro

ducts. We are also pleased that IndiGo is being recognized as a world -wide leader in providing value to its customers. We recently won 'Value Airline of the Year' award at the ATW's Airli ne Industry Achievement Awards 2022.
Our core strength continues to be our highly skilled and engaged employees who support our growth plans and enable us to deliver a consistent high -quality product. We are grateful for the dedication and loyalty that ou r employees have demonstrated throughout th e difficult times.
Looking ahead, the second quarter is seasonally the weakest quarter. Given this seasonal weakness we do anticipate the second quarter revenue performance to decline sequentially but as of date we do not see any evidence of revenue weakness apart from seasonality. Unfortunately, the seasonal revenue decline, coupled with high costs, will lead to profitability challenges.
Our long -term prospects are highly encouraging. We continue to see robus t growth across the network and our expansion is being accompanied by high growth in connecting traffic. Additionally, the XLRs which are currently expected in 2024- 2025 will allow us to capture non -
stop international traffic which is now only served through one -stop competing hubs. We continue to remain very bullish about our future and this is reflected in our fleet order.
We are also excited about the opportunities in the CarGo market and are looking forward for the commencement of commercial operation s of our first two freighters in October 2022. We continue to tide over the current set of challenges with one of the best cost structures in the industry, a laser sharp focus on our costs and our fleet modernization programme.
Let me now hand over the c all to Gaurav to discuss the financial performance in detail.

Gaurav Negi : Thank you Rono and good evening, everyone.
For the June 2022 quarter excluding the foreign exchange loss we were profitable at 3.6 billion rupees. Overall, we reported a net loss of 10.6 billion rupees compared to a loss of 16.8 billion rupees for the quarter ending March 2022. We reported an EBITD AR of 7.2 billion rupees with an EBITDAR margin of 5.6% compared to a EBITDAR of 1.7 billion with an EBITDAR margin of 2.1% for the quarter ending March 2022.
Our financial performance was better during the June quarter compared to the March quarter main ly on account of the strong revenue performance. Revenue from operations was 128.6 billion

rupees, an increase of around 60% against a capacity increase of around 35%. Our RASK increased by 18.3% to 4.69 rupees primarily driven by sequential increase in ou r yields by 18.9% to 5.24 rupees.

Our CASK for the quarter was 5.08 rupees as compared to 4.79 rupees in the March quarter. Our CASK excluding fuel was 2.90 rupees for the quarter, a decrease of 9.6% from March 2022 quarter. Excluding the impact of forei gn exchange and fuel, our CASK remains a good story and decreased by 18.1% from March 2022 quarter to 2.38 rupees. This improvement was primarily driven by increase in capacity deployed.

While the losses of the last two years have adversely impacted our balance sheet, we continue to maintain healthy free cash and have a good visibility in terms of our financing initiatives. We ended the June quarter with a free cash of 83.0 billion rupees, a net increase of 7% as compared to the March quarter end. Our tot al cash as on 30 June 2022 was 190.7 billion rupees.

We ended the quarter with capitalized operating lease liability of 344.7 billion rupees and total debt, including the capitalized operating lease liability of 392.8 billion rupees. Our ROU assets at the quarter end were 214.4 billion rupees.

Moving on to the September quarter, we expect our year over year capacity to increase by 70 - 80%. We are focusing on continuously strengthening our customer base, our fleet, our network and our employee talent p

ool . Fuel and forex continue to be challenges but once these normalize we should return to profitability.

With this, I will turn it back to Richa.

Richa Chhabra : Thank you Rono and Gaurav. To ans wer as many questions as possible, I would like to request that each participant limit themselves to one question and one brief follow -up question, if needed. And with that, we are ready for the Q&A.

Moderator : We will now begin the question -and-answer session. The first question is from the line of Binay Singh from Morgan Stanley. Please go ahead.

Binay Singh : Given I only have space for 1 question, so I'll focus more on the coming quarter. Two key things have happened in the last few days. One is that one of your key com petitors have gone under

enhanced surveillance list and has been asked to cut capacity and secondly, a new airline is starting. So, in that regards, how are you seeing yields playing out in the coming quarter. More so, if you could talk about it in relative to the sort of the routes where the new competition has come in, are the yields under pressure over there, though I understand will be quite a small proportion for you? But how are you seeing yields in the coming quarters?

Ronojoy Dutta: So, the good thi ng is, first of all, the seasonal weakness, right? And as we said in our opening remarks, we do expect to see just a seasonal decline in yield. But let's look at the longer term and not talk about the quarter -over -quarter. The fact is the competition is in creasing. As you know, they are adding flights. But as you also rightly pointed out, it's quite small at this. The capacity is quite limited at this point. One of our major competitors has clearly reduced capacity a lot over the last year or two , and that is helping us, no doubt. And going forward, one healthy sign in the industry is, I think, whether it’ s older airlines or newer airlines, they are all run by very professional veterans of the industry. So, so far, we see no irrational behavior by anyone. Ever yone is behaving sensibly, and I think that ’s a very good sign for us. So, to answer your question in a succinct manner, we don ’t see too much impact from the competition. And if anything, we see a healthy industry environment as far as prices are concerned.

Moderator : The next question is from the line of Ashish Shah from Centrum Broking. Please go ahead.

Ashish Shah : Sir, on the front of the employee cost, could you indicate if we have now reached the normalized levels of salary cost or there are still certain re visions pending? And if there is any number that you can leave us with for the financial year '23 on the salary cost?

Ronojoy Dutta: So, salary, we have now reverted across the board to pre -COVID levels. The one group that was held back a little was pilots. But we've just announced that by the end of October, they will also be at pre-COVID levels. So, in effect, we are going back to employee costs of 2019. So, one of the things we look at is, what are our employee cost per ASK. And I think if you're looking forward or what do I plug into my m odel, employee cost will be roughly 2019 or a li ttle bit higher. So, that would be a good index point for you.

Ashish Shah : And you mean this in a per unit context, right?

Ronojoy Dutta: So, the employee cost for ASK will be slightly higher than 2019.

Moderator : The next question is from the line of Pulkit Patni from Goldman Sachs. Please go ahead.

Pulkit Patni : Sir, given the fact that you are sounding very buoyant about demand in general, and we've done very well this quarter in terms of revenue. As I look at the next 7 to 8 quarters, we'll be giving back quite a lot of capacity as we also add capaci ty. So, net-net, there’s not going to be a meaningful change in our overall fleet. In this context, if the market continues to grow, is there a possibility we might delay the

return of some of the CEOs because it seems that we could probably lose
market sh are if we were to return all the CEOs. So, just wanted to get your sense on how you look
at the market in context of our fleet being exchanged old versus new?
Ronojoy Dutta: So, a good point. We are optimistic about the trend in revenues that we see, and w e do forecast

strong demand going forward. Now, so one of the things is that you might have noticed, we still
have about a 7% load factor gap from where we should be. And so we did very well on yields in
this first quarter. We would have liked to have done better on the load factor side as well.
So, first of all, the 7 points of load factor that we need to catch up on. And although our fleet will
not be growing in total numbers, we do expect our customer numbers to grow. And importantly, we have the A 321s coming.
So, although fleet count doesn't go up, the numbers of ASKs go up. So,
all in all, I think we are well positioned. We have enough empty seats, if you will, to fill up. And will we look at redoing the fleet at this point? The answer is no. We want to remain efficient. And
if necessary, we'll try and speed up some of the deliveries to the extent that's possible. But unlikely
that we will go out and get some old CEOs.
Moderator : The next question is from the line of Aditya Mongia from Kotak Secur ities. Please go ahead.
Aditya Mongia : My question, if I heard it rightly, you said that IndiGo is already at pre -COVID levels of
international volume s. If that is the case, just wanted to get a --
Ronojoy Dutta: Yes. So, specifically, let's talk about des tinations, first. So, we've added back every station we had
pre-COVID with the exception of China, Myanmar and Hong Kong. Those are the only 3
cities/countries that we are not in. So if you look at total number of departures in June, we were at
the same level as we were pre-COVID, although we were missing a few stations. International has
also performed strongly and domestic has performed stronger, but domestic got a head start. As we
see, the international build, we are very optimistic, it's catching up ni cely in terms of strength in
domestic. And as a result, we're opening Bahrain, we're opening Ras al -Khaimah. So, we'll add
wherever we can. And to the extent things improve, we might go back to Hong Kong and China as quickly as we can.
Aditya Mongia : Just to again clarify, what you're meaning to say is that the number of destinations have come back
to pre -COVID levels or the actual volumes for you in international have come back to pre -COVID
level?
Ronojoy Dutta: Let me specify, I'm talking of number of dep artures and I'm talking of stations. So, as far as stations
are concerned, we've gone back to every station with the exception of 3, the Chinese Guangzhou
and Chengdu, Hong Kong and Myanmar. We are operating in every other stations. And in terms of
number of flights, in June, we were back at pre -COVID levels. Did I answer your question, or is
there some hindering question you have?
Aditya Mongia : So, basically, your number of flights are now broadly comparable to pre -COVID levels. So, just a
follow -up question on this one. Just trying to get a sense of, if the domestic/international mix in
your revenues are starting to become a lot better or favorable versus what it was earlier, which
means the international share of revenues for you going up right now versus pre -COIVD levels?
Ronojoy Dutta: So, at this point, domestic is a little stronger than international. So, we are very focused on the
dome stic expansion. But as I said, international is just lagging by a quarter or 2, and we'll expand
international also very quickly.

Moderator : The next question is from the line of Achal Kumar from HSBC. Please go ahead.
Achal Kumar: I had 2. So, one is abou t the load factor versus yield. Of course, pr

eviously last call, Mr. Dutta you
mentioned that it is about maximizing the revenue. But of course, given that the next quarter is
going to be under tremendous pressure seasonally weak quarter, so would you real ly change your
strategy towards load factor than focusing on yields? So, that is my first question. Second is about
the performance now in domestic versus international. So, how do you see international routes
performing given that still inbound international is still lagging behind. But then, are you talking
mainly about a strong international demand on the Middle East side? Or do you see the strong
demand across your international destinations?
Ronojoy Dutta: So, let me take about international d emand first. So, international demand to the West has always
been stronger than to the East. That's traditionally true for India for some time. What is the good
news is that off -late, markets like Thailand, Vietnam, they are performing much stronger than t hey
did even 2, 3 months ago. So, as I said, there was a build in domestic and there is a build in
International. The domestic build happens faster than the international, but now the international build is growing as well. So, I don't think the Eastern ma rkets will ever be as strong as the Western
markets. But the fact is the Eastern markets are also showing some growth.
To the first question of yields versus load factors. As you said correctly, we're always looking at maximizing revenue. So, our goal is on every flight, let's just maximize the revenue. We found the
yields to be strong and we are willing to sacrifice some load factor. The issue really is what happens
in the fourth quarter. So, we know our revenue was strong. Now where was it strong and why was

it strong? So, let me just sort of break it up into few markets. N umber 1, corporate travel has been strong and very strong. Before we say, corporate travel is coming back. Well, now it is back, and it is back nice and strong. So, that's good news. Then is the tourist traffic. So, I think to some extent, we've replaced the COVID bug with the travel bug, and people are traveling like crazy to these tourist destinations. So, markets like Srinagar, Leh, Dehradun, Bagdogra, Goa, they're all performing very well. So, that's a huge positive.

The third positive really is what's happening in the new stations. Normally, when we open new stations, we say, oh, they'll lag and struggle for 6 months But they've just matured much faster than we ever expected . So, whether it's Bareilly, Kanpur, Agra, Durgapur, I mean we opened these stations recently and they're all performing great. So, to give you an example, we just opened Deoghar I think July 12 or something. And already Delhi -Deoghar is booked solid full. And we always thought Delhi -Deoghar would do well, but we were hesitant on Kolkata -Deoghar because we thought well, by train it's only a 4 -hour train ride. So, maybe it won't do so well.

Well, guess what, it's had 88% load factor. That just shows the subs titution we're getting from rail into airlines in all these short- haul markets. So, whether it's Delhi -Lucknow, Delhi -Dehradun, Kolkata -Deoghar, hey, people are giving up trains and coming to us. So, we see all of those as very positive signs. And yes, we' ll see some weakness. But the question is what happens in the third quarter. Well, in the third quarter, like I said, we were missing 7 points of the load factor in the quarter we just reported. We hope to get that 7% load factor back. So, the third quarte r should be a very strong revenue performance. And if, and I know this is a big if, if fuel and foreign exchange

behaves just a little bit, I think we could have a perfect storm of profitability in the third quarter. So, that's what we are working towards.

Moderator : The next question is from the line of Mitul Shah from Reliance Securities. Please go ahead.

Mitul Shah

: Sir, I have a question on second quarter, as you indicated would be weaker seasonally. But compared to pre -COVID level, what is the sense on that side for domestic as well as international? International, you highlighted very well. Domestic, you can give more detail. And secondly, sir, on the ATF prices compared to last quarter, around Rs.123 per liter , what has been the average for Ju ly or August, any indication if you can give?

Ronojoy Dutta: Does anyone have average prices on fuel?

Richa Chhabra : I can give it.

Ronojoy Dutta: Richa is going to give it to us in a second. What was the other question? The second quarter, how does it compare? Look, I'll do it sequentially. It's easier for us. I mean I can't remember what happened a year ago. Compared to this quarter, we will have s ome yield declines. And so revenue will be weaker. Again, we probably won't see that much weakness in July, August, but we all know, September is a horrible month. So, we are sort of saying September we know it's going to be bad. And all the indicatio ns are going to be bad. It's not likely to be any worse than previous Septembers, all Septembers are bad. And that will drag our quarterly performance down. But again, the important thing is what happens after that. October, November, December, we think is going to be good and strong and we are all gearing up towards that. And most of all, I want to get those 7 points of load factor back.

Mitul Shah : Sir, and if you can give detail on MTM, this forex loss, how much would be MTM and how much realized out of this Rs. 1,420 crore?

Gaurav Negi : A large part is going to be MTM, close to Rs. 1,300 crore is going to be MTM and very small portion is realized in the remainder.

Mitul Shah : I'll get details from Richa on ATF side.

Moderator : The next question is from t he line of Chintan Sheth from Sameeksha Capital. Please go ahead.

Chintan Sheth: So, on expenses, just there are 2 parts to it. One is on the fuel side. If I look at our ATF growth, ATF price growth, which is 95% Y -o-Y and 36% Q -o-Q. Sequentially, if we lo ok at our CASK, our CASK has increased 38% versus ATF price increase of 36%. Traditionally, historically what I have seen is that we have been able to manage our fuel costs much better than the actual ATF price increase. This quarter seems to be a little o ff. So, just wanted to check on that? And second is on the aircraft engine rentals, the per hour basis, it has declined from above close to Rs. 0.90 to now Rs. 0.71. So, just wanted to check whether this trend should be what we should look at going forward ? Or there is any SLB gains or something which has bought it down for this quarter in Q1? Yes, that's it.

Gaurav Negi : On the first question related to ATF, given last time we were using largely the NEO fleets, because the demand was less. That's why the m ix of the CEOs have gone up for this quarter. That's why you'll see a difference in terms of the comparison that you were doing. So, that's what is driving the ATF question that you had.

Chintan Sheth: But by the end of this year when we're returning, this will normalize hopefully.

Gaurav Negi: Yes because when you compare it year -over -year, the utilization was more of the NEO fleet given the high demand that …
Chintan Sheth: I was comparing sequentially from 38% increase in our CASK and 36% increase in ATF price, sequentially.
Ronojoy Dutta: No. So, also this crack spread has widened quite a bit, as you might have read in various newspapers. We used to have a small spread relatively between Brent and ATF fuel. That spread has really widened and we're talking to the Petroleum Ministry and Aviation Ministry, saying what the heck is this? Why should it be so wide? But that widening is really a cause for concern for us, and I think that's showing up in the numbers.
Chintan Sheth: Where we are talking about, sorry , I could

n't get that?
Ronojoy Dutta: So, there's the price of Brent fuel and there's a price of aviation fuel. And that difference, which is the refining of aviation fuel is called the crack spread. And the crack spread was historical for last 7 years, it has been at a certain level. For the last 6 months, it has widened a lot. So, although you'll say, okay, Brent went up this percent, but ATF went much faster it's because that spread is widened.
Chintan Sheth: What it has to do with increase in our CASK higher than the increase in ATF prices? Tha t is what is the actual question.
Ronojoy Dutta: See, so if you're comparing one time period to another, and you say the fuel cost seem to be going up faster than you expected, the reason the fuel cost is going up, and I'm sure you're indexing it to what hap pened to Brent. You're saying, but IndiGo your fuel cost went up faster. You will see that true for all airlines in India. And we've all been talking as an industry group to both the Aviation Ministry and the Petroleum Ministry saying this is not right, th at spread should not widen so fast.
Moderator : The next question is from the line of Deepika Mundra from JP Morgan. Please go ahead.
Deepika Mundra : Sir, just a question on the yields. Like last time, could you give us a little bit color on July and August how it's panning out? And as you enter the festive season, I know you mentioned September looks weak already, but why is the yield not relatively strong given the pent -up demand overall in the system with corporate travel reopening?
Ronojoy Dutta: Well, a gain, a lot of factors affect the revenue by season. It is school opening, it's monsoon season, it's something called Shrad, all these things tend to hold back the second quarter revenue. And it's been true historically. This is not a one-year phenomenon. So, if you look at the quarter -over -quarter that's always been true. So, there is sort of a extrapolation of underlying demand. And then over

that you have to overlay the sort of seasonal ups and downs. So, our first quarter is a reasonably good quarter, and the second quarter is a very weak quarter and the third quarter again is a very strong quarter. So, you have to overlay that on the revenue trends. So, the revenue trends have not changed. And we are saying that over and over again. We saw no weakness in the revenue trend, but the seasonal overlay has all these anomalies.
Deepika Mundra : And how sustainable you think these kind of year -on-year yield increases are going forward as well?
Ronojoy Dutta: So, look, we've been saying for the last 3, 4 years that yields in India are abnormal and total outliers. Nowhere in the world are ticket prices this low. And therefore we've said, hey, there's only one direction they can go. And that is up, and that's what we have seen. So, the economy is reasonably strong. And then yields in India can only go up. I mean as you know we've said many times only 7% of Indians travel. And now as we're opening all these stations, we are seeing all these train travelers coming to us and they of course connect to other destinations through our hubs. So, of course our yields are going to go up.
But that is all happening long-term, I believe. Long -term, there will be more entrants into the aviation market in terms of taking flights. And there'll be people taking more frequent flights as we're seeing in all these tourist destinations. Middle class income will be growing. So, all these are long-term fundamental factors, which make us very optimistic about the yield trajectory. And if we were starting from a high point, worldwide, we say, ye s, we've sort of matured. But we haven't. We're starting from a very low on worldwide comparison. So, yes, we think yields are sustainable and will continue to go up.
Moderator : The next question is from the line of Nikunj Mandowara from UBS Securities. Pl ease go

ahead.
Nikunj Mandowara : So, yes, it's great to see demand returning back to pre -COVID levels, sir, but the load factor still remain quite below the pre -COVID level. So, I think pre -COVID in Q1, we used to do 89%, while we have done 79.6%. So, sir, just wanted to get a sense of how do you think this will behave going ahead? Do you think we can hit the mid -80s from Q3 onwards? Or you'll be more comfortable at 80% and then rather raise the pricing considering higher costs?
Ronojoy Dutta: So, this is what we think is happening. We've clearly raised prices a lot. We meaning the industry has raised prices a lot. Part of that is just pushed by cost pressures. If fuel goes up, we have to raise ticket prices. That's one factor. The other factor is, we were always starting from an abnormally l ow

point. So, they have to go up. So, yes, as we increase the prices, there's been a little bit of resistance. We don't see there's resistance in corporate travel. We don't see there's resistance in tourist traffic. But obviously in the most price -sensitiv e segment, there has been some resistance. And that I think explains the 7% or 8% decline we are seeing in load factors. Again, we think as we go into the third quarter when demand is so strong and as people get used to these higher fares that will get those 7% load factors back. So, what would we like to see in the third quarter? We'd like to see yields remaining where they are or inching up a little, and we'd like to get our 7% load factor back.

Moderator : The next question is from the line of Noel Vaz fr om Asian Market Securities. Please go ahead.

Noel Vaz : My question has been answered.

Moderator : The next question is from the line of Krupashankar NJ from Spark Capital. Please go ahead.

Krupashankar NJ : I have a question which is relating to the earlier comments on gaining traction in shorter lead distance traffic. So, what you've traditionally seen is that the rail traffic has already reached well above pre -COVID levels. And in fact the air traffic on th e domestic side has just started picking up. And historically what we've seen is that softer fares are key for shifts from rail to air. So, is Kolkata - Deoghar, what you had mentioned earlier, is it more of a flash in the pan? Or is this something which is structurally changing on shorter lead distances as well? Is there any other instances where you've seen the shorter leads have done relatively better?

Ronojoy Dutta: Yes. So, that's why I also mentioned places like Delhi -Dehradun, Delhi -Lucknow, et cetera. So, in the short -haul markets, this train versus air, fact is the travel market is growing and is probably growing quite strongly. Now if that happens, I do expect the rail traffic will also grow, but we'll also grow. And within that at the high end of the customer segment, we will probably attract more than the rail traffic. And I think that's what's happening. So, Kolkata -Deoghar, we didn't put in any introductory fares. The fares are pretty attractive. And so , we never expected any change in load factor and we were surprised when we got that. So, I think that shows that the travel demand is strong and we'll both benefit.

Krupashankar NJ : And just a follow -up on that. I know, given that IndiGo has been continuously adding newer routes on shorter leads as well, so incremental fleet can be deployed towards shorter lead traffic. Is that a fair assumption to make going ahead?

Ronojoy Dutta: I think it will be fair to say that I wish we had more aircrafts at this time. We are limited by the number of aircrafts we have. So, given that, we're going to try and push load factor beneath. But if we had more aircraft, we'd fly to more destinations, yes.

Moderator : The next question is from the line of Miten Lathia from Fractal Capital. Please go ahead.

Miten Lathia : Since this is perhaps the last call that we will be hearing from

Rono, just wanted to thank Rono for all the insightful interactions that we've had over time. Wish you a very happy retired life, Rono. So, just one question from my side. If you were to look at current routing that you have with the large fleet, where would the departures for aircraft be when things stabilize, let's say in FY '24?

Ronojoy Dutta: When will the num ber of departures stablize?

Miten Lathia : Departures for aircraft, yes.

Ronojoy Dutta: So, as I said fleet count wise, we are always sort of maxed out. So, we can’t fly more departure. Departure growth will be somewhat limited. Fortunately, we have the A32 1s coming in and the A320s going out. So, number of seats will continue to grow. But total number of departures, we have probably maxed out at this point. And we wish we had more airplanes. Looking at the revenues, if I could produce another 20, 25 ai rcrafts, it would be great. But we didn't have them.

Moderator : The next question is from the line of Ashish Shah from Centrum Broking. Please go ahead.

Ashish Shah : Sir, if you could comment on the cargo business. How is that shaping up? What's the growth measure that we can use on a Y -o-Y basis or sequential? And how are the yields panning out in the cargo business?

Ronojoy Dutta: Cargo has been a very good story, frankly. And I mean we look at the numbers month-over -month, week -over -week, and it's a straight line, not rapid growth, but the lines are pointing upwards. And again, we see lots of opportunities around us. As I said, Bangladesh, Vietnam, these are great locations for us to get traffic from. China is a wonderful opportunity. We think our freighters should do well there. So, overall, whether it's belly cargo, these freighters coming, we see lots of growth. Now we used to ha ve a few cargo in cabin as you know during COVID, but with the increase in passenger demand, all those planes have come back on the passenger side. So, cargo is also struggling for more capacity. And so cargo is a great business and we're looking forward t o that 2 that are coming in October, and after that 2 more coming in next year. So, good business and we are quite optimistic. But in the meantime, month -over-month cargo tonnage, cargo yields are both up.

Ashish Shah : Sir, could you leave us with some num bers, any indication on the growth in the volume of cargo

that you could give us and anything on the yields, any numbers that you can leave us with?
Ronojoy Dutta: We're looking at double -digit growth in revenues, I can say that. And it's a mixture of yiel ds. Look, I'm also looking for what are the negatives? I know, I keep talking about all the positive. So, what are the negatives? It is back to fuel and MTM. This mark -to-market drives me crazy. There is nothing we can do about it. And every quarter -over -quarter, we get this big hit. And we just need that to either stop going up or reverse a little. And if, by the third quarter, MTM reverses, that would be great. Fuel, it went up to $120 a barrel or something. At least it's now down at $100, so that's a good new story. I hope it goes down a little. So, our challenges and our problems are all macro. They're not micro, internal demand, anything. It's all this fuel and geopolitical and dollar and so on. But all other measures, they look very promising for us. And you know, we've always had a lot of faith that the Indian market is going to grow strong with improvements in demand, with improvements in yield. And I think we're seeing all that. Quarter -over -quarter, we are seeing great yield improvements.
Moderator : The next question is from the line of Pulkit Patni from Goldman Sachs. Please go ahead.
Pulkit Patni : This is for Gaurav. Gaurav, if I look at the capitalized operating lease liability for the quarter and compare it to March, it seems a little higher relative to the kind of fleet that we have added. Anything that

you can explain why the increase is quite significant relative to the fleet added?
Gaurav Negi : No, it's just largely on account of the addition of the fleet. We've got some 12 new additions that have happened during the quarter. So, that's what's driving the increase in the lease liability, nothing else.
Pulkit Patni : But there would also have been retirements right, parallelly?

Gaurav Negi : Yes, the re were 6 retirements that we did do. So, net-net effect, largely the increase of the new ones that came in, the retirements was relatively a smaller number.
Moderator : The next question is from the line of Binay Singh from Morgan Stanley. Please go ahead.
Binay Singh : Firstly, congratulations to Rono for steering the airline through a very challenging environment and best wishes for future endeavors. Moving on to the question, if we look at IndiGo, the airline is in a way moving from a 20% kind of a CAGR capacity growth rates that it was in between financial year '15 to '20 through now a much slower capacity growth phase. Do you think this will lead to better profitability per seat? The reason I say that is that in the 2017-'18 cycle, I remember the airline used to say that when capacity slows down the profitability per seat should improve because new routes take 6 months to mature. And there's a lot of front adding of costs in a high growth phase. So, all else equal, do you think that sort of framewor k still holds that the profitability actually leaving crude and other variables outside should be much better per seat in a lower ASKM growth phase?
Ronojoy Dutta: You definitely expect that, right. If you are growing rapidly, you have both cost pressures and revenue pressures. You're opening new markets and hiring new people. Pilot training is high, maintenance training is high. So, both on cost and revenue, yes. And as you slow down, clearly both numbers improve. So, we would expect that. Having said that , our appetite for growth has not slowed. If we had the planes, we would fly them because there's a lots of new markets that are so exciting out there. I mean, just to mention a few, Tel Aviv. I mean we've had a eye on Tel Aviv for so long. And now the Sau di airspace is open now. We'd like to go to Africa. We'd like to connect China to Africa. So, all these things we want to do, but I guess, we'll just have to wait till we have the airplanes.
Moderator : The next question is from the line of Aditya Mongia fr om Kotak Securities. Please go ahead.
Aditya Mongia : The question that I had was more focused on your CASK ex-f orex, ex -fuel, which is at Rs. 2.4 and broadly comparable to pre -COVID levels. And this is happening at a time where your load factors are still not fully kind of back at pre -COVID levels. I just wanted to get a sense of, can this number further go down, maybe because the pre -COVID base was high? Or how to think about this number incrementally from Rs. 2.4 and that it is at this point of time?
Rono joy Dutta : So, one is look, our fixed costs made up of our lease costs. And the fact is our lease costs are going up a little. Just new airplanes, more expensive airplanes, so they're inching up a little. We have salaries which we held back on salaries for 2 years. Now we are reverting them back. And I'm sure there'll be cost pressure that way. So, just in terms of inflationary pressures, our maintenance costs go up year -over -year with sort of escalation clause every year. So, I think there will be cost pre ssure. But again, we're looking at the spread between RASK and CASK. And yes, CASK will tend to inch up, but our goal and our efforts and our ambitions are to improve RASK at a much faster rate. And look, we've proven that we can do that, right. Over the l ast couple of years, our yield performance has been strong and it gives us faith that we can keep improving on that. And you know there is so much benefit to our s

cale also. I mean we look at our metros. And so much of it is now just connecting traffic. So, when we add another destination, whether it's from anything into Hyderabad or Bangalore or Kolkata from another station, there is so much connecting traffic that we get out of

it. So, those scaled benefits are huge. And I think that's one of the strengths that IndiGo has and therefore we're able to improve our yield at a faster and faster rate, because we can offer so much different ways and options to people to travel from A to B a faster with more frequency and all that. So, yes, our yields will continu e to go up. I have full confidence in that.

Aditya Mongia : Well, that was my only question. Rono. Just a note of thanks from my side. Thank you for being around for so long. Last 2 years, my pace of learning would have been half without you. Thank you for that.

Ronojoy Dutta: Hey g uys, many of you have expressed this sentiment. I'd like to reciprocate. And I would like to say that I really enjoyed working with you, I have enjoyed your questions. It's been intellectually very satisfying responding to your questions. So, thank you.

Moderator : The next question is from the line of Achal Kumar from HSBC. Please go ahead.

Achal Kumar: So, I have couple actually given that I got a second opportunity. First of all, Mr. Rono, when you talked about the yield, you ver y much focused on the kind of pent -up demand and corporate travel and all those sort of things. And of course corporate travel has been a big boon for the yields. But then, if I remember it correctly, a few quarters back, I asked you this question about th e risk to corporate demand given that now Tata has taken over Air India, and then previously when Jet used to fly, they used to enjoy a lot of corporate market share. But then once Jet ceased operations, corporate demand shifted to you because there was no other option. But now given the Tata is coming with Air India with a much bigger size, and I guess Vistara has a very nice product. How do you see the risk to your corporate traffic with Tata coming into the competition? And if that is the case, how that could impact the yield?

But then secondly, how do you see the overall competitive landscape? So, previously we were expecting industry to be more rational. But now if you see Vistara has become very aggressive, I mean the load factors are ranging about 86% , 87%, and it looks like Tata may not be very rational player. And if that happens and they have big financial muscles, strong financial muscle. How do you see the overall competitive landscape? Sorry, that's a bit negative. But on the downside I'm looking at, how do you see the overall scenario in terms of competition? And finally, how do you see the advance sale now? Your free cash has increased, how much of that is coming from advance sale now? If you could please help on these?

Ronojoy Dutta: So, first, let's talk about the competitive landscape and let's focus on us versus Air India/ Vistara. Remember we are not head -to-head competitors. And they have focused a lot. First of all, they're very focused on international and that too long-haul intern ational, not short -haul international with the business class product and so on. So, great. I mean that's not a market we served in. And therefore their domestic strategy is tied to that. So, what does Vistara , Air India try and do. They try and fill the bi g wide bodies to all these long- haul destinations. And you can see that in the way they do the network.

We are not in the same ballpark or we are not fighting in that same sandbox. We are in the domestic market, small towns. And frankly metro to met ro is one of our weaker segments. Because yes, there is too much capacity, everyone is fighting yields, et cetera, et cetera. That's not the way our

performance is getting stronger. Co

rporate demand is back. That's great. But relatively metro to metro is s till weaker than metro to nonmetro. And nonmetro to nonmetro is very strong for us. So, we are sort of separated by customer segment, by destination, by network. And they'll do great I'm sure just connecting to international and they're fighting, the Lufthansa and Qatar Airways, we are not. We're not fighting. We are providing service to small towns and short -haul markets. So, that degree of separation by itself I think helps us.

Yes, ultimately, people can get high load factors, but they have to wor ry about costs. So, yes, it's true that some full service carriers are just matching us on price and therefore getting high load factors. But at what cost? Because our cost structure is much better. Now you could say that they don't care about the cost at this point. Yes, true, maybe. But in the long run they'll have to. So, our spread between this unit revenue and cost is something we like. And our cost structure is low. And therefore, the reason we are enthusiastic about our vision, our network is that is very different from everyone else. So, even when we go international, we'll be going to places, as I said like Tel Aviv, Nairobi, Milan where no one flies. We'll be the only one. And we're just not competing with Air India. We're taking traffic away from Dubai or Singapore or someone else. So, we are not, I would say as in Spice, as in GoAir, our head -to-head competitors. Yes, we fly in the same markets. We do exactly the same thing with the same product, same destinations, same network. Air India and us are quite separated. They'll do well in their space. We do well in ours.

Achal Kumar: But then Mr. Dutta, I mean if I know it correctly and then they are looking for 300 A321s, I mean

so isn't that for the domestic market? I mean of course, you are right. T hey are connecting domestic
to international. That will be offering fleet to the international. But then unless they have a strong domestic, I mean how they can be provide a fleet. So, 300 A321s I guess is going to be for the
domestic market, isn't it? I m ean of course, domestic plus neighboring international markets. So,
how would that have an impact on the competition?

Ronojoy Dutta: And see that's a very astute observation. Domestic market leads to international strength. International strength does not lead to domestic strength. We have never seen it in reverse, right? And you can talk about the U.S. experience. There was Pan Am and TWA, and there was United
and American and see what happened, right? So, yes, our biggest strength is the domestic market.
Will we be able to leverage that into international strength? I absolutely think so, and we will. Now
there'll be other competitors who will have a strong international markets. Can they leverage that
back into the domestic market? Much, much tougher, much tougher.

Moderator : The next question is from the line of Gagan Dixit from Elara Capital. Please go ahead.

Gagan Dixit : Sir, my question is more related to this air fare discipline side. So, this time, we have observed that
this rise in the yield is takin g care of the increase in the fuel price if we adjust for the f orex losses,
sir. But in the past, typically we have seen that this whenever the fuel price rises, airlines not able
to increase the air fare. So, this time, it looks like that there is some discipline comes in this air
fares. So, sir, how much do you think is this discipline sustainable? Why this is so, sir? That's my
question.

Ronojoy Dutta: A large part of it is experience. I mean we've all gone through various cycles. And I think people
have learned. I think at this point we are blessed with very professional veteran leaders in all the

airlines, whether it's Akasa or Spice or GoAir you name it. Everyone has been around that we know
how to play the game. So, yes, investor discipline is cl

early a critical factor to success for all of us.
And fortunately, we are seeing it right now. Well, that's good. I don't see that changing.

Gagan Dixit : Yes, because earlier we have seen that, few years back, I think whenever IndiGo tried to increase
the fares in line with the air fares I think in somewhere 2018, so other airlines don't follow, so might IndiGo is at the risk of losing the airfares. So, is ther e some temporary phenomena, sir because
might be some new airlines might just start, so might be that we see again that competition come back that we have seen in the past. Is this something you risk you see there?

Ronojoy Dutta: Well, the thing is th is. I think we have all learned over and over again that these reducing fares
doesn't result in higher revenues. I mean we've all learned that lesson. Because if you reduce fares,
everyone will match you down. No one is going to provide a pricing umbrella, right? It never
happens. And we won't either. So, if people reduce fares, we'll all reduce, we'll all suffer, but we all
know that how the game plays out. Therefore, as I said, I mean you look at all these airlines, the people there have been there 18, 20 yea rs. So, yes, they know that as well as I do.

Moderator : Thank you. Ladies and gentlemen, that was the last question for today. On behalf of IndiGo, that concludes this conference call. We thank you all for joining us. And you may now disconnect your
lines.

Note: This tran script has been edited for readability and is not a verbatim record of the call

Call: Nov 2022

"IndiG o Second Quarter Fiscal Year 2023
Financial Results Conference Call"

November 04, 2022

MANAGEMENT : MR. PIETER ELBERS – CHIEF EXECUTIVE OFFICER
MR. GAURAV NEGI – CHIEF FINANCIAL OFFICER
MR. WOLFGANG PROCK -SCHAUER – CHIEF
OPERATING OFFICER
MR. SANJAY KUMAR – CHIEF STRATEGY AND
REVENUE OFFICER
MR. KIRAN KOTESHWAR – CHIEF PROGRAMS OFFICER
AND HEAD, INVESTOR RELATIONS
Ms. RICHA CHHABRA – ASSOCIATE DIRECTOR ,
INVESTOR RELATIONS

Operator: Good evening ladies and gentlemen and welcome to IndiGo's Conference Call to discuss the second quarter of fiscal year 2023 financial results. My name is Inba and I will be your coordinator. At this time, the participants are in a listen -only mod e. A question-and -answer session will follow today's management discussion.
As a reminder, today's conference call is being recorded. I would now like to turn the call over to your moderator, Ms. Richa Chhabra from the Investor Relations team of IndiGo
Richa Chhabra : Good evening, everyone, and thank you for joining us for the second quarter fiscal year 202 3 earnings call.
We are pleased to have Pieter Elbers with us who has taken over as our CEO and will take you through our performance for the quarter ended September 2022.
Further, we have our Chief Financial Officer – Gaurav Negi, our Chief Operating Officer – Wolfgang ProckSchauer, our Chief Strategy and Revenue Officer - Sanjay Kumar, and our Chief Programs Officer and Head of Investor Relations – Kirankumar Koteshwar with us to discuss the financial performance and are available for the Q&A session.
Please note that today's discussion may contain certain statements on our business or financials which may be construed as forward -looking. Our actual results may be materially different from these forward -looking statements.

The information provided on this call is as of today's date and we und ertake no obligation to update the information subsequently.
We will upload the transcript of prepared remarks by day end. The transcript of the Q&A session will be uploaded subsequently.
With this, let me hand over the call to Pieter Elbers.
Pieter Elb ers: Good evening, ladies and gentlemen and thank you for joining the call. It is my pleasure to be amongst you to announce financial results for the second quarter of fiscal year 2023. My name is Pieter Elbers and two months back, as per September I had th e pleasure of joining IndiGo as the new CEO. For the past 30 years, I worked at KLM Royal Dutch Airlines , of which last 8 years as a CEO . I am super enthusiastic and excited actually to have moved to India and delighted to become a part of the next stage o f this incredible journey of IndiGo, further fulfilling the vision of what our airline can do and will be for both our customers and India.
For the quarter ending in September 2022, we reported a loss of 3.8 billion rupees excluding foreign exchange loss as compared to a loss of 14.7 billion rupees for the same quarter last year and compared to a profit of 3.6 billion rupees for the quarter ending in June 2022 .

Including foreign exchange loss of 12 billion rupees, net loss for this September quarter aggregated to some 15.8 billion rupees.
For the quarter ending September 2022, which is the seasonally weakest quarter – explaining the results of second quarter compared to first quarter , our capacity deployed was slightly higher than quarter ending June 2022. During this quarter, our international operations have increased by over 20 percent as compared to the previous qu arter. Even at this higher capacity, we were able to maintain yields above 5 rupees at a load factor of around 79 percent. While historically, we have experienced unit revenue reduction s of around 10 to 15 percent in the second quarter as compared to seaso nally stronger first quarter, in second quarter of 2023 the sequential reduction was much lower by about 2.6 percent. This is reflective of the continued pricing discipline in the market combined with our revenue management practices.
The depreciation of the rupee and high er jet fuel prices continues to be the major headwind to our profitability and remains a concern. During this quarter CASK increased by 1.3 percent to 5.15 rupe

es in the September 2022 quarter as compared to the June 2022 quarter primaril y due to an increase of fuel costs. I will let Gaurav discuss the cost elements in detail in his section.
We continue to recover from covid and have deployed more than pre -covid capacity. This has allowed us at IndiGo to make the best use of the opportunity presented by the robust demand in the market . International air travel has demonstrated a strong recovery, and we believe this will last while domestic demand continues to rise in the upcoming festive and winter season. We have strengthened our interna tional network by introducing new flights and frequencies to international routes and added Ras Al -Khaimah as our 100th destination. Further to our ambitions of enhancing connectivity for our passengers we have signed a new code share agreement with Virgin Atlantic. This will allow us to access new markets from London's Heathrow airport to India.
On our Cargo operations, volumes have been increasing owing to our sheer network presence and we remain optimistic. CarGo "belly" capacity will be further augment ed with the in troduction of the first A irbus 321 freighter and we are also expecting second such aircraft to be operational by December. This dedicated freighter operation s adds a new dimension to our existing cargo operations and offers a new product segment to our customers. These aircraft are on operating leases and are similar to our existing Airbus A320 family. This not only gives an added advantage on our costs but als o enables us uniquely to service markets like China, Vietnam, Middle East and certain CIS countries.
One of the key after -effects of the pandemic in the aviation industry are the supply chain disruptions in aircraft manufacturing and subsequent shortage of spare engines worldwide. This has affected our operations due to grounding of aircraft and has impacted our ability to fully deploy capacity productively. However, we are looking at various options to mitigate the shortfalls in our capacity deployment su ch as slowing down the redeliveries, exploring introduction of aircraft into the fleet and adding capacity on ACMI basis.

We are now operating more than 1600 daily flights that requires enormous operation discipline and innovation. Going forward, our e mphasis will be on three priorities .
• First one, r eassure on the key pillars of our service 1) on time performance 2) affordable fares 3) courteous and hassle -free service and let me add here 4) an unparallel network coverage for our customers.
• The se cond pillar being, develop and align our internal structure s, people and processes in line with the size of our operation, customer base and future ambitions.

• And, last and certainly not the least, c reate a future and in the coming years we will build on our strong foundations with international aspirations.

We at IndiGo remain in a strong position due to our consistent product delivery, low -cost structure, and sheer network p resence. We are enabling air travel to all large, medium -sized, and even smaller cities across communities throughout India. Going forward we will continue to develop connectivity even more.

In line with our future growth ambitions, we are continuously evaluating and improving the measures to safeguard the climate and the environment, maintaining responsibi lity and transparent relations with our stakeholders, and actively engaging in numerous social initiatives.

In line with our commitment to sustainable flying, recently IndiGo became a signatory in the 'Clean Skies for Tomorrow, India Coalition' a campaign, spearheaded by the World Economic Forum. Along with this we have published our sec ond ESG report, 'Flying Responsibly'. As we progress in this agenda, we are constantly looking for feedback from our investors and o ur stakeholders.

And now with pleasure, let me now

hand over the call to Gaurav to discuss in detail the financ ial performance.

Gaurav Negi : Thank you, Pieter, and good evening, everyone. For the September 2022 quarter, we reported a net loss of 15.8 billion rupees compared to a net loss of 10.6 billion rupees for the quarter ending June 2022. We reported an EBITDAR of 2.3 billion rupees with an EBITDAR margin of 1.8 percent compared to a EBITDAR of 7.2 billion with an EBITDAR margin of 5.6 percent for the quarter ending June 2022. The reduction in EBITDAR in the current quarter as compared to June quarter is primarily driven by increase in fuel costs, restoration of salaries and marginal reduction in revenue.

For a seasonally weak quarter, we produced strong unit revenues resulting in a steady revenue performance. Our RASK sequentially reduced mar ginally by 2.6 percent to 4.57 rupees driven by decrease in our yields by 3.1 percent to 5.07 rupees and a marginal reduction in load factors.

Our CASK for the September quarter was 5.15 rupees as compared to 5.08 rupees in the June quarter. Fuel CASK increased by 3.9 percent as compared to the June quarter to 2.26 rupees due to increase in the average fuel cost. As compared to the June quarter, while there are reduction in

foreign exchange loss es it was largely offset by increase in other line items leading to a flattish CASK excluding fuel of 2.88 rupees for the September quarter.

We continue to maintain a healthy free cash and have a good visibility in terms of our financing initiatives. We ended the September quarter with a free cash of 82.4 billion rupees, a net decrease of 0.7 percent as compared to the June quarter end. Our total cash as on 30 September 2022 was 196.6 bi llion rupees, a net increase of 3.1 percent.

We ended the quarter with capitalized operating lease liability of 361.3 billion rupees and total debt, including the capitalized operating lease liability of 409.5 billion rupees. Our right to use assets at t he quarter end were 222.9 billion rupees.

If we look at our combined results for the 6 months ended September 2022, operationally (that is excluding the foreign currency loss) we are close to break even as compared to a loss of 42.8 billion rupees for th e 6 months ended September 2021. This indicates a strong recovery in travel, and we expect this to trend to continue in the third quarter.

On the capacity side, sequentially for the third quarter the capacity will increase marginally, however, on a year over year basis it will increase by around 25 percent. Also, Q3 being peak festive and holiday season s we are witnessing a good momentum in our demand parameters and uptick in the revenue metric. At this point we are carefully balancing the yields and loads to maximize the overall revenue.

Operationally, we are continuously focus ing on strengthening our customer base, our fleet, network, processes, and employee talent pool to cater to the enormous opportunities that lie ahead. While fuel and forex continue to pose headwinds, we are reasonably confident that we will return to operational profitability in the third quarter.

With this, let me hand it back to Richa.

Richa Chhabra : Thank you Pieter and Gaurav. To answer as many questions as possible, I would like to request that each participant limit themselves to one question and one brief follow -up question, if needed.

And with that, we are ready for the Q&A

Moderator: Thank you. Ladies and gentlemen, we will now begin the question-and -answer session. The first question is from the line of Binay Singh from Morgan Stanley. Please go ahead.

Binay Singh : Congratulations on good set of numbers and also good to see the work you're doing on the sustainability side. Just 2 questions. First is on yield and second on capacity. On yield down, could you break it up a little bit more that how was international doing in terms of revenues in quarter 1 to quarter 2? And within yields, how many routes is Indigo flying at where there is no

competition and that, to an extent, is now getting pricing power? And further any commentary on the third quarter yields? And then second one on capacity is that if you analyze the capacity guidance for December quarter that we've given this will be an all -time high capacity for IndiGo. In that context, how to look at capacity growth in FY '24 over FY '23? Thanks. These 2 questions.

Pieter Elbers : This is Pieter Elbers . Let me start by answering on the capacity and then hand over your question on some of the yield developments to one of my colleagues. If we look to the capacity, clearly, this is the second consecutive quarter that we are back to a capacity level which is basically higher than the pre -COVID levels, and we expect to continue that development and indeed have for the next quarter another rise in capacity. As I mentioned in my introduction words, we are faced with some of the global supply chain issues , which we are trying to find solutions to mitigate that, but our objective clearly is to continue our part of capacity development and have a third quarter with a higher number.

As you have seen on our press release, we welcomed on board a passenger number this quarter of 19.7 million in this quarter. We expect to further develop that, and that means by the total year, we'll continue to develop our passenger numbers quarter -over -quarter in line with our expected capacity growth.

I'll ask Sanjay Kumar to give a feedback on your question on the revenue development.

Sanjay Kumar : Thank you, Pieter . And on the revenue side, I think we are seeing a very strong demand in the marketplace, especially coming out of the peak time, festival time, and also a strong recovery of the corporate business. So, all these 3 factors are really resulting in a very st rong revenue performance going forward. And we continue to see that we will be able to maintain and further increase yield and the RASK going forward. It's difficult for us to kind of give a break up of this.

Moderator : Our next question is from the line of Lokesh Garg from Credit Suisse. Please go ahead.

Lokesh Garg : Basically, my question also pertains to capacity. Basically, there are several dimensions of that. One is, as you said, not sort of letting go off the CEO planes. Then there is, obviously, some plans to lease planes as we are sort of reading in press. So, what is it that you're planning in terms of end fleet by FY '24 or FY '25 or in terms of ASK capacity that you plan to offer in FY '24 in terms of international and domestic mix?

And then you are saying that there is shortage with manufacturers and with engines also, so there is something which is grounded as well apart from things not coming at the same pace from manufacturers as you might have expected. So, could you sort of put together all these dimensions with some outlook for '24 either in terms of ASK or in terms of end fleet.

Pieter Elbers : I think today we're elucidating on the '23 numbers and not yet on the '24 numbers. On the '23 numbers, we have given a capacity guidance earlier this year in the range of plus 13% to plus 17% as compared to the period prior pre -COVID. We maintain that very same capacity guidance for this year, plus 13% to plus 17% as compared to pre -COVID.

Lokesh Garg : But there are several subjective elem ents I touched. Could you sort of put them together as to how should we see this picture evolving, even if you can't give us specific guidance?

Pieter Elbers : I'm not sure if I understand your question. Could you repeat it, please?

Lokesh Garg : What I was saying is there are several elements of this capacity planning, which is related to old planes, widebody leasing or shortage of engines in the system. So, could you put at least some of the sub

jective elements in a little bit more detail for us to understand how you're thinking about these things?

Pieter Elbers : I think you're mentioning the list of elements we're working on, some of the redeliveries. It's a lot of work in progress. That's why we're not making any breakdown of the precise num bers. We're indeed working on a proposal also to have some wet lease. That's work in progress, some of the continuation, but we're not providing a breakdown of the precise numbers as to come to that 13% to 17% capacity guidance for this year.

Lokesh Garg : And could you share a little bit more on international additions also as you touched in the opening part of your speech? What would that entail? Does that mean more destinations, more frequencies? And what percentage of flying currently is international in ASK terms, and how would that evolve, if possible?

Pieter Elbers : Today, we do have some 25% of our flying is international. You've seen some recent openings. I had the pleasure of myself of being in the Mumbai, Ras Al Khaimah opening. That's one of them. We had the announcement for the Mumbai to Istanbul expansion. With the new fleet

coming in, we do expect the coming years to have a higher number. Some of the markets are still close or relatively close, such as China, but other markets which are open, li ke the Middle East, Southeast Asia, you see a progressive return of our capacity. And indeed, today, it's around 25%, and it's a number which will go up in the years to come.
Moderator : Our next question is from the line of Ashish Shah from Centrum Broking. Please go ahead.
Ashish Shah : Sir, I have a question which is related to the asset utilization. So, one, in the peak times earlier, we have seen daily aircraft utilization going up to maybe 13 hours, 12.5 to 13 hours. Given our current route network and complexity, do we believe in the years to come we could reach to that number or a number of around 10, which is there currently is the right number to go by?
Pieter Elbers : Well, there's many different ways to look at aircraft utilization. And of course, I ndiGo is in a very unique position with aircraft coming in and aircraft coming out. So, there's always some, I would say, aircraft in transition, and do we take them into consideration or not. But let me say it from my point of view, coming from a different airline in the different part of the world, the actual fleet utilization of IndiGo is a very efficient way of fleet utilization. And with COVID behind us, we're stepping up our efforts. And today, with the fleet we're having, we're operating at 1,600 flights. And I don't think we're giving any sort of new guidance on fleet utilization today, but we're using the assets to the max of our ability.
Ashish Shah : Sir, the second point is on the cargo business. So, we are adding cargo freighters, and we're looking forward to that business. So, any kind of indicative growth that you could guide us on what should we look forward to the cargo business in the years to come?
Gaurav Negi : Again, it's a little too early. We've just started into the freighter side. We'll not be givin g any guidances, but the belly cargo has done well for us. And we've seen incremental growth on that particular side of the story. But as far as freight ers are concerned, it's too early for us to give any guidances.
Ashish Shah : And just a last quick one from my side. After the fare regulations were taken out, could you just highlight how was the behavior or the change in the fares which happened during the quarter because it happened sometime during this quarter? So, any qualitative view on how did fares behave in the market after the caps and floors were taken off?

Sanjay Kumar : So, I think we have seen that there has not been much of impact. I mean, there was a lot of apprehension that once the fare

bands are out of the system, there'll be dilution in the marketplace. Fortunately, we have not seen that happening. And you would have seen our quarter 2 yields, which are only about 3% down compared to quarter 1. So, it is fair to say that fares are holding up, yields are holding up.
Moderator : Our next question is from the line of Pulkit Patni from Goldman Sachs. Please go ahead.
Pulkit Patni : Sir, first question is on lease liability. The increase in lease liability is pretty significant. I'm guessing that's because of the new fleet that you have got in return of the CEOs. And can you give us a sense going forward while the N EOs are going to be cost -effective, they'll come at a higher lease cost. Any sort of guidance on what we should assume in terms of lease liability per plane or anything like that which helps us understand that a little better?
Gaurav Negi : So, I can't give you specifics , but you're right. The increase is largely on account of the new set of planes coming in and the older ones going out. At best the guidance that I can give you is that we've added 21 new set of planes in the first half of this year. So, with that, you can draw your extrapolations. But that's the best I can tell you. These are largely on account of 21 new planes that have come. And then along with that, we've got some incremental impact of the foreign exchange, which is embedded in these liabilities because the FX has been going higher, and that's also being incorporated into the lease liability number that you see.
Pulkit Patni : Fair point. My second question is, in your recent negotiations, given how interest rates are moving globally, how should one look at the lease cost for the new fleet that is going to come in? Is it something that we've already negotiated, so it should not go up? Or do we expect lease costs to go up in line with how interest rates are moving globally?
Gaurav Negi : So, large part of the fleet that we currently have is on a fixed rate. So, there's not going to be any impact because of the change that you're seeing in the interest rate environment. Any new leases that we are entering into, we are assessing them whether they're going to be fixed rate or we need to do a float. But 98% of our fleet is on a fixed-rate basis. So, there's no change that you'll see in that.
Moderator : Our next question is from the line of Venkatesh Balasubramaniam from Axis Capital. Please go ahead.

V. Balasubram aniam : I had a very, very simple question in the sense that, if you see over the last 6 to 9 months, it's almost been like a honeymoon period for IndiGo when it comes to competition. So, you had the likes of SpiceJet who's in real bad trouble. You had GO, which is also not doing too well because their financials are also not very good. So, you have exploited that.

You've done extremely well, increased your market share. But the fact of the matter is, all these things are not trickling down to numbers. If you look at your EBITDA R margins, both the first quarter number, second quarter numbers are weak. Both first quarter and second quarter, massive losses. So, it almost seems like whatever benefits you've had in terms of gaining market share has got completel y wiped off by the fact that, one, the rupee has depreciated and kept on depreciating. And secondly, ATF prices in India doesn't seem to be falling at the same pace that crude is falling.

So, is there any thought process at a strategic level from the management that to take a relook at your historical policy of not hedging crude oil prices? You should perhaps be thinking about hedging crude oil prices? Or this linkage between b rent crude prices falling, and it is not getting directly linked.

So, if you could throw some color on that. And is there any way to hedge the depreciating rupee because, historically, if you see over the last 10, 15 years, it's almost like the r

upee depreciates against the U.S. dollar at least 3%, 4% every year. So, it's like you are in a very unenvious kind of a position longer term. So, any thought process on how the USD -INR risk can be hedged or something on the crude oil prices? Is there a possibility of looking at hedging?

Gaurav Negi : You kind of summarized it well. I think in the last 6 months, while we are very well placed in terms of the capacity that we've thrown in, fuel and FX ha ve definitely been headwinds that we've kind of faced. As a result, you see what the results are. If you exclude FO REX, you'll see some positive story in the operational kind of a performance.

When it comes to hedging, candidly speaking, we do analyze, so it's not something that we have ignored. We do look at it, but there's a cost of hedging also. So, when you look a t the short term, hedging does look very attractive from an outcome standpoint, but it does have an implication in terms of volatility because, if things are too volatile, one can actually get hit with hedging costs, which are disproportionately larger, especially given the volatility that is there, both in terms of fuel and, to some extent, on the FX side also.

If you look at a longer window, so we’ve analyzed this, if you look at a longer kind of a pattern over the 10 to 20 years, whether you hedge or don't hedge, depending on the cost of hedge, it kind of neutralizes. So, where we are today from a fuel standpoint, we are looking at that aspect, I would say, similarly on the FX side. But some of the internal assessments that we've done is not leading to us going into the market and placing hedge as an instrument to secure our position because the cost of hedges themselves are coming to be expensive for us.

V. Balasubramaniam: Just as a follow-up. Can you kind of explain what exactly is happening, I mean, we have some idea, but if you could give a ground-level kind of analysis about why the fall in crude oil prices is not having a commensurate fall in ATF prices in India? So, if you could give some explanation to that.

Gaurav Negi : That's a very g ood question. Candidly, it'll take me a long time to answer that. But what I'll give you on a positive front, the Ministry of Civil Aviation and the Ministry of Petroleum and Natural Gas have sat together on this particular subject, along with the airlines and the oil marketing companies. The way the pricing of ATF was being done is undergoing a change as we speak. It started to happen on the 1st of October. We are seeing trends of that.

There is now a lot more transparency that is coming in, in terms of how t he prices of ATF are getting determined in India vis -a-vis the Brent because Brent is not the right reference point.

The new reference point that is being linked to it is MOPAG, which is a mean of Platts Arab Gulf. So, already a change because of advocacy from the airlines has already started to happen.

There is probably not one -to-one correlation between the two because there's a refining cost that is imposed by the oil marketing companies. But over a period of time, with more kind of transparency coming in this space with ATF being linked to MOPAG, you'll probably get a better picture. But more to come on this, I would say, but the efforts are on both on the airline side. When I say airline , it's all the airline companies put together working with the oil marketing companies.

V. Balasubramaniam: Is the ATF price in India any way linked to the Singapore jet fuel prices? Because what I notice is, even though crude is falling, the jet fuel prices premium over the crude oil prices, which historically used to be , let's say, $5 or $6 per barrel or $12 per barrel have gone to almost $30 per barrel. And the Indian ATF prices seems to be following the Singapore jet fuel prices. So, is there a linkage between the Singapore jet fuel prices and ATF prices in India?

Gaurav Negi : There is a correlation between Sing -Jet and the ATF in India, but I will not say it's one -to-one correlation. So, there are elements to it, but it's a good proxy, I would say. But what you'll probably hear is, going forward, the pricing is going t o be more not to the Sing-Jet, it's going to be more to the MOPAG pricing.
V. Balasubramaniam: And I hope you have a better second half when it comes to fuel prices.
Moderator : Our next question is from the line of Deepika Mundra from JP Morgan. Please go ahead.
Deepika Mundra : I got disconnected, so I just want to check if you've discussed your recent news flow on the widebody strategies.
Gaurav Negi : We touched a little in terms of some of the efforts that we are taking in order to expand on the capacity front.
Deepika Mundra : So, if I can just delve a bit further on that. Is this a long- term plan? Or is it just like a stopgap? And how do you think the operations as well as profitability is going to be on some of these widebodies as compared to t he narrowbodies? And I'm assuming, again, this will this be single class or dual class for IndiGo?
Pieter Elbers : Let me try to fill you in. And indeed, some of these elements came earlier this evening. We're seeing a very rapid market recovery. If you see on the global level, markets are recovering, but the market in India is recovering even quicker and even faster recently. So, first of all, we see a very quick market recovery in India and a very robust demand.
Secondly, at IndiGo, we would like to serve our customers. And therefore, you've seen that our capacity deployment is slightly higher today than it was prior to COVID in order to accommodate that demand. So, the previous question was speaking about the honeymoon in India. I wouldn't call it like th at. What we do see, though, is that there's a very robust demand, and we're in a good position to accommodate that demand.
However, some recent challenges in the supply chain, which is a global issue, those challenges are forcing us to look at different w ays and means in order to make sure that we have the capacity to operate. One of the things we have been doing is extending some of the leases, postponing

some of the redeliveries. And another element which is under discussion, today, we're still in the final stages of clarifying that, is a possible wet lease operation.
Today, we're not providing any further details because we're in the process of finalizing that. We're not providing any further details about classes, aircraft types and so on. But it's c learly with the objective to deal with the shortage on the supply chain on the one hand side and yet making sure that we are having the capacity to deal with that demand. That's the key driver behind this.
Deepika Mundra : And if I could just follow up with that. How long do you think the supply side challenges are likely to persist? And with that, if you continue extending leases, could you talk about a slightly more medium -term outlook on maintenance costs on the aircraft?
Pieter Elbers : Well, when you spe ak about the supply chain challenges, I would actually refer to some of the OEMs. They're probably in a better position to answer that question than we are. We're at the very end of the line and depending on the supply chain issue s by the OEMs. What we ta ke into consideration, and that's precisely why we are extending some of these leases and redeliveries that it's not solved tomorrow. It will take some time. Then what time precisely, again, I think you should be in another investor relations call for that . But for us, we keep in mind that it will take for some time. That's why I earlier repeated our capacity guidance for this year in the range of plus 13% to plus 17% compared to pre -COVID. We're not giving in any capacity guidance for next year yet. We st ill wo

uld like to sort of finalize where we are ending up this year. I think it's a bit premature to come into expectations about maintenance costs going forward. Again, we're dealing with the situation now. We're taking all the steps to remain, as I menti oned in my introduct ion, to keep our low -cost basis. And with that, we move forward.
Moderator : Our next question is from the line of Vipul Garg from Kotak Mahindra Bank. Please go ahead.
Vipul Garg : My query is that though the number of planes are same in Q2 this year and last year, but there's a substantial change in the finance cost. So, is this due to lease rentals getting revised due to increasing rates or some other thing?

Gaurav Negi : No. Again, it's going to be large ly driven by FOREX -related impacts that we are seeing. We have seen the FOREX going up significantly. So, that's what's the driver for us.

Vipul Garg : Sir, my query is that at what frequency are the interest rate reset in the leases for you?
Gaurav Negi : Like I mentioned in the earlier question that was raised, these are all fixed costs for us. So, there's no reset on the interest rate side. The change that is happening is only related to F X.
Moderator : Our next question is from the line of Acha l Kumar from HSBC. Please go ahead.
Achal Kumar: So, I have 2, please. First of all, on capacity demand yield, of course, you highlighted that yields are strong, and they're holding well. I mean, yes, of course, they are holding well. But then you know tha t SpieceJet was melting badly, Go was sort of, again, melting a bit. Akasa was in a startup phase. And TATA is still struggling to restructure. But then going ahead, there is a lot of capacity coming in. You yourself said that because you see the demand an d you are taking the planes, you're holding the planes back. But then Akasa is growing aggressively, and TATA has already spoken about aggressive strategies. So, how do you see?
And of course, in terms of demand, come on, I mean on a good day, a boy is saying, okay, I'm going to see my girlfriend and traffic is 400,000 passenger maximum for the industry, but the industry is still trading at about 375,000, 380,000 passengers every day although it came down a bit in between. But in the busy quarter, it is touching about 375,000. So, the demand is actually not growing beyond that. And we are seeing a lot of capacity coming in next year. So, how do you see the demand versus supply versus yield situation going next year?
And then second question, in particular t o Pieter . So, Pieter , you are in this role. So, what will be your strategy? Would your strategy be align ed to IndiGo's existing strategy? Or do you have some minor or major tweaks to that in terms of cargo business, in terms of overall growth plan, fleet type, mix widebody, narrowbody, but more importantly, growth o n domestic versus international side?
Pieter Elbers : Let me start with that last question to me, and then I will give the first question to one of my colleagues. In my introduction words, I tried to emphasize what's going to be the priorities going forward. And let me take a little step back. What IndiGo has done in the past 16 years is

impressive by any standard, basically from nothing to 279 aircraft operating today in a highly competitive market, s panning a network of 100 destinations.
Again here, the first priority would be to build on that strength of IndiGo. So, the first priority I mentioned is to build on the strength with an impressive network of 74 domestic destinations, 26 international wit h an on- time performance, with affordable fares and with hassle-free and courteous service. So, that's the first part of the strategy.
The second, I think it's fair to say that, during COVID, a lot of changes were made, and we need to get back to an opera ting rhythm today serving 1,600 flights p

er day. IndiGo today in terms of daily departures with 1,600 flights is the seventh-largest airline in the world measured in number of daily departures. I think that's an important element to take into account in how we organize ourselves and how we structure the organization.
Then the third pillar of that strategy is indeed focusing on a more international profile. Today, the total presence, and you have mentioned the share of IndiGo on the domestic side, which is significant. But the share on the international side is much less so. So, some of the new route openings we have done, and I mentioned the example of Mumbai to Ras Al Khaimah, I think are underlining the importance of further building on that international network. So, it's a bit of a long answer, but I would say the 3 important elements are: One, buil d on the strength of IndiGo, which is there historically, and to make sure that we continue to build on that; two, strengthen the internal teams and organizat ion structure we're having, matching the size of the company as the seventh -largest airline in the world in terms of daily departures; and three, build on our international presence. For that, cargo is an element with developing our international network i s equally important. I think this was your easy question. I did that. I'll give the difficult one on capacity , demand and yield to Gaurav.
Gaurav Negi : Again, on the capacity and the demand side, while the demand has kind of played around, candidly speaking , you would have heard on October 9, we had the biggest number. While it wasn't part of the quarter that we're talking, but on October 9, there was a substantial increase in the passenger travel that was close to 4 lakh that was communicated by the minister themselves. So, from that standpoint, we are seeing demand coming back. For us, we've seen incremental demand in the sense that we've already reached the pre-COVID levels. So, this is the second quarter in a row where the demand that we are seeing for In diGo has been ahead of what it was for the pre -COVID level.
So, we're not seeing any kind of a softness for ourselves. Yes, the industry is still playing catch-up to the pre -COVID levels. It's a similar story that we're seeing in the international markets

also as demand comes back for the others and the industry. At least, from an IndiGo standpoint, we're not seeing any softness, and we continue to see Q3 to be positive for us. And hopefully, going into Q4, we'll see a similar trend, subject to, obviously, the way the fuel and the FX is going to behave because that will become part of the consideration in terms of where the yields will land.

Moderator : Our next question is from the line of Krupashankar NJ from Spark Capital. Please go ahead.

Krupashankar NJ : I have a couple of questions, first, relating to the employee cost. I mean, we do realize that the private retention is a key challenge in this environment. Are we expected to see further revision in employee costs over the medium term jus t for retention? And if at all the ATF price correction comes through, would that offset that benefit and yields will remain elevated is one thing which I wanted to check.

Gaurav Negi : So, on that specific one, I think the last retraction that is happening or happened was 15th of October, so it's out beyond the quarter. So, what we're talking is Q2. But the final ret raction to bring it back to the pre -COVID levels has already happened. So, this is the steady state that we are today in. And you're right, our focus now is going to be on pushing up capacity. So, on a unit level, this number will now move based on where the capacity settles. And Q3 is again going to be incremental. And likewise, we're looking forward to Q4 to being incremental also to achieve what Pieter just mentioned, the 13% to 17% capacity increase. So, on a unit level, it's going to stabilize at

this level. Factoring in the October 15 revision also, we do not foresee any further increase in this.

Krupashankar NJ : That’s encouraging. And s econd question was on cargo operations. Wanted to check this. You did indicate that you're going to add 2 freighter aircraft . Has the second aircraft arrived in the third quarter? And are you intending to add more freighter aircraft to the operations?

Gaurav Negi : The second one is likely to arrive in November, December time frame for us. So, we've only received one. We do have 2 others in the pipeline, which will make it in total 4, but the other 2 are due some time, I would say, beginning of next fi nancial year.

Krupashankar NJ : So, these operations would be predominantly focused on the international side of things and not domestically. Is my understanding correct?

Gaurav Negi : Yes. Largely, you're correct. We are focusing largely on the international si de, but we'll not miss out on any opportunity that may be there domestically also. So, at least for the first few ones, we're looking more international, and then we'll see if there are opportunity sets domestically also available for us.

Moderator : We'll take our next question from Mitul Shah from Reliance Securities. Please go ahead.

Mitul Shah : Sir, I know that you replied on yield and trend on traffic. But sir, I have a question related to October, particularly Diwali vacation. How has been the passenge r behavior change pre -COVID level versus currently after such a high increase in the airfare? And in terms of like any color on how behavior in terms of 15 days window booking or beyond 15 days and trend there?

Sanjay Kumar : I think we have achieved the pre-COVID level as far as advanced booking patterns are concerned. So, we are exactly more or less the same kind of advanced booking patterns, which we used to have pre -COVID level. I mean, almost 25% of our booking used to happen 30 days out, and that is th e same trend we are looking at in the current quarter as well. As far as October numbers are concerned, I mean, what we can only make a comment on is on the yield side, our yields will be slightly on the higher side compared to quarter 1. So, we are kind of quite hopeful that with the current season, the festivities around us and also beginning of the corporate traffic in a much more demand compared to the pre-COVID level, I think we are seeing all side of businesses going up in a big way.

Mitul Shah : Seco nd question, again on a long -term strategy related to this adverse FOREX as most people asked earlier also. but here, it seems to be not a phenomenon of few months if it can be a medium -term, near - to medium -term trend of rupee further getting depreciated. So, what we can do, sir, in terms of, not only ATF, but of course, we have a sizable exposure on FOREX side, direct, indirect. And follow up to that, sir, can you give ballpark number on the assets and liability side in terms of dollar -denominated and non- dollar?

Gaurav Negi : So, on the FX side, again, it's difficult to do a b all gazing over here. The rupee has depreciated significantly versus last year. So, it's like more than 10%. Like one of the participants had raised a point that typically the erosion is usually a 3 point every year. So, 10% depreciation has already happened. Now most of our obligations are long term in nature. So, no one can predict whether we'll see a similar trend to keep happening on the rupee side for a depreciation of that magnitude. So, if you'll see the historical trends, the average over a 20 -year period has been around Rs. 2.7 to 3. So, there are moments that have come where the depr eciation has been significant, which

we're experiencing currently. But then there is a level of stabilization also that one experience.

So, factoring in those things, currently, we do not expect the rup

ee to depreciate significantly.
Again, the jury is yet to be out on that. But we are not expecting the rupee to depreciate significantly. We are talking to our various banking relationship partners also to analyze that trend. If a similar trend is coming where there's going to be significant depreciation, we'll loo k into hedging as an option. But at the moment, there are kind of conflicting views that are coming whether rupees will settle down. On a long-term basis, because our obligations are again long term, we do not at least see significant erosion as far as FX is concerned. Short term, there are. We've already seen what's happening over the last 12 months.
Mitul Shah : Sir, bifurcation on this nearly 40,000 on a debt side and 20,000 on a cash and cash equivalent side in terms of domestic as well as U SD denominated.
Gaurav Negi : So, large part of our liabilities you'll see is operating lease liabilities. Those are all foreign - denominated liabilities and exposure. Against the $20 million, we've got a restricted cash, which is largely foreign denominated. We've parked it in foreign currency. Those are obligations related to SR. So, that's the breakup and the mix. And then there are some SR related obligations that you will see, aircraft maintenance obligations. So, all the stuff that is related to aircraft is usually a large part is all FX, foreign exchange denominated.
Moderator : Our next question is from the line of Aditya Mongia from Kotak Securities. Please go ahead.
Aditya Mongia : I wanted to kind of focus more on consumer behavior and whether there's a poss ibility of further increasing yields from thereon, the airline as an industry have gone to probably 6 to 7 months of seeing this behavior. You've probably seen yield s peak out in 1Q and reduce in 2Q. The question that I have is that, have we broadly seen the best yields that one can see and from here on? If cost was to become inferior, does that kind of start to bother us a lot more now?

Pieter Elbers : I'm not sure if I precisely understand your question. Is your question the focus whether we have reached the peak of the yields? Is that the question?
Aditya Mongia : Yes. So, my sense is that competition is benign, and the consumer is the real person who deci des where he will go from there. And IndiGo has seen yields drop Q -on-Q, even though volumes

have been broadly flat. The question is, can yields further go up from here? Will the customer be willing to pay more? Or should we be thinking of a precarious sit uation if let's say fuel cost was to go up, that the yields probably won't go up from here?
Pieter Elbers : Okay. Well, I'll ask Sanjay to give a bit more flavor to that. But I think in some of the previous questions, it already came up that yield at the en d of the day is always a mixture of what routes are we flying, what's the mixture of domestic and international, what's the seasonality effect, what are the specific routes where we're expanding. So, there's a mixture.
But I think it's good that Sanjay maybe can give a bit of flavor to the consumer in the market, and I think one the previous question was about the demand around Diwali and the peaks there. So, I'll let Sanjay give a bit more flavor to the consumer behavior.
Sanjay Kumar : So, I think we have seen that there is a strong recovery from all segments of the marketplace. Now the couple of segments which were not kind of seeing the traction, I think we have started seeing the traction on the international tourist arrivals into the country, which was missing for last 2 years. Club with that, a lot of corporates, which were kind of not earlier doing their miles travel as a part of their overall policies had kind of stopped completely. They have started doing their miles travel back in the business. So, we are seeing a very strong demand on the corporate side as well, along with the international

tourist arrival. So, that is one thing.
Second thing is, of course, due to the seasonal effect and the effect of the holidays, we are going to see much more dem and in the marketplace, which will definitely help the industry to push up the yield as a whole, especially in the coming months until about month of February . So, we are quite optimistic about the environment overall. And we are seeing a new set of segmen ts, new set of customers continue to fly with the airline industry as a whole. So, we are quite optimistic about the demand.
Pieter Elbers : And I think that's basically speaking to the point that all the initiatives we've been taking, opening up new routes , focus on internationalization, having some of the corporates coming back in the market, that all speaks that we have been very active in terms of managing the yield and making sure that the yields are holding up. And in my introduction, I said the decline of the yield s in Q2 versus Q1 was below 3%. Well, if you would look historically, that decline is much higher. So, I think that speaks to the efforts which has been done and the efforts which have been undertaken in order to be very yield active and making sure that we dampen the seasonality effects with a whole range of actions.

Moderator : Our next question is from the line of Binay Singh from Morgan Stanley. Please go ahead.
Binay Singh : Just a follow -on question on operating leverage. In the past, we' ve talked about hour utilization per day as one driver of leverage for the business, and we've talked about that rising from around 10, 11 hours per day to around 13. Could you give us an update as to what was your hour utilization rate in the second quart er? Have you sort of gone back to normal levels now?
Gaurav Negi : We would not want to share that right now with you. So, all we can say is the utilization levels have been higher for us, and they continue to improve as we focus on putting in more capacity. So, we don't want to give any specific numbers.
Binay Singh : So, th e idea was just to understand if there's any operating leverage left in the business or not. But that's fine also.
Gaurav Negi: I can tell you there is more leverage left, and we'll continue to push but we don't want to give any specifics out.
Pieter Elbers : Maybe just give a bit more flavor on that. The moment you start to reinstate flights and you see what we're doing by opening up new destinations, reinstating flights, there are some intermediate steps to be taken. So, IndiGo was a smooth-running machine prior to COVID. Then COVID came and all the network had to be adjusted, and the flights had to be rescheduled to a certain way. If we now see the speed and the comparison, our capacity in this quarter compared to the capacity of last year is plus 75%. So, that says something about the enormous speed of recovering and moving back in capacity. As we said earlier, it's slightly higher than Q2. With that, some challenges in the utilization are coming. Clearly, it's our objective and our ambition to bring it back to the levels we had before, and it will continue to be a competitive advantage for IndiGo in terms of fleet utilization.
Moderator : Our next question is from the line of Pulkit Patni from Goldman Sachs. Please go ahead.
Pulkit Patni : This question is specifically for Pieter . Pieter , as you said, IndiGo is a very smooth-running machine. As you come in at the top of this airline, what are your top 2 or 3 priorities in terms of strategy?

Pieter Elbers : Yes. Let me sort of repeat what I mentioned earli er. One is building on the strength, which has been the historical strength of IndiGo, affordable fare, hassle -free service, and the on-time performance. And here, we really see that combined with an unparalleled network. So, that's really the key pillar, that was the strength of Ind

iGo towards COVID, then we have to deal with the COVID period, and we're building that back.
And as I repeated earlier, if you do 1,600 flights a day in an environment what we're operating, both domestic and international, that 's impressive by any standard. So, priority one, getting back to the strength of IndiGo. Number 2, develop an internal structure and people and so on which is matching the size of our operation. Priority number 3 is further build on it and further broaden our horizon, including further scope on the internationalization of which cargo is a part of the business strategy.
Pulkit Patni : I mean, I wanted a little more specific. But yes, I think the international part is something that we hear is going to be the focus.
Pieter Elbers : Well, again, it's 1 of the 3 pillars. And I think we're in a position that we can do a couple of things at the same time. We should build on what's the original strength of IndiGo, and that's what we see every day. The fact that the m arket is recovering and not fully recovered, but IndiGo is doing today already more than we did prior to COVID, having more destinations, welcoming more customers, and making sure that we're able to accommodate all these customers in an on - time performance, I think that's a very important element. And then, yes, also the further international development comes to this.
And maybe to add to the words of Sanjay, the COVID has sort of stopped a lot of international travel, not only from India to other parts of the world but also incoming. We see that traffic coming back now. So, some of the partnerships we're having and, in my introduction, I mentioned the partnership with Virgin, but we do have more with Qatar and T urkish and Air France, KLM and indeed now very recently, Virgin. We see numbers of foreigners coming in, connecting on our network and making sure that, that is part of our strategy going forward.
Moderator : Thank you. That was the last question for today. Ladies and gentlemen, on behalf of IndiGo, that concludes this conference. We thank you for joining us, and you may now disconnect your lines

Note: This transcript has been edited for readability and is not a verbatim record of the call

Call: Feb 2023

"IndiGo Third Quarter Fiscal Year 2023
Financial Results Conference Call"

February 03, 2023

MANAGEMENT : MR. PIETER ELBERS – CHIEF EXECUTIVE OFFICER
MR. GAURAV NEGI – CHIEF FINANCIAL OFFICER
MR. KIRAN KOTESHWAR – CHIEF PROGRAMS OFFICER
AND HEAD, INVESTOR RELATIONS
Ms. RICHA CHHABRA – ASSOCIATE DIRECTOR,
INVESTOR RELATIONS

Operator: Good evening ladies and gentlemen and welcome to IndiGo's Conference Call to discuss the third quarter of fiscal year 2023 financial results. My name is Aman and I will be your coordinator. At this time, all participants are in a listen -only mode. A question-and -answe r session will follow today's management discussion.

As a reminder, today's conference call is being recorded. I would now like to turn the call over to your moderator, Ms. Richa Chhabra from the Investor Relations team of IndiGo.

Richa Chhabra : Good evening, everyone, and thank you for joining us for the third quarter fiscal year 2023 earnings call.

We have with us our Chief Executive Officer - Pieter Elbers, our Chief Financial Officer – Gaurav Negi, and our Chief Programs Officer and Head of Invest or Relations – Kirankumar Koteshwar with us to discuss the financial performance and are available for the Q&A session.

Please note that today's discussion may contain certain statements on our business or financials which may be construed as forward -looking. Our actual results may be materially different from these forward -looking statements.

The information provided on this call is as of today's date and we undertake no obligation to update the information subsequently.

We will upload the transcript o f prepared remarks by day end. The transcript of the Q&A session will be uploaded subsequently.

With this, let me hand over the call to Pieter Elbers .

Pieter Elb ers: Good evening, ladies and gentlemen and thank you very much for joining the call. We announced today our third quarter of fiscal year 2023. It was a very strong quarter on the demand side and IndiGo performed very well with improvement in operational, financial and customer experience parameters. In November

(2022), we were back to being the mo st punctual airline in the country
and we retained the number one spot also in December of last year. As India's preferred airline we welcomed a record number of 22.3 million customers during the December quarter.
I am very glad to report that we have th e highest ever quarterly revenue of 154.1 billion rupees and robust quarterly profit of 14.2 billion rupees for the third quarter of fiscal year 2023. After various quarters, we are now back at a meaningful levels of profitability as our profit margin stoo d at 9.5 percent. With that, I would like to sincerely congratulate all IndiGo employees for this superior performance and our customers for choosing IndiGo.
As guided previously, the capacity development in the December quarter was 28.8 billion ASKs, which is 4% higher than the quarter ending September 2022 and around 25% higher than the quarter ending in December 2021. The yields came in very strong at 5.38 rupees and the load

factor also improved from around 80% in the September quarter to 85% in the De cember quarter.
On the cost front, our CASK decreased by 7 percent sequentially, primarily due to reduction in the adverse impact of two important factors - the fuel and the forex. Gaurav will cover the cost trends in detail in his section.
In the December quarter, we added 22 passenger aircraft (net of deliveries) to reach the 300 aircraft mark, a first for any airline in the country – giving wings to the nation and our ambition.
It is indeed a great milestone in our journey, and we will continue to ta ke further deliveries from our large order book of 500 aircraft. Apart from this we also added 1 more freighter to help us add to our CarGo revenue. These additions will help us to expand our footprint both domestically and internationally.
On the domest ic front, in line with our focus to increase accessibility in the north -east part of the country, we added Itanagar as our 10th Destination in the north -east region. With Itanagar added, we now connect to all the 'seven sister states'

of North -East India. In January, we opened
operations to the New Goa International Airport (in Mopa) as our 76th Domestic destination. This was our largest new station launch ever and connects North Goa to 8 cities across India through 168 weekly frequencies.
This opening is t he largest by any airline to any destination in India and
momentous for us as it signals towards our ambition and endeavor to provide connectivity, ease of accessibility, and provide even more options for our customers to one of the most visited tourist destinations of the country. Gradually we will also further explore international destinations from this new airport.
While domestically, we served a very significant share of our passengers, Internationally, we served around 16% passengers (in and out of I ndia) leaving us with an enormous opportunity for further growth. In terms of mix and recovery, about 23 per cent of our capacity measured in ASKs in 3Q was deployed in international markets and we are already operating at 105% of our pre - covid levels. Wit h demand for international travel continuing to grow, we aim at expanding international connectivity further in the year 2023.
One of the other developments is the addition of capacity between India and Europe through our code share agreement which allows our customers to travel to 27 destinations like Amsterdam, Manchester, Milan, and Athens. We will continue to explore strategic partnerships in future that will allow added connectivity for our customers and provide us with more global visibility.
Last one year has seen continuous recovery and we have reached greater heights and navigated across many new frontiers. A wide range of initiatives and actions which were set in motion over the past months have started to yield results. The demand remained stro ng enabling us to welcome a total of 76.8 million customers in the calendar year 2022 and to reach a total of 1, 700 plus daily flights in the month of January. We are thankful to our customers for flying with us and thankful to our employees for the reliability of service delivered at such large scale of operations.
Moving to the fourth quarter, the forward bookings l ook encouraging, combined with relatively stable fuel prices we hope to continue with the positive trend. We are looking forward to the next

fiscal year with great enthusiasm - building on our ambitious expansion plans towards our endeavor to connect 'vast and diverse' India and add to the overall socio -economic progress of the nation.
Let me now hand over the call to Gaurav to discuss the financial performance in detail.
Gaurav Negi : Thank you, Pieter and good evening, everyone.
For the December 2022 quarter, we reported a strong quarterly net profit of 14.2 billion rupees compared to a net loss of 15.8 billion rupees for the quarter ended September 2022 and net profit of 1.3 billion rupees for quarter ended December 2021. The yea r-to-date December 2022 operational profitability which is excluding foreign exchange loss stands at around 20 billion rupees as against a loss of around 41 billion rupees for the year -to-date December 2021 which is indicative of the steady recovery from t he pandemic.

We reported an EBITDAR of 34.0 billion rupees with an EBITDAR margin of around 23 percent compared to an EBITDAR of 2.3 billion rupees with an EBITDAR margin of around 2 percent for the quarter ending September 2022. This improvement in EBI TDAR was driven by a sizeable increase in revenue and a reduction in adverse impact of fuel and foreign exchange. This is suggestive of relatively stable operating environment versus a couple of quarters ago.
We saw a strong performance across several in dicators in this seasonally strong quarter with revenue improving by 20 percent compared to the September quarter and 63 percent compared to the quarter ended December 2021. The unit revenues came in a

t 5.26 rupees, which is 15% higher sequentially and 29% higher on a year -on-year basis.
The fuel CASK reduced by 11% primarily due to a reduction in average fuel prices by close to 7% as compared to the September quarter. The average fuel prices are still higher by about 50 percent as compared to December 20 21 quarter. Looking at the non -fuel costs, there is a sequential reduction in CASK ex fuel by 4.3% driven by the lower foreign exchange loss. The rupee at the closing date further depreciated by 1.4% leading to a forex loss of 5.9 billion rupees.
Our CASK ex fuel ex forex for the December quarter stood at 2.55 rupees, an increase of 4.3% as compared to the September quarter. This increase was primarily due to reinstatement of salaries, additional expenses on certain digital initiatives and impact of global supply chain disruptions which we are working to mitigate through alternative sources of capacity including lease extensions and wet leasing. Our endeavor is to deploy adequate capacity during this strong period of recovery to minimize the adverse economi c impact of such disruptions.
Liquidity remained strong during the period, and we ended the December quarter with a free cash of 106.1 billion rupees, a net increase of 23.6 billion rupees as compared to the September quarter ended. Our total cash as on 31 December 2022 was 219.2 billion rupees, a net increase of 22.6 billion rupees.
We ended this quarter with capitalized operating lease liability of 410.4 billion rupees and a total

debt, including the capitalized operating lease liability of 444.8 bill ion rupees. The increase of around 35 billion rupees is driven by additions in aircraft, certain lease extensions and the quarter end foreign exchange change that I spoke about earlier. Our right to use assets at the quarter end were at 254.8 billion rupee s.
Moving on to the fourth quarter, we expect to operate at around 45% higher capacity as compared to the same quarter last year. We have demonstrated high level of agility with the positive market developments we will be concluding FY23 at the higher sid e of the range of our previously guided capacity estimates. The bookings are strong for the fourth quarter with the effects of seasonality in yields. With this trends, we expect to close FY23 operationally profitable excluding the impact of foreign exchang e loss.
We are currently building on our plan for the next fiscal year and finalizing our capacity. With the knowledge of today, we expect our capacity to grow around north of mid -teens in FY24 as compared to FY23. We will giving more color on these aspec ts in the next earnings call. Our long-term prospects remain solid as we look forward to the next 5 -10 years of IndiGo’s growth.
We continue to remain focused on providing high quality product to our customers, increasing our productivity levels and remain committed to generate healthy returns on capital .
With this, let me hand it back to Richa.
Richa Chhabra : Thank you Pieter and Gaurav. To answer as many questions as possible, I would like to request that each participant limit themselves to one questi on and one brief follow -up question, if needed. And with that, we are ready for the Q& A.
Moderator: Thank you. Ladies and gentlemen, we will now begin the question-and -answer session. The first question is from the line of Deepika Mundra from JP Morgan.
Deepika Mundra: Congratulations for the great quarter. A couple of questions for me. So your guidance of 15% odd capacity growth next year. Could you put that into the context of the grounded aircraft situation and availability of spare engines as well as in terms of what the situation like in terms of getting new deliveries from Airbus in light of their recent miss on deliveries?
Pieter Elbers: Yes. I think we have demonstrated, let me take a bit of time to answer your question and look back first

to what we have been doing this year. At the start of this year, we've indicated the capacity guidance, I believe, between 13% and 17%. And despite the challenging situation on the supply chain with a range of mitigation actions, we've been able to maintai n the high end of that capacity guidance.
As Gaurav just alluded, for next year, we have a capacity guidance somewhere around the north of the mid -teens. So that's our guidance for next year. We still have flexibility in adjusting that going forward depen ding on demand situation and depending on the AOG situation. So we do expect the deliveries of Airbus to resume in the next year. We are working to get the alternatives on capacity as we have been doing for the past few quarter s.

And with that, we are con fident that the capacity guidance, which we were just giving north of
the mid -teens for the full year, can be achieved.
Deepika Mundra: Understood, a nd if you could give us as to what percentage of the aircraft is currently grounded,
if at all?
Pieter Elbers: Well, we're not going into a specific number. There's also some fluctuations on that. But the
number, I must say, compared to the last earnings call, we had is pretty stable, and we work
closely with the suppliers to increase the supply chai n. And as I said, we have various actions.
One of them is extending some of the leases. And you may have seen in the news, we have also
yesterday or the day before yesterday started a wet lease operation to Istanbul in order to provide
us that capacity.
Deepika Mundra: Last question for me. Is there any in the results, any impact of holding cost of these grounded
aircraft? And is it adequately being compensated by the OEMs?
Gaurav Negi: Yes, there is. So because of the AOG , there's an impact. We are work ing with the OEMs to get
some relief related to that. Some of it did come through in the quarter results, which kind of
offset that. So we continue to keep working with the OEMs for the remainder of the AOG that
we have to get adequately compensated.
Mode rator: The next question is from the line of Joseph George from IIFL.
Joseph George: I have got two questions. One is simple math, which is your revenues for the quarter minus the
passenger ticket revenues , minus the a ncillary revenues I get a component which might be some
other revenues, which in the past couple of quarters has been about 1 billion rupees , about 100
crores. And this quarter, it's jumped to about 350 crores, which is 3.5 billion rupees.
So if you can help us understand why there's a big jump of about 2.5 billion rupees this quarter?
That is one question.
The second question is in relation to the aircraft utilization. When I look at it in terms of number
of hours per day, historically, clocked 12.5 to 13 hours per day pre -COVID. And now I
understand we are still at 10 to 11 hours per day. So what is the outlook on that number? When can we get back to the 12.5
to 13 hours a day number?
Gaurav Negi: If you look at the other category, obviously, it has multiple elements to it. Some of it is related
to other revenue streams like Viability Gap Funding that we have related to the RC S portfolio
and the flights that we take. Aside from that, we do get some OEM related credits that we spoke
about, some of it is related to the AOG and some are related to the delays which we received in
the quarter.
Again, these are relativ ely small given the grand numbers of revenues overall that you see, which
is closer to of 15 billion. So that's what this makes up.

Related to the utilization that we have, excluding the groundings, our utilization levels have been
closer to the 13 hours that we have targeted, and we are quite comfortable with those 13 hours.
And I think the team has done a fabulous job of reaching to those levels to mitigate some of
these AOG impacts that

we have experienced in the quarter.
Joseph George: Some of the O EMs does it entirely pertain to the loss of flying hours this quarter? Or is there
any element of past quarters as well?
Gaurav Negi: It's a combination of both, I would say, and we're not getting specifically into details related to
that. We continue to work with the OEMs, as I said, in the beginning, to adequately get
compensated, but that's where we can probably leave the response at.
Moderator: The next question is from the line of Mitul Shah from Reliance Securities.
Mitul Shah: Congratulat ions for a very strong performance. Sir, first question, I would like to understand this
consumer behavior after sharp increase in back -to-back airfare, particularly from the Tier 2 and
Tier 3 cities. And how has been the traffic in past one or two quarter s? And what is the outlook
here?
Pieter Elbers: If you look at the network of IndiGo, today, we operate to 76 domestic destinations. And
actually, as recent as today , we announced two new destinations to be added in the month of
March. Nashik and Dharamshala will be added to our network. So a very significant part of our
network is the non-metros. So we have, of course, a very strong position at the metros. But given the size of our network,
naturally a significant share of our ASKs is also operated in the Tier 2
and Tier 3 cities.
If you run a network at 85% load factor for the entire quarter, with very strong days but also less
strong days, it means that basically a lso the Tier 2 and the Tier 3 cities are doing very well. And
actually, we see that providing air connectivity to these cities is creating really a positive
economic effect and sort of add -on effect where there's more economic activity. With more
economic activity, there's more flying. And so it is sort of self-supporting system in order to

create that air connectivity to Tier 2 and Tier 3 cities.
Mitul Shah: And second question, again, on this ATF prices being still volatile. Any thought on a short to medium term hedging or anything we are doing on this side? And what is the situation in this January and February beginning compared to last quarter's average in terms of pricing?
Gaurav Negi: So we are not looking at ATF hedging to begin with. Obviousl y, the big shift that happened last quarter, where we had the oil marketing companies shift to the MOPAG pricing, that gave us some favorability in terms of transparency as well as the price plan that was agreed on the tracking cost also gave some favorabi lity to all the airlines. So that's been a positive development for us. The new regime that has been now put in place, we saw some reduction related to ATF with the prices coming down from MOPAG, which translated into relative savings for the airlines in q uarter 3. We are seeing a similar trend. It's obviously going to be linked to the way the Brent is going to behave, which is then going to translate into the MOPAG index getting

influenced.
So other than that, we continue to push our operations to optimiz e fuel saving opportunities, which they've been doing traditionally also, and we continue to push that. But related to hedging, we are not looking at ATF as to be hedged in any time soon.
Mitul Shah: Sir, lastly, on this international capacity, as we are i ndicating mid-teen -plus growth for FY '24. I believe sizable chunk would be for these new destinations and on the international side. Can you give a broader indication on how much it would be split?
Pieter Elbers: We are now fine tuning our precise network plans going forward. As I said, we have a total growth plan for next year in the north of the mid-teens. The recent international expansions, which we have done, basically are performing very well. So we're optimistic in going forward. We have identified a list of destinations such as Nairobi and Jakarta, which are on the list to be opene

d somewhere in the year to come.
We have recently seen opening of China as a market. So we are optimistic going forward. And beside our own expansion, part of the expansion we have done now as European code shares which I mentioned in my introduction, are also helping us a lot to get a larger international footprint. And that goes basically hand in hand, if I may add there, that goes hand-in -hand with the also the development of the Indian economy with a much more international connectivity investments and positioning. So that's I think it nicely coincides. And it's not by coincidence, but by design that we are developing that international expansion.
Moderator: The next question is from the line of Achal Kumar from HSBC.
Achal Kumar: A wonderful set of numbers. So a coupl e of things actually. So first, I think you just said that you're still sorting out the international network. But I mean in terms of strategy , are you going to operate the wide bodies? Are you go to operate narrow bodies? And if you want to operate the wide bodies, are you offering business class, 2 classes , 3 class es seating ? So what will be the strategy on the interna tional side?
And as of now, you've just announced Istanbul operating these 777s. So is there I mean, what's the plan? I mean, is there a sort of a special kind of agreement with Turkish that you'll be operating 777s to Istanbul? Or is it like you're going to use 777s for the broader international networks? That is my first question.
Secondly, also I wanted to understand about the competitive landscape now, of course, being more clarity on how the Tata is going to change its structure. So it looks like it will operate two airlines, one is an LCC, AirAsia and Air India Express and then is one f ull service. What kind of risks do you see from that? And finally, about your liquidity, so you have very strong liquidity at the moment. Do you have any specific plans on how you use that money? And do you have anything in mind?
Pieter Elbers: Thank you. I'll answer your first two questions, and then I'll ask Gaurav to go into further details

on the liquidity. Let me start with the first one on the strategy, and I shared that with you last time. The strategy for IndiGo, in fact, has three main components. The first one is coming back to what I call the very basics of the success of our company, which is you see it back, for example, in the on -time performance. So the very three customer promises we're having, hassle-free and courteous service, on -time performance and affordable fares will remain very much so the basic and the core of our strategy. That's one.
And I think, again, you see it back in the on- time performance where I'm very proud of what the teams did, really wonderful. We are back to the number one position in India with the size of our operation, which is just a very impressive result by the teams. The second part of that strategy is that we develop and align our structure in line with the size of our company. So we start to invest there in further digital tools and further internal processes and make sure that we can continue that growth bar.

The third pillar is to create the future and basically work towards the next phase. Part of that next phase is indeed a more international exposure, and we started to do that with today's 26 destinations, but also to continue to work on our customer loyalty and elements linked to what we are.

Your specific question on the wide -body, maybe it's good to r emind that this was one of the measures, which was taken in order to deal with the supply chain issues. So we are having a long-standing partnership and relationship with Turkish. It's one of the first, if not the first, airline partners of IndiGo. We operated to Istanbul already. We already had to be on codeshares , and we found a good way to deal with our supply chain issues in tempora

ry leasing these wide-bodies from Turkish. That's today's situation.

So in summary, the basis of the company is still very strong and the very foundations of what we did for the past 16 years. We continue to do that. And on that, we start to build our international footprint and our international exposure. And I think the res ults today, be it on the revenue side, be it on the financial performance side, just speak to the actions we have taken over the past period in order to relaunch that very strong foundations of the company.

So there's no change in that strategy. And again, we're adding the widebodies to deal with the supply chain. Partnerships, last but not least, are an important part of that strategy. The fact that we have to be beyond codeshares now allow our customers to connect to Istanbul and as the last piece of their journey in Europe. So the longest part of their journey is with us. And then the last bit of their journey is with our partner Turkish Airlines.

And as such, it provides us a footprint in Europe, it provides us awareness in Europe, and it also gives us an opportunity to get more non-Indian customers to India. So that basically is the very core of our strategy going forward. I'll ask Gaurav to do the liquidity question.

Gaurav Negi: Again, on the liquidity side, after a long kind of a time, we've got close to RS.22,000 crores. Again, I want to break it down, while there is RS.22,000 crores of cash available, a large part of that is the restricted cash related to our obligations for maintenance. But now we've got a sizable

amount of free cash, which is available, which is roughly around RS.10,000 crores, like I mentioned in my opening remarks, we are currently doing the planning for the next year.

But what this cash does is give us the leverage to now start thinking about areas where we w ant to invest, areas where we want to invest from a growth standpoint. Pieter just mentioned related to digitization, our investment in systems and tools in order to drive productivity within the organization. And there are many more growth areas that we are evaluating currently, which we'll come back to you. But being in a much improved liquidity position gives us now the leverage to start exploring those growth investment opportunities.

Achal Kumar: And could you share the thoughts on competitive entities ?

Pieter Elbers: Yes. Sorry, I realized I omitted answering that question. You mentioned the initiatives, which are taken by the Tatas. I would say, in general, I would like to focus on the IndiGo performance and the IndiGo results. But having said that, t he fact that there is some consolidation in the Indian aviation landscape the fact that Air India or the Tatas are taking initiatives, I think by and large, for the Indian aviation market, it's a good thing. It will further mature. It will further develop, which eventually is a good thing for the market and for all the players in that market.

Having said that, for us at IndiGo, we continue to focus on basically what has been the success of our company in the past 16 years, as I mentioned before, to make sure that we deliver our customer promise, the one which I just mentioned to you, in combination where cost leadership remains a very essence of our profitability going forward.

So overall, market is developing solid, competition is there. But it's there in a different way maybe than it's what is in the past, and we focus on our own strength. And with that, we should be ready to deal with that competition.

Moderator: The next question is from the line of Krupashankar NJ from Avendus Spark.

Krupashankar NJ: My first question is on the yield side. Just wanted to get a sense as to how are the yields moving in January and February? And what do you foresee with respect to the yields? I know this is not a strong quarter vis -a-vis third quarter, but I just wanted to ge

t a sense on that.

Gaurav Negi: Krupa, again, these yields have softened compared to the third quarter. and that's largely because of seasonality. But the good thing is that the yields are still holding up much higher than what they used to be pre-COVID level. So that's a positive kind of indication. But they kind of moderated down in line with the seasonality that we expected for Q4 compared to Q3.

Krupashankar NJ: And my second question was on the cargo operations. So just wanted to understand what are our aspirations out here? And is there any growth target that we have in mind? And is there any other further fleet additions, which one can expect more in the medium term?

Pieter Elbers: So I think, overall, we started the cargo operation last year. That was, I would say, a bit start, which we were long awaited. So finally, we got the cargo freight er coming in last year, and we

started the first flight, both domestic and international. We have recently received our second
freighter. On the short term, we have no other plans for that. We're now in the process of
optimizing our planning on that, working around our procedures, making sure that we have a
good sort of linkage of our enormous domestic network with the operation of these two freighters. So I would say it's work in progress. It's an important part, and it's supplementing the
total business of IndiGo.
Krupashankar NJ: Last question, if I may. Just wanted to understand a little bit on the international side. So while
I do understand, I do note that international is close to about 105% of pre -COVID level. But we
are seeing that certain geographies, especially in Southeast Asia, are well below average. So given that capacity constraints over the medium term with respect to OE Ms as well as suppl y
chain challenges, are you expecting more and more capacity is deployed on geographies, which
are just opening up?
And if at all, there is a higher traction, can international capacity expansion being given the
preference vis -a-vis the domestic side of t hings, which is more a function of new airport addition
perhaps?
Pieter Elbers: No. Let me shed a bit of light on that. But today, domestic is, as we shared in the numbers, is
the vast majority of our operation. That will continue to be the case going forw ard. Having said
that, our growth in international will be higher than our growth on domestic. And I'm not sure if
I understood your remark on Southeast Asia with a somewhat lower numbers. I think what we
see is that the international markets are recoverin g, by the way they're opening with post -COVID
measures.
You may have seen some interruptions. We know that China is only very recently opening. But
even Southeast Asia is not so long opened. So the recovery of these markets has been more
driven by the fa ct that some of these markets open quicker or let some of the COVID measures
go quicker or less quick rather than by a change of demand.
We remain very optimistic. And I guess, the geographical position of India and the fact that we
operate both from the north part of India as well as from the south part of India, it gives us a
great opportunity to have very different international connections. And what we see, what we
operate out of Delhi is very different than what we operate out of Hyderabad.
So if you see the position of IndiGo, I think we have a unique opportunity and a unique position
really to develop our international network in basically all directions, matching it and linking it to the Indian metros we operate out of.
Moderator: The next question is from the line of Sabri Hazarika from Emkay Global.
Sabri Hazarika: Congratulations on good set of numbers. So I have a few questions. The first one relates to the
overall Indian passenger traffic demand. So we had last few years affected by COVID. So d o
you see more pent -up and more sort of catching up happen

ing this calendar year also? Or do you
think that the passenger traffic demand growth could go more to the ballpark run rate of, say, 2x

or something of that of real GDP growth?
Pieter Elbers: You said you have multiple questions. So this is your question?
Sabri Hazarika: Yes, this is the first one. Yes, this is the first one.
Pieter Elbers: Okay. No. I think you addressed a very valid point, actually, both points you're addressing. If
you look to the total recovery of the Indian market , the total numbers of the market are not yet
back to the pre -COVID levels. However, IndiGo is at this point in time higher than pre -COVID
level. So we can expect going forward that the market will continu e to grow significantly in
order to catch up and sometimes the demand will be there also in the year to come. That's why
we're optimistic on that outlook.
If you combine that with and you mentioned that yourself, the ballpark number of aviation
growth, especially in a market which is still growing a lot for aviation of 2x the GDP size, if you
take the GDP outlook and you combine that with the earlier remark or still some pent -up
demand, that's how also we come to comfortably giving a capacity guidance o f north of the mid -
teens for the year to come.
Sabri Hazarika: Second question is related to your fleet addition. So historically, your net fleet addition has been
like quite robust. Of course, last year has been affected by issues. But I think Q3, again, you
were able to catch up in something like 25, 30 sort of run rate is showing for this year. So this
run rate will continue considering that you have an order book of 500. And where in down the
line, would you have to like place another set of orders to maintain your expansion?
Pieter Elbers: Well, we have seen indeed that's part of the success of I ndiGo. I mentioned earlier, we crossed
in January for the first time, I think in India, an airline operates more than 300 aircraft, and we
are proud for all of us at IndiGo that we had that benchmark. And it's not only a very big number,

but it's also a yo ung fleet, and we recognize this having the youngest fleet for an airline with
more than 100 aircraft, which, of course, helps to our fuel consumption, it helps our CO2
emissions, it helps to our sustainability effect.
So that foundation and that basis is very strong. We will continue to build at a similar number
as we have done over the past few years. Our fleet for '24 or actually for the full year '24 to come or the calendar year '23. We will have to see what's going to be the precise number. Of c ourse,
that depends on Airbus and the deliveries, but we foresee a similar rate of increase what we have
seen over the past years.
And if you don't mind, I don't give any speculations going forward on new orders. With an order
book of 500, I think we're good for the time to come.
Moderator: The next question is from the line of Pulkit Patni from Goldman Sachs.
Pulkit Patni: Sir, my question is on yield. Any indicative sense of how much have yield compressed based on
the first one month of data on a Q -o-Q basis?

Gaurav Negi: We can't give you specific, we don't have enough data to reflect while one month has gone by.
But what you can do is do an extrapolation with the historical trends the way they move from
Q3 to Q4, that will give you an indication.
Pulkit Patni: Yes, historically has been about 3 odd %, but this time around, based on our data, it seems to be
a higher number, anyway.
Gaurav Negi: It is slightly on the higher side, that much we can declare to you.
Pulkit Patni: Fair point. So my second question is, given that we have cash now, could we think of buying
planes versus leasing in the near term given that we are in an elevated interest rate environment? And in which case, the leasing cost or whatever you would be taking now w

ould be c oming at a
higher cost. Is that fair to assume?
Gaurav Negi: One can do that assumption. Nothing is off the table. I would just say that, Pulkit, because, again,
buying an aircraft is kind of a long-term commitment of your cash also. We are looking at other
avenues because we tend to remain asset light for the time being. But nothing is off the table.
As we go through our planning cycle for the next year, we'll evaluate all this. Like I said, we do
have that leverage now to play with various options given t he free cash that is available with us.
Moderator: The next question is from the line of Aditya Mongia from Kotak Securities.
Aditya Mongia: Congratulations on a very strong set of result to all of you. The first question that I had was on
this interplay b etween domestic and international , and as you remain uniquely positioned. I'm
just trying to think through that the fact that you have so many domestic destinations, how do
you think about the D -to-I and the I -to-I prospects that can come forward for an air line like
IndiGo?
Pieter Elbers: Yes. I think and that's maybe surprising for some. Today's network of 76 and soon 78 domestic
destination s, they already do connect to our international network. So already today, we do have
a set of connections and a set of connectivity in place in our network. And of course, we continue
to go forward. Some of that connectivity is by design, and some of that connectivity is just like
consumers finding out different travel pa ths and different routes.
In the domestic space, we operate some 400 direct city pairs, but many of these flights indeed
are connecting to international. So we continue with the development of both our domestic and
international network. We continue to develop the D -to-I and I -to-D as you just questioned for.
Aditya Mongia: And just a clarification, is I -to-I actually possi ble? I'm just trying to kind of suggest that, let's
say, you as an airline was looking at China as a large market just pre-COVID and obviously
didn't fructify as well with the proof out there. Is that even a possibility over a three to five year
perspective that international passengers land in India combined with domestic passengers and
go out on international flight?
Pieter Elbers: That's already the case today, sir. But today, it's in relatively small numbers. So already today,

passengers can connect, but with the growth of our network, and of course, we need to have the
bilaterals in place, and we need to make sure that we have all the facilities in place to do that.
But I mentioned before, I think the geographical position of India and the geographical position
of our strong points in India are perfectly allowing us to further develop that connectivity, be it
in Delhi, be it in Mumbai, but also be it in Hyderabad and other places where we do operate. So
that international connectivity is the re and will continue to be developed going forward.
And maybe just to add here, if you look, you were very kind in appreciating the results. And of
course, that's a mixture of all actions we are doing and enhanced connectivity is just one of them. So it's basically many of the initiatives we are taking are nicely coming together and supporting
these results. And connectivity is really one of them.
Moderator: The next question is from the line of Pramod Kumar from UBS.

Pramod Kumar: Congratulations on a great operational number. My question is on the international side, given that it's becoming increasingly large and the big focus for growth going forward, will you be in a position to share broadly the revenue split or the split in even other opera ting metrics, if you can domestic and international?
Pieter Elbers: No, I think what we have shared with you was some of the share of ASKs we're having. That share number, which I just mentioned, was 23%. That share will go up some

what going forward.
We're not providing any revenue breakdown per area. But the capacity share of ASKs, which is today around 23%, will move towards the direction of 30% in the year to come.
Pramod Kumar: And historically, there's been always a perception that international has better profitability. But given the fact that yields in India have also surged in the recent quarters and load factors have also improved. So how should one look at the profitability equation between the domestic and the international ope rations going forward?
Pieter Elbers: If we have a closer look at your question, I think the fact that we are getting a different combination of domestic and international, it's a way also for us to be more agile and to spread. If the domestic is strong, we can shift a bit more to that. And the combination, of course, creates that D and I and I -to-D connectivity we were just speaking about.
So the philosophy of having that network and having the opportunity to tilt a bit more to one leg or the other leg, I think that will basically put IndiGo, if I may phrase it like that, more firmly on two feet going forward.
Pramod Kumar: And final question on the domestic new locat ions what you can add? We are currently at around 75, 76. So where do you see this number in the next two years, given that new airports are also being opened up because these smaller cities and towns are actually bringing in a pretty good traffic and also are pretty viable. So what will be the target you will have in mind, two years out on the number of domestic destinations where you will operate?

Pieter Elbers: A number of destinations is never a target in itself. We operate where there's a market where airports are opening, where we feel it makes sense for our customers to move forward. Again, we just announced two new ones earlier today to Nas hik and Dharamshala, if I pronounced it correct. That's number 77 and number 78. With more airports opening and a wide range of initiatives from both government as well as private entities to move forward on that, we will continue to provide that airlift.
And again, if you see where India stands and the development of the economy and also the development of some of the regional economies that is just speaking to what aviation brings. So a number of, I would say, high single -digit growth of destinations per year, we should be able to do that. But again, it's not an objective in itself, it's an outcome of airpor ts going in operation and market developments.
Moderator: The next question is from the line of Ashish Shah from Centrum Broking Limited.
Ashish Shah: Sir, I have two questions largely on the operating cost side. One, in terms of the employee cost that you are seeing this quarter on per unit basis, is this the normalized levels? Or there is still some impact of salary normalization that could be expected in the quarters to come?
And maybe I'll just complete the second question, sorry. The other one being on the supplementary rental and maintenance costs. Now that number is a little elevated today probably also because of the aircraft groundings. Now what is the kind of savings that one could expect in terms of the unit cost on that particular subject as we go forward into the next year and hopefully, when things normalize? Those are the two questions.
Gaurav Negi: So on the first part, the salary, obviously, we did the retraction related to all our employees in the quarter. So this is now going to be more le vel loaded and levelized kind of a salary per ASK cost that you'll start seeing subject to, obviously, investments that we are planning to do for growth where we will probably have some deployment of further resources, but you can assume this to be a more levelized cost going forward on a quarter -to-quarter basis.
Related to SR again, the supplementary rentals, this is where you'll see on a

unit cost basis, we are somewhere around 0.70 paisa per ASK. This is where we will remain. Obviously, there's a lot of moving parts related to AOG , which can impact this. But on a levelized basis, 0.70 paisa per ASK is where we are today, and we've been there for a couple of quarters is where we see ourselves.
Moderator: The next question is from the line of Prateek Kumar from Jefferies.
Prateek Kumar: My first question is on grounding of aircraft for yourself and peers. Is it significant? And when do you expect these aircraft coming back in operation? And has it benefited, particularly the yields in the past six months?
And my second question is on international operations. When you see, while you have highlighted on this, but from 23%, when you see that somewhat going to 40%, does that tie up

with your order of XLRs over next three years?
Pieter Elbers: Let me take your first question on the AOG situation and when do we expect them to get back into service. It all depends when the supply chain will be able to provide us all the things we need. There are some different reports out there. We're in close contact , of course, with the OEMs, and we hope that the situation will improve in the course of the year to come. But again, I think here, we depend really on the OEMs and the supply chain facilitation on that part.
Your second question, did it help to push on t he yields? I wouldn't say so. With the OEMs, of course, we discuss to get the aircraft back. I told you, we have taken a lot of measures such as lease extensions to more or less operate what we had planned for. So therefore, we could maintain our capacity guidance despite the situation we have not adjusted our earlier capacity guidance. So with that, I wouldn't link that to any sort of rise in yields.
Your last point to international, I mentioned, you mentioned 40%. It's not a number which I mentioned for next year. I said, today, we are 23%. Next year, we are going in the direction of 30%, not sure what is the precise percentage, where we will end. And we sort of take it from there what would be the next step in going forward, depending on bilat erals, depending on further market development. And of course, after that, the XLRs will help us to increase our range from the various Indian cities and with that further develop our network.
Prateek Kumar: And just related question on fleet. Is there any outlook on retirement of pending CEO fleet for the company?
Pieter Elbers: Could you repeat that question, please? Sorry.
Prateek Kumar: Retirement for the pending CEO fleet for the company?
Pieter Elbers: Yes, we take, of course, a very prudent approach. Again, we have had still some CEOs in operation. And one of the measures, which we mentioned earlier to deal with the AOG situation, is to continue some of these aircraft in operation. And we will do that, again, to mitigate the AOG. When that situation is more stable and will be better because of the supply chain, then we can have a different view and a different look at it.
Moderator: The next question is a follow -up question from the line of Aditya Mongia from Kotak Securities.
Aditya Mongia: My first question is for the comment made from your side that versus pre -COVID times, the yields are sticking out to be better than where they were on a pre -COVID basis. I'm assuming adjusting all the costs adjusting in that comment. Given this is a 2 -tier m arket, do you expect a scenario to sustain for much longer? Given this let’s say 2 -tier is 80% of the market, do you think that versus pre -COVID basis, the yields adjusted for costs are not going to be in a different zone for some time to come?
Pieter E lbers: No, I think there's different elements which comes into play. One is some pent -up demand, which is coming back and that's coming back all over the world, and we should not look at yields in

isolation for the situation in India. We should also look a t what's happening in other places in the world. And we can see a very similar trend. So one is the pent -up demand.
The other part is there's inflation, basically, in many, many sectors, and that inflation, of course, is also a part of some of the yield development. Last but not least is, of course, the seasonal elements in that. And the third quarter, of course, traditionally is a very strong season, and part of that robust yield development is, of course, driven by the seasonal effects we're having.
Adit ya Mongia: And the second question that I had was just to kind of pick your brains , Pieter, on this. India as a market for domestic traffic and international traffic has grown at 2x GDP and 1x GDP for almost a decade or so . Do you envisage these numbers changing over time?
Pieter Elbers: I'm almost six months now in India. And what I witnessed here in terms of GDP growth, in terms of market growth and in terms of willingness to travel, I think that is a reflection of what we see in the numbers here. Looking at some of the economic reports and economic projections going forward, I think we do expect and that's, of course, in our plans as well. We do expect to further develop that not only from the Tier 1 cities but also from the Tier 2 cities. So that really connects also to our network stra tegy.
And combination of a young population, an ambitious growth plan. Some of the government plans in place, such as the developments of airports, some of these policies in place are really helping stimulating the economy at large. And for us as an airli ne, we're part of that economic development.
Moderator: Ladies and gentlemen, that was the last question for today. I now hand the conference over to Mr. Pieter Elbers for closing comments. Thank you, and over to you.
Pieter Elbers: Thank you so much, ladi es and gentlemen. Thank you for participating in this call. Maybe a few closing words that the third quarter for us was obviously a very strong quarter, both operationally and financially, in the backdrop of this robust demand for air travel. We were very pleased to see that th ese wide range of initiatives that were set in motion across the organization have

started to yield results.
And with that, the highest ever quarterly revenue, I think it speaks to the commitment of the IndiGo teams and the trust a nd the loyalty of our customers. And with that, I'm very thankful to our customers and all the IndiGo employees who enabled us to achieve this performance. The robust profit, obviously, is important, especially after this range of quarters due to COVID, which were much lower.
So this really enables us to start rebuilding our company and start investing in the future, and Gaurav mentioned a few elements like investing in digitization, investing in a lot of these elements. So profits are needed, again, both to rebuild as well as to invest in the future. And with that, this quarter has been a very important milestone for that. So thank you for that.
And with the plans going forward, we continue to serve the market with further capacity growth

across domestic and international routes. Thank you very much.
Moderator: Thank you very much. Ladies and gentlemen, on behalf of IndiGo, that concludes the conference call. We t hank you all for joining us, and you may now disconnect your lines.

Note: This transcript ha s been edited for readability and is not a verbatim record of the call

Call: May 2023

"IndiGo Fourth Quarter and Fiscal Year 2023
Financial Results Conference Call"

May 18, 2023

MANAGEMENT : MR. PIETER ELBERS – CHIEF EXECUTIVE OFFICER
MR. GAURAV NEGI – CHIEF FINANCIAL OFFICER
MR. KAILASH RANA – HEAD, INVESTOR RELATIONS
Ms. RICHA CHHABRA – ASSOCIATE DIRECTOR,
INVESTOR RELATIONS

Operator: Good evening ladies and gentlemen and welcome to IndiGo's Conference Call to discuss the fourth quarter and fiscal year 2023 financial results. My name is Neerav and I will be your coordinator. At this time, the participants are in a listen -only mode. A question -and-answer session will follow today's management discussion.
As a reminder, today's conference call is being recorde d. I would now like to turn the call over to your moderator, Ms. Richa Chhabra from the Investor Relations team of IndiGo.
Richa Chhabra : Good evening, everyone, and thank you for joining us for the fourth quarter and fiscal year 2023 earnings call.
We have with us our Chief Executive Officer - Pieter Elbers, our Chief Financial Officer – Gaurav Negi, and Head of Investor Relations – Kailash Rana with us to discuss the financial performance and are available for the Q&A session.
Please note that today's discussion may contain certain statements on our business or financials which may be construed as forward -looking. Our actual results may be materially different from these forward -looking statements.
The information provided on this call is as of today' s date and we undertake no obligation to update the information subsequently.
We will upload the transcript of prepared remarks by day end. The transcript of the Q&A session will be uploaded subsequently.
With this, let me hand over the call to Pieter El bers.
Pieter Elb ers: Good evening, ladies and gentlemen and thank you for joining the call. Today, we announced our Fourth Quarter and Fiscal Year 2023 financial results.
The financial year 2023 was a year of recovery and growth as the demand remained robust, and

we continued to serve the lion -share of this demand. Our revenues for the financial year 2023 more than doubled as compared to last year and we also reported the h ighest ever annual revenues of 558.8 billion rupees.

In terms of profitability, the year had two very distinct periods of 2 quarters each. The first two quarters were negatively impacted by the high fuel prices and the depreciation of the rupee due to w hich we reported a net loss of 26.5 billion rupees for the first 6 months period ended September 2022. Excluding, the impact of foreign exchange, we were close to break -even during the same period.

However, starting the third quarter the increase in deman d along -with our strong operational performance and stabilization of external variables led us to report a meaningful profit after many

quarters. The net profit for the 6 months period ended March 2023 was 23.4 billion rupees. Excluding, the impact of fore ign exchange, we reported a profit of 26.8 billion rupees during that same period.

For the quarter ending March 2023, we reported revenue of around 146 billion rupees and a net profit of 9.2 billion rupees and a net profit margin of 6.5 percent. This net profit in the fourth quarter was the highest ever fourth quarter profit ever.

Further, for the full financial year 2023 if we exclude the impact of foreign exchange (largely on account of mark to market losses), we reported a profit of 26.5 billion rupe es for the financial year 2023 as compared to a loss of 52.2 billion rupees for the previous financial year. Gaurav will discuss other elements of our financial performance in more detail in his section.

During the third quarter of the financial year, we had set our organization’s long -term direction and we had defined three strategic pillars of Reassure, Develop and Create to support our growth plans as we are looking to double in size and scale by the end of this decade – In other words, something that took us around 16 years will now be achieved in less than half of that timeframe.

A wide range of initiatives were set in motion under these three strategic pillars and an enormous amount of te

amwork has been displayed by the employees across departments and locations which has enabled us to improve on operational, financial and customer experience parameters.

Under the Reassure pillar – we are reassuring and improving wherever needed on the very basics of our company which are on time performance, cour teous and hassle -free service, affordable fares, and we have added to this an unparalleled network. Some of our achievements under this pillar are :

1. First, an increase in passenger served to a record of 86 million passengers last year, a 72 percent jump as compared to financial year 2022. This is by far the highest number of passengers ever served by us.
2. An improvement in the on time performance from November 2022 onwards as we are back to become the most punctual airline in the country and for sure among the top airlines in the world.
3. Launch of new destinations such as Ras Al Khaimah, Itanagar, Mopa -Goa, Nashik and Dharmshala.
4. Addition of connectivity through new routes including Pune to Varanasi, Indore to Surat and Jaipur to Bhopal and a ddition of frequencies from destinations like Mumbai, Kolkata, Bengaluru, Hyderabad and Cochin.
5. Lastly, the introduction of 2 widebodies on damp lease, the second widebody commenced operations from Mumbai to Istanbul as recent as yesterday.

Under Develop pillar we are developing and aligning people, processes, and technology in line with the growing size and scale of our company. The initiatives we are taking under this pillar are enabling us to steer path towards our goal to serve around 100 milli on passengers in this fiscal year 2024 – a scale at which only select group of airlines in the world have operated. Some of the outcomes under this pillar are :

1. Improvement in our aircraft utilization levels.
2. Introduction of Electronic flight briefing that improves dispatch reliability and helps in reduction of flight weight by some 40kgs also adding to our sustainability goals.
3. Further, digitalization including deployment of world class cloud native platforms for our customers and employee s to enhance the experience, add operational efficiencies, and to support scalability.
4. Lastly, training of more than 1,850 employees per day at our state -of-the-art learning Centre - Ifly and improvement in our employee promoter scores.

Under this third pillar of Create, we are working to create the next phase of our growth combining our very strong Indian foundation with our international aspirations, some of the steps taken under

this pillar are
1. Expansion of our International footp rint as we now do serve an impressive 33 European destinations through our code share partner Turkish Airlines, the recent additions being Edinburgh and Sofia.
2. Secondly, the commencement of foundational work for customer loyalty program that will enabl e further customer loyalty.
3. We have supplemented the business with two freighters and a third one expected sometime in the third quarter of this financial year 2024.
Apart from all this, recently our IndiGo employees responded to the critical humanit arian needs as we repatriated hundreds of Indian Citizens from Sudan under the Government's program – Operation Kaveri. And, we have also operated multiple special flights from Imphal to various parts of the country. I would like to here again express my s incere gratitude to all IndiGo employees for their participation in such causes.
Now on the growth side, while Indian aviation has grown at an impressive (passenger) CAGR of around 13 percent in the 7 years pre covid we are still a highly underpenetrate d country currently in terms of both domestic and international air travel. In order to bridge this gap, our airline has expanded its presence already to 78 destinations in India and 26 destinations outside India. We will continue to develop on the domesti c n

etwork and reassure an unparalleled connectivity –with
a goal to serve every city –this is part of our purpose of Giving wings to the nation, by connecting people and aspirations - something that we have lived by since our inception and which we

continue t o do going forward. Well summarized as India by IndiGo.
Another important large part of future is the Internationalization which falls under the "create" pillar. We fly a diverse set of destinations —Srinagar in the North, Cochin in the South, Jodhpur in the West and Silchar in the East. The sheer size of India and the demographics, in combination with the unparalleled network of IndiGo, allows us to have a very rich international scope.
Towards this goal, we have recently became the first Indian airline to commence international operations from Bhubaneswar – being at the forefront of further enhancing international connectivity, from not only the metro cities but also from non -metro cities, at very affordable fares.
Keeping in mind our customer's preferenc es we are adding more routes and frequencies, for instance we will soon connect both Delhi & Bhubaneswar also to Singapore. With these added routes, we will be flying to Singapore from 7 Indian destinations with 44 weekly flights. Going forward, we will f urther strengthen our presence in Central & Southeast Asia and the Middle East by adding more routes and destinations.
Our network expansion plans are being well supported with our pending order book of around 500 planes and Government policies and initia tives. We are operating in one of the most exciting and vibrant aviation markets in the world and within that we are structurally one of the strongest players. With an average fleet age of only 3.5 years, we are proud to also operate one of the youngest, a nd most fuel -efficient fleet. Our early on investments in new technology has enabled us to become one of the lowest CO2 emitting airlines in the world.
Before I end, I will give you some directions towards the current quarter, the demand remains robust w ith healthy yields and forward bookings are very encouraging. The actions we have taken in the last few quarters have put us in a position of strength and will allow us to take full advantage of the opportunity. We are looking forward to the next fiscal ye ar with great enthusiasm as we aspire to grow north of mid -teens, building on our ambitious expansion plans towards our purpose of giving wings to the nation, by connecting people and aspirations.
Thank you for your attention. Let me now hand over the c all to Gaurav to discuss the financial performance in detail .
Gaurav Negi : Thank you, Pieter and good evening, everyone.
For the quarter ended March 2023, we reported a net profit of 9.2 billion rupees with a margin of 6.5% compared to a net profit of 14 .2 billion rupees for the quarter ended December 2022 and a net loss of 16.8 billion rupees for quarter ended March 2022. We reported an EBITDAR of 29.7 billion rupees with an EBITDAR margin of around 21 percent.
For the year ended March 2023, we reported a net loss * of 3.1 billion rupees compared to a net loss of 61.6 billion rupees for the year ended March 2022. Excluding the foreign exchange impact, we reported a profit of 26.5 billion rupees compared to a loss of 52.2 billion rupees for the year ended March 2022.

Further to what Pieter shared, we reported an EBITDAR of 73.1 billion rupees for the year ended March 2023 compared to an EBITDAR of 11.5 billion rupees for the year ended March 2022, an

increase of more than 500% against a capacity increase o f 62.5%. This improvement is primarily attributable to increase in revenue due to higher load factors and yields and better absorption of fixed costs due to the added scale of operations.
For the quarter ended March 2023, the unit revenues came in at 4.6

8 rupees, which is about 18%
higher on a year over year basis and 11% lower compared to a seasonally stronger December quarter. Total revenue increased by around 78% on a y -o-y basis and dipped marginally by around 5% on a sequential basis.
On the cost side, the fuel CASK reduced by 8.3% primarily due to a reduction in average fuel prices by close to 7% as compared to the December quarter.
Looking at the non -fuel costs, the rupee closed stronger at the quarter end leading to a forex gain of 2.5 billion rupees. Looking at the cost ex fuel ex forex there is a sequential increase by about 2% mainly due to increase in our maintenance costs. All other cost line items have broadly remained range bound.
As you all are aware, over the past couple of quarters the aviation industry has been facing global supply chain disruptions leading to shortage of spare engines. Due to this issue, some of our aircraft remained grounded during the quarter. On the other ha nd, the demand for air travel remained robust, warranting us to deploy adequate capacity through alternate routes as well as sources including wet leasing and lease extensions to enable us to remain on track with our growth plans. Such lease extensions add ed economic value to our business and is accretive to the bottom line but will have an adverse impact on our maintenance cost.
Despite these on -going supply chain disruptions, we demonstrated high level of agility with positive market developments that l ed to a capacity growth of around 19% in financial year 2023 as compared to financial year 2020, this is higher than our previous guidance of 13 -17%, that we had provided at the beginning of the year.
Our liquidity continues to remain strong as we ended the March quarter with a free cash of 121.9 billion rupees, a net increase of 15.8 billion rupees as compared to the December quarter end. Our total cash as on 31 March 2023 was 234.2 billion rupees.
We ended the year with a capitalized operating lease l iability of 415.5 billion rupees and a total debt, including the capitalized operating lease liability of 448.5 billion rupees. Our right to use assets at the quarter end were at 265.4 billion rupees.
Our pending order book of around 500 aircraft, struct ural cost advantages and long -term relationships we have with supply chain partners are our key assets as they place us in a very strong position to reap the benefits of the robust demand in the market. We are expecting to add high mid -teens growth in Q1FY 24 as compared to Q1FY23 which translates to around 5 -7% growth as compared to Q4FY23.

We will broadly grow at north of mid -teens in the financial year 2024 as compared to financial year 2023. We had the privilege of serving around 86 million customers i n FY23, and we expect to serve around 100 million customers in FY24. To support this growth, we are investing multiple crores in series of digital initiatives, and we are also hiring around 5,000 employees.
Having been through a period of robust growth s ince our inception, our future is full of attractive opportunities as we look forward to doubling our size and scale by the end of the decade. We are taking all the right measures today to support these growth plans and we continue to remain focused on pro viding high quality services to our customers, increasing our efficiency levels and remain committed to generate healthy returns on capital for our shareholders.
With this, let me hand it back to Richa .
Richa Chhabra: Thank you Pieter and Gaurav. To an swer as many questions as possible, I would like to request that each participant limit themselves to one question and one brief follow -up question, if needed. And with that, we are ready for the Q&A .
Moderator: We will now begin the question -and-answer se ssion. The first question is from the line of Binay Singh from Morgan Stanley. Please go ahead.

Binay Singh: So, the first question is on the international side. Just wanted your comments on profitability per fleet on international versus domestic. Asking in context of the fact that we are using the Boeing fleet, a first time for us, whereas in the past, we've generally been in the Airbus fleet.
The second is, we continue to see very high other operating income. I assume it's coming from the Pratt & Whitne y compensation. Could you comment a little bit about what percentage of fleet is grounded? And is it fair to assume that the rise in other operating income is actually being offset by higher costs also that the company is bearing, given the fact that the f leet is grounded? So, these 2 questions.
Pieter Elbers: Let me try to answer your first one and then Gaurav will address your second question. So, on your first one on the international versus the domestic profitability, I would say, it's a rather generic because not every international route is the same, neither is every domestic route the

same. But if we take it from a very generic approach, in general, international operations have a somewhat lower cost per unit given the stage length, which is somewhat longer.
And also the average levels international flights are somewhat better. So, a very generic statement would be, in general, the international operation is doing somewhat better than the domestic operation. Again, going into more details, you'll find very good domestic routes and lesser international routes and the other way around. But generically, it's slightly better.
Gaurav Negi: Then Binay, on your second question related to other income, I'll not answer just on other income, but overall, on the revenue basis, on the revenue, we do have income coming from finance income in terms of investments that we've done, also VGF fundings that we have for our regional routes. And it also does include certain compensation we get from various OEMs. So,

to answ er your question, we do get compensation from various OEMs, which is part of our revenue classification, but it also has finance income and various RCS related viability gap funding that we receive.
Moderator: Next question is from the line of Deepak Krish nan from Macquarie. Please go ahead.
Deepak Krishnan: I just wanted to check with the competitive environment changing, are we doing anything to , sort of , accelerate fleet addition because our guidance is still north of mid -teens for the year? But anything that we can do to accelerate deployment and sort of gain incremental share? And what is our viewpoint both for the domestic market and the international market on this?
Pieter Elbers: I think what we have demonstrated over the past couple of quarters is t o be very consistent in our outlook and very consistent in our predictions. And despite the fact that we have been confronted also with supply chain challenges, as Gaurav alluded to in his speech, we actually have been able in the past quarter and for the full year '23, we have been able to operate at somewhat higher levels than predicted.
Our level now which we have forecasted for the full year '24 is actually the very same high mid - teens number as we shared last time with you. So, we continue to deal wit h the supply chain issue. We continue to work on mitigating measures like we did earlier on extension of leases. And with that, we are confident that we can deliver the capacity guidance, which we have shared with you earlier.
Deepak Krishnan: And maybe ju st one follow -up on CASK, we've indicated that part of that is you do supply chain extension. But do we look at this quarter's number of 0.77 as supplementary and maintenance rental as a percentage of CASK, or do we go back to the 0.66 level that we have? Or is it like this issue would continue till we have sort of our fleet grounded? How do we look at that?
Pieter Elbers: I'm not sure I u

nderst ood your question.
Deepak Krishnan: The supplementary and maintenance cost for ASK is higher this quarter at Rs. 0.77. This is largely a function of obviously indicated lease extensions. So, does this continue at these levels? So, would we continue to have elevated maintenance expense? Or would it normally go back to the Rs. 0.7 level that we generally have?
Gaur av Negi: It's going to be range bound between the 0.7 and the current unit cost that you see because there are elements of, again, escalations, inflation and FX that will come into play. So, you can consider this to be range bound between what we had earli er to where we are today from a unit cost standpoint.
Moderator: Next question is from the line of Mitul Shah from Reliance Securities. Please go ahead.
Mitul Shah: First question is on one of the competitor 's entire operation coming to a standstill and key reason coming out is that engine supply from PW. So, what is our status on that side? How we are placed in terms of situation of the engine supply over Q3, Q4 and current? What strategy we are

following differently that we are relatively in a much better position?
Pieter Elbers: Our number when it comes to planes not operational due to supply chain challenges, it's actually a very stable number. It's relatively stable, it changes on a daily basis, but the overall number itself is around the high 30s. Agai n, with that, we have taken a lot of mitigating measures to deal with that situation. And we should look at the overall and the entire fleet of IndiGo and that combination of the overall fleet size. Today, we have a little over 300 planes for IndiGo and th e overall fleet size should be taken into consideration in combination with the mitigating measures we're having.
Mitul Shah: Sir, directionally situation is improving or more or less stable, we can say, or it is improving Q - on-Q?
Pieter Elbers: Directiona lly, I would say it's stable.
Mitul Shah: And sir, in terms of directionally number of aircraft grounded, is that similar to what it was in Q3 or it has improved in Q4?
Pieter Elbers: I would say it's directionally stable.

Gaurav Negi: It continues to be s table between Q3 and Q4. It's still stable for us, and we are actively engaged with our OEM partners to make sure we are able to resolve it, but you can consider this to be stable for the time being.

Mitul Shah: Sir, second question on yield. Q -on-Q drop i s 11%, seems to be slightly higher considering that our load factor has marginally dropped, even ASKs are quite high. So, an overall traffic situation is relatively much stronger compared to past Q4 seasonality. So, is it like we need to pass on the maximu m benefit of lower fuel prices or anything else beyond seasonality?

Gaurav Negi: No, it was largely seasonality. And again, we were coming off a very strong Q3. So, that's why you see the dip that happened from Q3 to Q4. Looked a little more elevated in te rms of the decline, but it's all largely driven by seasonality for us.

Moderator: Next question is from the line of Arvind Sharma from Citi. Please go ahead.

Arvind Sharma: First question would be on the yield trends in the current quarter, i.e., 1Q FY '24 . Especially in the backdrop of lower fuel costs, would the yield still continue to be as strong on a Y -o-Y basis? So, comments on that.

And my second question would be more details on the damp lease aircraft. Do you see more of these coming in, in the fl eet and the impact on profitability? And just an addendum to this question. With the current competitive landscape or the broader industry landscape, do you think there could be opportunities for you leasing out aircraft which are already in India, but not in use?

Gaurav Negi: So, the first one in terms of the yields, given the capacity constraints that is there in the market, we are seeing some better yields on a Q-o-Q** basis . So, that's working out favorable on the yield side. The load factors are also c oming in strong, given the constraint on the capacity, which is there for obvious reasons. So, that's what we are experiencing at least from a Q1 standpoint. And if you just come up with the second question you had?

Pieter Elbers: The second question was o n the damp lease. The damp lease operation, of course, it was born out of a combination of several factors. One was the mitigating measure for the supply chain issues and the other one was the partnership we were already having with the Turkish Airlines. It's probably a bit too early to come to a final evaluation from a financial perspective.

What I can say is we're operating now for 3 months the 777 -damp lease between Istanbul and Delhi. We've commenced yesterday actually the flight from Mumbai to Istanbu l. We see a very healthy development of loads, and we see also a very healthy development of connectivity. As I mentioned in my elucidation, we do have 33 beyond codeshare destinations which are giving IndiGo a lot of exposure in the European markets where basically until recently IndiGo was not present. So, I would say very positive development, healthy loads. A bit too early to come to conclusions on the bottom -line effects of that.

Arvind Sharma: And if you could just share your views on the possibility of aircraft within India, given that we could have some aircraft which would not be used?

Pieter Elbers: We're not speculating on any sort of availability of aircraft and what will happen with aircraft. Again, I think we have initiated a lot of actions at the end of last year for lease extensions. We do have an order book of close to 500 aircraft, which means we have a steady flow of aircraft coming in. And for the rest, I think it's a bit premature to make statements on other possible aircraft coming avail able.

Moderator: Next question is from the line of Deepika Mundra from JP Morgan. Please go ahead.

Deepika Mundra: So, just on the lease cost hardening that we've seen globally, how much do you think is already flowing through IndiGo's P&L? And how much do you expect lease yields to harden from here given both inflation and higher rates?

Gaurav Negi: Not significant for IndiGo because large part of our leases were fixed rate leases. So, a substantial chunk, more than 95% is what we've said. So, there is no impact on IndiGo related to the reference that you're making in terms of hardening both because of interest rates going up.

As far as looking forward, again, we do not expect a substantial change in the lease rentals that we have given the relationships t hat we've enjoyed, strong relationship with lessor community. So, as a result, we do not foresee a severe headwind related to lease costs going up for us. There will be a marginal increase given the interest rates, that have increased, but it's not going t o be of a substantial effect to IndiGo. That's at least our read for the time.

Deepika Mundra: So, just to clarify, this is on new deliveries also that the economics haven't changed too significantly, other than, of course, FX?

Gaurav Negi: No, the new ones will be again closed out with the latest rates. But a large part of the credit that comes to us in terms of the financing that happens through the lessor community is also based on the credits that we carry in the international market. So, the lessors have looked at IndiGo more favorably, given what they've experienced with us in the last 3 years, especially during the pandemic. And given our strength of the balance sheet that now we have, given the cash that we carry, we are always able to negotiate a better rate than what would be available or what you would be hearing from the rest of the community.

Deepika Mundra: And if I can just follow up on the 15% plus

growth targeted for next year, how much is that likely to come from damp leases o r other extension -related measures rather than new deliveries?

Gaurav Negi: The large part of the measures that we took for lease extension as well as the damp lease that we've taken is to compensate for the grounding that we are facing. So, equivalent to that, you can consider as a percentage will be coming from these extensions and the damp lease.

Moderator: Next question is from the line of Achal Kumar from HSBC. Please go ahead.

Achal Kumar: So, first of all, on the international side, I would appreciat e if you could please give us a bit more color on your strategy towards international? I mean, you mentioned that you're starting flights from Delhi and Bhubaneswar to Singapore. But I remember you started flight from Delhi to Singapore and then that did n ot work because you were competing against Singapore Airlines and Air India. So, you closed down that flight and started Delhi -Chennai -Singapore, which was actually Chennai -Singapore, not Delhi -Singapore. So, basically, that was an example, but how are you planning to strategize your international operations? I mean, to be fair, if I'm flying to international destinations on A321 versus 787, of course, better ride on 787. So, are you competing on the fares? I mean, what is your ground? What is your strategy on the international side? So, that is my first question.

And then secondly, on the liquidity, I mean, your cash is piling up and now you've got a free cash of Rs. 122 billion. What are you thinking? I mean, do you have any plans to use this cash? I mean , of course, globally, I understand that most of the airlines including Ryanair, they plan 20% of their revenues, I mean they prefer to maintain liquidity. But I mean, in your case, it's already 22% and then the business environment is so strong. But do yo u have any plans to use this cash?

Pieter Elbers: Let us divide again. Question 2 will be dealt with by our CFO, Gaurav, and I will deal with your first question. When it comes to the international situation and thanks for bringing that up, the situation, of course, with Delhi -Singapore, I think we suspended that operation prior to COVID. And that, I would say, was still a different setting and a different dynamic.

To your question how we are going to compete and how are we going to win the customers, actually, it's the very same as we do on the domestic network, our customer promise, on -time

performance, courteous and hassle -free service and affordable fares. And especially the latter one with a lot of pressure on international fares, we see that a lot of customers are choosing for us.

And back to the earlier question on even profitability and customer preference. We see a strong performance on the international network precisely for us staying very truthful to the very core of our customer promise. Wha t has changed, of course, is the recovery of the market post COVID. But also, I would say, at IndiGo itself, we have now built up a lot more connections. If you just look to Delhi, and perfectly aligned with the ambition of the Indian government to develop also India more into a global aviation hub, we see that we do have a lot of new connectivity. So, if you have to transfer from Dharamshala to Singapore, for example, you have a perfect way to fly with IndiGo from Dharamshala to Delhi, connect with us and fly onward to Singapore.

Second part, I guess, is that we have strengthened our overall position. The fact that we do now have 7 destinations in India connecting to Singapore directly is really helping us to make sure that not only customers from India, b ut also customers from Singapore, basically, our philosophy there is, wherever you have to go in India, you have to go IndiGo. That's precisely our philosophy, India by IndiGo.

Third point on the international network, a

nd sorry to drag on a little bit on that part, but I think it's an important part of our strategy, is to further build up that network. So, the examples I've given, we're focused on Singapore. But indeed, as you rightfully should point out, we have mentioned more international expansion.

In the previous call, we have mentioned Nairobi and Jakarta as destinations. We start opening in due course of this summer. Of course, we are now working subject to all regulatory approvals and all preparations for international flights. That require a bit more preparation time than opening domestic flights, but we're very much committed to make sure that Nairobi and Jakarta will be added, and we're also looking towards Central Asia for further network expansion. So, actually, there's a combination of factor s.

And to summarize my reply, we focus on what has made IndiGo strong domestic to do the same international. We work with partners, and we develop our network. That network is connecting over quite a few places, and we are creating a customer proposition with some good connections, but also some unique connections like Bhubaneswar, Dubai and through Bhubaneswar, Singapore as well. And lastly, we'll continue to expand our international network with the destinations which I mentioned.

Gaurav Negi: As far as the second question goes in terms of the free cash, like you gave a reference point to one of the airlines, 20% of the revenue. I think today, we are reasonably placed having that amount of cash available to us. But as far as where to deploy this cash, a l arge part of that cash is going to be deployed towards the growth initiatives that P ieter also talked about in his categorization of Develop and Create.

We've got a lot of investments going to support that growth in the digital space. We are looking at ex panding some of our infrastructure. Even for us to expand internationally or to start of areas of loyalty programs as well as the freighter business requires our investments. Those are the areas we'll be prioritizing.

But we are well placed today in terms of the size and scale of the business that we've become, close to Rs. 56,000 crores, that we do need to carry this level of free cash that we have or any kind of contingency if they so arrive. But we'll continue to keep investing for the growth that has b een talked about. So, we're looking to double ourselves in the next 7 years, and that's where the cash is going to be prioritized towards.

Moderator: Next question is from the line of Krupashankar NJ from Avendus Spark. Please go ahead.

Krupashankar NJ: My first question is on the additional slots which will be potentially available in specific airports because of the substantial scale down of operations by our competitor. Will IndiGo aggressively bid for additional slots in the domestic airport? And what i s the timeline in which we can expect that these will be allotted to the industry participants? And my second question was on the corporate traffic. Perhaps if you can throw some light on how that has shaped up in the quarter gone by and how is it at prese nt?

Pieter Elbers: When it comes to the slots, I think it's again here, too early to comment. There's still a lack of clarity and uncertainty. What we do at IndiGo is we try to make sure that Indian consumers who want to fly domestic, we have capacity for them. So, it's a bit too early to jump into what's going to happen on other parts, as I mentioned with the earlier question.

But again, we try to optimize our network and make sure that we offer the capacity whereas demand from the customers. When it come s to the corporate market, there's, of course, a situation where we see that the Indian economy is doing well. And with the Indian economy and the domestic economy doing well, we also see a demand.

Having said that, it is very difficult to precisely segre gate between th

e 2 sets of travelers. But based on the product offerings we're having, and we can see some historic trends. But the strict definition of corporates, like business versus leisure or people working from different locations is not e asy to segregate . Overall, I think we see a healthy development of that business part, and we see especially on the thicker routes and on some of the strong routes, a development of more traffic geared towards corporate travel.

Krupashankar NJ: Let me rephrase my que stion in a different fashion. What we are seeing here is, of course, the less than 15 -day travel window seeing a sharper increase in yield vis -a-vis the greater than 15 - day booking window. So, just wanted to check how is the demand for both segments? That is something which we used to give out pre -COVID. So, just wanted to check how is the demand being in that scenario?

Pieter Elbers: I think having the benefit of having worked for 30 years in different international markets. I think the Indian market is a market which is very late booking and which has a very high

percentage of bookings in that, let me say, 15, but even 30 days prior to the departure. It's also something like, it seems the customer behavior has changed somewhat, not only for the business part, but even for the leisure or the non -business part. So, it's probably not possible to differentiate and say whatever books between 0 and 15 days for departures, largely business and whatever, has a longer time frame is non -business. I don't think we can say it like that. It was already probably different prior to COVID. Post -COVID for sure, that's not the case anymore.

And maybe just to add to that question, that's why the agility we have demonstrated at IndiGo is so important. Whenever we have opportun ities, we adjust our network and we focus on the market. And then actually, we do see even at the very last moment, a lot of bookings coming in. So, against that background, it sort of proves our point that the market has changed more fundamentally, I woul d say.

Moderator: Next question is from the line of Venkatesh Balasubramaniam from Axis Capital. Please go

ahead.
V. Balasubramaniam: Yes. Can you please share what was the number of employees you had at the end of FY '23? I believe this number was 26,16 4 at the end of FY '22. So, can you please share the number at the end of FY '23?
And on a related note, I think this year, your per ASK employee cost was around 0.4%. At the beginning of the year, the scenario was very different. I guess Akasa was ramping up and Jet Airways was supposed to start. But now we are ending the year very differently with one airline in trouble and Jet Airways never started. So, there was a general expectation that there will be some wage inflation. But do you still expect that to happen, or this remains at this 0.42 level going forward? That is my first question.
Gaurav Negi: Related to the first part in terms of the number of employees, we closed the year closer to a 32,000 -employee base for IndiGo. As far as employee sal ary cost as a percentage of ASK, it's going to remain at these levels, but subject to the increments that are part and parcel of every organization's costs, which will kick in from the fiscal year 2024.
V. Balasubramaniam: The second question is on aircraf t additions. Could you share what was the gross addition in this year? And how many CEO claims you returned in the current year? And also, how much do you expect to add on a gross basis? And how many planes do you expect to return next year?
Gaurav Negi: On a net basis, we are looking to add close to 40 to 50 planes in the fiscal year 2024. As far as the other question in terms of what happened in 2023, there was a net addition of around 29 to 30 aircrafts that we had. Final details you can contact the IR t eam and they'll be able to provide you.
Moderator: Next qu

estion is from the line of Sabri Hazarika from Emkay Global. Please go ahead.
Sabri Hazarika: So, if we look into this current engine issues, I mean, is it on a case -to-case basis or is it like more blanket in nature? I mean, considering there has been reports that almost like half of your

fleet is still on P&W engines. So, do you see that there is always some risk of these also going bad or something of that sort? Or do you think that things should remain steady here on? Or are you looking to completely replace those engines down the line?
Pieter Elbers: Well, the aircraft which are coming in as from now are aircraft with the LEAP engines. So, we still are having the basis of the Pratt engines. We ha ve LEAP engines coming in, and we'll see that mixture will change a little bit over time. But again, we work closely with the OEMs to make sure that we have adequate support and cooperation on that part and we are watching the situation closely going forwa rd.
Sabri Hazarika: So, your current fleet, you don't see any worry? There's part of the fleet which is still running on Pratt & Whitney, right?
Pieter Elbers: Sure. We have a part of the fleet running on Pratt & Whitney. The new aircraft coming in are coming in with LEAP, so that automatically changes the ratio going forward. And again, we work closely also with Pratt to make sure that the supply chain issues are being addressed.
Moderator: Next question is from the line of Shalin Choksy from Axis Capital. Please go ahead.
Shalin Choksy: My first question was on the load factor. The load factor was at 82.1% in FY '23? And how do we expect it to move in the next 3 years or so?
Gaurav Negi: Our endeavor is going to be to keep pushing it up, but we do not want to give any kind of forward guidance today for the next 3 years. But the effort is to keep pushing this upwards by utilizing the aircraft better as well as obviously attracting more customer s towards IndiGo. But we can't give you an outlook for the next f ew years.
Shalin Choksy: And another one, if I may, how many planes do you intend to add in FY '25 and '26? I understand you gave us a number for FY '24. Any color for the other 2 years?
Pieter Elbers: The short answer to that would be no. And the somewhat longer answer to that would be, we have, as we said earlier, an order book of 500 aircraft. These will be coming in towards the end of the decade. And we see all the supply chain issues. We work closely to make sure that we have a steady flow of aircraft coming in.
This backlog of aircraft or this outstanding order of aircraft will enable us to double towards the end of the decade. And again, we coordinate closely to have that flow of aircraft coming in. Our focus now is to make sure that we deliver in '2 4 our network and our promises to the customers. And thereafter, it will be '25 and '26.
Moderator: Next question is from the line of Aditya Mongia from Kotak Securities Limited. Please go ahead.
Aditya Mongia: Both of my questions were on the internationa l side of things. The first one was your good network of 33 destinations in Europe that you've been able to form now. My question was, is it yielding enough volumes for you through the codeshare at this point in time? Or is this more,

let's say, a case of distribution being enhanced, and once A321 XLRs happen, you want to just

accelerate the benefits that are coming from Europe to IndiGo?
Pieter Elbers: Well, again, I think for us, this is a new territory. We're having today 7 codeshare partners. All these c odeshare partners were having their codes on IndiGo's domestic network. So, these 7 codeshare partners, Turkish Airlines, Qatar, American Airlines, Air France, KLM and Qantas and Virgin Atlantic, were having their codes on IndiGo's domestic network. We wer e not having any codes on other airlines

outside India or outside their hub, actually. It's a very important step for us. Again, it's giving us some market presence. It's giving us a lot of visibility in these markets. In fact, it helps us to indeed prepar e for the future.
So, it really serves multiple purposes. And as I mentioned to one of the earlier questions, actually, the first results and first impressions are very encouraging. And we see there's a lot of international demand, and people are looking for affordable fares and are actually looking for an alternative to some of the higher -priced fares. And there, I think the network of IndiGo comes in, and we are in a great position to serve these markets.
Aditya Mongia: And the second question that I had was the recent news flow of Air France, KLM showing interest to use India as a stopover for journey from Europe to Sri Lanka. Now in this broad domain of I2I, do you see interest from your side to kind of go for these kinds of journeys ? Or does it kind of drag down or stored on the network and you're better off focusing on the Indian volumes only?
Pieter Elbers: Yes, I've read the article as well. I think what is important, again, we're having these codeshare cooperations on our domestic network in India. We are now expanding international. I think it's important for us that we build up some good and solid partnerships. And as time will progress, we'll evaluate some of these possible new opportunities.
And again, the further international network and the f act that we're having some connectivity ourselves even on the international to domestic and even some international, international may provide new opportunities going forward. think it's a bit too premature today to comment whether that will take place or that will not take place. There's still some homework to be done on that.
Moderator: Next question is from the line of Deepak Krishnan from Macquarie Group. Please go ahead.
Deepak Krishnan: I just wanted to understand on the yield front. I think Gaurav in dicated that yield is at a positive territory on a Q-o-Q** basis. In terms of, say, organically, how do you look at the market? Is supplies disrupted maybe in terms of your outlook in forward bookings? How many quarters do you kind of see that it would take for supply to come back if the disruption continues? May be just an outlook on yields far ahead as well?
Pieter Elbers: Well, I think globally, we see a very strong recovery of the aviation. I mean, if we take a step back, I guess, at COVID, there were some prediction that aviation would be down for the years to come. Clearly, domestic markets have recovered rapidly, and the domestic market in India is

no exception to that. And I guess, for the last couple of months, we see new records of Indians flying the Indian skies. So, we see that recovery continuing.
Agai n, hand -in-hand with the economic growth and the economic development of India itself. We see that further growing. On the international side, the recovery has been somewhat slower and somewhat later. Clearly, parts of Asia, surely China, but even Southeas t Asia took a bit longer, but the fact that we are now back in such a strong manner, for example, in Singapore, just demonstrate that the international markets are also quickly coming back.
Again, going forward, there's a lot of variables and elements coming into play for international development. But if you take some of the industry reports or some of the industry projections, obviously, India is seen as a place where both domestic and international for the years to come it's going to be a ve ry vibrant market. And as I mentioned in my introduction words, looking at the percentage of Indian consumers flying, it's still very low. If we look at the percentage of Indians flying international, it's even lower. So, all that opportunity going forward is really very significant when it comes

to market development.
Moderator: Next question is from the line of Achal Kumar from HSBC. Please go ahead.
Achal Kumar: So, 2 things actually I want to understand. So, at the moment, if we look at the internationa l traffic going out of India and coming back to India, so it looks like the Indians traveling outside India, going on international trip, seems to be very strong. So, how that plays out in terms of profitability? I mean, do you think you're carrying the si milar load factor while going and coming back? Or do you think while coming back, there is a challenge and the profitability is low or the load factor is low? So, that is my first question.
Secondly, a simple pla in question. How many planes are grounded a t the moment? And what is the status? I mean, are you hearing back in terms of how many engines are you going to get? And when do you think these planes could revive or could fly back?

Pieter Elbers: Well, you had a very pla in question, let me give a very plain answer, which is a repetition of what I said earlier. The number of planes is in the high 30s. That's the number of planes we said earlier, and that's the pla in answer to your pla in question. I'm not sure if I understood fully your first question whe n you said about coming back. Do you mean the directionality of traffic or what exactly do you mean?

Achal Kumar: Yes, exactly. I mean so when you see the directionality in terms of international demand, it looks like there is a very strong demand for the Indians going out on the international trip. But while on the way around, I think the demand is not that strong. And so that's my question. I mean how does it play out for you guys?

Pieter Elbers: No, I would say there's a strong demand, both to and from I ndia coming back. Of course, there's a huge Indian diaspora as well which is flying back and forth. So, yes, there are some different dynamics and different seasonalities and kids studying abroad and coming back and business patterns. So, they're not all t he same patterns. But in general, I would say, the demand both to

and from India is recovering in a similar fashion and developing in a similar fashion.

And look at the new foreign investments in India being done, that is all driving inbound traffic. Look at the number of Indian students going abroad, that's outbound traffic. So, again, both dynamics are really growing and expected to continue to grow in a similar fashion.

Achal Kumar: Sorry, P ieter, I was actually referring to the data. The data suggests that while the traffic going out of India is very strong, while coming back the numbers didn't say so. That's why this question was. But anyway, I think you fairly mentioned.

Pieter Elbers: I don't know which data you're referring to. But again, we should make a difference between loads on flights where there's a certain seasonality and what is the point of sale, and I was referring mostly to the point of sale and point -of-sale India versus point -of-sale outside India .

And then yes, we see sometimes of the year when the flights out are fuller than the flights in, but that's not necessarily the same as the point of sale, but maybe that becomes a rather technical elucidation.

Moderator: Thank you very much. Ladies and gentlemen, we'll take that as the last que stion. I now hand the conference over to Mr. P ieter for closing comments.

Pieter Elbers: Yes. Thank you so much. Thanks everyone for joining this Press Conference and all the questions and the great questions you've addressed to us. Maybe in a closing rema rk, let me refer back to what we have mentioned in the press release.

I think very important for us is that with the combination of a robust market demand and a very focused execution of our strategy, this was the second consecutive quarter where we produ ced a very strong operational financial results as we reported our highest e

ver fourth quarter net profit of INR 9 ,192 million. I think that's actually the key message. A very strong performance, a very solid profit and the highest ever Q4 profit which we have done. And that was driven by the combination of strong markets and an execution of our strategy. So, I would like to close on that note and wish you all a wonderful evening.

Moderator: Thank you very much. Ladies and gentlemen, on behalf of IndiGo, th at concludes this conference call. We thank you all for joining us, and you may now disconnect your lines. Thank you.

Note: This transcript has been edited for readability and is not a verbatim record of the call

*Inadvertently called out as profit during the call.

** Inadvertently called out as Y -o-Y during the call.

Call: Aug 2023

"IndiGo First Quarter Fiscal Year 2024
Financial Results Conference Call"

August 02, 2023

MANAGEMENT : MR. PIETER ELBERS – CHIEF EXECUTIVE OFFICER
MR. GAURAV NEGI – CHIEF FINANCIAL OFFICER
MR. KAILASH RANA – HEAD, INVESTOR RELATIONS
Ms. RICHA CHHABRA – DIRECTOR, INVESTOR
RELATIONS

Operator: Good evening ladies and gentlemen and welcome to IndiGo's Conference Call to discuss the f irst quarter fiscal year 202 4 financial results. My name is Aman and I will be your coordinator. At this time, the participants are in a listen -only mode. A question -and-answer session will follow today's management discussion.

As a reminder, today's conference call is being recorded . I would now like to turn the call over to your moderator, Ms. Richa Chhabra from the Investor Relations team of IndiGo.

Richa Chhabra : Good evening, everyone, and thank you for joining us for the f irst quarter fiscal year 202 4 earnings call.

We have with us our Chief Executive Officer - Pieter Elbers, our Chief Financial Officer – Gaurav Negi, and Head of Investor Relations – Kailash Rana with us to discuss the financial performance and are available for the Q&A session.

Please note that today's discussion may contain certain statements on our business or financials which may be construed as forward -looking. Our actual results may be materially different from these forward -looking statements.

The information pro vided on this call is as of today's date and we undertake no obligation to update the information subsequently.

We will upload the transcript of prepared remarks by day end. The transcript of the Q&A session will be uploaded subsequently.

With this, let me hand over the call to Pieter Elbers .

Pieter Elb ers: Good evening, ladies and gentlemen and thank you for joining the call. Today, we announced our financial results for the first quarter of Fiscal Year 2024.

And, b efore I speak about the first quarter, I would like to mention about the last financial year,

if you would recall, last year we had a distinct period of 2 halves. The first half was negatively impacted by the high prices of fuel and the depreciation of the rupee that led to a loss of 26.5 billion rupees. The second half of the year , owing to the stabilization in external variables and the initiatives set in motion towards operational improvements enabled us to report a net profit of 23.4 billion rupees.
That very positive momentum from the la st two quarters has also continued in this quarter as we started the new year on a strong note and reported the highest ever quarterly revenue of 171.6 bn rupees and the highest ever quarterly net profit of 30.9 bn rupees - a good 3,000 crores, which is the third consecutive quarterly profits. And, we are back in the black for three quarters in a row now.

This series of strong financial performance can be attributed to our clear and focused strategy – of Reassure, Develop and Create – backed by our very strong operational performance. At the very heart of this performance are our loyal customers that chose to fly with us and our 6E colleagues ensuring synchronization of many operational factors together to serve our customers. It is the Power of We, the unwavering dedication to service excellence and focu s on customer -centricity, that has paved the way for such an exceptional performance. I would like to thank our customers and congratulate all our employees for starting the year with such positive results.
During the quarter, a record number of 26.2 mil lion passengers chose to fly with us, an impressive 30 percent jump compared to the first quarter of last year FY 2023. I would like to also share that in May of this year, we reached a milestone of flying 3 lac passengers on a single day. And, i t gives us great pride and excitement to make flying accessible to more and more Indians every day, and thereby giving wings to the nation by connecting people and aspirations.
Now, I would like to update you also on one of the key highlights of the quarter. On Jun e 19th, we set another truly momentous and very exciting step in the journey of IndiGo as we placed

a
sizeable firm order for an impressive 500 aircraft of the Airbus A320 family . This 500 aircraft order is not only IndiGo's largest order ever, but also th e largest -ever single aircraft order placed by any airline with Airbus. This order speaks to the growth and the future of Indian aviation where we are proud to play a pivotal role. Further, last month I had the privilege to be part of the prestigious India n CEOs delegation in Paris, alongside the leadership of the country. It was a moment of pride for us when this historic order of 500 aircraft was widely commemorated at this forum.
We already had previous orders totalling around 480 aircraft which are ye t to be delivered between today and the end of this decade. With this additional order of 500 aircraft, our outstanding orderbook has now almost a 1,000 aircraft yet to be delivered till middle of the next decade. These 1,000 aircraft will help IndiGo to move forward, to make sure that we live up to our promise and continue to build our unparalleled network both domestic and international .
We are well positioned, not only to expand and densify our unparalleled network, but also to execute our role in fulfi lling our mission of boosting economic growth, social cohesion, and above all, mobility in India with affordable air connectivity and on time & hassle -free service across our country and globe. This large order will help us in further expansion of air travel in the country and will also help in generating and supporting direct and indirect employment. And, w e feel privileged at IndiGo, to be able to contribute to the growth of Indian aviation market and economy.
Operational ly, despite a myriad of complexities, intricacies related to operating at such a large scale, we remained to be among the global leaders as we operated with an average OTP of 89 percent and a very low cancellation rate of 0.30 percent during the June quart er.
We are also pleased that our efforts to make IndiGo a globally known brand, is being recognized as we have been, recently, ranked as the world's 'Top 50 most valuable Airline Brands' by Brand

Finance. With this recognition, we have maintained our dis tinction as the only Indian airline consistently featured in the 'Airlines Top 50' list for three consecutive years.
On the network side, we continue to densify by adding new routes and frequencies to enhance connectivity in the country. We have added al most 200 routes in the last three years, which is more than 60% increase in the number of routes – today totalling over 500 individual routes.
Further, in line with our objective towards unparalleled connectivity, we are adding our 79th domestic destinat ion - Shivamogga this month, this will be our 6th destination in the state of Karnataka. It will provide enhanced connectivity to central and coastal region of Karnataka and will further improve accessibility to popular tourist destinations .
During the qu arter, we further bolstered our international network with the launch of new codeshare destinations as far as the United States of America. We now offer codeshare flights to

New York, Boston, Chicago, and Washington. And, t hese new connections mark an imp ortant milestone, with IndiGo's entry into a new continent, reinforcing our commitment to enhancing international connectivity from India.
We are also leveraging on the massive opportunity in the five to six hour flying radius from India and we have recently announced 6 new destinations across Asia and Africa . In the coming few days, we are starting operations to Nairobi, Jakarta, Tbilisi and Baku. Further, in the coming few weeks, we will start operations to Tashkent and Almaty. Addition of these new destinations will help to offer an array of super exciting opportunities for customers to travel worldwide on IndiGo.
Looking ahead, while Gaurav will speak on the capacity

guidance f or the second quarter of fiscal
year 2024, for the full year we remain confident in achieving our previous guidance of north of mid-teens growth. With the highest ever passengers welcomed in Q1, we are well on track to reach our target of a 100 million cus tomers this year. This will be a very big moment for India and IndiGo.
The long -term economic growth trajectory of the country matches our ambition to double in scale and size by the end of the decade. On the 4th August 2006, IndiGo embarked on this jour ney with a vision to offer quality, on -time travel experience to our customers, at affordable fares. As we turn 17 the day after tomorrow looking back at our journey, we can only feel very privileged and humbled with the support and faith that we have rece ived from our customers that has enabled us to grow to one of the largest airlines in the world.
At the same time, I also complete almost a year in India and with our vibrant organization. Amongst many other things, personally I have always admired the cu ltural diversity, and hospitality. I ha d the privilege of travelling to a number of cities across the length and breadth of India. And I would like to express my gratitude to the people for the warm and supportive environment rendered to me. While visiting various stations, I had the opportunity to witness the teamwork and the enormous dedication of our IndiGo stars which is a key element in the success of our strategy – Towards new heights and across new frontiers.

Let me now hand over the call to Gaurav to discuss the financial performance in detail.
Gaurav Negi : Thank you, Pieter and good evening, everyone.
For the quarter ended June 2023, we reported a net profit of 30.9 billion rupees with a profit margin of 18.5% compared to a net loss of 10.6 billion rupees for the quarter ended June 2022. As Pieter mentioned, this is the highest ever quarterly profit for IndiGo.
We reported an EBITDAR of 52.1 billion rupees with an EBITDAR margin of around 31.2 percent compared to an EBITDAR of 7.2 billion rupees for the quarter ended June 2022. This improvement is primarily attributable to increased scale of operations and efficiencies further supported by lower fuel costs and favourable foreign currency movement at quarter end.
For the quarter ended June 2023, the total revenue increased by around 32 percent on a y -o-y basis. Our unit revenue came in at 5.12 rupees, w hich is around 9 percent higher compared to the quarter ended June 2022. While the yields came in stronger than expected and remained flattish compared to quarter ended June 2022, the load factor increased by 9.0 points leading to this growth in unit reven ues.
On the cost side, the fuel CASK reduced by around 26.6 percent primarily due to a reduction in average fuel prices. Further, the rupee closed slightly stronger at the quarter end leading to a forex gain of around 1.2 billion rupees.
Excluding the i mpact of forex and fuel, the CASK ex fuel ex forex has increased by around 9 percent, compared to first quarter of fiscal year 2023 primarily driven by
• Annual contractual escalations and inflationary cost pressures.
• Increased cost resulting from engine related supply chain challenges that we have.
• Depreciation in rupee leading to increase in dollar denominated costs in rupee terms.
• And, the i nvestments for growth in various initiatives including digital transformation, infrastructure enhancement and our investments in talent and human capital.
Due to our strong operational and financial performance, our liquidity has further improved as we ended the June quarter with a free cash of 156.9 billion rupees. This translates to a net increase of 35.0 billion rupees as compared to the March quarter end.
Further, we ended the quarter with a capitalized operating lease liability of 430.9 billion rupees and a total debt, inclu

ding the capitalized operating lease liability of 462.9 billion rupees. Further,
we add ed 12 net additions to the fleet and our right to use assets at the quarter end were 282.0 billion rupees.
Another development is on the engine side wherein we have received some information from the OEM regarding the probable manufacturing anomalies in c ertain series of engines. This issue will require removal of these engines for a detailed inspection across all airlines globally. We

understand, this activity will be undertaken in a phased manner impacting a handful of our engines in the first phase. We are working with the OEM to assess and minimize any potential impact on

our fleet.
Now moving on to the seasonally weaker second quarter, we are expecting to add around 25% capacity in Q2FY24 as compared to Q2FY23 which translates to around 6% capacity g rowth as compared to Q1FY24. Further, as compared to the second quarter of last financial year we are experiencing some improvement in load factor coupled with a downward pressure on yields.
Since our inception, we have made significant strides in establ ishing ourselves as a global leader in the aviation market. We are incredibly excited about the possibilities and potential that lies ahead. Our pending orderbook of around 1,000 aircraft allows us to leverage the growth potential presented to us by an und erpenetrated aviation market.
In order to develop people, processes, and technology; and create the next phase of our growth, we are investing in digital infrastructure, human capital and loyalty program to meet the requirements of our future scale of operations.
Apart from this, given our strong liquidity position, we are planning to invest in some aircraft and related assets.
Further, subject to regulatory approvals, we are also planning on launch ing our venture capital arm to invest in early -stage companies op erating in aviation, consumer focused and allied sectors such as travel & lifestyle, hospitality, and transportation. Given our large consumer base and growth plans we believe that these investments will help us add value to our airline.
As we embark on the next chapter of our journey, we remain fully confident in our ability to achieve operational excellence on an even greater scale and size.
With this, let me hand it back to Richa.
Richa Chhabra: Thank you Pieter and Gaurav. To answer as many question s as possible, I would like to request that each participant limit themselves to one question and one brief follow -up question, if needed. And with that, we are ready for the Q&A .
Moderator: The first question is from the line of Binay Singh from Morgan Stanley. Please go ahead.
Binay Singh: Congratulations for good set of numbers. I have two questions. So my first question was on the yield side. Typically, we see that the Q2 is seasonally weak, so yields drop by around 10% or so. But this time around, we've also seen crude prices rise. So in that context, how are you lookin g at yields adjusting for crude prices and weak seasonality?
The second question is when we look at the cost items, we've seen staff as a percentage of ASK and airport charges as a percentage of ASK and sequentially jump. Does this reflect the annual incre ments that you talked about? Or should we see more inflation in these cost items? So these are the two questions. Thanks.

Gaurav Negi: Binay , on the first part of the question, we are seeing deeper cut as far as yields are concerned, Traditionally, what we' ve seen a shift from Q1 to Q2 has been in the range of high single digits to early double digits. This time around, we have seen a larger kind of a dip as far as yields are concerned. Like I mentioned, we are trying to hold at least the load factors are co ming in still better. And as a resu

lt, there is a deeper cut on the yields, but the load factors are going to be slightly better than what we've experienced in the past.
Binay Singh: What do you think is driving that yield? What do you think is driving tha t? Because now IndiGo is almost 60% of the market. So , this is the strongest the business has ever been. So is demand slowing down? Like what are the drivers for that?
Gaurav Negi: See, again, it's a combination of the fact that we again had a very stro ng Q1, similar to what we have seen in the last year also. And plus, because of seasonality, some of the festivities that were planned, which had happened in Q2 last year had shifted into Q1 also. Example, Eid had moved into Q1. As a result, we do not have the festivities in Q2. So as a result, there is a bigger dip that we have in Q2.
Pieter Elbers: And your second question on the staff and the salary cost part, we have indeed restored the salaries. I told you earlier, we have three consecutive quarters of positive results. And with the results, we have also restored the salary cuts we did at the end of last year, and we are comparing now to the quarter of the year before. And indeed, the annual increments are included as well.
Binay Singh: Any other cost li ne items where you see inflationary pressures in the coming third quarter, maybe due to this engine issue or anything else on the cost side ex of fuel that you would like to call out?
Gaurav Negi: The large part of the costs that have already come into thi s particular quarter in terms of unit costs, I'm talking about, there will obviously be commensurate to the growth that we have. In terms of unit cost, I think one of the areas that we are closely monitoring are going to be airport -

related charges that we have as well as maintenance like you pointed out. But aside from that, a large part of the unit cost is already in the Q1 months.
Moderator: Thank you. The next question is from the line of Venkatesh Balasubramaniam from Axis Capital. Please go ahead.
Venk atesh B.: Just one very simple question. Can you delve a little bit deeper in terms of the new Pratt & Whitney problem, where the -- there are impurities in the engine, in the core metal, which has been used, how many engines of IndiGo have been impacted. And consequently, how many aircrafts have been impacted. Does this in any way impact your ASK growth guidance of 17% to 18% for the current year?
And secondly, you did mention that the second question is, you did mention that deals are more -- have gone do wn much more. And is it like gone down 15% so far, or is it like 20%?
Pieter Elbers: I think with respect to the Pratt engine issue, this is a new issue, indeed, which is highlighted by

the OEM. Here, we have to rely on the communication, which was shared last week by Pratt & Whitney about certain probable manufacturing anomalies, which are leading actually to additional inspections. The activity will be undertaken in a phased manner as per some of the media reports. The initial phase, which has a global nu mber, has still a very limited number for IndiGo. I would say, a net number of -- a single -digit number of engines in that very first phase. We don't know yet what is going to be the precise impact for the phase thereafter. Of course, we are in clear conta ct and clear coordination with Pratt to see what's going to be the precise impact. But I would not prefer to speculate on any precise numbers thereafter.
The fact that Gaurav just mentioned the capacity guidance for Q1 and in my introduction, I repeated t he capacity guidance in the north of mid -teens for the entire year. And of course, we are working both with the OEMs to assess what is the exact impact for the stage hereafter. And we're also checking on possible mitigating measures like actually we have d one with prior issues.

Venkatesh B.: Regarding the drop in yields, is it more like 15%, 20%, 12%, what is the kind of level of drop okay. So far.
Gaurav Negi: Again, so far, it's in the teens that we are seeing, just with 1 month of data, we're seeing the drop is in the teens right now.
Moderator: Thank you. The next question is from the line of Deepak Krishnan from Macquarie. Please go ahead.
Deepak Krishnan: I just wanted to understand in terms of the older engine, P&W engine issues, where are we in that and how does the current issue, do we completely need to ground aircraft? Or is it like you would be requiring replacement engine so that shouldn't be a problem?
Pieter Elbers: Thank you for your question. Actually, without repeating my question to the previous one, we have an existing situation with a number of aircraft, which are impacted by the supply chain challenges. That issue was in the high 3 0s. I would actually label it now is around 40, the impact of the first phase. I just mentioned, that's a single -digit number of engines. So that does not dramatically change the picture we have so far, neither does it lead to an adjustment of our capacity guidance, and we're in close contact with Pratt to evaluate what's going to be the possible impact for the stage thereafter, and there are still a lot of questions on our side what is the precise duration and the phasing of the inspections to be taking pl ace. And here, we have to await further detailing and information from Pratt & Whitney itself.
Deepak Krishnan: I guess maybe just one follow -up in terms of deploying capital towards aircraft related acquisitions. Could you highlight a bit more as to what is the strategy there? And what are we particularly looking at?
Gaurav Negi: So again, like we mentioned, the extent of our free cash flow has been increasing. There have been questions also in the past related to this topic. One of the avenues of deployme nt of the capital we are looking at is related to acquisition of aircraft and related equipment for aircraft. It could be engines. It could be the smaller aircraft like the ATR. So that's the thought that is

evolving here. More information will follow once we kind of close out any acquisitions in that space of assets. But that's the evolving thought process related to deployment of capital from our side.
Moderator: Thank you. The next question is from the line of Krupashankar from Avendus Spark. Please go ahead.
Krupashankar NJ: Thank you for the opportunity. Just wanted to check on -- first on the fleet addition side, have you firmed up on what would be the XLR capacity, which will be added over the next five years? And how would the international growth lo ok like in your overall mix at least in the FY '24 and perhaps over the next four years, five years?
Pieter Elbers: Thanks for your question. We have a flexible basis when it comes to the XLR. So, we have the

opportunity to go up to a significant number of XLRs. We have not finalized the precise numbers. We still have time to do so. As we shared with you before, we clearly have the ambition to let the share of international business grow already. We are taking significant steps. We prefer actually to just do the things rather than only to talk about things.
Therefore, the six new international destinations, which are going to be announced actually between -- which is going to be started -- sorry, they have been announced. Which is going to be -- start the ope rations from this very Saturday when the first flight from Mumbai to Nairobi will take place, and thereafter the other five will be added. That will bring our share of international ASKs by the end of this year towards a range of 30% which is an increase f rom the low 20s where we were earlier, and we continue to build on that numbers.

We're not fixating any sort of long -term number where we should go, but we keep adding it to a number significantly higher than what it is today. I think we have demonstrated at IndiGo that we have a very high agility when it comes to our network planning and operations. And again, the step taking in the next few weeks is basically moving it from a number starting with a two towards a number starting with a three by the end of this year.
Krupashankar NJ: My second question is on continuation to the previous comment made on the conference -- on the previous conference call. Are you still seeing a high proportion of less than 15 day booking window in the seasonally weak second qua rter as well, given that you are seeing a relatively better load factor. So, can you please throw some light on that?
Gaurav Negi: No, you're right. Actually, we continue to see the booking patterns are more closer than even in Q2, what we experienced in Q1 . So that trend continues for us, a lot closer in than what it used to be pre -pandemic when there was more spread -out kind of booking pattern and booking curve that we are seeing.
Moderator: Thank you. The next question is from the line of Pramod Kumar fro m UBS. Please go ahead.
Pramod Kumar: My first question is pertaining to the other operating income. There has been a reasonable distribution quarter -on-quarter here, despite the better revenue. So , I just wanted to understand

what is driving that?
Gaurav N egi: On the other revenue side, it's largely driven by VGF related. Along with that, we are getting some credits, which have been considered in the current year -- in the current quarter, I would say.
Pramod Kumar: Okay. And also, I note that the ancillary revenue run rate has kind of -- has not been that strong as what we've seen on the passenger revenue side. Any particular thoughts there, or is it something which is expected to remain behind the curve after ASK the passenger revenue run rate?
Gaurav Negi : Yes, we've seen some softness that we're looking into that because related to some baggage as well as fees revision that we carried out related to our convenience fees. There's been some moderation that we are seeing. We hope that this will start yieldin g may not necessarily on the ancillary side that will come into the PAX revenue side. So , it's a trade -off that we are playing between ancillary versus the PAX revenue in terms of pulling up new customers into our PAX volumes.
Pramod Kumar: And the last one question is on the VC arm that you talked about. If you can just help us understand what are you -- briefly touch upon the areas which you're going to look at. If you can just help us understand more about the kind of corpus you're looking at on the inves tment threshold, what you're looking at here? And by what any time lines, what do you have in mind by when you want a certain invest to be done? Any broader thoughts there, if you can share please?
Gaurav Negi: Again, a little bit of an early day kind of l ook because we are going in for regulatory approvals. What we've uploaded also on the stock exchange. We are going to be establishing an LLP. The objectives have been stated, we will look at investing to begin with INR7 crores, but this is just to establis h the entity. There is more to come on this. There's internal discussions happening. And as there's going to be maturity of decision, we'll come back to you. But this is a directional view we wanted to share with all of you that we are getting into a ventu re capital arm side, where we will be making early -stage investments in various companies, which are going to be adjacent to the aviation business and our business, which will, again, help grow those businesses which are in that particular space as well as benefit IndiGo. But more to come on this. And we haven't kind of narrowed down in terms of how much c

apital we want to allocate towards this; INR 7 crores is just the starting point for us.
Moderator: Thank you. The next question is from the line of Achal Kumar from HSBC. Please go ahead.
Achal Kumar: First of all, on the engine side, I know the visibility is limited. But any communication from Pratt, would Pratt be able to give you some spare engines at the time when you are removing those engines and sen ding it for testing? Or you have to ground -- you won't have any option but

to ground the aircraft?
Pieter Elbers: Well, thank you for your question. Rest assured that already, before this recent announcement

of Pratt, we had a very intensive and open comm unication line with Pratt on the availability of spare engines and to make sure that we can continue to operate our fleet in the best possible way. And again, I think it speaks to the capacity and the agility at IndiGo that so far, we have been able, despi te the fact that we have the present number of planes on the ground, we have been able to operate according to our capacity guidance by a whole range of mitigating measures such as extension of leases and even the two wide bodies we have on operation betwe en India and Istanbul are helping in that context to make sure that we live up to our capacity guidance.
Achal Kumar: My next question is about the loyalty program. Could you please elaborate what -- I mean how are you strengthening your loyalty program? I s it like, I mean, is it like the similar ones which European LCCs are offering? I mean offering some -- giving some discount to the -- on additional services, including onboard sales ticket seat selection and all? Or are you thinking -- are you investing in or are you thinking about having a more -broader and more strong loyalty program? I mean, could you please give us a bit of a color on your plans towards loyalty program?
Pieter Elbers: Yes. Well, we can give that color at the moment when we announce the details of our loyalty program, which is clearly not today. What we have shared and we're actively working on that is that we will further enhance our loyalty program. We'll update all of you at the appropriate time on that. Clearly, with the traffic comi ng back. And again, here, the first quarter, 26.2 million customers for the entire year will be -- we're well on track to achieve our objective of 100 million customers flying at IndiGo. I think that's a formidable basis to start further exploring that loy alty program.
How it precisely will look, again, we'll share that with you in due time. I think IndiGo has a history of 17 years of crafting its own path and its own structure and its own choices. So for sure, we look at other LCCs or even some of the netw ork carriers are doing and basis on that we'll draft our own plans and our own structure, which are actually fitting the IndiGo customer basis. And the fact that we have such a unique base of 100 million customers here operating to all these destinations. So, bear with us, give us a bit of time, and we'll share with all of you what's the outcome of it.
Moderator: Thank you. The next question is from the line of Prateek Kumar from Jefferies. Please go ahead.
Prateek Kumar: My first question is on -- so firstl y, how does the redistribution of slots given up by Go First happened during May? And how do you think, if Go Firsts resumes operations, how do you see the redistribution happening again?
Pieter Elbers: Yes. Well, clearly, there was this suspension of the operation created a sudden disruption of operations and flight and a sudden reduction of capacity. Many airlines, including IndiGo, have been able to scale up some capacity and basically support all customers who still wanted to fly on these routes. So we have been able, in coordination with the airports to have a sort of temporary access to some of the

se slots. How it precisely will play out in the weeks and if not months ahead, time will tell,

I guess we have the same access to information as you, when it comes to a resumption of the operation and possible sizing of that. So we're awaiting that. And again, here, I think the collective airlines have been able to, IndiGo and also the other airline s, have been able to temporarily fill some of that capacity. But clearly, no one had the ability to immediately jump in and immediately have all the same capacity on the same routes.
Prateek Kumar: And second question, how do you see the recent events arou nd tail strikes for IndiGo in the past six months, as per the past reports DGCA was investigating the same? Can you elaborate something on this?
Pieter Elbers: Yes. No, the safety, of course, is an incredibly important topic for IndiGo. IndiGo is a very sa fe airline with a very strong safety record for many years already. Safety is not something you do for just a point in time. But you keep on doing that going forward, of course, it keeps our number one, number two and number three priority will remain ther e. All the tail strikes are either investigated or under investigation, and I don't think on those which are under investigation, we should jump to conclusions here. We're investigating them with all the parties involved. We’ve received the DGCA notices on this, and we're now evaluating that DGCA notice and taking our options and considering what should be the next steps on this.
But let me reiterate what I started with. Its safety was, is and will always be of paramount importance for us, and we continue t o optimize our procedures and our processes in order to move forward. And that's IndiGo actually always been doing, and we keep doing that with

actually the same procedure as other airlines in the world - always look for continuous improvement of safety.

Prateek Kumar: And if I may squeeze one more. On your international capacity additions, you were looking at 30% of your ASK mix in terms of international ASK by end of FY24. Does that remain the same, or how is that placed right now?

Pieter Elbers: It remai ns the same. Again, we keep our capacity guidance. Some of the international flights, of course, depend on slots and exact availability. So I think earlier we said we have, in the next two years, that percentage going up. We take a very significant step no w with the capacity additions. There's again a bit of uncertainties around bilaterals, what are the traffic rights available, what are the precise slots available.

So I think the precise percentage cannot be, sort of, put firm. What can be put firm is that it's just a priority for us. And we're not only adding new destinations as the one I just shared with you, the six, but also a lot of new routes recently - the Goa -Abu Dhabi was announced. We also started flights from Ahmadabad to Abu Dhabi. So we keep ex panding the network. And actually, we have added a couple of dozens of new international routes over the past couple of months.

Moderator: The next question is from the line of Aditya Mongia from Kotak Securities. Please go ahead.

Aditya Mongia: My first q uestion was focused more on international. I wanted to get a sense of the quarter gone by and what has been your market share in international. Effectually trying to kind of gauge how

big has been Europe for you in recent time for the quarter?

Pieter Elber s: Well, international market shares are always a bit of a more difficult story. Do we look at what international do we look at? Total international. And then do we only look at the share we have as compared to the other international airlines, or do we ju st look at the domestic airlines.

So if we take all flights in and out, India, we're in the range of 15% to 16% of market share, which is a mixture of international and Indian airlines. That's our share there. And as we know, the Indian carriers have a som ewhat lower share than the international carriers when it comes to traffic to and from India. That's precisely why we believe there's such an opportunity to grow that share and making sure that we get a bigger share of that pie. So that confirms our ambiti on and our strategy to grow faster on the international side.

Your specific question to Europe, today we only have the two wide -bodies flying into Istanbul and from there, connecting to an impressive 34 European destinations and 4 to the US. What's very, very encouraging actually is that this is working very well. We see actually a very strong appetite in the Indian market to move there. And it's also helping actually to build India more and more as a global aviation hub.

So if you look at the connection, let's say, Amritsar to Hamburg, we fantastically have an opportunity to fly Amritsar -Delhi, Delhi -Istanbul then Istanbul on codeshare to Hamburg. So that customer is flying Amritsar to Delhi with IndiGo, Delhi to Istanbul with IndiGo and the last mile, so to speak, is on the codeshare flight with Turkish. So we have our strong domestic network, which today is 78 and soon 79 domestic destinations, which are connecting through our various hubs in the country to international.

Well, today, again, one flight ou t of Delhi to Istanbul, one flight out of Mumbai. But clearly, it's a strong -- for us, a strong opportunity to start preparing when the XLRs come in later and to create a stronger awareness to that market. The four recent US codeshares which I announced and which I mentioned earlier in the introduction, are also actually doing very well on the routes to Istanbul and connecting there to these four US destinations.

Aditya Mongia : And maybe I’ll repeat the question that I asked last time around, is internatio nal to international, in any form, taking shape given the successes that you're getting in domestic international at this point of time?

Pieter Elbers: Yes, absolutely. And with the expansion, since you had the question last time, but with the expansion of our both domestic and international network, we can see more opportunities. And with the cooperation we are working in some of the airport’s measures to expand capacity to make sure that the airports are more suitable for international and international c ustomers.

There's a good opportunity. Again, our launch, for example, Mumbai -Jakarta is also connecting to some other flights coming from Southeast Asia into Mumbai and as such, again, building India into a global aviation hub.

Aditya Mongia : And not a que stion, but just a clarification. In the initial remarks you talked about numbers of

200 routes and 550 routes, are these routes that IndiGo is flying at this point of time, or were you referring to some other statistics?

Pieter Elbers: Yes. Well, I will an swer your question. By the way, I noticed that no one sticks to the guidance of having one question each, but I'll be happy to elucidate on this one. When I was mentioning the number of routes, these are direct routes being operated. Of course, in the numb er of city pairs, which we sell with one or two connections, it's much more. So we used to have a situation prior to COVID, where we had in the range of 350 -ish different routes and every sort of Ahmadabad to Kolkata is a route and Delhi to Dubai is a rout e and so on. So we have -- at that point in time, we had like 80 destinations and 350 routes.

Today, we're in the range of having 110 destinations and an impressive 500 routes. And I think why this is important. It shows that we're not only adding new dest inations, and by adding new destinations adding new opportunities for our customers, but we're also building on connections between existing destinations.

The example I just gave for Abu Dhabi is I think it's a good one, where, in fact, we're now also conn ecting Goa and Ahmadabad to Abu Dhabi. So Abu Dhabi in itself is not a new destination, but the new routes, which we're launching, are creating for our customers - direct opportunities to fly between these 2 cities.

Moderator: Thank you. The next question is from the line of Pulkit Patni from Goldman Sachs. Please go ahead.

Pulkit Patni: One is just a bookkeeping question. The second one, in your guidance of this 25% capacity increase in second quarter, how many plane additions have you factored in?

Gaurav Negi: Can we get back to you on that one? I'll get back to you on that part.

Pulkit Patni: Okay. Gaurav. Gaurav, one quick question. Just for my model purpose, how much accumulated tax losses do you have so that we know which year you start paying taxes fr om or accounts taxes from?

Gaurav Negi: Somewhere in the range of INR 16,000 -odd crores.

Pulkit Patni: So not for the next seven quarters, eight quarters, at least.

Moderator: Thank you. The next question is from the line of Kushagra from Old Bridge Capita l. Please go ahead.

Kushagra: Just one on your capital allocation, again, is there a threshold or a number which you're working of free cash as a percentage of your revenues? And hence, the drawdowns from the cash balance could be limited to the tune of IN R 2,000 crores, INR 3,000 crores? Or there is no such limit of free cash as a percentage of revenues and drawdowns can be a little higher as well? Just a perspective on that.

Gaurav Negi: No, we haven't defined any cap right now. We're looking at guidance from other airlines also, in terms of what's going to be the best safety net that we want to carry as we scale up our operations. So this is a moving number right now, but there's sufficient available capital to deploy on the strategy we kind of shared wit h you in areas of assets as well as infrastructure builds, as well as digital, as well as talent.

Moderator: Thank you. The next question is from the line of Joseph George from IIFL. Please go ahead.

Joseph George: My question is on your comment about assessing the possibility of buying aircraft and other assets. So , if you recall in -- back in 2017, yo u had adopted this position of buying physical assets. But I think one or two years down the line when things weren't going too well, you shelved that strategy, and now we are back on the same path. So , what I wanted to understand is what are the factors th at have led you to go on that path and then call it off and again, go on that path? And a related question is, if it is purely the fact that the cash flow generation has been extremely strong, the cash on the books is very strong. Have you considered payin g dividend to shareholders?

Gaurav Negi: So, if you compared to 2017 -18, when we were buying assets, that was again, largely because we were accumulating cash through performances. But unfortunately, when COVID happened, we have to change courses. And as a result, we have to offload those assets that we had bought on our books. Again, the circumstances have started to improve, like you've seen in the last three quarters have given us positive outcomes, both in terms of profitability as well as cash generatio n. As a result, we are going back to that similar philosophy of allocating capital towards acquisition of these assets that we've done in the past.

As far as dividend is concerned, yes, we are working towards that as we come into a positive net worth terri tory, that will be the time that we'll again look at dividend as an option also, which used to be pre -pandemic when we had a positive net worth. It's a pre -condition requirement, the condition for, again, dividend is that you need to have positive net wort h. We're aggressively working towards coming back to a positive situation.

Moderator: Thank you. The next question is from the line of Ankur Sharma from HDFC Life. Please go ahead.

Ankur Sharma: Just one question again on the yield, where you kind of refer red to a 15% kind of a fall as we get into Q2. So just kind of putting it in context, given the fact that the industry's capacity constraints, given all the issues with some of your competitors, lastly Pratt & Whitney engine issues. So , I'm just struggling to understand why should yields come off so much in an environment when also crude is going up. So , wouldn't you, kind of, try to protect your margins and maybe try and hold yields -- so just trying to understand why it should be down so much? Or is it that demand kind of slowing down and therefore, the kind of pricing is going down as well? Is that also one of the reasons why you are seeing this?

Gaurav Negi: Usually, Q2 is a very seasonally weak quarter because you're coming off a very strong Q1, which is, again, largely because of the holiday seasons as well as now festivities that have moved from

Q2 into Q1. Q2, traditionally, is always a seasonally weak quarter. As a result, the demand goes down significantly. And that invariably has an impact on your yi elds also. So that's what's the biggest driver of yields coming off if you compare it to Q1. Again, Q1 was a very strong yield quarter. And when you compare between Q1 and Q2, that's where the dip is even further aggravated here.

Ankur Sharma: Even on a Y -o-Y basis, it seems like a similar almost like a mid -teen kind of a drop. So even on a Y-o-Y basis, it seems like a really significant fall?

Gaurav Negi: Yes, it is. Again, there are two elements that you'll see if you look at Y -o-Y, you look at the load f actor. The load factors will probably be in the 70s. This time around, what we mentioned is that we are trying to at least stimulate demand so that the load factors still hold up while the yields are turning out to be softer than what traditionally has bee n the dip between a Q1 to a Q2. So it's a combination of both that you'll probably have to look at, both load factors as well as yields put together. So our objective is, as we've communicated in the past, is to maximize revenue. So a combination of that i s where we are playing out Q2 for ourselves.

Moderator: Thank you. Next question is from the line of Venkatesh Balasubramaniam from Axis Capital. Please go ahead.

Venkatesh B.: I had a couple of follow -up queries. Now the new planes which you are getting f rom Airbus are they all the CFM LEAP engines? Or you're still taking engines from Pratt & Whitney - the GTF engine.

Gaurav Negi: Simple answer all CFM engines for the c.470 aircraft order.

Venkatesh B.: Okay. Now each piece of CFM engine, earlier, you were using the Pratt & Whitney engine in the CEOs also, you're using the Pratt & Whitney engines in NEOs also. The new Pratt & Whitney engines was supposed to be 15% more fuel efficient. And I assume that was the reason why people were opting for that engine. Now how does the fuel efficiency of the CFM engine compared with the GTF engine or Pratt & Whitney?

Gaurav Negi: So, they're at par in terms of between the new NEOs from Pratt & Whitney and the LEAP, they are at par in terms of their fuel performance. There could be a marginal kind of a difference, but then you can consider them to be at par.

Moderator: Thank you. The next question is from the line of Achal Kumar from HSBC. Please go ahead.

Achal Kumar: I had two actually. So

, one, on the international side. So whatever strategy you're adopting, now you're flying two 777s and all. So is it kind of a bridge to -- until the time you start receiving your A321 XLRs or is it a kind of a permanent strategy, you will continue despite even after you start receiving A3 21 XLRs, I mean how should we look at the international strategy once you start receiving A321 XLRs, if you can give us a bit of color.

And my second question is about -- again, about the yield. I mean, so I think, I mean, again,

there's a lot of uncertain ty about Go First but then the government has given clearance. So how do you see the yield impact? I mean or in simple terms, what kind of impact -- positive impact you had on your yield due to the disappearance of GoAir. And now if GoFirst fly again, what kind of impact do you see on the yields?

Pieter Elbers: Let me start with your first question on internationalization. Clearly, IndiGo, since we started to operate international, we have gradually built it. And today, as we shared before, we're moving from something in the low 20s towards 30% of all our ASK international. The geographical position of India ensures that we actually, in the present range aircraft, already can do a lot of international flying, which we are doing by adding new frequencies, new routes and so on and so forth. The next step clearly if that is the XLR. It's not precisely clear yet when we will have the XLR neither is it precise and clear what's going to be the exact range. What is clear, though, is that it will bring us to Europe a nd that it will bring us further into Asia.

And that means that our present wide body, of course, which was born out of the necessity for additional capacity because of the supply chain challenges. But the fact is, it is helping us very much to prepare for that next stage that the moment we have these in XLRs coming in and we can fly to places like Athens and Rome. And so that means that at that point in time, we also

have the opportunity, in fact, to already have some of these flights in codeshare as we do have them today with Turkish, not so much Seoul, obviously, but places like Athens and Rome, we have in place already. So , our strategy clearly is to build on that and to make sure that we can continue to grow that international piece of our business.
Whe n you -- effect on the yields, I mean, it's difficult to precisely say what's the exact impact. What we can say, though, and I think that's a number which is relevant is that a relatively limited number anywhere in the range of 15%, depending a bit whether you look at flights or a precise capacity, in the range of 15% of our routes was overlapping with Go First. And all the other routes did not have any Go First flight.
So, that means that the actual impact on that is limited to that. Yes, there has been som e effects. And yes, when certainly some capacity is disrupted in the market, there is some market disruptions. I think we've all seen that and we've all witnessed that. But overall, again, looking at the scope of our network and the 500 -ish routes, we're h aving a relatively small number. I mentioned 15%, again, depending a little bit what parameter you use 15% to 20% was having an overlap from Go First on these specific routes.
Moderator: Thank you. Ladies and gentlemen, that would be our last question for today. I now hand the conference over to Mr. Pieter for closing comments. Thank you, and over to you, Pieter.
Pieter Elbers: Thank you so much. I will not repeat everything what I said at the beginning, but maybe just by closing, expressing our gratitude t o all our loyal customers and dedicated IndiGo colleagues for the progress we have made towards this wonderful results, in the thi

rd consecutive quarter of profits, and by the execution and implementing of our new growth strategy towards new heights and ac ross new frontiers.

Ladies and gentlemen, thank you very much for your attention and looking forward to talking to you next quarter.
Moderator: Thank you very much. Ladies and gentlemen, on behalf of IndiGo, that concludes this conference. Thank you for j oining us and you may now disconnect your lines.

Note: This transcript has been edited for readability and is not a verb atim record of the call

Call: Nov 2023

"IndiGo Second Quarter Fiscal Year 2024
Financial Results Conference Call"

November 03, 2023

MANAGEMENT : MR. PIETER ELBERS – CHIEF EXECUTIVE OFFICER
MR. GAURAV NEGI – CHIEF FINANCIAL OFFICER
Ms. RICHA CHHABRA – DIRECTOR, INVESTOR
RELATIONS

Operator: Good evening ladies and gentlemen and welcome to IndiGo's Conference Call to discuss the second quarter fiscal year 202 4 financial results. My name is Neerav and I will be your coordinator. At this time, the participants are in a listen -only mode. A question-and -answer session will follow today's management discussion.

As a reminder, today's conference call is being recorded. I would now like to turn th e call over to your moderator, Ms. Richa Chhabra from the Investor Relations team of IndiGo.

Richa Chhabra : Good evening, everyone, and thank you for joining us for the second quarter fiscal year 202 4 earnings call.

We have with us our Chief Executive Off icer - Pieter Elbers and our Chief Financial Officer – Gaurav Negi to discuss the financial performance and are available for the Q&A session.

Please note that today's discussion may contain certain statements on our business or financials which may be co nstrued as forward -looking. Our actual results may be materially different from these forward -looking statements.

The information provided on this call is as of today's date and we undertake no obligation to update the information subsequently.

We will upload the transcript of prepared remarks by day end. The transcript of the Q&A session will be uploaded subsequently.

With this, let me hand over the call to Pieter Elbers .

Pieter Elb ers: Good evening, ladies and gentlemen and thank you for joining this call. Today, we announced our financial results for the second quarter of the financial year 2024.

We reported a net profit of 1.9 billion rupees for the quarter ended September 2023. With these results, we have completed a full cycle and remained consist ently profitable for the last four quarters. In fact, this is the first time post financial year 2018 and after 5 years that we have again, achieved profitability in the seasonally weak second quarter. Excluding the impact of foreign

exchange loss, we repo rted an operational profit of 8.1 billion rupees.
Further, as indicated in the last earnings call, while we faced some downward pressure on the yields in this quarter, the loads came in strong at around 83 percent.
During this September quarter, 26.3 mi llion customers chose to fly with us, an impressive 33 percent increase as compared to the same period last year. Overall, our passengers in the first half of this financial year were around 52 million, which is 41 percent higher than pre -Covid levels.
Through concerted efforts and execution of our strategy, we are well on our way to welcome 100 million passengers in this year. It is our customers' trust, feedback and support which has been

the driving force in our journey and inspires us to reach new heights.
We continue to maintain an industry leading operational performance with an on -time performance of 86.5 percent and a very low cancelation rate. It is the countless hours of hard work, the commitment to excellence and the relentless pursuit of our goa ls that have placed us amongst the global leaders. And, I want to express my deepest gratitude for all 6E employees' hard work, determination, and the passion they bring to their roles, living to the principle of "Power of We" every day. And, even with the on-going supply chain disruptions, we have been augmenting our network both domestically and internationally.
We have recently started operations to four new domestic destinations Khajuraho, Jaisalmer, Salem, and Diu. And, we will also be starting opera tions to Jharsuguda soon. Additionally, we will also be commencing operations to Gondia. And, Ayodhya, the temple city of India, is also on the list to start in the coming quarters. These connections are poised to significantly bolster
interstate connectiv ity and advance regional accessibility. These additions will take the number of our dom

estic destinations up to 86 and will help in reiterating our philosophy - India by IndiGo.
We are also focused on advancing our international strategy, leveraging our unique geographical position as an Indian airline. A sizable proportion of the world population is within 5 -6 hours of flying range from multiple cities in India. Our growth aspirations, coupled with this advantageous geographical position, provides us wit h an opportunity to enhance international connectivity and redefine the passenger experience. We are executing our international strategy under three elements:
The first element is to further strengthen our own network. We took a massive step in this dir ection by adding an impressive six new destinations – Almaty, Tashkent, Nairobi, Jakarta, Tbilisi and Baku across Central Asia, Southeast Asia and Africa. We also resumed our operations to Hong Kong recently. We will be, further, densifying our international network and soon add two more destinations, Bali and Medina in the coming quarters. With this expansion to our network, we will be flying directly to 34 international destinations.
The second element of our international strategy is about developing m ore routes and frequencies, catering to rising demand for international travel. In the past one year, we have added almost 24 International routes to our network which is around 32 percent increase as compared to October last year.
With these expansions, our share of available seat kilometers has increased to 26 percent, and we aspire to reach 30 percent of international ASKs in the coming years.
The third element is enriching our reach through codeshare agreements and partnerships. In September, we sign ed a codeshare agreement with British Airways to further boost connectivity between India and the UK.
Further subject to necessary approvals, we will also be expanding our codeshare agreement with Qantas from the current unilateral one -way to bilateral t wo-way codeshare. This expansion will

enable our IndiGo customers to book itineraries to several destinations in Australia through Singapore.
Starting September, we also revamped our in -flight menu incorporating feedback from our customers, cabin crew and service partners. Launched with an intent to improve service efficiency and reduce wastage, our new offerings will allow customers to pre -book from a specially curated menu options comprising regional favorites inspired by the streets and kitchens of Indi a.
We are committed to the cause of diversity, equity, and inclusion. And, I am proud to state that we recently won the prestigious 'DEI Power Award' for inclusion of Persons with Disability at the Global Inclusion Summit 2023. This recognition was confe rred for IndiGo's hiring, promoting, and advocating innovation, and creating a sense of belongingness for persons with disabilities.
Further, we are honored to receive the Environmental Sustainability Airline of the year award for the Asia region at the CAPA Global Environmental Sustainability Awards 2023. We are proud to be one of the lowest CO_2 per unit emitting airlines in the world. With our continuous and massive

investments in new generation aircraft, we have been able to reduce our CO_2 footprint pe r
available seat kilometer by around 20 percent in FY 2023 as compared to seven years ago. This
award is a testimony to our strife to deliver our customer promises in the most sustainable way
possible.
Looking ahead, demand remains robust, however, we ha ve headwinds in the form of aircraft
groundings due to engine issues pertaining to the Pratt & Whitney supply chain challenges. There is a mitigation plan under execution, and we are confident of meeting our financial year 2024
capacity guidance of the nor th of mid -teens addition and our long-term capacity guidance to
double in size by 2030.
Let me now hand over the call to Gaurav to di

scuss the financial performance in detail.
Gaurav Negi : Thank you, Pieter and good evening, everyone.
For the quarter en ded September 2023, we reported a net profit of 1.9 billion rupees compared to
a net loss of 15.8 billion rupees for the quarter ended September 2022. It is after a gap of 5 years that we have reported a profit in a seasonally weak second quarter.
We rep orted an EBITDAR of 24.5 billion rupees with an EBITDAR margin of around 16 percent
compared to an EBITDAR of 2.3 billion rupees for the quarter ended September 2022. This increase is primarily attributable to revenue growth, despite some softness in yield s and due to
reduction in fuel costs and foreign exchange loss.
For the quarter ended September 2023, our unit revenues came in at 4.25 rupees, which is around
7 percent lower compared to the quarter ended September 2022. The second quarter was largely
in line with our initial assessment, the yields dropped by around 12 percent and load factors came
in strong with an improvement of around 4 points compared to the same period last year. In terms

of capacity, we have been able to meet our guidance as we adde d around 28 percent capacity as
compared to September quarter last year. Overall, our revenues increased by around 21 percent
as compared to the same period last year.
On the cost side, the fuel CASK reduced by around 27 percent, compared to September 2022
quarter, primarily due to reduction in fuel prices. The past few months have seen consecutive price hikes in the ATF. Considering such continuous increases, we have in troduced a distance -
based fuel charge on our domestic and international flights. While we remain committed to offer
affordable fares to our customers, a large part of our operating expenses is fuel cost necessitating
such fare adjustments.
Excluding the impact of forex, largely due to MTM, and fuel, the CASK ex fuel ex forex
compared to the same period last year has reduced by around 4 percent to 2.36 rupees, primarily
due to certain fees reversals and claims.
Excluding impact of these reversals and claims the CASK ex fuel ex forex increased marginally
as compared to last year primarily on account of contractual escalations and increase in dollar
denominated costs in rupee terms, partially offset by the impact of higher finance income.
Now moving to an important update. We have recently received further communication from our
OEM, Pratt & Whitney, with respect to the powder metal issues. Globally, we understand that a large number of incremental engines are being removed for shop visits between 2023 a nd 2026
and majority of these incremental engine removals are planned for 2023 and early 2024.
Our current estimates indicate that, these accelerated removals and incremental shop visits will
further adversely impact our operating fleet from Q4 onwards, which is post January 1st 2024,
and would lead to higher number of groundings.
We are in constant touch with the OEM to navigate through these challenges. Further, to deliver
on our planned capacity and to cater to the robust demand, we are executing a r ange of mitigation
measures. In this direction, we started to take actions months ago and till date we have
• Retained 14 CEOs in our fleet
• Extended and re -inducted 36 aircraft
• Executed damp leases of 2 widebodies flying on our Istanbul route and damp lease s of
11 additional aircraft which will be starting operations this month.
• Additionally, we are executing leases for 12 additional CEOs from secondary market
with deliveries expected from January 2024 onwards
Apart from this, we will keep on exploring addi tional capacity from the secondary market. With
these mitigation initiatives, we reiterate our financial year 2024 capacity growth guidance of north
of mid -teens, and we also remain confident in meeting our long- term capacity guidance.

On the balance s heet side, our liquidity position has further improved as we ended the September quarter with free cash of 180.8 billion rupees. This translates to a net increase of 23.9 billion rupees as compared to the June quarter.
Further, we ended the September quarter with a capitalized operating lease liability of 455.2 billion rupees and a total debt, including the capitalized operating lease liability of 493.9 billion rupees.
We have also taken deliveries of 18 aircraft during the quarter and closed the quart er at a total fleet of 334 aircraft. Given our large order book of around 980 aircraft, one of our current endeavors is diversifying our source of financing. For this purpose, subject to regulatory approvals, we are in the process of setting up aircraft le asing unit in the GIFT City in Gujarat that will enhance our access to capital from lessors across the world. We are also exploring different forms of leases and have leased 2 aircraft on finance lease in this quarter. Given our healthy free cash, we are a lso considering purchase of certain aircraft and related assets in the coming quarters.
Moving on to the third quarter, while we are still awaiting the service bulletin from Pratt & Whitney, which will give us further clarity on our capacity, we are curr ently estimating around 25 percent capacity addition in the third quarter on a year -over -year basis. Further, as compared to the third quarter of the last financial year, we are expecting similar trends in yields and load factors.
Currently, we do have so me challenges in the form of supply chain issues. However, we are navigating these headwinds with our mitigation plan and remain committed to generate shareholder value.
With this, let me hand it back to Richa.
Richa Chhabra: Thank you Pieter and Gaurav. To answer as many questions as possible, I would like to request that each participant limit themselves to one question and one brief follow -up question, if needed. And with that, we are ready for the Q&A .
Moderator: The first q uestion is from the line of Amyn Pirani from J.P. Morgan. Please go ahead.
Amyn Pirani: My question is basically regarding the expenditure line items So, while yields and revenue have been like you guided. We have seen at least two -line items in the form of airport fees and supplementary rentals which have actually seen a sequent ial decline quarter -on-quarter so, can you help us understand what is the reason for these saving?
Gaurav Negi: If you look at the airport fees, actually was something that had been going up, but in this current quarter, we've taken a provision reversal wh ich is impacting the current quarter. Just to give you some context around that, there was a notification related to increased airport fee through the RCS scheme that was there, which has been reversed out in the second quarter as a result. There is certai n provision reversal that we've taken in Q2, because of which you are seeing a reduction in the airport rental. As far as the SR rentals are concerned, again, there's a certain amount of

claims that we have received from our OEM partners, which is leading to a one -off in the form of a reduction in Q2. So, these are the two factors which are impacting a reduction at least for this quarter. Other than that, the airport fees, you would have seen a sequential increase quarter -over-quarter for the last few quart ers.
Amyn Pirani: So just as a follow -up then, would it be fair to assume that given that there are some benefits of provision reversal and claim, in the second -half, these numbers could again move up in line with how 1Q was trending is that a fair assumpt ion?
Gaurav Negi: That would be a fair assumption, not exactly in line with Q1, because the revised proposal that has been now given by the Ministry related to airport RCS fee that is there, that has now been revised

from a Rs.5,000 that used to be there t o a Rs.6,000. So, there will be a slight uptick that you will see in airport charges. Supplementary rentals you can them consider in line with the Q1.
Moderator: Next question is from the line of Arvind Sharma from Citi. Please go ahead.
Arvind Sharma: Speaking to these one -offs, if you could just give some idea of the quantum of the one -offs, because there is a substantial reduction and helps the profits, so, if you could give what would be the one -off exceptions in both these line items?
Gaurav Negi: On the airport side, it is close to Rs.150 crores that we have seen as a reversal in Q2. As far as supplementary rentals, like I said, you can probably take it in line with what we have in Q1.
Arvind Sharma: So, roughly around Rs.300 crores would be the one -off?
Gaurav Negi: You can extrapolate from the Q1, but as far as airport rentals are concerned, it's close to Rs.150 crores.
Arvind Sharma: Just a follow up on your opening remarks on the Pratt & Whitney impact. I know it's still a work -in progress, but coul d you give us an idea about how many planes would be grounded and for what duration are these groundings expected, so how long does the does the inspection take in terms of days or months?
Gaurav Negi: A lot of the information is coming in the public domai n as we speak. There is lack of clarity because we are still awaiting, like I said, the service bulletin, which will then enable us to kind of narrow down. As soon as the service bulletin comes, we'll be in a position to then probably communicate a firmer kind of a number around that. So, until then, we'll not have exact kind of guidance related to how much

is going to be the number of aircraft that are going to get impacted.
Again, based on information that has been released by Pratt & Whitney in the publi c domain,
the duration could range between 250 to 300 days. That's the extent of time that they're expecting. It is going to take them for the inspection to be carried out for all the engines that are
going to be recalled.
Moderator: Next question is from the line of Krupashankar from Avendus Spark. Please go ahead.

Krupashankar: First question from my side is on the Pratt & Whitney issue again. I just wanted to understand
as to given the aggressive stance taken by the OEM, is there any sense around what co uld be the
peak grounding one can see during the mid of next year, an approximate number? And what
would be the number of aircraft grounded because of this issue?
Gaurav Negi: So again, like I said, it's very difficult to guesstimate or estimate right now as we await the
service bulletin, which will give us a better picture. So, until that happens, I'll just request that
everyone needs to be patient because we'll wait for the service bulletin, then we'll probably work out what the impact is and then communi cate accordingly. As things stand today, the amount of
grounding is in the 40s. So, right now we've got close to 40s number moving in that particular 40s kind of a range. So that's the extent of grounding with the older issue, the powder metal
issue, which is the new development that has happened related to which we are still awaiting the
service bulletin that's going to be an incremental number to the 40s that we have today.
Pieter Elbers: Maybe let me add here. I'd like to underline that looking at the gr oundings and the potential
future groundings is one angle to look at it. The other angle to look at it is the mitigating
measures which we have been taken. As Gaurav just alluded in his explanation on the numbers, we have taken actually a whole range of measures which is making us comfortable in living up
to our capacity guidance. And you may recall at the beginning of this year when the number of
groundings were still significantly less as compared to the numbers we have today, we gave the capacity guidance

in the north of the mid -teens. If you see where we are today, in fact, we are
comfortably reaching those numbers till date and even for the third quarter, we're comfortable in reaching those numbers. So, we have taken a whole range of mitigating measures , and as
Gaurav mentioned earlier, actually we started already very early with that with the damp leases of the wide body aircraft, the extension of leases, the reintroduction of some of the CEOs and
the new damp leases which we have now recently inducted. So, I think there are really two
angles to this. One of course is the situation and the supply chain challenges the ones we have
today and even the one going forward. But for us, it's very important that we make sure that the market in India which today i s one of the most vibrant markets in the world when it comes to
passenger growth, we have been able to live up actually to our capacity guidance and be able to serve that. And if you look to our passenger number actually just in this second quarter alone, where we do have a passenger number of 26.3 million, which is significantly above last year,
that basically speaks to our ambition to provide that capacity. And we continue to do so looking
forward and the fact that we have announced even in the last coupl e of days, another four new
domestic destinations is underpinning that ambition and also the fact that we are confident on
our mitigating measures to make sure that we can live up to this year's capacity guidance.
Krupashankar: One follow up on this. So, g iven that there is a positive commentary from Airbus with respect
to ramp up of A320 production, is there any way to expedite aircraft procurement from Airbus in the coming next two years?
Pieter Elbers: I think I've mentioned before at IndiGo, of course t he number of groundings is something which
has a lot of focus on us. But compared to some others, we're actually in a position whereby we do have a very significant order book and of course the overall number of the order book is still
under 970 planes to be delivered, probably in the decade to come. And, if we see that the

deliveries every quarter it is a significant number, and also for next year we have a very sizable
number of almost every week we got one new plane coming in, and that's for the entire y ear
going forward. So, if you look at that, for us, it's important that Airbus reconfirms basically their ability to deliver. If they can speed up a couple of airplanes, we will be of course very pleased with that. But the number of planes coming in one pe r week is already a very significant number.
I don't think there's any airline in the world which for such an extended timeframe will have so
many planes coming in on a weekly basis.
Moderator: Next question is from line of Pulkit Patni from Goldman Sachs. Please go ahead.
Pulkit Patni: Sir, two questions. One, on lease cost. Given the fact that we are going and taking more damp
lease, given the fact that we are in an interest rate environment that's pretty high, can you give a
sense of how should we look a t lease cost say over the medium term for us?
Gaurav Negi: The lease cost, especially for the secondary or used planes that we are looking at, there has been
a slight increase in the rental cost when the surge in the demand and the shortage of the supply. So, there is an increase that is being experienced. As we speak, we are looking at, like I
mentioned, additional CEO aircraft that are potentially going to be a little more expensive. But

at the same time, like we said, there's a capacity constraint enviro nment. So, as a result, we feel that these aircraft are going to be coming in where we are able to meet the demand, which is going to support both the capacity side and for us to meet the demand. But at the same time be able to offset this increased cost also. So, overall, it should be a net neutral in terms of the increas

ed cost being offset by the demand that we see and the shortage of capacity which is going to reflect even in the yields and the RASK.

Pulkit Patni: My second question is just to get a se nse of the load factors. I mean as we track the data in the month of October, what I am a little surprised with is that while for some of your competitors who obviously have smaller capacities, load factors tend to be much higher than what is the status fo r us today. And I'm unable to figure a reason for this. Anything that you can help with as to why our load factors are generally 300 to 400 basis points lower than our competition right now?

Pieter Elbers: I think at this point in time it's probably a bit early. October is the first month of the next quarter to be done. So of course, we monitor our load factors, we keep a keen eye. We have developed a lot of new routes and new flying both domestic as well as international. I was mentioning the new destinati ons earlier, but next to the new destinations we've added a lot of new routes. It takes usually one to two months before they're really big. I think there's new routes like Delhi - Jaisalmer introduced on the 12th of October, that take a few weeks before the se markets sort of get traction. So, we follow it closely. I wouldn't be able to draw any more firm conclusions at this point in time, other than a lot of new routes which have been added. And clearly there's a couple of seasonal days and traditionally the day before Dussehra is a bit slower and we have a couple of other days like that.

Moderator: Next question is from line of Venkatesh from Axis Capital. Please go ahead.

Venkatesh: My first question is so far in the month of October; how much are your yiel ds up on a quarter -on-quarter basis vis -à-vis the previous quarter? And on a related note, what you and DGCA have agreed in terms of the winter schedule suggests that 30% capacity growth in the second half, whereas your guidance suggests only a 12% YoY growth. So, is your guidance a little too conservative?

Pieter Elbers: Could you repeat it? Your question is not exactly clear. Sorry about that.

Venkatesh: So, the first part of the question was how much are the yields up in the third quarter vis -à-vis the second quarter so far? And the second part of the question is, I guess, all airlines share a winter schedule, which is for the next six months you mutually agree on the slots with DGCA and according to that data on a YoY basis, in the next six months you wi ll have 30% more slots and 13% more flights YoY, whereas your capacity growth guidance of mid-teens growth only suggests that 12% growth. So, is your second-half guidance a little too conservative?

Pieter Elbers: Let me address your second question and the n Gaurav will do the first one. On your second question, when you look to a season, I think we should keep in mind here that within the season, there's a lot of fluctuation and a lot of variation. So, even if you take the entire IATA winter season running from the end of October till the end of March, there's a lot of weeks and periods in between. So, if you were to compare 30% over 30% and the total season over total season, you've probably come to a somewhat different number. So, that's one. Two, there's still a lot of uncertainties in the schedule, for example, new routes and new openings are depending on some of the processes and steps to be taken around that. So, the schedule also includes some of the uncertainties. And certainly, of course we take into account some consideration in terms of the capacity like we did in the previous quarter. So, a snapshot of season -over -season or week -over - week is not per se a full indicator for what it's there. And of course, there is some sort of cushion for the uncert ainties around the fleet numbers. I think what's important that the beginning of the year we gave you the capacity guid

ance the north mid -teens, Q1 and Q2 we are significantly higher and that was also according to the plan, Q3 is around the corner and then Q4 is still a bit further away with lots of uncertainties as we indicated earlier.

Gaurav Negi: Related to the first question that you had for October, if you look at October on the year -over - year basis, we are trending actually lower than what we had ver sus last year. Again, that's largely because of the religious holidays as well as the fact that Diwali has shifted into November. So, year-over -year the trending has been lower on the yield side, so we're seeing at least on a high single digit basis, the y ields have been lower. We expect that it's going to catch up in November and December where the yields will trend more in line with how they performed last year. So that's at least what we are observing right now.

Venkatesh: A follow up question. You menti oned about how short -term damp leases or wet leases, whichever you are taking are costlier than your normal leases. On a per plane basis, on an average, how much is your short -term leases costlier?

Gaurav Negi: We'll not be able to disclose that to you, please. Sorry.

Venkatesh: Where did you show up? You show up in the depreciation and amortization and interest cost, right, when it increases, where will it show up, the depreciation and amortization and interest cost related to lease liability that will go up, will the supplementary rental also go up?
Gaurav Negi: So, it will start showing up in your aircraft engine rentals, because it's going to be a damp lease, so it will start showing up in your aircraft engine rentals, it will not show up in the depreciation line items. We are usually using all these damp leases on ACMI basis, so the entire maintenance as well insurance is with the provider that we are able to sign up.
Moderator: Next question is f rom the line of Achal Kumar from HSBC. Please go ahead.
Achal Kumar: Two for me please. First, on the demand/supply yield. So, now you are saying that you will try to increase your capacity by mid -teen next year. Unfortunately, if you see the demand trend, we are still at 400,000 passengers and then of course, Air India said that they are adding more than 20 narrow bodies, SpiceJet has recently added five. So, what I'm trying to understand is that what gives you confidence, I mean I'm a bit concerned becaus e we still had 400,000 passengers and while we're at the peak quarter, so what happens if the demand doesn't pick up, would you think you would be adding more capacity then on the international side or do you think it will add pressure on the fares? So, ho w do you see the demand versus supply versus fares and what gives you confidence that you would be able to fill up additional capacity which you're adding a lot of damp leases? And my second question is about the compensation from Pratt. So now of course E uropeans are saying that they've been in discussion with Pratt and they're expecting compensation to flow simultaneously as there have been some grounding. So, what is the trend, I mean, do you expect compensation to come as the groundings are going on or do you think the compensation is sometimes next year only for these groundings?
Pieter Elbers: When it comes to the capacity and demand picture for next year, we should have a bit of a holistic view to what the Indian market is likely to further grow. And as we shared earlier, I think there are some, some pretty good reports, be it from IATA, be it from CAPA, there's some industry reports which are indicating that GDP times two plus little bit is roughly an indication for how traffic will grow, and India ha s sort of consistently either reach these numbers or extended these numbers. So, that that gives a form of indication for how demand will continue to develop next year. When it comes to capacity, I think there's still a lot of uncer

tainty, including for us , that's precisely why we have not given yet any precise capacity guidance for next year, we've given the capacity guidance for this year, and we still left it open for next year and also today we will not be issuing capacity guidance for next year. I thin k again, in general IndiGo is in a good position with so many leases and incoming aircraft that we can always tune the capacity if the capacity demand or the supply demand circumstances change. For the time being, we have the focus on mitigating measures i n order to meet the demand, that's the measures we spoke about earlier. If for whatever reason, the demand would be less, we can always tune that going forward and again, I think we have demonstrated that in the past. So, we feel confident with what we hav e planned for the next six months. We have taken mitigation measures for that. We have not finalized our capacity guidance for next year and we will do that going forward. And the last point you rightfully so, addressed is our increasing international foot print. And today we're at 26% of all our available seat kilometers is international. We have the ambition to

go up to 30%. We know that the share of Indian carriers on the international travel is still well below 50%, so there is still room to grow for the collective Indian carriers. So, even if domestic demand for whatever reason would be a bit softer than anticipated, we still have opportunities to further build on our international network and we can actually see that some of our recent additions are als o helping to get more connecting traffic. So, the more we develop our network, the more we see that India is not only developing as a point -to-point market, but it's developing also in line with the vision of the Indian government, is developing also as a hub in aviation and that in itself is also a good way to deal with fluctuations in demand if any.
Moderator: Next question is from the line of Joseph George from India Infoline. Please go ahead.
Joseph George: Two questions. One is if you can spend a coupl e of minutes to elaborate on the subsidiary that you are setting up with a capital of Rs.30 crores and you also mentioned about corporate guarantees of close to a billion. What exactly is the business model is it a cost center or is it a profit center? Poi nt #2 is you talked about a lot of mitigating factors to offset the engine issues starting January. Are these measures enough to completely offset the impending challenges or do you think it will be difficult to completely offset the impending challenges?
Gaurav Negi: Related to the first question, yes, we are in the process of creating an entity in the GIFT City because it provides us with options to access capital across a wider geography than what we currently have. So, that's one of

the initiatives that we embarked on. It also gives us some tax
benefits also because entities that are set up over there, do get some tax benefits in terms of tax holidays as well as waivers on capital gains. So, with that intent, it's going to be a profit center, it's going to be an entity largely for aircraft financing purposes. So, we are in the midst of getting the necessary approvals. Once those approvals are in place, then we'll be doing aircraft financing through that entity. So that's on the entity bit.

Pieter Elbers: When it comes to your second question on the capacity and the mitigating measures, whether that's enough to offset? I would say so far, yes, it has been. Again, looking at the capacity we provided in Q1, the capacity we provided in Q2, and the capacity whi ch we will provide in Q3, we can say that all the mitigating measures in terms of capacity have been adequate to offset for the supply chain challenges. Going forward, the situation with planes on the ground is likely to increase given the powder metal iss ue, and that's precisely why we take u

p a whole new range
of new measures and new mitigating measures. I would not be in a position today to precisely say that the impact will be offset by the mitigating measures. But I take confidence for what we have done over the past year really in order to get mitigating measures to have a set of measures in place helping us to deal with that situation. So, so far, yes, enough to offset. Going forward, we don't know what's the precise number, we know it's very likely t o go up and therefore, we take new measures, and we are confident again that we will come up with the capacity guidance which we are able to deliver.

Joseph George: Just a follow up there. For the subsidiary, will it only be for captive use by IndiGo or wi ll you be open to providing these services for other airlines as well?

Gaurav Negi: This is exclusively for captive purposes only.

Moderator: Next question is from the line of Prateek Kumar from Jefferies India. Please go ahead.

Prateek Kumar: My first que stion is on fuel charge. So, what is the understanding on this fuel charge which we introduced this year versus like we didn't have this fuel charge last year when also ATF prices were higher at least till the mid of the year, and also because the competit ion has not like followed suit with the rolling the fuel charge like yourself, so has this have any impact on base fare adjustment for yourself?

Gaurav Negi: When you compare this with the same period last year, actually we were in a regime where there was a pricing cap both on the upper end and the lower end. So that pricing caps were factoring in rather the fuel elements to it. As we've seen over the last few months, there's been a significant increase in the ATF, and as the outlook also the way one looks at the geopolitical situation that is developing, the ATF has been hovering on the higher end of at least the spectrum that we had earmarked for ourselves. So, as a result, that was the reason why we had to introduce a fuel charge, because the substantial portion of our cost obviously is ATF and that was to mitigate
those increases that we had seen starting from largely June onwards, the ATF had gone up by close to 30%. So, that was the rationale to introduce that. Post the introduction of the fuel charges , there has been some adjustments that we've done to the base fare in line with ensuring
that at least the demand holds because we want to optimize our revenue. So, while we've increased the fare side, there were some elements of base fare adjustments that we kept. But,
we'll continue to keep the fuel charge because we do see that the ATF is still on the higher end of our spectrum that we had kind of laid out for ourselves. And we'll keep monitoring this space as and when things kind of change, we'll take a call on that. But as of now, yes, we continue with the fuel charge, and it was largely introduced to offset some of the increases in the ATF that we saw in the last three or four months.

Prateek Kumar: So, this fuel charge suggested like some 10% increase in yields as such, but not very clear at what was the base price of ATF, it was considered like while deciding. So, let's say ATF price dropped below Rs.80,000 per kiloliter, then we like to sort of get rid of this fuel charge or how does that work?

Gaura v Negi: We'll take that call. We haven't kind of disclosed that, in the sense that fuel is just one element like you've seen the expense side, there's significant increases that are happening across the line items. We've talked about airport charges been i ncreased. Fuel is just one element of it. So, it's
not going to be exclusively just a fuel reaching a certain level or going down a certain level that will influence that decision, it's a holistic decision that we take. But for the time being, it's going
to be there.

Prateek Kumar: So, precisely what's not very clear, so we could have like anyway

adjusted the base fares upwards
and addressed all the increases in the cost of operations because other companies have anyway not followed suit. So, the decision o n fuel charge also attracts government attention as well as
consumers attention. So, the decision was sort of not very clear at the first point. So, yes, that's what the clarity I was looking for. But as you are saying that other charges are also increasin g, so it will also address that. Yes, so that's what the question was.

Pieter Elbers: Let me be clear. The driver is a gradual increase of fuel prices and fuel prices are fluctuating and there are certain trends and certain expectations even also geopoliti cally what is happening with the fuel price going forward. Therefore, it was introduced as a way to mitigate the rising fuel prices. You mentioned competitors did not follow. It's totally up to the competitors themselves to decide what to do and what not t o do. What is important for us is that we find a good balance and therefore in the dynamic movement of fares based on demand and elasticity, we make sure that the fuel prices are being reflected in the pricing of our tickets.
Moderator: Next question is fr om the line of Ansuman Deb from ICICI Securities. Please go ahead.
Ansuman Deb: I have two questions. First is on the secondary leasing efforts that we are doing, do we retain some kind of a competitive advantage even in the secondary markets like we do in case of primary markets because of our balance sheet and because of our high rating among the airlines, that is one? Second is that in terms of the international routes that we have already started and been there for some time, if you could share some of your experience in terms of how the actual experience has been versus what you expected when you started those routes? Which are the markets you think in international where you can see a better growth going ahead?
Gaurav Negi: The short answer to the firs t one is yes, we do see a significant advantage because again it's related to the brand that we have and what we kind of had experiences with a large part of the lesser community and various service providers who are willing to extend leases to us, damp leases or dry leases to us. So, we definitely do have an advantage.
Pieter Elbers: When it comes to these new destinations, I think Central Asia has been a very successful start with load factors above 80% roughly since the start of the operation, same would go for Jakarta. And for Nairobi, we're still a little bit more up in the startup phase. So, I would say in general the start has been actually very successful. It's just a couple of weeks. So, it's probably a bit too early to have any firm conclusions, but it just shows actually a couple of things that when it comes to international direct connections, India was to some extent somewhat underserved and for sure when it comes to offering international flights by Indian carriers, India was underserved. So, we are in fact inspired and then enthused by these first results, and it's also therefore that I mentioned Bali and Medina as potential new destinations in the quarters to come.
Moderator: Next question is from the line of Kushagra from Old Bridge Capital. P lease go ahead.
Kushagra: Just two questions. One, last time you spoke about certain things on the balance sheet on the capital allocation side. So, anything concrete you've finalized in terms of investments and including the amount of cash you want to kee p on a balance sheet? And a related question is, there was a press release from your side in terms of the tax demand to the tune of Rs.6,300 odd crores. Can you provide some more color as to how much merit is there in that demand and will it impact your fu ture cash flows as well because it speaks about taxing your sales and lease back transition?
Gaurav Negi: So, related to the first one in terms of capi

tal allocation, yes, we've started to make investments.
We've talked about investments that we're doing i n our digital transformation space. Beyond

that, obviously, we've made some investments in our hangers in Delhi as well as Bangalore that we've come about. We talked about now making investments into buying of aircraft, especially starting with the smaller aircraft that we have, the ATR. So, there's some work that is happening on that front. So, we're looking at purchases in the coming quarters where we'll be utilizing some of our capital towards that. And then from a long -term standpoint, we will be lookin g at even associated assets like engines which can be procured on a cash basis. So that's largely the trajectory that we're looking at in terms of our capital deployment. The second question I'm not too sure related to what notice you're talking about, bec ause if you can probably connect with the IR team separately because we are not aware of which notice you're refereeing to.
Kushagra: Sure, I'll connect it directly on this one.
Moderator: Next question is from the line of Jinesh Joshi from Prabhudas Lill adher. Please go ahead.
Jinesh Joshi: I just have one question with respect to our fleet size guidance, which we gave some time back at the analyst day. And if I recall properly, the guidance was at about 350 -odd for FY24. But, if I look at the delivery sc hedule of Airbus, I mean, it has been consistently declining over the last four to five years. In fact, in September '23 delivery count was 488 and if I simply annualize that number for this year, I mean, they may not deliver something which can be higher than what they did last year. But despite that our deliveries are steady and we are already at 334 currently. So, what I want to understand is that are we getting a higher share in Airbus deliveries and how does this arrangement actually work? And given the count which we have currently, are we revising our guidance for 350?
Pieter Elbers: No, we're not. We're, in fact, right on track. And I think it was also related to some earlier

question. So, we're right on track when it comes to the deliveries, we are not changing our guidance for the number of planes at the end of the ye ar. Could shift one or two between the quarters, but we feel comfortable in terms of the guidance we have given earlier and these planes are not allocated at the beginning of the year precisely divided in equal numbers quarterly. So, some were even rolling over from last year to this year, then we have a breakdown in this year over the various quarters. You can't say that all these planes are precisely allocated over the 52 weeks of the year or the four quarters of the year. But today, 334 is what you menti oned, we are comfortable on our 350 guidance by the end of this financial year.
Jinesh Joshi: Just one follow up. I think in one of your opening remarks, you mentioned that we are expecting one fleet per week for the next financial year. I mean, is that un derstanding correct?
Pieter Elbers: That's for FY25. Yes, that's correct understanding. And then, of course, what is going to be the precise number? It depends on what's the redeliveries and I think it's actually also a reflection of one of the earlier que stions on the capacity and the demand quotation. Again, we know how many planes there are coming and then we have some flexibility with redeliveries which is also scheduled for next year. So, what I mentioned indeed the number was for next year, yes.
Moder ator: Next question is from Pramod Kumar from UBS Group. Please go ahead.

Pramod Kumar: Two questions, sir. First is on the compensation for the OEM. If you can just help us understand the economics of that for the existing 40 aircraft, how is it, generall y is it more remunerative or how the economics versus say aircraft in the air? At the sa

me time, on these rental grounded aircraft, how does the accounting work because these aircraft are something which have grounded?
Gaurav Negi: Pramod, Unfortunately, w e can't get into the specifics of the compensation.
Pramod Kumar: But, Gaurav, directly one is the impact on market share and all of that because the aircraft are grounded. But from a composition perspective, how does as in one of the basic parameters wit h the OEM or how do you negotiate with them? Just to understand are we taking a big hit already for the 40 aircraft on the ground and as the number of aircraft gets larger and the leasing market also gets tighter, economically what will be the impact on P& L.
Gaurav Negi: Again, it's complex, it's not as simple, you kind of express something and you get what you kind of wish for. The whole idea is that the negotiations are ongoing with the OEMs primarily to get spares. So, the whole idea is to get the AOG reduced. Aside from that, obviously there's a dialogue that is happening related to compensation so that it's cost neutral. The whole idea would be towards work towards the cost neutral situation. Some of it get worked out in a particular financial year, som e get deferred over a broader period of time. So, standalone it will be very difficult for us to go into more details around it, but rest assured, the dialogues that are happening with the OEMs are constructive right now to ensure that the AOGs are reduced at the earliest, and at the same time, if there is an incremental cost that is being incurred by the airlines, which is us, is kind of compensated. So, those dialogues are ongoing. It may happen that some amount of that compensation may come in a given quarter, some may come over an extended period of time. So, as a result, what we can assure you, those discussions are going in the positive directions as far as our dialogues with the OEMs have been thus far. So, I'll leave it at that. I can't get into more specifics related to compensation because I'm sure every airlines have their own contracts and they have their own set of negotiations that they may be doing.
Pramod Kumar: You guys talked about the salary increase from October. If you can just help us understand what is the order of increase what we're looking at here?
Gaurav Negi: Just if you don't mind, can you repeat the question?
Pramod Kumar: I was talking about the salary increases which will be kind of getting implemented for the staff? No issues. I'll take it offline.
Moderator: Ladies and gentlemen, we'll take that as a last question. I will now hand the conference over to Mr. Pieter Elbers for closing comments.
Pieter Elbers: Thank you so much, ladies and gentlemen. Thank you for being with us. I w ould like to express my deepest gratitude to all our loyal IndiGo customers and also our IndiGo employees for their hard work. And as we navigate through some short -term challenges, our customers' unwavering support and trust in IndiGo is what keeps us mot ivated to deliver better and reach even greater

heights. And I'm sure you have seen, we're well on track in achieving our parameters. Ladies and gentlemen, thank you very much for your attention. Looking forward to talking to you next quarter and for now, Happy Diwali next week, full of lights and joy for all of you.
Moderator: Thank you very much. Ladies and g entlemen, o n behalf of IndiGo, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Note: This transcript has been edited for readability and is not a verbatim record of the call

Call: Feb 2024

February 8, 2024 IGAL/SECT/2 -24/11
To
National Stock Exchange of India Limited
Exchange Plaza, C - 1, Block G
Bandra Kurla Complex
Bandra - (E)
Mumbai - 400 051
Symbol: INDIGO To
Department of Corporate Services
BSE Limited
Phiroze Jeejeebhoy Tower
Dalal Street
Mumbai - 400 001
Scrip Code: 539448
Sub: Transcript of earnings call on financial results for the quarter and nine months ended
December 31, 2023
Dear Sir / Madam,
Pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations,
2015, please find attached the transcript of earnings call held on February 2, 2024, on financial results
for the quarter and nine months ended December 31, 2023.
We request you to please take the same on record.
Thanking you,
For InterGlobe Aviation Limited
Neerja Sharma
Company Secretary and Chief Compliance Officer
Encl: As above
InterGlobe Aviation Limited
Registered Office: Upper Ground Floor, Thapar House, Gate No. 2, Western Wing, 124 Janpath, New Delhi – 110 001, India.
M +91 9650098905,
F + 91 11 43513200 Email: corporate@goindigo.in
Corporate Office : Emaar Capital Tower -II, Sector -26, Sikanderpur Ghosi, MG Road, Gurugram -122022, Haryana, India. T
+91 124 435 2500.
CIN no.: L62100DL2004PLC129768

Call: Feb 2024

February 8, 2024 IGAL/SECT/2 -24/11
To
National Stock Exchange of India Limited
Exchange Plaza, C - 1, Block G
Bandra Kurla Complex
Bandra - (E)
Mumbai - 400 051
Symbol: INDIGO To
Department of Corporate Services
BSE Limited
Phiroze Jeejeebhoy Tower
Dalal Street
Mumbai - 400 001
Scrip Code: 539448
Sub: Transcript of earnings call on financial results for the quarter and nine months ended December 31, 2023
Dear Sir / Madam,
Pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find attached the transcript of earnings call held on February 2, 2024, on financial results for the quarter and nine months ended December 31, 2023.
We request you to please take the same on record.
Thanking you,
For InterGlobe Aviation Limited
Neerja Sharma
Company Secretary and Chief Compliance Officer
Encl: As above
InterGlobe Aviation Limited
Registered Office: Upper Ground Floor, Thapar House, Gate No. 2, Western Wing, 124 Janpath, New Delhi – 110 001, India. M +91 9650098905,
F + 91 11 43513200 Email: corporate@goindigo.in
Corporate Office : Emaar Capital Tower -II, Sector -26, Sikanderpur Ghosi, MG Road, Gurugram -122022, Haryana, India. T +91 124 435 2500.
CIN no.: L62100DL2004PLC129768

Call: May 2024

“IndiGo Fourth Quarter and Fiscal Year 2024
Financial Results Conference Call”

May 23, 2024

MANAGEMENT : MR. PIETER ELBERS – CHIEF EXECUTIVE OFFICER
MR. GAURAV NEGI – CHIEF FINANCIAL OFFICER
MR. KAILASH RANA – HEAD, INVESTOR RELATIONS
Ms. RICHA CHHABRA – DIRECTOR, INVESTOR
RELATIONS

Operator: Good evening, ladies and gentlemen and welcome to IndiGo’s Conference Call to discuss the fourth quarter and fiscal year 2024 financial results. My name is Neerav, and I will be your coordinator. At this time, the participants are in a listen -only mode. A question-and -answer session will follow today’s management discussion.
As a reminder, today’s conference call is being recorded. I would now like to turn the call over to your moderator, Ms. Richa Chhabra from the Investor Relations team of IndiGo .
Richa Chhabra : Good evening, everyone, and thank you for joining us for the fourth quarter and fiscal year 2024 earnings call.
We have with us our Chief Executive Officer - Pieter Elbers and our Chief Financial Officer – Gaurav Negi and our Head of Investor Relations – Kailash Rana to discuss the financial performance and are available for the Q&A session.
Please note that today’s discussion may contain certain statements on our business or financials which may be construed as forward -looking. Our actual results may be materially different from these forward -looking statements.
The information provided on this call is as of today’s date and we undertake no obligation to update the information subsequently.
We will upload the transcript of prepared remarks by day end. The transcript of the Q&A session will be uploaded subsequently.
With this, let me hand over the call to Pieter Elbers .
Pieter Elb ers: Good evening, ladies and gentlemen and thank you so much for joining the call. We announced our financial results for the fourth quarter and the financial year 2024 today.
As we reflect on the financial year 2024, it is evident that we reached many new heights and ventured across new frontiers achieving numerous milestones along the way that have translated

into robust financial performance for the year. The strong execution of our strategy has yielded consistent results for us helping us achieve targets that we had set out for ourselves as a team at the beginning of this year.
For the financial year 2024, we reported our (highest ever) total income of around 712 billion rupees which is 27% higher than financial year 2023. In terms of profitability, we reported an annual net profit of around 82 billion rupees as against a marginal loss for the financial year 2023.
For the fourth quarter of financial year 2024, we reported a total income of 185 billion rupees and net profit of 18.9 billion rupees, with these results we are now profitable for 6 consecutive quarters post Covid. Also, after a period of 5 years, we have been profitable in all the 4 quarters in a

financial year. These results are really a testament to the loyalty of our 107 million customers, the execution of our strategy “towards new heights and across new frontiers” and the dedication of more than tens of thousands of IndiGo employees who worked relentlessly and collectively. I would like to express my gratitude to each of our customer for placing their trust in us and our employees for their hard work.
India is home to the world’s largest population and soon will become the third largest economy in the world. In the financial year 2024, the passengers served by Indian aviation industry grew by 14.5% on a year over year basis to touch a new milestone of 184 million annual passengers.
Apart from the overall favourable macro -economic trends in our country such as the rise in per capita income and favourable demographics, there are new travel trends emerging such as experiential travel, growth in spiritual to urism and increasing demand for international travel that will continue to drive the overall growth of the Indian Aviation Industry. Thus, there is an immediate need for an aviation ecosystem that matches the size and potential of India.
A stride forward in this direction was our firm order

for 500 A320 neo family aircraft announced
in June of last year . This order was not just IndiGo’s largest order, but also the largest -ever single aircraft purchase by any airline with Airbus.
Today, we operate 88 domestic destinations with over 400 direct routes. 10 of these destinations were added in the last year itself. We fly and intend to fly to each airport of a certain size in the country. On the International network side, we have about 100 direct international routes to 33
International destinations from 18 Indian cities. During the financial year 2024, we launched 7 new international destinations across Asia and Africa and also expanded our direct routes by 25 percent.
Now moving to an important announcement, keeping in mind the evolving needs and aspirations of our Indian consumers, we are taking the next step in the evolution of IndiGo. We will be launching a tailor -made business product on the busiest routes and business routes of the country before the end of this year. There is an ever -growing need for premium t ravel in India and by launching this new product we will create a desired option for many who are aiming to travel business , and perhaps for the first time i n their lives.
We are truly enthused by entering this new phase and we will be unveiling more information around the offering, the routes and the launch dates in the coming August…so please stay tuned for more updates on the same.
On the international network side, our codeshare partnerships continue to grow, and we saw an impressive growth of around 45% in the number of passengers flown through our codeshares in financial year 2024 compared to last year. During the financial year, we signed codeshare agreement with British Airways and a memorandum of understanding for a codeshare partnership with Malaysian Airlines. Furthermore, we extended our codeshare agreement with Qantas allowing our customers access to 7 new connections to Australia via Singapore. These new destinations and routes helped unlock remarkable opportunities for both business and leisure
travellers seeking seamless connectivity to various corners of the world.

Further towards our goal of Internationalization, we recently had a landmark development as we placed an order for 30 Firm Airbus A350 -900 aircraft. As was discussed during our last call, the significance of both our aircraft orders comprising 500 narrowbodies and 30 widebodies extends beyond their individual components. Together, they form a cohesive strategy, not only, aimed at achieving our vision of making IndiGo a global aviation player but also help us realize India’s vision of developing India into a global aviation hub.
Our current pending orderbook of a little short of 1,000 aircraft to be delivered up until 2035, gives us long -term visibility well into the next decade. For many years to come, we will receive a minimum of one new plane every week. And this speaks a lot about India, probably, being the last frontier of aviation growth of such a high magnitude and the part IndiGo is poised to play in it.
Though our performance has been robust, it's essential to view these results in the context of

external headwinds we faced during the year. The financial year 2024 saw headwinds in the form of aircraft groundings. However, we stood firm in our resolve, ada pted swiftly to change, and emerged stronger. And these results speak volumes about our team's ability to adapt and overcome challenges. Our employees' commitment to excellence has been a critical factor in achieving our goals this year.

Further, our performance has been continuously recognized as we had the honor of receiving several prestigious awards and accolades such as 'Airline of the Year' at the 'Air Transport Awards 2024 ,'The Best Low -Cost Airline in India and South Asia' at the Skytrax World Airline Awards and 'Asia Environmental Sustainabilit

y Airline of the Year' award by CAPA. These recognitions underscore our excellence and leadership in the market.

The combination of a rapidly growing economy and our strategic initiatives positions us for the unprecedented growth. With our target of 600 plus aircraft fleet by the end of this decade in mind, we continue to develop and align people, processes and technology in line with the growing size and scale of IndiGo.

In conclusion, the year gone by had some remarkable achievements and milestones which have translated into very positive financial outcomes. Looking ahead to the next financial year, while we acknowledge the presence of certain headwinds, we do so with optimism and confidence in our ability to navigate through them successfully. Again, o ur guidance of early double -digit growth – in terms of the capacity and the passengers on board, for the next year, reflects our confidence in our plan in place to navigate the challenges and capitalize on the opportunities that lie ahead. We are well on track towards our long -term strategic objectives and investing heavily to further build upon our strong foundations.

Let me now hand over the call to Gaurav to discuss the financial performance in detail.

Gaurav Negi : Thank you, Pieter and good evening, everyone.

For the year ended March 2024, we reported a profit of 81.7 billion rupees with a net profit margin

of 11.9% compared to a net loss of 3.1 billion rupees for the year ended March 2023. Excluding the foreign exchange impact, we reported a profit of 88.9 billion rupees compared to a profit of 26.5 billion rupees for the year ended March 2023. Our capacity for the financial year increased by 21.8% as compared to last year.

We reported an EBITDAR of 175.4 billion rupees for the year ended March 2024 compared to an EBITDAR of 73.1 billion rupees for the year ended March 2023, a growth of 140% against a capacity increase of around 22% primarily due to improvement in load factor s, benign fuel & forex environment.

For the quarter ended March 2024, we reported a net profit of 18.9 billion rupees with a margin of 10.6% compared to a net profit of 9.2 billion rupees and a net margin of 6.5% for the quarter ended March 2023. This translates into a net margin improvement of 4.1 points. Further, we reported an EBITDAR of 44.1 billion rupees with an EBITDAR margin of 24.8%.

For the quarter ended March 2024, the unit revenues came in at 5.13 rupees, which is about 10% higher on a year over year basis. The yields improved by 7% and the load factors came in strong at 86.3%, an improvement of 2.1 points on a year over year basis.

On the cost side, the fuel CASK reduced by 6.9% primarily due to a reduction in average fuel prices. Looking at the non -fuel costs, the CASK ex fuel came in at 2.90 rupees which is 14.7% higher than the same quarter last year. Further, the rupee closed wea ker at the quarter end leading to a forex loss of around 1.7 billion rupees. Moving to the unit cost ex fuel ex forex there is a YoY increase of about 9% mainly due to cost escalations, grounding-related costs and increase in employee costs.

Due to our strong financial performance, our liquidity has further improved as we ended the March quarter with free cash of 208.2 billion rupees. This translates to an increase of 16.2 billion rupees as compared to the December quarter end.

Furthermore, during the quarter on account of our continued strong liquidity position and financial performance, CRISIL assigned us a long-term credit rating of AA - / Stable and a short -term credit rating of A1+.

We ended the quarter with a capitalized operating lease liability of around 435 billion rupees and a total debt, including the capitalized operating lease liability of around 513 billion rupees. Our right to use assets at the quarter end were 342 billion r upees.

As Pieter highlighted, these results

should be looked in the context of headwinds we faced during the year, in the form of AOG situation. During the financial year 2024, we added 65 aircraft including 12 damp -leased aircraft and during the quarter ended Ma rch 2024 we added 9 aircraft to our fleet. With these additional aircraft and lease extensions that we had carried out we were able to mitigate the adverse situation well and through all these measures, we exceeded our initial capacity guidance of north o f mid -teens in the financial year 2024. Currently, the AOG count remains range bound. Going forward, we will continue to assess the situation and adjust our

mitigation measures to continue to meet our growth targets.

We have already provided a capacity guidance that we will broadly grow our capacity at early double digits in the financial year 2025 as compared to financial year 2024. For the first quarter of financial year 2025, we are expecting to add around 10 to 12% capacity as compared to same period last year which translates to around 3 to 5% capacity growth on a sequential basis. With this growth projection for the first quarter of financial year 2025, we are likely to be back to the quarterly capacity which we had prior to the accelerated inspection of engines due to the powder metal issue. Further, we are currently experiencing similar revenue environment in Q1FY25 as compared to Q1FY24.

As we look ahead, it's imperative that we acknowledge the task at hand with respect to our growth targets and the cost dimensions. There are inflationary pressures in certain cost line items that we are foreseeing in next financial year. However, we remain focused on cost optimization efforts to create maximum shareholder value. What truly sets us apart is our ability to adapt and innovate in a rapidly changing environment. Our strong foundations and focused execution of our strategy has positioned us for sustained growth in the years to come.

With this, let me hand it back to Richa.

Richa Chhabra: Thank you, Pieter and Gaurav . To answer as many questions as possible, I would like to request that each participant limit themselves to one question and one brief follow -up question, if needed. And with that, we are ready for the Q&A .

Moderator: The first question is from the line of Binay Singh from Morgan Stanley.

Binay Singh: Congratulations on a good set of numbers. Actually, I'll just pick up from the comment that was there in the opening statement on inflationary cost pressures. So could you talk a little bit in more detail about the coming financial year, which are the line items where you see more cost pressure? And also if you could reflect back on FY '24, any one -off expenses that you had in FY '24 relating grounding, which wasn't compensated which sort of offsets it or so. So that will be my question to just get more det ails on this.

Gaurav Negi: Binay, in terms of inflationary pressure that we're talking about is across various line items. Primarily, it's going to be around maintenance and airport fees that we've also talked in the past, so these are primarily the 2 line items that we are seeing i nflation. Outside of that, the normal course of inflation that you will see related to other expenses and employee costs, which are naturally there is also going to play their part in the financial year '25, but the increased inflation levels that we are s eeing is largely on maintenance side as well as on the airport side.

Binay Singh: But these are largely high single -digit inflationary pressures or something more than that?

Gaurav Negi: High single -digit to early double digits is what we are experiencing. It's more than what we have experienced in the past, which was towards low single digit. So there's an increased level that we are seeing at least for these line items.

Binay Singh: And fair to say that there is no one -off expenditure in FY '24, which sort of offset some of these things as your fleet comes back?

Gaurav Negi: There were some elements of cost that we are still negotiating, as we have said, related to grounding. So there could be a timing difference between one financial year versus the other. So barring that, there's no significant one -offs that we have. It's more timing that will pay out between 2 financial years.

Moderator: Next question is from the line of Amyn Pirani from JP Morgan Chase & Co.

Amyn Pirani: My question was on the comment that you made that in 1Q this year, you are taking a similar revenue environment compared to 1Q of last year. So were you indicating like in terms of the yield direction?

Gaurav Negi: We were indicating more on the passenger RASK level. So more towards that, it's a balance between the yields and the load factors. So we're trying to see that the revenue comes in line with what we had in Q1 of last year.

Amyn Pirani: Okay. The reason I asked is because unlike most years, this year's 4Q RASK is almost similar or even slightly higher than 1Q. And normally, from 4Q to 1Q, the seasonality is positive. So just trying to get some more colour there. Are you expecting seasonally RASK to flatten out versus the normal seasonality, which is improving in this quarter?

Pieter Elbers: Maybe to supplement on that. I think there's quite a couple of uncertainties in the market today, which makes giving a precise prediction in terms of RASK levels difficult. So that's why we give an indication compared to what it was last year.

Amyn Pirani: Okay. And just a follow -up on the revenue bit itself. The compensation that you get from the

suppliers on the grounded aircraft, that comes in into your other income line?
Gaurav Negi: It comes into revenue from operations, other operating income.
Amyn Pirani: Okay. And there, can you give a broad sense as to given the amount of compensation you think that's due, how much of that broadly would have come in till date? Is there a possibility to give a broad idea?
Gaurav Negi: Unfortunately not. So whatever is captured, you can probably go through those financials, but we're not calling out anything specific on that.
Moderator: Next question is from the line of Ansuman Deb from ICICI Securities.
Ansuman Deb: My question was regarding the spread for FY '25 because you mentioned about the fact that FY '24 should be looked from the perspective of headwinds we had, right? So when we look at FY '25, there could be a little bit of mitigation in the AOG scenario. We can have inflationary expectat ion, as you said.

There would be also some investments or some expense towards the new business class that we are bringing in. So if you could help us , because there are multiple pluses and minuses in play in FY '25, if you could give colour on the possible spread directionally in FY '25.
Gaurav Negi: Ansuman, again, we are not giving any kind of guidance related to the spread for the whole year. So we'll take it one step at a time. We give you the guidance in terms of capacity that we see for this particular quarter as well as what we see the revenue environment like, we'll limit ourselves to that for the time being.
Ansuman Deb: Fair enough. J ust continuing that part, in terms of aircraft on ground, have we seen the worst behind us or in terms of that impacting the cost, is it like the worst behind us?
Gaurav Negi: Yes. So what we communicated, I think we have peaked to a certain extent, what we called out as a mid -70 number. It's still in that range that we are looking at. So we have not seen anything significantly adverse as we sit today. But again, things will pla y out, but we are not expecting anything which is going to be significantly different. It's, again, going to be range bound. So to a large extent, we are where we need to be from a grounding s

tandpoint.
Again, I'll just elaborate also. So one is the grounding side of it, plus the other is the mitigation side of it. So like I mentioned in my commentary, we are actually looking at capacity reaching the same levels that we had in Q3. So we managed to mitigat e a large part of these groundings in a matter of a quarter, so as to speak. So we're back to the same levels in Q1 of '25.
Moderator: Next question is from the line of Pramod Kumar from UBS Securities Pvt. Ltd.
Pramod Kumar: My question is related to the business product, what you kind of talked about. Can you please help us understand what could be the kind of ramp-up here because if I'm not wrong, you did mention about select routes where you would be using them. And what could be the time line for ramp-up because out of the total aircraft, what we have, the number of routes we service?
What do you see as the potential routes which can absorb a business plus kind of configuration because there'll be a setoff against a number of seats as well. And what could be the likely implications as you do this transition on your existing AS K capacities? Or how should one look at this transition? And how long do you think in terms of time lie when you will be largely done with this particular transition at least on the domestic side?
Pieter Elbers: Yes. Thank you. That's a lot of detailed questions. Maybe just a few words to elucidate on this, and I tried to do that in my introduction words. India is changing rapidly, and the needs of the Indian consumers are changing rapidly. And we see that happeni ng over the past couple of years.
So against that backdrop and looking at the network of IndiGo with a quite a couple of routes with a very high frequency with a lot of business -related travel, we felt collectively that this was the right moment to move into that space.
So I would say it's a natural evolution, which sort of coinciding with our turning 18 by August of this year. So we see the market developing. We see IndiGo developing, and we see a growing desire for our customers to have more travel options, if you wish. That's the reason why we made this announcement today.

In the announcement itself, we said it's going to be introduced before the end of the year. Of course, we have been working on this for a while already. So it's going to be introduced before the end of the year. And in the early part of August, we're going to announce more details in terms of timings, in terms of precise number of routes, in terms of exact introduction date and so on and so forth. So as I said, stay tuned for the further developments on this.
Pramod Kumar: And Pieter, just to follow up on that, and this is in context of the yield comment what you kind of alluded to, looks like we are kind of seeing some bit of resistance on demand given how the phase of kind of behaved generally. In that context, how should one look at the business class versus the economy class in terms of the yields and the kind of likely what do you say, net impact, what

IndiGo would face because at one level we are seeing, despite the constraint on capacities and across most of the airlines and some of the routes being dropped by many airlines, reduce frequency, you're seeing that yields are not going higher anywhere from here on.
So given the price sensitivity and the fact that you're talking about business class in this environment, if you can just help us understand what are the factors that you're seeing and whether any specific comments on whether the fare resistance what you're seeing is more on the metro, non-metro routes or Tier 2 rules. Anything if you can just help us understand on the yield behaviour .
Pieter Elbers: Yes. Well, thank you. You have the ability to put around 25 questions in 1. That's well done. But let me just try to give a bit of an elucidation to that. You made a statement that the yields

can go
up. I don't think we phased it like that. We gave some ou tlook for the first quarter, and that's the first quarter outlook as compared to the first quarter last year. And again, these calls, I think, are there to give an outlook for the first quarter and not per se an outlook for the entire year, leave alone for the years ahead.
And I think what you have IndiGo seen doing over the past 2 years is really laying out the strategy with different building blocks, if you wish. And one of these building blocks was to build on the XLR, which we ordered a few years ago, which is going to go in place somewhere next year.
Another building block was internationalization. More recently, we have announced another building block, which is the A 350 coming in to further stretch the reach of IndiGo. And with that, this step, what we're going to do now with this new premium product, which is going to be very IndiGo like in terms of creating a very different structure in the market. That's what we've known
today is precisely matching all the other building blocks.
So fast forward, where India is going to be in 2027 which is, I think, today, the latest sort of forecast is then it will be the third largest economy in the world. So if home is the third largest economy in the world. And if that economy continues to grow and the customers are more and more looking for different travel options, be it from the metros and the non-metros, for us, it's all the normal to start preparing for that now with the introduction of this business class.
So I would really see it as a natural evolution disconnected from whatever yield development we see quarter -over -quarter. I think there's always a lot of actualities involved, be it AOGs, be it some sort of disruptions either this year or past year, be it some bad weather, be it whatever reasons are

involving, take for this step. I mean, this is a long-term step. This is not something we do for just drifting a quarter.
It's part of a holistic strategy and the holistic strategy is to continue, as IndiGo has been known for the past 18 years have the development of IndiGo going hand-in -hand with the development of the Indian economy and if you wish, even society. And therefore, we continue on the very foundations of what IndiGo has been made and when we had the goal around the introduction of the wide -body.
I think I mentioned there, the size of the order is significant enough to have i mpact and prudent enough not to disturb the business model. And I think you should see this step in the very same context. It is significant enough to have impact on the routes where we want to have impact. And again, this will be all shared with you somewhere in the first part of August and prudent enough to continue to serve on our customer promises, which made IndiGo the wonderful airline, it is today.
Moderator: Next question is from the line of Krupashankar NJ from Avendus Spark Institutional Equities .
Krupashankar NJ My first question is on the pilot fatigue norms. Just wanted to get a sense whether we have any incremental information regarding that and whether it will be implemented for the entire fleet starting from June?
Gaurav Negi: No, Krupa. Currently, the matter is sub judice. As you know that the decision has been deferred, but currently, it's been taken to the court. So we are awaiting the next hearing that is due sometime in July. So there's no further com ment s on that.
Krupashankar NJ Got it. And relating to your fleet purchase plans. Is there any target set relating to what would be the portion of smaller aircraft, which will be purchased during the year. Any projections on that front?
Pieter Elbers: I think if you take the order books of all the airlines in the world, IndiGo tops the chart by a long margin. So the decision s taken by IndiGo over the past 12 months, basically have solidified and

made that planning for the years ahead. So beside these 2 very significant orders and steps we've announced over the past year, the 500 Airbus 320 and the wide -body is really creating t he foundation of what we do, and furthermore, going forward, we keep all options open at all times.
So it's a bit of a repetitive answer, but I think you have seen us over time moving in the direction.
But we keep all options open, but I must say the backlog of orders offer us a very solid basis in

going forward.
Krupashankar NJ I understand that, Pieter, but we were of the intention of buying ATRs and to utilize our cash balances that was our plan. That no longer exists, or we are just exploring option at the moment?
Gaurav Negi: No, that option is very much available. So we've got options to buy them also. And in the past, we bought a few of those also. So those options are very much available to us. There's still a set of additional ATRs that are in the backlog that we still have. So as and when they come up for

delivery, we will execute the option, which is best for us. whether it's a lease option or even to use the cash that we have. So very much available to us. So nothing has been ruled out.
Moderator: Next question is from the line of Prateek Kumar from Jefferies India Private Limited.
Prateek Kumar: Congrats for great results. My first question is just a clarification on your cash flow statement. There is a line item phased major inspection and overall cost on leased aircraft of around INR 900 crores, INR919 crores. This is like a maintenance cost, which is capitalized or what is it? Can you just clarify?
Gaurav Negi: These are just the redelivery costs that we reflect separately. These are all related to redelivery.
Prateek Kumar: Okay. But is this something which has come up related to grounding or this was used to be the cost earlier as well.
Gaurav Negi: No, it is as per the accounting policy that we have to disclose this, so nothing new that is coming up.
Prateek Kumar: Okay. And just one question on CASK ex fuel. We generally used to think about it as like around in the range of INR2.6 in current inflationary environment and with last quarter clocking at INR2.9, how should we look at this going forward for the estimate?
Gaurav Negi: So you talking about CASK ex fuel. So there's an element of FX also in that. So there's a sizable amount of FX that is also impacting. Excluding that, obviously, there's an impact from an AOG standpoint. Our overall ASKs went down this quarter, as we menti oned, because of AOGs going up. So there's a dimension of that. And then the remainder is largely because of inflationary pressures that we've spoken about. So a combination of these are pushing up the CASK ex fuel portion. And as the ASKs continue to star t growing upwards for us, with the capacity coming back, we are hopeful to bring this particular unit cost down.
Prateek Kumar: Sure. So, this should trend down from here despite like that inflation comment, which was there earlier in the call. So, this number should come down adjusted for the items there in Q4?
Gaurav Negi: Yes, it should. Like I said, if the capacity continues to grow, it will obviously, because we had a reduced capacity, so there's an element of capacity coming down, which naturally on a per unit basis pushes up the CASK ex fuel portion. As my capacity come s back again in Q1, this particular unit costs are trending downwards. Subject to again, what the inflationary pressures are going to be.
Moderator: Next question is from the line of Sabri Hazarika from Emkay Global Financial Services Ltd.
Sabri Hazarika: Congratulations on good set of numbers. Just one question. So, in terms of damp leases also are we at the peak of it because, I mean, there's been no increase in terms of like 13 damp leases versus what it was actually last quarter. So, I mean, we had some plan

s of like taking another like 20, 25 aircraft from the secondary market. So, is that happening? Or are we at the top of it in terms of damp leases.

Pieter Elbers: I think the approach you have seen for us is an approach whereby we give a capacity guidance to the market, and then we start executing the mitigating measures which are into that. And of course, whenever we give you that capacity guidance, we've done alre ady our homework on those mitigating measures. So when we said for the year, which just closed FY '24, we said in the north of the mid -teens, that was a prudent approach because eventually, we did slightly more, thanks to the effectiveness of all these measures.
We have now given a capacity guidance for this year, FY '25 and also there, that is solidified by not only a stabilizing AOG situation as Gaurav just elucidated to, but also the damp leases we have in place and we continue to work with potential opportunit ies to increase it, to adjust it. I think for us, it's very important to have that flexibility.
So we continue to have a close look at the market. But at this point in time, there is no additional plans other than the ones which are communicated already.
Sabri Hazarika: Right. Got it. Just a follow -up, your A321 NEO fleet has been like almost range bound from the last 2, 3 quarters. So anything to read into that? Or it's like it will get adjusted automatically.
Pieter Elbers: Sorry, I didn't get that question.
Sabri Hazarika: I mean the A321 NEO fleet, around 93, 94 aircraft, so that has remained constant since Q2 FY '24. So, is there anything from Airbus side of like slowing deliveries of 321 NEOs, anything of that sort?

Pieter Elbers: No, there's nothing. We just happen to have a quarter with somewhat lesser number of deliveries, as was mentioned in Gaurav's text. If I recall well, he mentioned 9 of deliveries, and as we continue to go forward, there happen to be a mix of the 320s and 321s. So, this was all pretty much according to the plan and according to the planning which we had with Airbus. And again, there's fluctuations month- over-month and there's fluctuations in the mixture of 320s and 321s. So, I don't think you should read anything else in that other than those fluctuations.

Moderator: Next question is from the line of Arpit Shah from Stallion Asset.

Arpit Shah: Yes. I just wanted to understand, like pre -pandemic our dividend payouts were closer to 100% and since our net worth has become positive again, what kind of payouts we could see in the future going ahead?

Gaurav Negi: Difficult question because we'll have to take it to the Board to get the necessary approvals. But while our net worth has become positive, we are still negative as far as the overall retained earnings is concerned, which is the accumulated reserves that we have in order to pay the dividends.

So, once we cross that threshold, obviously, we'll take the necessary steps to then work towards defining along with, obviously, the Board what the dividend levels need to be. So, a difficult question right now to answer because we are not there yet.

Arpit Shah: In Q1 FY '24, we did see an impact on the competitor airlines going bankrupt, and we saw a very big tailwind on our RASK/CASK spread, leading us to deliver the highest RASK/CASK spread

in our history. So how should we look at Q1 FY '25 given that you've already spoken about some inflationary pressures on airport fees and maintenance growing in double digit. So how should we look at that number? You've already alluded us to some guidance on the RASK, but just to have some better clarity.

Gaurav Negi: I think you're answering the question because like I said, the revenue is in line with what we had last year. I've shared that the cost pressures are there. So you can draw a conclusion in terms of the spread from there on.

Obviously, it's not going to be a repeat of what we had from a spread standpoint where we were last year same quarter. So there are some pressures that we have. But on the whole, the fact is that we are also going to have an increased capacity level versus last year. I gave that guidance also that our capacity is going to grow from 10% to 12%. So a combination of those, I think you can work out what Q1 '25 going t o be like.

Arpit Shah: And the 2.9 CASK numbers start trending downwards, right, delinquent earlier in the call.

Gaurav Negi: It will. So not to forget, there's increased levels of the increase that you're seeing year -over -year is also from the fact that we have AOGs. And like we've said that there is a certain compensation that comes and sits at the other income levels also.

So, what you see as a cost increase has an offset sitting in the revenue side also. So that's why you're seeing that. But on a net basis, it washes off. But overall, as we start pushing up our capacity, we're focused on cost optimization, we pushed those levels. We are hopeful that on a unit basis, the cost excluding the AOG is going to be range bound.

The increase is largely a round of AOG and offset sitting in the revenue and then the inflationary pressures that I talked about also with the fact that we've not grown the capacity the way we would have wanted to because we were hit by an AOG. We are comi ng back to the Q3 levels again, what we were at.

So, all these variables were there. But beyond Q1, we see more stabilization as far as our capacity is concerned, because we would have like, again, what we mentioned, at least from a range bound standpoint, we would have reached a level of normalized AOG levels that we have kin d of guided everyone towards.

Moderator: Next question is from the line of Kushagra from Old Bridge Asset Management Co. Ltd.

Kushagra: Just 2 questions. One, on the international side first, if you can share the international revenue share and profit share in FY '24, if possible. And a related question on the international side is, how big would be the contribution of codeshare arrangements in your international revenue? And if you think about it from the longer -term perspective, having owned wide -bodies, would it in any way hinder the codeshare arrangements which you would have at that point of time? That's my first question.

Gaurav Negi: So, our international contribution, as we've guided earlier also, obviously, it's reached the levels of close to 27% i n the ASK terms. On the revenue terms, it ranges between 20% to 25%. So, on a given quarter, it can range between 20% to 25%. So that's on the international side.

Obviously, we have codeshare. We've got 8 codeshare partnerships that we have. S ome are in the early stages, some are mature. They roughly contribute in probably mid kind of single -digit range. But they've been growing, as we mentioned in our kind of opening statements also. Those kind of

arrangements have been growing at an increment al pace for us. So again, these are positive kind
of indicators for us in terms of our ability to reach the international destinations, although be it
through codeshares right now.
Kushagra: Right. And, having own wide -body does that any way hinder the codeshare arrangements, which
you would have at that point of time over the longer term?
Pieter Elbers: No, it's all part of a holistic strategy as we elucidated to earlier. IndiGo used to be a very domestic -
heavy airline with 90% of its operation on the domestic network. We launched 2 years ago with trajectory to go more
international. And I think we gave a guidance of moving our capacity share
up to 25%, then to 27% and then trajected to move in the range of 30% of international capacity. So we're moving in that
direction. And clearly, whenever the X LR will come in, that number will
go up.
What the codeshares

are doing are in fact twofold, one of the codeshares or part of the codeshares, I should say, is a codeshare of some of the
foreign airlines on IndiGo's domestic network that
doesn't present any international exposure per se but it exposes us to international consumers and
start to work together. The 2 other ones, the one we're having with Turkish Airlines and with
Qantas are really connecting to international flights of IndiGo and then connecting in Istanbul and
Singapore, respectively.
Those are really preparing us for the next stage of operation. And by the time the wide -body will
come in, we will be able to fly to many different parts of the world directly from India. And the good news is that at that point in
time, a lot of these cons umers have already had the experience
to fly with IndiGo. And we'll see how this partnership evolve over time and how they will further
grow and develop going forward.
Kushagra: Sure. That's helpful. Just a small one, the second question, the last one. If you can clarify, is there any sort of a
possibility of you going for further orders of 100-odd planes on the ATR side, which
was there in the news articles. Any clarification on that side?
Pieter Elbers: Yes. I think the topic of fleet came up a bit earlier during this call also. And sorry to be a bit repetitive, if not
consistent in my answer. We keep all options open at all times to serve our
customers and drive growth for our organization going forward. So we've had a good set of orders
and an enormous amount of planes to be delivered. And with that, as I said, we keep all options
open at all times.
Moderator: Next question is from the line of Arvind Sharma from Citi.

Arvind Sharma: First question on the business product side. Is it just the seats and everything? Or is there a loyalty
program, which can come through as well?
Pieter Elbers: Earlier today, I mentioned that we will unveil more specificities of the product itself in August. But to your
question earlier, we have already shared that we are working to enhance our loyalty program. We have a program today as
you may be aware of, and we've announced in earlier calls
that we are working to enhance that program as well going forward.
Arvind Sharma: So that's in addition or apart from the business product?
Pieter Elbers: Yes, there are 2 different things, but they are all part of the same strategy to address the Indian market and the
evolving needs of the Indian consumers. So we have a loyalty program in place
today or rather a sort of co-branded credit card system in place today, that is there. And as part of
the meeting the evolving need of the Indian consumers, we announced already earlier that will
further enhance that program, details to be unveiled.
And of course, you can connect the dots between all the different steps we're taking,
internationalization, wide -body order, now this product. It's all part of a very cohesive and integral
strategy. And when we said earlier, 2 years ago, towards new height s and across new frontiers,
there's a lot of different elements and ingredients. And slowly, slowly, you would see them coming
altogether or rather not so slowly, slowly, actually quite fast, you see them all coming together in
actual implementation.
Arvind Sharma: Just one question on the accounting part. There was a tax credit this quarter. Going forward in
fiscal '25, how many tax rates are there still? Maybe if you can give us some guidance about the
effective tax rate for fiscal '25.
Gaurav Negi: Nothing planned in terms of tax credit. This is just a DTA that we've recognized in this particular
quarter. Again, we've got a significant amount of losses that we had incurred during the pandemic.
So given the extent of those losses, we do not foresee any kind of a tax burden that will come on
IndiGo at least in the next year.
Moderator: Next question is from the line of Sai Si

ddhardha from Kotak Securities Ltd.
Sai Siddhardha: Yes. So firstly, congratulations on a great set of numbers. I wanted to have a bit of clarity on how to look at
the yield given the 4Q yield was on similar lines to what we have seen in the first quarter
as well.

Gaurav Negi: Sorry, not clear on the question. Can you just repeat that, please?
Sai Siddhardha: Is it better now?
Gaurav Negi: Yes, we can hear you, but just repeat the question because I'm not sure I understood the question.
Sai Siddhardha: So the yield in the quarter has been similar to what we have seen a strong number in first quarter. So I just wanted to understand how to look on the same moving forward.

Gaurav Negi: Again, like we said, we're not giving further guidance for the rest of the year. What we've kind of guided towards is on a passenger ASK levels. We are foreseeing that the revenue is going to be in line with what we had in Q1 of last year. So that's what w e are guiding towards, a combination between that is the yields and the loads. So, we are not giving any further guidance in terms of where the yields are going to come in for this quarter as well as for the future quarters.
Moderator: Next question is from the line of Parv Jain from Niveshaay Investment Advisory.
Parv Jain: Sir, just wanted to ask on our plans towards regional air routes. How should we look at it in terms of going forward, what portion of our revenues could be from these regional destinations? And what portion of our revenues are currently from these regional destinati ons? Regional, as in I'm referring to the subsidized routes.
Gaurav Negi: We had a number of routes that were part of the UDAN scheme that we had. Over a period of time, obviously, the number of routes have come down. Having said that, we've continued to operate those even outside of the UDAN scheme. A nd we classify them in our ATR fleet that we have. Because those are the ones where we largely focus on from a regional standpoint.
That contributes roughly around the low single digits to mid -single digits in terms of contribution to the overall revenue. But they are an important component from a feeder traffic standpoint. They then feed into our larger networks of the A320 and the 321s and then also the international.
So again, to Pieter's earlier point, it's a step approach in terms of our strategy we build from the regional when we reach out to the non-metros to the metros and then international. So, it's an important element of our overall strategy.
But given the scale that we have, at least for the A320 fleet that we have, relative to that, it's a smaller fleet. It's close to 45 aircraft that are operating. And it's probably one of the biggest set of fleets in the regional domain. So that's broadly, I think, in terms of the regional fleet question that you had.
Parv Jain : Gaurav, but when we look at the other airlines, they tend to usually operate there for the first initial years and then they tend to stop operating on those routes. In terms of IndiGo going forward, can we expect the routes being operated on these subsidized routes increase? Or how is that trend going to be?
Pieter Elbers: No, I don't think you can make any prediction along that line because even these routes are different routes. Some of them are from non -metro to non-metro, very sort of Tier 3 or even Tier 4 type of cities between those cities and doing quite well. Some ot hers are feeding if you wish into some of the larger metros and from there providing good connectivity.
And that's why the scheme is very effective for the market. It's meant to be a start -up and a generator for creating new routes. And as every sort of entrepreneurial approach, some of them succeed and some of them after a while don't succeed and then we should spend until a moment in the future. So, I would not be able to feel comfortable to give any

numbers, so that's a percentage
stop and open and specifically here or there.

Moderator: Next question is from the line of Aditya Mongia from Kotak Securities Ltd.
Aditya Mongia: So, I'll go with my first question. See, in the past few quarters, we've been seeing yields go up, even though fuel cost per ASK is coming down. Could you give us a sense of what is driving this phenomenon for IndiGo? Related question is that with us now seei ng a decent amount of capacity being added by IndiGo and competit ors this year. Do you expect this trend to reverse sometime in this year?
Gaurav Negi: I think the trend was largely because there was limited capacity while we've added, but there was capacity that was getting taken out at an overall industry level. So that kind of enabled or gave the support from a yield standpoint. And that's the phenomenon that has played out since Q1 of '24 until Q4 of '24.
Again, we are testing out what Q1 is going to look like. So, we are looking at what the levels of yields as well as load factors are going to be again, that's why we are saying that we are foreseeing that the overall P RASK level is going to be similar to what we had in Q1 '24, Aditya. Beyond that, we are not giving any kind of estimate or a guidance. We just want to see how Q1 plays.
Aditya Mongia: Understood. The second question that I had was again taking the clue from what you had said earlier, could you give us a sense of what's the share in your ASK of foreign travellers , domestic and kind of international combined travel. What is this share in ASK of foreign travellers versus what will be it taking forward? Give us a sense of how, let's say, the brand of IndiGo getting up initiative.

Pieter Elbers: I think you should make a difference and if I understand your question correct, we have a share of ASKs international and domestic. That share is anywhere between 25% and 27% quarter -over - quarter in terms of ASKs. That's the ASK share as a total share.
Then we have the number of flights, which is a different ratio, but let's stick to ASKs for a while. Then we welcomed last year 107 million, 106.7 million to be precise customers on board of the network. This is a mixture of domestic or, I should say, Indi an consumers and non -Indian consumers. Those non-Indian consumers, some of them are overseas living, some of them are having different sort of point of place of residence. So, it's very difficult to differentiate that.
What we can say, though, is that with the further increase of one, our own international network; and two, the increase of codeshares that we see an increasing share of sort of non -Indian travellers on our network, but the v ast, vast, vast majority number significantly higher than our ASK share are still Indian consumers. And again, that speaks, I think, to the growth of the Indian market and many of the new destinations, which we have opened, for example, those in Central Asia, we see a high demand from the Indian consumer side in making use of these travel options.
Moderator: Ladies and gentlemen, that will be our last question for today. I would now like to hand the conference over to Mr. Pieter Elbers for closing comments.
Pieter Elbers: Thank you so much. Ladies and gentlemen, thanks a lot for joining us today evening. The financial year 2024 has been a year of really many remarkable achievements and milestones. Moving to the next financial year, we're highly energized by the growth path ahead of us adding more than 1

aircraft every week. The journey towards 2030 will be cemented by an increasing number of planes and increasing number of happy customers and a network that will allow us to further enable our purpose of giving wings to the nation by connecting people and aspirations. Thank you for joining and wishing you a wonderful evening.
Moderator: Thank you very m

uch. Ladies and gentlemen, on behalf of IndiGo, that concludes this conference.
Thank you for joining us, and you may now disconnect your lines. Thank you.

Note: This transcript has been edited for readability and is not a verbatim record of the call

Call: Jun 2024

June 3 , 2024 IGAL/SECT/ 6-24/01
To
National Stock Exchange of India Limited
Exchange Plaza, C - 1, Block G
Bandra Kurla Complex
Bandra - (E)
Mumbai - 400 051
Symbol: INDIGO To
Department of Corporate Services
BSE Limited
Phiroze Jeejeebhoy Tower
Dalal Street
Mumbai - 400 001
Scrip Code: 539448
Sub: Transcript of earnings call on financial results for the quarter and financial year ended
March 31, 2024
Dear Sir / Madam,
Pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations,
2015, please find attached the transcript of earnings call held on May 23 , 2024, on financial results for
the quarter and financial year ended March 31, 2024 .
We request you to please take the same on record.
Thanking you,
For InterGlobe Aviation Limited
Neerja Sharma
Company Secretary and Chief Compliance Officer
Encl: As above
InterGlobe Aviation Limited
Registered Office: Upper Ground Floor, Thapar House, Gate No. 2, Western Wing, 124 Janpath, New Delhi – 110 001, India.
M +91 9650098905,
F + 91 11 43513200 Email: corporate@goindigo.in
Corporate Office : Emaar Capital Tower -II, Sector -26, Sikanderpur Ghosi, MG Road, Gurugram -122022, Haryana, India. T
+91 124 435 2500.
CIN no.: L62100DL2004PLC129768

"IndiGo Fourth Quarter and Fiscal Year 2024
Financial Results Conference Call"

May 23, 2024

MANAGEMENT : MR. PIETER ELBERS – CHIEF EXECUTIVE OFFICER
MR. GAURAV NEGI – CHIEF FINANCIAL OFFICER
MR. KAILASH RANA – HEAD, INVESTOR RELATIONS
Ms. RICHA CHHABRA – DIRECTOR, INVESTOR
RELATIONS

Operator: Good evening, ladies and gentlemen and welcome to IndiGo's Conference Call to discuss the fourth quarter and fiscal year 2024 financial results. My name is Neerav, and I will be your coordinator. At this time, the participants are in a listen -only mode. A question-and -answer session will follow today's management discussion.

As a reminder, today's conference call is being recorded. I would now like to turn the call over to your moderator, Ms. Richa Chhabra from the Investor Relations team of IndiGo .

Richa Chhabra : Good evening, everyone, and thank you for joining us for the fourth quarter and fiscal year 2024 earnings call.

We have with us our Chief Executive Officer - Pieter Elbers and our Chief Financial Officer – Gaurav Negi and our Head of Investor Relations – Kailash Rana to discuss the financial performance and are available for the Q&A session.

Please note that today's discussion may contain certain statements on our business or financials which may be construed as forward -looking. Our actual results may be materially different from these forward -looking statements.

The information provided on this call is as of today's date and we undertake no obligation to update the information subsequently.

We will upload the transcript of prepared remarks by day end. The transcript of the Q&A session will be uploaded subsequently.

With this, let me hand over the call to Pieter Elbers .

Pieter Elb ers: Good evening, ladies and gentlemen and thank you so much for joining the call. We announced our financial results for the fourth quarter and the financial year 2024 today.

As we reflect on the financial year 2024, it is evident that we reached many new heights and ventured across new frontiers achieving numerous milestones along the way that have translated into robust financial performance for the year. The strong execution of our strategy has yielded consistent results for us helping us achieve targets that we had set out for ourselves as a team at the beginning of this year.

For the financial year 2024, we reported our (highest ever) total income of around 712 billion rupees which is 27% higher than financial year 2023. In terms of profitability, we reported an annual net profit of around 82 billion rupees as against a marginal loss for the financial year 2023.

For the fourth quarter of financial year 2024, we reported a total income of 185 billion rupees and net profit of 18.9 billion rupees, with these results we are now profitable for 6 consecutive quarters post Covid. Also, after a period of 5 years, we have been profitable in all the 4 quarters in a

financial year. These results are really a testament to the loyalty of our 107 million customers, the execution of our strategy "towards new heights and across new frontiers" and the dedication of more than tens of thousands of IndiGo employees who worked relentlessly and collectively. I would like to express my gratitude to each of our customer for placing their trust in us and our employees for their hard work.

India is home to the world's largest population and soon will become the third largest economy in the world. In the financial year 2024, the passengers served by Indian aviation industry grew by 14.5% on a year over year basis to touch a new milestone of 184 million annual passengers.

Apart from the overall favourable macro -economic trends in our country such as the rise in per capita income and favourable demographics, there are new travel trends emerging such as experiential travel, growth in spiritual to urism and increasing demand for international travel that will continue to drive the overall growth of the Indian Aviation Industry. Thus, there is an immediate need for an aviation ecosystem that matches the size and potential of India.

A stride forward in this direction was our firm order

for 500 A320 neo family aircraft announced in June of last year . This order was not just IndiGo's largest order, but also the largest -ever single aircraft purchase by any airline with Airbus.

Today, we operate 88 domestic destinations with over 400 direct routes. 10 of these destinations were added in the last year itself. We fly and intend to fly to each airport of a certain size in the country. On the International network side, we have about 100 direct international routes to 33 International destinations from 18 Indian cities. During the financial year 2024, we launched 7

new international destinations across Asia and Africa and also expanded our direct routes by 25 percent.
Now moving to an important announcement, keeping in mind the evolving needs and aspirations of our Indian consumers, we are taking the next step in the evolution of IndiGo. We will be launching a tailor -made business product on the busiest routes and business routes of the country before the end of this year. There is an ever -growing need for premium t ravel in India and by launching this new product we will create a desired option for many who are aiming to travel business , and perhaps for the first time i n their lives.
We are truly enthused by entering this new phase and we will be unveiling more information around the offering, the routes and the launch dates in the coming August…so please stay tuned for more updates on the same.
On the international network side, our codeshare partnerships continue to grow, and we saw an impressive growth of around 45% in the number of passengers flown through our codeshares in financial year 2024 compared to last year. During the financial year, we signed codeshare agreement with British Airways and a memorandum of understanding for a codeshare partnership with Malaysian Airlines. Furthermore, we extended our codeshare agreement with Qantas allowing our customers access to 7 new connections to Australia via Singapore. These new destinations and routes helped unlock remarkable opportunities for both business and leisure
travellers seeking seamless connectivity to various corners of the world.

Further towards our goal of Internationalization, we recently had a landmark development as we placed an order for 30 Firm Airbus A350 -900 aircraft. As was discussed during our last call, the significance of both our aircraft orders comprising 500 narrowbodies and 30 widebodies extends beyond their individual components. Together, they form a cohesive strategy, not only, aimed at achieving our vision of making IndiGo a global aviation player but also help us realize India's vision of developing India into a global aviation hub.
Our current pending orderbook of a little short of 1,000 aircraft to be delivered up until 2035, gives us long -term visibility well into the next decade. For many years to come, we will receive a minimum of one new plane every week. And this speaks a lot about India, probably, being the last frontier of aviation growth of such a high magnitude and the part IndiGo is poised to play in it.
Though our performance has been robust, it's essential to view these results in the context of external headwinds we faced during the year. The financial year 2024 saw headwinds in the form of aircraft groundings. However, we stood firm in our resolve, ada pted swiftly to change, and
emerged stronger. And these results speak volumes about our team's ability to adapt and overcome challenges. Our employees' commitment to excellence has been a critical factor in achieving our goals this year.
Further, our performance has been continuously recognized as we had the honor of receiving several prestigious awards and accolades such as 'Airline of the Year' at the 'Air Transport Awards 2024 ,'The Best Low -Cost Airline in India and South Asia' at the Skytrax World Airline
Awards and 'Asia Environmental Sustainabilit

y Airline of the Year' award by CAPA. These
recognitions underscore our excellence and leadership in the market.
The combination of a rapidly growing economy and our strategic initiatives positions us for the unprecedented growth. With our target of 600 plus aircraft fleet by the end of this decade in mind, we continue to develop and align people, processes and technology in line with the growing size
and scale of IndiGo.
In conclusion, the year gone by had some remarkable achievements and milestones which have translated into very positive financial outcomes. Looking ahead to the next financial year, while we acknowledge the presence of certain headwinds, we do so with optimism and confidence in our ability to navigate through them successfully. Again, o ur guidance of early double -digit
growth – in terms of the capacity and the passengers on board, for the next year, reflects our confidence in our plan in place to navigate the challenges and capitalize on the opportunities that lie ahead. We are well on track towards our long -term strategic objectives and investing heavily to further build upon our strong foundations.
Let me now hand over the call to Gaurav to discuss the financial performance in detail.
Gaurav Negi : Thank you, Pieter and good evening, everyone.
For the year ended March 2024, we reported a profit of 81.7 billion rupees with a net profit margin

of 11.9% compared to a net loss of 3.1 billion rupees for the year ended March 2023. Excluding the foreign exchange impact, we reported a profit of 88.9 billion rupees compared to a profit of 26.5 billion rupees for the year ended March 2023. Our capacity for the financial year increased

by 21.8% as compared to last year.
We reported an EBITDAR of 175.4 billion rupees for the year ended March 2024 compared to an EBITDAR of 73.1 billion rupees for the year ended March 2023, a growth of 140% against a capacity increase of around 22% primarily due to improvement in load factor s, benign fuel & forex environment.
For the quarter ended March 2024, we reported a net profit of 18.9 billion rupees with a margin of 10.6% compared to a net profit of 9.2 billion rupees and a net margin of 6.5% for the quarter ended March 2023. This translates into a net margin improvement of 4.1 points. Further, we reported an EBITDAR of 44.1 billion rupees with an EBITDAR margin of 24.8%.
For the quarter ended March 2024, the unit revenues came in at 5.13 rupees, which is about 10% higher on a year over year basis. The yields improved by 7% and the load factors came in strong at 86.3%, an improvement of 2.1 points on a year over year basis.
On the cost side, the fuel CASK reduced by 6.9% primarily due to a reduction in average fuel prices. Looking at the non -fuel costs, the CASK ex fuel came in at 2.90 rupees which is 14.7% higher than the same quarter last year. Further, the rupee closed wea ker at the quarter end leading to a forex loss of around 1.7 billion rupees. Moving to the unit cost ex fuel ex forex there is a YoY increase of about 9% mainly due to cost escalations, grounding-related costs and increase in employee costs.
Due to our strong financial performance, our liquidity has further improved as we ended the March quarter with free cash of 208.2 billion rupees. This translates to an increase of 16.2 billion rupees as compared to the December quarter end.
Furthermore, during the quarter on account of our continued strong liquidity position and financial performance, CRISIL assigned us a long-term credit rating of AA - / Stable and a short -term credit rating of A1+.
We ended the quarter with a capitalized operating lease liability of around 435 billion rupees and a total debt, including the capitalized operating lease liability of around 513 billion rupees. Our right to use assets at the quarter end were 342 billion r upees.
As Pieter highlighted, these results

should be looked in the context of headwinds we faced during the year, in the form of AOG situation. During the financial year 2024, we added 65 aircraft including 12 damp -leased aircraft and during the quarter ended Ma rch 2024 we added 9 aircraft to our fleet. With these additional aircraft and lease extensions that we had carried out we were able to mitigate the adverse situation well and through all these measures, we exceeded our initial capacity guidance of north o f mid -teens in the financial year 2024. Currently, the AOG count remains range bound. Going forward, we will continue to assess the situation and adjust our

mitigation measures to continue to meet our growth targets.
We have already provided a capacity guidance that we will broadly grow our capacity at early double digits in the financial year 2025 as compared to financial year 2024. For the first quarter of financial year 2025, we are expecting to add around 10 to 12% capacity as compared to same period last year which translates to around 3 to 5% capacity growth on a sequential basis. With this growth projection for the first quarter of financial year 2025, we are likely to be back to the quarterly capacity which we had prior to the accelerated inspection of engines due to the powder metal issue. Further, we are currently experiencing similar revenue environment in Q1FY25 as compared to Q1FY24.
As we look ahead, it's imperative that we acknowledge the task at hand with respect to our growth targets and the cost dimensions. There are inflationary pressures in certain cost line items that we are foreseeing in next financial year. However, we remain focused on cost optimization efforts to create maximum shareholder value. What truly sets us apart is our ability to adapt and innovate in a rapidly changing environment. Our strong foundations and focused execution of our strategy has positioned us for sustained growth in the years to come.
With this, let me hand it back to Richa.
Richa Chhabra: Thank you, Pieter and Gaurav . To answer as many questions as possible, I would like to request that each participant limit themselves to one question and one brief follow -up question, if needed. And with that, we are ready for the Q&A .
Moderator: The first question is from the line of Binay Singh from Morgan Stanley.
Binay Singh: Congratulations on a good set of numbers. Actually, I'll just pick up from the comment that was there in the opening statement on inflationary cost pressures. So could you talk a little bit in more detail about the coming financial year, which are the line items where you see more cost pressure? And also if you could reflect back on FY '24, any one -off expenses that you had in FY '24 relating grounding, which wasn't compensated which sort of offsets it or so. So that will be my question to just get more det ails on this.
Gaurav Negi: Binay, in terms of inflationary pressure that we're talking about is across various line items. Primarily, it's going to be around maintenance and airport fees that we've also talked in the past,

so these are primarily the 2 line items that we are seeing i nflation. Outside of that, the normal course of inflation that you will see related to other expenses and employee costs, which are naturally there is also going to play their part in the financial year '25, but the increased inflation levels that we are s eeing is largely on maintenance side as well as on the airport side.
Binay Singh: But these are largely high single -digit inflationary pressures or something more than that?
Gaurav Negi: High single -digit to early double digits is what we are experiencing. It's more than what we have experienced in the past, which was towards low single digit. So there's an increased level that we are seeing at least for these line items.

Binay Singh: And fair to say that there

is no one -off expenditure in FY '24, which sort of offset some of these things as your fleet comes back?
Gaurav Negi: There were some elements of cost that we are still negotiating, as we have said, related to grounding. So there could be a timing difference between one financial year versus the other. So barring that, there's no significant one -offs that we have. It's more timing that will pay out between 2 financial years.
Moderator: Next question is from the line of Amyn Pirani from JP Morgan Chase & Co.
Amyn Pirani: My question was on the comment that you made that in 1Q this year, you are taking a similar revenue environment compared to 1Q of last year. So were you indicating like in terms of the yield direction?
Gaurav Negi: We were indicating more on the passenger RASK level. So more towards that, it's a balance between the yields and the load factors. So we're trying to see that the revenue comes in line with what we had in Q1 of last year.
Amyn Pirani: Okay. The reason I asked is because unlike most years, this year's 4Q RASK is almost similar or even slightly higher than 1Q. And normally, from 4Q to 1Q, the seasonality is positive. So just trying to get some more colour there. Are you expecting seasonally RASK to flatten out versus the normal seasonality, which is improving in this quarter?
Pieter Elbers: Maybe to supplement on that. I think there's quite a couple of uncertainties in the market today, which makes giving a precise prediction in terms of RASK levels difficult. So that's why we give an indication compared to what it was last year.
Amyn Pirani: Okay. And just a follow -up on the revenue bit itself. The compensation that you get from the suppliers on the grounded aircraft, that comes in into your other income line?
Gaurav Negi: It comes into revenue from operations, other operating income.
Amyn Pirani: Okay. And there, can you give a broad sense as to given the amount of compensation you think that's due, how much of that broadly would have come in till date? Is there a possibility to give a broad idea?
Gaurav Negi: Unfortunately not. So whatever is captured, you can probably go through those financials, but we're not calling out anything specific on that.
Moderator: Next question is from the line of Ansuman Deb from ICICI Securities.
Ansuman Deb: My question was regarding the spread for FY '25 because you mentioned about the fact that FY '24 should be looked from the perspective of headwinds we had, right? So when we look at FY '25, there could be a little bit of mitigation in the AOG scenario. We can have inflationary expectat ion, as you said.

There would be also some investments or some expense towards the new business class that we are bringing in. So if you could help us , because there are multiple pluses and minuses in play in FY '25, if you could give colour on the possible spread directionally in FY '25.
Gaurav Negi: Ansuman, again, we are not giving any kind of guidance related to the spread for the whole year. So we'll take it one step at a time. We give you the guidance in terms of capacity that we see for this particular quarter as well as what we see the revenue environment like, we'll limit ourselves to that for the time being.
Ansuman Deb: Fair enough. J ust continuing that part, in terms of aircraft on ground, have we seen the worst behind us or in terms of that impacting the cost, is it like the worst behind us?
Gaurav Negi: Yes. So what we communicated, I think we have peaked to a certain extent, what we called out as a mid -70 number. It's still in that range that we are looking at. So we have not seen anything significantly adverse as we sit today. But again, things will pla y out, but we are not expecting anything which is going to be significantly different. It's, again, going to be range bound. So to a large extent, we are where we need to be from a grounding s

tandpoint.
Again, I'll just elaborate also. So one is the grounding side of it, plus the other is the mitigation side of it. So like I mentioned in my commentary, we are actually looking at capacity reaching the

same levels that we had in Q3. So we managed to mitigat e a large part of these groundings in a matter of a quarter, so as to speak. So we're back to the same levels in Q1 of '25.

Moderator: Next question is from the line of Pramod Kumar from UBS Securities Pvt. Ltd.

Pramod Kumar: My question is related to the business product, what you kind of talked about. Can you please help us understand what could be the kind of ramp-up here because if I'm not wrong, you did mention about select routes where you would be using them. And what could be the time line for ramp-up because out of the total aircraft, what we have, the number of routes we service?

What do you see as the potential routes which can absorb a business plus kind of configuration because there'll be a setoff against a number of seats as well. And what could be the likely implications as you do this transition on your existing AS K capacities? Or how should one look at this transition? And how long do you think in terms of time lie when you will be largely done with this particular transition at least on the domestic side?

Pieter Elbers: Yes. Thank you. That's a lot of detailed questions. Maybe just a few words to elucidate on this, and I tried to do that in my introduction words. India is changing rapidly, and the needs of the Indian consumers are changing rapidly. And we see that happeni ng over the past couple of years.

So against that backdrop and looking at the network of IndiGo with a quite a couple of routes with a very high frequency with a lot of business -related travel, we felt collectively that this was the right moment to move into that space.

So I would say it's a natural evolution, which sort of coinciding with our turning 18 by August of this year. So we see the market developing. We see IndiGo developing, and we see a growing desire for our customers to have more travel options, if you wish. That's the reason why we made this announcement today.

In the announcement itself, we said it's going to be introduced before the end of the year. Of course, we have been working on this for a while already. So it's going to be introduced before the end of the year. And in the early part of August, we're going to announce more details in terms of timings, in terms of precise number of routes, in terms of exact introduction date and so on and so forth. So as I said, stay tuned for the further developments on this.

Pramod Kumar: And Pieter, just to follow up on that, and this is in context of the yield comment what you kind of alluded to, looks like we are kind of seeing some bit of resistance on demand given how the phase of kind of behaved generally. In that context, how should one look at the business class versus the economy class in terms of the yields and the kind of likely what do you say, net impact, what IndiGo would face because at one level we are seeing, despite the constraint on capacities and across most of the airlines and some of the routes being dropped by many airlines, reduce frequency, you're seeing that yields are not going higher anywhere from here on.

So given the price sensitivity and the fact that you're talking about business class in this environment, if you can just help us understand what are the factors that you're seeing and whether any specific comments on whether the fare resistance what you're seeing is more on the metro, non-metro routes or Tier 2 rules. Anything if you can just help us understand on the yield behaviour .

Pieter Elbers: Yes. Well, thank you. You have the ability to put around 25 questions in 1. That's well done. But let me just try to give a bit of an elucidation to that. You made a statement that the yields can go up. I don't think we phased it like that. We gave some ou tlook for the first quarter, and that's the first quarter outlook as compared to the first quarter last year. And again, these calls, I think, are there to give an outlook for the first quarter and not per se an outlook for the entire year, leave alone for the years ahead.

And I think what you have IndiGo seen doing over the past 2 years is really laying out the strategy with different building blocks, if you wish. And one of these building blocks was to build on the XLR, which we ordered a few years ago, which is going to go in place somewhere next year. Another building block was internationalization. More recently, we have announced another building block, which is the A 350 coming in to further stretch the reach of IndiGo. And with that, this step, what we're going to do now with this new premium product, which is going to be very IndiGo like in terms of creating a very different structure in the market. That's what we've known today is precisely matching all the other building blocks.

So fast forward, where India is going to be in 2027 which is, I think, today, the latest sort of forecast is then it will be the third largest economy in the world. So if home is the third largest economy in the world. And if that economy continues to grow and the customers are more and more looking for different travel options, be it from the metros and the non-metros, for us, it's all the normal to start preparing for that now with the introduction of this business class.

So I would really see it as a natural evolution disconnected from whatever yield development we see quarter -over -quarter. I think there's always a lot of actualities involved, be it AOGs, be it some sort of disruptions either this year or past year, be it some bad weather, be it whatever reasons are involving, take for this step. I mean, this is a long-term step. This is not something we do for just drifting a quarter.

It's part of a holistic strategy and the holistic strategy is to continue, as IndiGo has been known for the past 18 years have the development of IndiGo going hand-in -hand with the development of the Indian economy and if you wish, even society. And therefore, we continue on the very foundations of what IndiGo has been made and when we had the goal around the introduction of the wide -body.

I think I mentioned there, the size of the order is significant enough to have i mpact and prudent enough not to disturb the business model. And I think you should see this step in the very same context. It is significant enough to have impact on the routes where we want to have impact. And again, this will be all shared with you somewhere in the first part of August and prudent enough to continue to serve on our customer promises, which made IndiGo the wonderful airline, it is today.

Moderator: Next question is from the line of Krupashankar NJ from Avendus Spark Institutional Equities .

Krupashankar NJ My first question is on the pilot fatigue norms. Just wanted to get a sense whether we have any incremental information regarding that and whether it will be implemented for the entire fleet starting from June?

Gaurav Negi: No, Krupa. Currently, the matter is sub judice. As you know that the decision has been deferred, but currently, it's been taken to the court. So we are awaiting the next hearing that is due sometime in July. So there's no further com ment s on that.

Krupashankar NJ Got it. And relating to your fleet purchase plans. Is there any target set relating to what would be the portion of smaller aircraft, which will be purchased during the year. Any projections on that front?

Pieter Elbers: I think if you take the order books of all the airlines in the world, IndiGo tops the chart by a long margin. So the decision s taken by IndiGo over the past 12 months, basically have solidified and made that planning for the years ahead. So beside these 2 very significant orders and steps we've announced over the past year, the 500 Airbus 320 and the wide -body is really creating t he foundation of what we do, and furthermore, going forward, we keep all options open at all times. So it's a bit of a repetitive answer, but I think you have seen us over time moving in the direction. But we keep all options open, but I must say the backlog of orders offer us a very solid basis in going forward.

Krupashankar NJ I understand that, Pieter, but we were of the intention of buying ATRs and to utilize our cash balances that was our plan. That no longer exists, or we are just exploring option at the moment?

Gaurav Negi: No, that option is very much available. So we've got options to buy them also. And in the past, we bought a few of those also. So those options are very much available to us. There's still a set of additional ATRs that are in the backlog that we still have. So as and when they come up for

delivery, we will execute the option, which is best for us. whether it's a lease option or even to use the cash that we have. So very much available to us. So nothing has been ruled out.

Moderator: Next question is from the line of Prateek Kumar from Jefferies India Private Limited.

Prateek Kumar: Congrats for great results. My first question is just a clarification on your cash flow statement. There is a line item phased major inspection and overall cost on leased aircraft of around INR 900 crores, INR919 crores. This is like a maintenance cost, which is capitalized or what is it? Can you just clarify?

Gaurav Negi: These are just the redelivery costs that we reflect separately. These are all related to redelivery.

Prateek Kumar: Okay. But is this something which has come up related to grounding or this was used to be the cost earlier as well.

Gaurav Negi: No, it is as per the accounting policy that we have to disclose this, so nothing new that is coming up.

Prateek Kumar: Okay. And just one question on CASK ex fuel. We generally used to think about it as like around in the range of INR2.6 in current inflationary environment and with last quarter clocking at INR2.9, how should we look at this going forward for the estimate?

Gaurav Negi: So you talking about CASK ex fuel. So there's an element of FX also in that. So there's a sizable amount of FX that is also impacting. Excluding that, obviously, there's an impact from an AOG standpoint. Our overall ASKs went down this quarter, as we menti oned, because of AOGs going up. So there's a dimension of that. And then the remainder is largely because of inflationary pressures that we've spoken about. So a combination of these are pushing up the CASK ex fuel portion. And as the ASKs continue to star t growing upwards for us, with the capacity coming back, we are hopeful to bring this particular unit cost down.

Prateek Kumar: Sure. So, this should trend down from here despite like that inflation comment, which was there earlier in the call. So, this number should come down adjusted for the items there in Q4?

Gaurav Negi: Yes, it should. Like I said, if the capacity continues to grow, it will obviously, because we had a reduced capacity, so there's an element of capacity coming down, which naturally on a per unit
basis pushes up the CASK ex fuel portion. As my capacity come s back again in Q1, this particular
unit costs are trending downwards. Subject to again, what the inflationary pressures are going to
be.
Moderator: Next question is from the line of Sabri Hazarika from Emkay Global Financial Services Ltd.
Sabri Hazarika: Congratulations on good set of numbers. Just one question. So, in terms of damp leases also are
we at the peak of it because, I mean, there's been no increase in terms of like 13 damp leases versus
what it was actually last quarter. So, I mean, we had some plan

s of like taking another like 20, 25
aircraft from the secondary market. So, is that happening? Or are we at the top of it in terms of
damp leases.

Pieter Elbers: I think the approach you have seen for us is an approach whereby we give a capacity guidance to
the market, and then we start executing the mitigating measures which are into that. And of course,
whenever we give you that capacity guidance, we've done alre ady our homework on those
mitigating measures. So when we said for the year, which just closed FY '24, we said in the north
of the mid -teens, that was a prudent approach because eventually, we did slightly more, thanks to
the effectiveness of all these measures.
We have now given a capacity guidance for this year, FY '25 and also there, that is solidified by
not only a stabilizing AOG situation as Gaurav just elucidated to, but also the damp leases we
have in place and we continue to work with potential opportunit ies to increase it, to adjust it. I
think for us, it's very important to have that flexibility.
So we continue to have a close look at the market. But at this point in time, there is no additional
plans other than the ones which are communicated already.
Sabri Hazarika: Right. Got it. Just a follow -up, your A321 NEO fleet has been like almost range bound from the
last 2, 3 quarters. So anything to read into that? Or it's like it will get adjusted automatically.
Pieter Elbers: Sorry, I didn't get that question.
Sabri Hazarika: I mean the A321 NEO fleet, around 93, 94 aircraft, so that has remained constant since Q2 FY '24.
So, is there anything from Airbus side of like slowing deliveries of 321 NEOs, anything of that
sort?
Pieter Elbers: No, there's nothing. We just happen to have a quarter with somewhat lesser number of deliveries,
as was mentioned in Gaurav's text. If I recall well, he mentioned 9 of deliveries, and as we continue
to go forward, there happen to be a mix of the 320s and 321s. So, this was all pretty much according
to the plan and according to the planning which we had with Airbus. And again, there's fluctuations month- over-month and
there's fluctuations in the mixture of 320s and 321s. So, I don't think you
should read anything else in that other than those fluctuations.
Moderator: Next question is from the line of Arpit Shah from Stallion Asset.
Arpit Shah: Yes. I just wanted to understand, like pre -pandemic our dividend payouts were closer to 100% and
since our net worth has become positive again, what kind of payouts we could see in the future
going ahead?
Gaurav Negi: Difficult question because we'll have to take it to the Board to get the necessary approvals. But
while our net worth has become positive, we are still negative as far as the overall retained earnings
is concerned, which is the accumulated reserves that we have in order to pay the dividends.
So, once we cross that threshold, obviously, we'll take the necessary steps to then work towards
defining along with, obviously, the Board what the dividend levels need to be. So, a difficult
question right now to answer because we are not there yet.
Arpit Shah: In Q1 FY '24, we did see an impact on the competitor airlines going bankrupt, and we saw a very big tailwind on
our RASK/CASK spread, leading us to deliver the highest RASK/CASK spread

in our history. So how should we look at Q1 FY '25 given that you've already spoken about some
inflationary pressures on airport fees and maintenance growing in double digit. So how should we
look at that number? You've already alluded us to some guidance on the RASK, but just to have
some better clarity.
Gaurav Negi: I think you're answering the question because like I said, the revenue is in line with what we had
last year. I've shared that the cost pressures are there. So you can draw a conclusion in terms of
the spread from there on.

Obviously, it's not going to be a repeat of what we had from a spread standpoint where we were
last year same quarter. So there are some pressures that we have. But on the whole, the fact is that
we are also going to have an increased capacity level versus last year. I gave that guidance also

that our capacity is going to grow from 10% to 12%. So a combination of those, I think you can work out what Q1 '25 going t o be like.
Arpit Shah: And the 2.9 CASK numbers start trending downwards, right, delinquent earlier in the call.
Gaurav Negi: It will. So not to forget, there's increased levels of the increase that you're seeing year -over -year is also from the fact that we have AOGs. And like we've said that there is a certain compensation that comes and sits at the other income levels also.
So, what you see as a cost increase has an offset sitting in the revenue side also. So that's why you're seeing that. But on a net basis, it washes off. But overall, as we start pushing up our capacity, we're focused on cost optimization, we pushed those levels. We are hopeful that on a unit basis, the cost excluding the AOG is going to be range bound.
The increase is largely a round of AOG and offset sitting in the revenue and then the inflationary pressures that I talked about also with the fact that we've not grown the capacity the way we would have wanted to because we were hit by an AOG. We are comi ng back to the Q3 levels again, what we were at.
So, all these variables were there. But beyond Q1, we see more stabilization as far as our capacity is concerned, because we would have like, again, what we mentioned, at least from a range bound standpoint, we would have reached a level of normalized AOG levels that we have kin d of guided everyone towards.
Moderator: Next question is from the line of Kushagra from Old Bridge Asset Management Co. Ltd.
Kushagra: Just 2 questions. One, on the international side first, if you can share the international revenue share and profit share in FY '24, if possible. And a related question on the international side is, how big would be the contribution of codeshare arrangements in your international revenue? And if you think about it from the longer -term perspective, having owned wide -bodies, would it in any way hinder the codeshare arrangements which you would have at that point of time? That's my first question.

Gaurav Negi: So, our international contribution, as we've guided earlier also, obviously, it's reached the levels of close to 27% i n the ASK terms. On the revenue terms, it ranges between 20% to 25%. So, on a given quarter, it can range between 20% to 25%. So that's on the international side.
Obviously, we have codeshare. We've got 8 codeshare partnerships that we have. S ome are in the early stages, some are mature. They roughly contribute in probably mid kind of single -digit range. But they've been growing, as we mentioned in our kind of opening statements also. Those kind of arrangements have been growing at an increment al pace for us. So again, these are positive kind of indicators for us in terms of our ability to reach the international destinations, although be it through codeshares right now.
Kushagra: Right. And, having own wide -body does that any way hinder the codeshare arrangements, which you would have at that point of time over the longer term?
Pieter Elbers: No, it's all part of a holistic strategy as we elucidated to earlier. IndiGo used to be a very domestic - heavy airline with 90% of its operation on the domestic network. We launched 2 years ago with trajectory to go more international. And I think we gave a guidance of moving our capacity share up to 25%, then to 27% and then trajected to move in the range of 30% of international capacity. So we're moving in that direction. And clearly, whenever the X LR will come in, that number will go up.
What the codeshares are doing are in fact twofold, one of the codeshares or part of the codeshares, I should say, is a codeshare of some of the foreign airlines on IndiGo's domestic network that doesn't present any international exposure per se but it exposes us to international consumers and start to work together. The 2 other ones, the one we're having with Turkish Airlines and with Qantas are really connecting to international flights of IndiGo and then connecting in Istanbul and Singapore, respectively.
Those are really preparing us for the next stage of operation. And by the time the wide -body will come in, we will be able to fly to many different parts of the world directly from India. And the good news is that at that point in time, a lot of these cons umers have already had the experience to fly with IndiGo. And we'll see how this partnership evolve over time and how they will further grow and develop going forward.
Kushagra: Sure. That's helpful. Just a small one, the second question, the last one. If you can clarify, is there any sort of a possibility of you going for further orders of 100-odd planes on the ATR side, which was there in the news articles. Any clarification on that side?
Pieter Elbers: Yes. I think the topic of fleet came up a bit earlier during this call also. And sorry to be a bit repetitive, if not consistent in my answer. We keep all options open at all times to serve our customers and drive growth for our organization going forward. So we've had a good set of orders and an enormous amount of planes to be delivered. And with that, as I said, we keep all options open at all times.
Moderator: Next question is from the line of Arvind Sharma from Citi.

Arvind Sharma: First question on the business product side. Is it just the seats and everything? Or is there a loyalty program, which can come through as well?
Pieter Elbers: Earlier today, I mentioned that we will unveil more specificities of the product itself in August. But to your question earlier, we have already shared that we are working to enhance our loyalty program. We have a program today as you may be aware of, and we've announced in earlier calls
that we are working to enhance that program as well going forward.
Arvind Sharma: So that's in addition or apart from the business product?
Pieter Elbers: Yes, there are 2 different things, but they are all part of the same strategy to address the Indian market and the evolving needs of the Indian consumers. So we have a loyalty program in place
today or rather a sort of co-branded credit card system in place today, that is there. And as part of the meeting the evolving need of the Indian consumers, we announced already earlier that will further enhance that program, details to be unveiled.
And of course, you can connect the dots between all the different steps we're taking, internationalization, wide -body order, now this product. It's all part of a very cohesive and integral strategy. And when we said earlier, 2 years ago, towards new height s and across new frontiers, there's a lot of different elements and ingredients. And slowly, slowly, you would see them coming altogether or rather not so slowly, slowly, actually quite fast, you see them all coming together in actual implementation.
Arvind Sharma: Just one question on the accounting part. There was a tax credit this quarter. Going forward in fiscal '25, how many tax rates are there still? Maybe if you can give us some guidance about the effective tax rate for fiscal '25.
Gaurav Negi: Nothing planned in terms of tax credit. This is just a DTA that we've recognized in this particular quarter. Again, we've got a significant amount of losses that we had incurred during the pandemic.
So given the extent of those losses, we do not foresee any kind of a tax burden that will come on IndiGo at least in the next year.
Moderator: Next question is from the line of Sai Si

ddhardha from Kotak Securities Ltd.
Sai Siddhardha: Yes. So firstly, congratulations on a great set of numbers. I wanted to have a bit of clarity on how to look at the yield given the 4Q yield was on similar lines to what we have seen in the first quarter
as well.
Gaurav Negi: Sorry, not clear on the question. Can you just repeat that, please?
Sai Siddhardha: Is it better now?
Gaurav Negi: Yes, we can hear you, but just repeat the question because I'm not sure I understood the question.
Sai Siddhardha: So the yield in the quarter has been similar to what we have seen a strong number in first quarter.
So I just wanted to understand how to look on the same moving forward.

Gaurav Negi: Again, like we said, we're not giving further guidance for the rest of the year. What we've kind of guided towards is on a passenger ASK levels. We are foreseeing that the revenue is going to be in line with what we had in Q1 of last year. So that's what w e are guiding towards, a combination between that is the yields and the loads. So, we are not giving any further guidance in terms of where the yields are going to come in for this quarter as well as for the future quarters.
Moderator: Next question is from the line of Parv Jain from Niveshaay Investment Advisory.
Parv Jain: Sir, just wanted to ask on our plans towards regional air routes. How should we look at it in terms of going forward, what portion of our revenues could be from these regional destinations? And what portion of our revenues are currently from these regional destinati ons? Regional, as in I'm referring to the subsidized routes.
Gaurav Negi: We had a number of routes that were part of the UDAN scheme that we had. Over a period of time, obviously, the number of routes have come down. Having said that, we've continued to operate those even outside of the UDAN scheme. A nd we classify them in our ATR fleet that we have. Because those are the ones where we largely focus on from a regional standpoint.
That contributes roughly around the low single digits to mid -single digits in terms of contribution to the overall revenue. But they are an important component from a feeder traffic standpoint. They then feed into our larger networks of the A320 and the 321s and then also the international.
So again, to Pieter's earlier point, it's a step approach in terms of our strategy we build from the regional when we reach out to the non-metros to the metros and then international. So, it's an important element of our overall strategy.
But given the scale that we have, at least for the A320 fleet that we have, relative to that, it's a smaller fleet. It's close to 45 aircraft that are operating. And it's probably one of the biggest set of fleets in the regional domain. So that's broadly, I think, in terms of the regional fleet question that you had.
Parv Jain : Gaurav, but when we look at the other airlines, they tend to usually operate there for the first initial years and then they tend to stop operating on those routes. In terms of IndiGo going forward, can

we expect the routes being operated on these subsidized routes increase? Or how is that trend going to be?
Pieter Elbers: No, I don't think you can make any prediction along that line because even these routes are different routes. Some of them are from non -metro to non-metro, very sort of Tier 3 or even Tier 4 type of cities between those cities and doing quite well. Some ot hers are feeding if you wish into some of the larger metros and from there providing good connectivity.
And that's why the scheme is very effective for the market. It's meant to be a start -up and a generator for creating new routes. And as every sort of entrepreneurial approach, some of them succeed and some of them after a while don't succeed and then we should spend until a moment in the future. So, I would not be able to feel comfortable to give any

numbers, so that's a percentage
stop and open and specifically here or there.

Moderator: Next question is from the line of Aditya Mongia from Kotak Securities Ltd.
Aditya Mongia: So, I'll go with my first question. See, in the past few quarters, we've been seeing yields go up, even though fuel cost per ASK is coming down. Could you give us a sense of what is driving this phenomenon for IndiGo? Related question is that with us now seei ng a decent amount of capacity being added by IndiGo and competit ors this year. Do you expect this trend to reverse sometime in this year?
Gaurav Negi: I think the trend was largely because there was limited capacity while we've added, but there was capacity that was getting taken out at an overall industry level. So that kind of enabled or gave the support from a yield standpoint. And that's the phenomenon that has played out since Q1 of '24 until Q4 of '24.
Again, we are testing out what Q1 is going to look like. So, we are looking at what the levels of yields as well as load factors are going to be again, that's why we are saying that we are foreseeing that the overall P RASK level is going to be similar to what we had in Q1 '24, Aditya. Beyond that, we are not giving any kind of estimate or a guidance. We just want to see how Q1 plays.
Aditya Mongia: Understood. The second question that I had was again taking the clue from what you had said earlier, could you give us a sense of what's the share in your ASK of foreign travellers , domestic and kind of international combined travel. What is this share in ASK of foreign travellers versus what will be it taking forward? Give us a sense of how, let's say, the brand of IndiGo getting up initiative.
Pieter Elbers: I think you should make a difference and if I understand your question correct, we have a share of ASKs international and domestic. That share is anywhere between 25% and 27% quarter -over - quarter in terms of ASKs. That's the ASK share as a total share.
Then we have the number of flights, which is a different ratio, but let's stick to ASKs for a while. Then we welcomed last year 107 million, 106.7 million to be precise customers on board of the network. This is a mixture of domestic or, I should say, Indi an consumers and non -Indian consumers. Those non-Indian consumers, some of them are overseas living, some of them are having different sort of point of place of residence. So, it's very difficult to differentiate that.
What we can say, though, is that with the further increase of one, our own international network; and two, the increase of codeshares that we see an increasing share of sort of non -Indian travellers on our network, but the v ast, vast, vast majority number significantly higher than our ASK share are still Indian consumers. And again, that speaks, I think, to the growth of the Indian market and many of the new destinations, which we have opened, for example, those in Central Asia, we see a high demand from the Indian consumer side in making use of these travel options.
Moderator: Ladies and gentlemen, that will be our last question for today. I would now like to hand the conference over to Mr. Pieter Elbers for closing comments.
Pieter Elbers: Thank you so much. Ladies and gentlemen, thanks a lot for joining us today evening. The financial year 2024 has been a year of really many remarkable achievements and milestones. Moving to the next financial year, we're highly energized by the growth path ahead of us adding more than 1

aircraft every week. The journey towards 2030 will be cemented by an increasing number of planes and increasing number of happy customers and a network that will allow us to further enable our purpose of giving wings to the nation by connecting people and aspirations. Thank you for joining and wishing you a wonderful evening.
Moderator: Thank you very m

uch. Ladies and gentlemen, on behalf of IndiGo, that concludes this conference.
Thank you for joining us, and you may now disconnect your lines. Thank you.

Note: This transcript has been edited for readability and is not a verbatim record of the call

Call: Aug 2024

InterGlobe Aviation Limited
Registered Office: Upper Ground Floor, Thapar House, Gate No. 2, Western Wing, 124 Janpath, New Delhi – 110 001, India.
M +91 9650098905,
F + 91 11 43513200 Email: corporate@goindigo.in
Corporate Office : Emaar Capital Tower-II, Sector-26, Sikanderpur Ghosi, MG Road, Gurugram-122002, Haryana, India. T +91 124 435 2500.
CIN no.: L62100DL2004PLC129768

August 1, 2024 IGAL/SECT/ 8-24/02

To
National Stock Exchange of India Limited
Exchange Plaza, C - 1, Block G
Bandra Kurla Complex
Bandra - (E)
Mumbai - 400 051

Symbol: INDIGO
To
BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street , Fort
Mumbai - 400 001

Scrip Code: 539448

Sub: Transcript of earnings call on financial results for the quarter ended June 30 , 2024
Dear Sir / Madam,

Pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find attached the transcript of earnings call held on July 26 , 2024, on
financial results for the quarter ended June 30 , 2024.
The above is for your information.
Thanking you,

Yours faithfully,
For InterGlobe Aviation Limited

Neerja Sharma
Company Secretary and Chief Compliance Officer

"IndiGo First Quarter Fiscal Year 2025
Financial Results Conference Call"

July 26, 2024

MANAGEMENT : MR. PIETER ELBERS – CHIEF EXECUTIVE OFFICER
MR. GAURAV NEGI – CHIEF FINANCIAL OFFICER
Ms. RICHA CHHABRA – DIRECTOR, INVESTOR
RELATIONS

Operator: Good evening, ladies and gentlemen and welcome to IndiGo's Conference Call to discuss the first quarter of fiscal year 2025 financial results. My name is Dorwin and I will be your coordinator.
At this time, the participants are in a listen -only mode. A question -and-answer session will follow today's management discussion.
As a reminder, today's conference call is being recorded. I would now like to turn the call over to your moderator, Ms. Richa Chhabra from the Investor Relations team of IndiGo .
Richa Chhabra : Good evening, everyone, and thank you for joining us for the first quarter of fiscal year 2025 earnings call.
We have with us our Chief Executive Officer - Pieter Elbers and our Chief Financial Officer – Gaurav Negi to discuss the financial performance and are available for the Q&A session.
Please note that today's discussion may contain certain statements on our business or financials which may be construed as forward -looking. Our actual results may be materially different from these forward -looking statements.
The information provided on this call is as of today's date and we undertake no obligation to update the information subsequently.
We will upload the transcript of prepared remarks by day end. The transcript of the Q&A session will be uploaded subsequently.
With this, let me hand over the call to Pieter Elbers.
Pieter Elb ers: Thank you, Richa. Good evening, ladies and gentlemen and thank you for joining the call. We announced our financial results for the first quarter of the financial year 2025 today.
For the first quarter of the financial year 2025, we reported a quarterly total income of 202 billion rupees, which is an increase of 18% as compared to same period last year. In terms of profitability, we reported a profit after tax of 27.3 billion rupees – 2,729 crore rupees with a profit after tax margin of around 14%. With these results, we have reported seven consecutive quarters of profitability.
We proudly served around 28 million customers during the quarter. And I would like to express my gratitude to each customer for choosing to fly with us. Our customers are the reason we do what we do and we remain committed to making every journey with us a memorable and enjoyable experience. We take into consideration all th e feedback that we receive and makes changes to our product & service s accordingly. I would like to highlight some of the recent changes that we have made :

• First of all, w e are in the process of launching a tailor -made business product for the nation's busiest and business routes
• We have also started testing in -flight entertainment on a select route.
• We have introduced a web check -in seat selection feature, specifically for women travellers .

• We are in the process of revamping our website and mobile application for enhanced customer experience.
• And, w e have added a hotel booking option for our customers on our website and app
• Additionally, on the operations side we are constantly expanding the role of technology in order to serve our customers better as recently we became the first airline in India to get approval from the regulator for Electronic Flight Folder that will enable reduction in the time spent on pre -flight preparations, smoother operations and will add to the overall operational efficiency.

We will be unveiling a lot more details on some of these changes next week during our 18th Anniversary celebration.

When we first took to the skies, we envisioned an airline that would not only transport passengers from one destination to another but would also connect the vast and diverse cultures across India. And o ver the past 18 years, we have grown to the world's seventh largest airline, in terms of daily departures and have become India's most preferred airline.

Since our inception,

India's and IndiGo's growth story have been closely interlinked. And w e believe as India gears up to become the third -largest economy in the world, it's important that we devise our strategy to, not only capitalize the opportunity, but also stay ahead of the curve. The Indian market, as we shared earlier, is still largely underpenetrated when it comes to air travel. And e ven more so, when it comes to international air travel. So, there is a buoyant market out there, hand in hand with th e growth of the Indian economy.

With IATA's 81st AGM to be held in Delhi in 2025, India's aviation industry potential is being recognized , also at a global stage. And w e are proud to be the host airline for IATA AGM next year and look forward to welcoming the global aviation community to our home country.

Expanding our network is a key part of our growth strategy. And w e have added 30 new routes on a year -over-year basis as we fly to more than 540 routes currently. Further, in line with growing demand we are further enhancing our international capacity deployment to Central Asia and as from mid of August we will be flying daily to the cities we added last year - Tashkent, Almaty and Tblisi.

As guided at the starting of the year, we will continue to add more destinations and frequencies in the coming quarters to grow by early double digits in the financial year 2025.

We have the Airbus XLRs joining our fleet next year which will allow us to reach the southern parts of Europe and further into Asia as well. Then to further expand our range, we have the Airbus A350 -900 coming in from the year 2027.

In addition to that , our codeshare networks have been a very important pillar of our international strategy. Our experience of partnership s with multiple global airlines has exposed us to the needs and preferences of international customers, preparing us for the next stage of operations as so that we are able to apply the learnings once we have widebodies. Recently, we have announced codeshare partnership with Japan Airlines, under which Japan Airlines' customers will be able to seamlessly travel to 14 Indi an cities through Delhi and Bengaluru. All of these elements are building blocks of the very same cohesive strategy towards internationalization.

Operationally, over the past few quarters, as the air traffic in India continues to grow and infrastructure enhancements are being implemented across various stations, we have been experiencing increased block times and congestion. We are working relentles sly and taking all possible internal actions such as adjusting schedules to reassure our customer promises.

Additionally, due to the unfortunate event of canopy collapse in Delhi's Terminal 1, we had to shift our operations to other terminals in a very short period of time and very recently the massive IT outage globally , which was not limited to the airlines , impacted hundreds of our flights over a two-day timeframe . IndiGo teams immediately stood up and dealt with the situation to minimize the impact for our customers. And I would like to sincerely thank my 6E colleagues for going above and beyond to serve our customers in these extraordinary times.

While large global airlines are facing multiple headwinds currently due to various factors. Given the size of the opportunity that India presents, and our clear strategy combined with a strong execution by the IndiGo team I remain confident that we will continue to reach new heights. As we enter the next phase of our growth, we remain committed towards our goal of 203 0 and are investing heavily to support our growth plans.

Let me now hand over the call to Gaurav to discuss the financial performance in more detail.

Gaurav Negi : Thank you, Pieter and good evening, everyone.

For the quarter ended June 2024, we reported a net profit of 27.3 billion rupees with a net profit margin of 13.9% comp

ared to a net profit of 30.9 billion rupees for the quarter ended June 2023.
We reported an EBITDAR of 58.1 billion rupees with an EBITDAR margin of around 30 percent compared to an EBITDAR of 52.1 billion rupees for the quarter ended June 2023.
On the revenue side, we experienced a similar revenue environment as compared to same period last year as the passenger unit revenue , PRASK , came in at 4.54 rupees. The yields came in at

5.24 rupees, an improvement of 1.3 percent as compared to the same period last year which was offset by a marginally lower load factors of around 87%. Our unit revenue , which is RASK , came in at 5.40 rupees, which is around 5.5 percent higher compared to the quarter ended June 2023 primarily driven by accrual s of the compensation that we have finalized with the OEM for the AOG.
On the cost side, the fuel CASK increased by 10.5 percent primarily driven by increase in fuel costs we have witnessed year over year
When one reviews the CASK ex fuel we experienced a similar increase of around 11 percent in the June 2024 quarter as compared to same period last year.
Now e xcluding the impact of forex, the CASK ex fuel ex forex increased by around 9 percent, compared to the same period last year primarily driven by aircraft grounding related costs, annual contractual escalations, inflationary pressures, annual increments, an d the investments we continue to make towards supporting the future growth in areas of digital technology, talent and new initiatives.
Moving to the grounding of aircraft, the current count of grounded aircraft remains range bound at mid -seventies. We are working with Pratt & Whitney towards constant supply of spare engines and basis the current estimates we expect the groundings to start reducing towards the start of the next year. Further as communicated earlier, during the quarter we have finalized an amendment to the existing agreement with Pratt & Whitney for providing us with a customized compensation in relation to the grounding of aircraft due to spare engine unavailability.
During the quarter, we inducted 15 aircraft of which 8 are from original order book and remaining 7 were inducted as part of our mitigation measures in the form of damp leases and secondary leases. As of June 30th, we have a total of 382 aircraft of which 14 aircraft are on finance leases and 18 aircraft are on damp leases. In addition to this, subject to regulatory approvals we will induct 6 more aircraft from Qatar Airlines for the Doha route on wet or damp lease in the coming quarters.
As shared previously, in order to diversify our sources of financing we have added 14 aircraft on finance leases in the last three quarters. Going forward, we will continue to further diversify our sources and will add more aircraft on finance leases. The tenure of these finance leases is similar to the operating leases of 8 -10 years, and we will have the right to own the assets at the end of the lease term at a nominal price.
In terms of recognition, in an operating lease we recognize the ROU and the lease liability at a present value of lease payments, which is then depreciated over the lease period and the interest is accrued on the lease liability. Supplementary Rentals & Maintenance is also accrued on the flying hours of the aircraft.
Whereas, when it comes to finance leases, the full value of the aircraft is capitalized in the ROU, which is then depreciated based on the component accounted in the aircraft value. Similarly, the

interest is also accrued on the full value of the aircraft, but over the lease term. As a result, one will witness a higher allocation of interest and depreciation in the earlier years which will taper down over the lease term and life of the asset. Additi onally, in finance leases the maintenance costs are capitalized when the maintenance e

vent is carried out.
We ended the quarter with a capitalized operating lease liability of 449.6 billion rupees and a total debt, including the capitalized operating lease liability of around 525.3 billion rupees. Our right to use assets at quarter end were 358.6 billion rupees .
Due to our strong financial performance, our liquidity has further improved as we ended the June quarter with a free cash of 220.9 billion rupees. We continue to utilize part of our free cash towards future growth and our goal to become a 600 plus aircraft airline by the end of the decade.
With our firm pending orderbook of 975 plus aircraft that will enable us to receive more than one aircraft per week and the mitigation measures we remain firm on our capacity guidance of early double digits for the financial year 2025 . And for the seasonally weak second quarter, we are expecting to add around high single digits capacity as compared to the same period last year.
Further, on the revenue side basis the early trends of July, we are estimating a stable revenue environment on a passenger unit re venue which is PRASK basis in the second quarter of financial

year 2025 as compared to the same period last year.
We will be turning 18 soon, we are proud of the legacy that we have built, and we are carefully considering the changing needs of our customers and making product advancements accordingly.
As we embark on the next chapter of our journey our robust strategy and our improved financial health will provide us with the resources to invest for the future, explore new frontiers and reach greater heights.
With this, let me hand it back to Richa.
Richa Chhabra: Thank you, Pieter, and Gaurav. To answer as many questions as possible, I would like to request that each participant limit themselves to one question and one brief follow -up question, if needed. And with that, we are ready for the Q&A.
Moderator: Thank you very much. We have the first question from the line of Amyn Pirani from JPMorgan. Please go ahead.
Amyn Pirani: My question is on the compensation that you have accrued in the other operating line. Is this a one-time thing or are you accruing it as and when you get more clarity on the level of compensation that you get?
Gaurav Negi: So, like we've been communicat ing since Q3, which is the December 2023 quarter end, we've been accruing based on the understanding that we had with the OEMs, that has now been finalized and firmed up through a contractual arrangement that we've got into. So, the current quarter that you will see , is a combination of what we have kind of finalized with them and a true -up of the prior quarters also.

Amyn Pirani: Okay. So going forward, this number should come down dramatically because last 2 quarters, you had like Rs. 500 crores odd. This quarter, you have like Rs.1,300 crores. But before that, your number you should be much lower. So going forward, this number has to come down to where it used to be. Is that a fair understanding?
Gaurav Negi: Yes, going forward, we'll be accruing depending on the quarter that we need to account for it. Like I said, in this quarter, we had some catch -up of the previous quarters also, which will not be happening in the go -forward quarters.
Moderator: The next question is from the line of Venkatesh from Axis Capital.
Venkatesh: I just noticed something that normally, when I see how many A320 CEO s you have, at the end of this quarter, you have 38. This number was 31 at the end of the previous quarter. And what I understand was end of last quarter, you had A320CEO damp lease of 11 and at end of this quarter, you have 16. That means that ex the damp lease, the A320 CEO number has gone up from 20 to 22. Now I can't understand why that would happen because these are older planes, should not you be giving it back. I mean, have you taken new A320 CEO planes? What exactly has happened?
Management: Yes, we've taken 2 additional secondary planes as an alternate to the AOG situation that we have faced . As you know that there are AOG situations that are happening with the NEO technology. So, we are on a much safer wicket to go back to the CEO fleet, which is more kind of a secure for us. So as a result, we've taken these 2, but for a shorter duration of time. So, it's not something we've taken from a long -term perspective.
It is a shift from the earlier strategy, where we were phasing all our CEOs , but this is something that we've been communicating ever since we ended up with a situation of AOGs on the newer technology from one of the OEMs. We've tried to get alternate mitigation kind of aircraft, which is also on CEO technology. So, 2 additional aircraft were taken on CEO to mitigate the AOG situation.
Venkatesh: Now just to clarify on the kind of lease this is . What I understand is if you take a damp lease, that might be for, let's say, 6 months or 1 year or 1.5 years. And you have your normal leases, which are longer term, but generally, you tend to return your aircraft in 6 to 7 years. Now when you have taken these 2 planes, what do you mean by a shorter period? Is it like 3 years, 4 years or even shorter?
Gaurav Negi: It could be shorter than that. It is a medium -term lease. Longer than a damp lease, but definitely shorter than the 6 -year period. So, it has different tenures. It ranges between 2 to 3 years.
Moderator: The next question comes from the line of Pulkit Pat ni from Goldman Sachs.
Pulkit Pat ni: Could you repeat what you said about the recognition of operating lease versus finance lease? And how should we look at it from an accounting perspective impact on depreciation and finance line items?

Gaurav Negi: So, when I spoke about operating leases and finance leases. So, when you do an operating lease, a large part of the lease move into your depreciation, interest and maintenance line items. And the way you do it is, you have a lease rental, you figure out the tenure of that lease, you then discount the same to a net pre sent value, and then you start depreciating that through the depreciation line item, and the corresponding interest is then routed through the finance cost line. Under the operatin g leases, you do have an obligation to start maintaining that aircraft. So, you start accruing for the maintenances also. So that's on the operating lease side.

When you do a finance lease, you will ultimately become the owner of the aircraft at the end of the term that you have defined . It's usually 8 to 10 years. So as a result, the capital outlay as well as the interest cost because of that is going to be higher. And the depreciation is also accelerated in the initial years, which then tapers down over the life of the asset. So, in initial years, you'll have a higher depreciation and a higher interest rate but no SR obligations because there's no compulsion given in operating lease, you have an SR obligation.

So, the trade -off that is happening is your depreciation and finance cost plus SR comes up in the operating leases. In finance leases, we'll have a higher depreciation and interest cost in the initial years, which then tapers down over the life and the lease period that is remaining. At the end of the 10th year, the asset then gets transferred to you in a finance lease and you become the owner at a very nominal price too.

Pulkit Pat ni: This is clear. Gaurav, my second question is again on what the previous participant asked, so in terms of whatever you have accrued so far, since there are still 70 planes which are on lease, why should the amount come off, because the maintenance related to that should also be recognized every quarter, right? So, if you could just explain how this entire compensation would work going forward?

Gaurav Negi: So, the compensati

on is going to be directly proportional to the number of AOG situations that we continue to carry and the firmed -up number that we've agreed for each of those AOGs that we have. So, in Q3 and Q4, we had a kind of a baseline which was linked to prior kind of experience that we had with the OEMs in terms of how much we needed to accrue. That has been firmed up. And as you firm that up, it's a higher amount than what we had accrued earl ier, you basically have a catch -up of the earlier quarters. So, example, Q3 and Q4 of last year, when we had accrued for it, there was a different aircraft count as well as a different compensation number that we had taken for accruing that, which went into the revenue line.

In Q1 of this year, we finalized the agreement with the OEM. As a result, there is now a firmer number that we have, which is also a catch -up of what we had accrued in Q3 and Q4. As a result, in our Q1 numbers, you've got what is the AOG and the compensation for that in the current quarter as well as a catch -up of the earlier quarters.

Going forward, as you go into Q2, that firm kind of amount is established. Now the only variable is going to be the number of AOGs that will remain during that quarter, and that's how the accruals are going to happen going forward.

So, this particular quarter, because of finalization of the agreement, there's catch -up. Going forward, there's no catch -up that is needed to be done. It's only going to move around depending on the number of aircraft that are going to be AOG.

Pulkit Pat ni: And we've got AOG , one on account of powder coating issues and then there are other AOGs. So, I'm assuming this is total or would there be separate for both of them?

Gaurav Negi: No, it's all combined right now. There's nothing to break down into different categories. This is all combined.

Moderator: The next question is from the line of Pramod Kumar from UBS.

Pramod Kumar: My question pertains to the demand environment, as to there have been some concerns about the passenger traffic growth kind of moderating a bit. And given the fact that now we have a significant AOG situation with you and some players other players also imp acted.

So how should one look at the muted passenger traffic growth and also yields are kind of softening. So how would you kind of look at the demand environment? And how would the growth look like or once this AOG situation starts to normalize, should we be kind of prepared for more moderated fares for next year? So how should one look at the current demand environment? Because there are so me questions around whether the demand is really that robust.

Pieter Elbers: Well, maybe let me start off. I think we had a first quarter with solid demand. What we have seen, of course, there were some comparisons to last year. You may recall last year, Q1 had some capacity fluctuations and disruptions. And now in the first quarte r, clearly, we had the elections and some of the impact on that, which is difficult to quantify. But for sure, there was some effect on the demand itself.

So, both last year and this year, I would say, were quarters with very specifics in their own characteristics. Looking at the overall outlook for July, we see a solid demand. And therefore, we have no change in our capacity guidance. We have no change in our planning, and we have an

outlook for the long term, which is also very stable. So yes, we see some quarter -over-quarter fluctuations. Looking at the overall growth, I think we're satisfied with the growth which is there and the resulting of that in the load factors and yields. And going forward, we're confident on that environment.
Pramod Kumar: And just as a follow -up, have you heard anything from the regulators or the government regarding yields? Because there's been some noise in the political arena about the fares and all that. So, any follow -

up from the government or the ministry concerned?
Pieter Elbers: Well, there's always focus on fares, obviously, and that's a mixture of routes, which where we see some stimulation of demand where new routes are being introduced. And I elucidated earlier on the number of new routes and new stations. And if you compare y ear-over-year, we've added the total of 17 new destinations, 10 domestic and 7 international.
And clearly, at those new routes, we see at times that traffic had to be stimulated and demand has to be sort of created. And with that, prices are very competitive. Some other markets are more

mature or are fluctuated by discrepancies between demand and supply overall, and you see that in our financials. If you look to our yields, we see an average fare still in that range around Rs.5,000 to Rs.6,000 range, which is a very stable setting actuall y for the last couple of quarters.
Moderator: The next question comes from the line of Krupashankar NJ from Avendus Spark.
Krupashankar NJ: My first question, Gaurav, would be on the compensation piece. Just to hop on it, there is some compensation which will be offset, vis -a-vis, expenses as well in this -- which is what was stated in one of the notes. So just wanted to understand there has been a significant increase in any other costs? Or what exactly is the line item against which it is predominantly offset?
Gaurav Negi: So, it's only getting offset around one line item that we have considered right now is maintenance. So, the rest of it is all sitting in the other operating income. So that's where the two categories of the compensation are getting allocated.
Krupashankar NJ: Okay. And is there any substantial escalation in costs, in any other major line item?
Gaurav Negi: So yes, the escalation, like I spoke about the last time also, we are seeing escalation that is happening across. So, we talked about the fuel escalation because the fuel year -over-year has started to creep up.
Within fuel also, we are experiencing that some of the states have started to increase the VATs also. So, there is some escalation that we foresee there. On airport s, I had also spoken about, that the airport charges, what we've experienced has started to climb upwards. That's an area that we are monitoring and are in discussions with our airport partners that we have.
Other than that, obviously, maintenance is going through a bit of an inflationary cycle , largely because some of these OEMs that we have with whom we have maintenance programs are based out of Europe and U.S., where there's a higher inflation. So , that will play itself out based on contractual terms that we have as the inflation happens, the inflation plays out into maintenance. When that particular cycle goes down in these respective countries with which we have contracts, that will also taper dow nwards.
But currently, what we are experiencing is that there's a higher kind of an inflationary environment. If you look at the other line items that we've mentioned about, there's normally escalation that is happening, which everyone is experiencing. Like in ou r case related to other expenses, we do have crew accommodations. So, hotels as you are aware, are having a higher cost structures, which also translates into our line items, which face a little bit of inflation.
So, it's across the board that we are experiencing. But nonetheless, we are looking at ways in terms of how do we keep controlling these costs, but it's across the line items. It's not uniquely specific to only one or two.
That's also what played out in our Q1 results, what we've kind of shared with you. What we managed to do is, obviously, if you look at year -over-year, there's an increased fuel cost structure, there's increased FX impact that was there. We are offsetting it because we've got capacity

increase.

So , that capacity increase is helping at least moderate some of that, but we continue to look at other avenues also to see how we can control cost.
Krupashankar NJ: Understood. The second question will be regarding the announcement in budget regarding the increase in the period of the import of goods for MRO as well as changing the norms, as well as revised GST rate. Does this benefit us in a large way, if you can thr ow some light on all that?
Gaurav Negi: Yes, there were a couple of announcements. One, obviously, was on the GST rate related to

imports of various spare parts that we as an airline also import, largely it was also focused on MROs also, but equally to us. There is some benefit that will trickle our way.

Like I said, these are all benefits, which are going to be helping us offset some of the inflationary pressures that we are facing. So that's where we'll be. Any savings that we are getting deployed towards at least offsetting some of the inflationary press ures that I talked about. Obviously, there was another mention in the budget also, which is very welcome for the MRO fraternity, is going to be related to importing further equipment and keeping them for a longer period. So, you get some parts and tools, which can then be kept within the country for a longer period.

That particular piece does not impact us as much but will be definitely kind of welcome by the MRO community. And I'm sure they're going to probably ask for more window related to that. But at least it's a move in the right direction from extending it from 6 months to 12 months now. So, the first one gives us -- it is an uplift, but neutralized by the fact that we've got inflationary pressure. The second one is more towards the MROs, it is not as much to us.

Moderator: We have the next question from the line of Aditya Mongia from Kotak Securities.

Aditya Mongia: Two questions from my side. The first one on cost. If I see your cost ex of fuel ex of forex, it's gone up by about Rs.0.30 on a Y -o-Y basis. Would the Pratt & Whitney issue be accounting for a minority share of this increase, majority or dominant share of the increase?

Gaurav Negi: Probably a larger share because you get that offset sitting in the other operating income line.

Aditya Mongia: Understood. So, the second question that I had was on the demand environment. The context is that maybe the top 3 airlines in India, the CEOs have basically suggested that air fares are low, both IndiGo, Akasa as well as Air India CEOs. Is the demand environment good enough for the sector to be taking price increases ahead of cost in flation in the next 12 months?

Pieter Elbers: If 3 of the airline CEOs are stating that, I guess, you have made your own analysis in comparing it to what's happening in other parts of the world and to some extent, aviation is a global business looking at the price of planes and looking at the price of fuel and looking at the price of many other factors. So, there is clearly an underlying demand.

And looking at the under -penetrated Indian market, we feel still very confident about the growth and the long -term growth perspectives of that Indian market and a significant number will go up in the years ahead. On the more short term, there's always goi ng to be some fluctuations in pricing, and we've seen a significant increase last year compared to the year prior.

We have seen a more stable environment today. I think what's important and let me take a step back from only the pricing element. If we look at some of the global airlines and other parts of the world and some of the mentioning there and recent publications of results, a 14% margin with IndiGo is presenting today, actually, for this very first quarter.

We have qualified that as a very solid and robust margin at 14% in this quarter. So, if we bring back your 2 questions, 1 on the cost and the other

1 on the revenues. -- and we present a 14% margin in this first quarter. Again, taking into consideration that last year had its own very specific dynamics and elements, we feel very confident on that outlook. And for IndiGo, it's important to maintain that cost leadership. Therefore, I think the way you go after you answered the previous question is underlinin g our focus on keeping those costs down. And clearly, we are confident on that revenue environment going forward.

And yes, you'll see quarters where it's stable. You see quarters where it's going up and where it's going down. If you look at the somewhat longer -term trends and how the industry is evolving and how the Indian landscape is moving into a more sustainable, if I may call it like that, aviation operating environment, I think we feel confident that the prices will continue to reflect some of the costs. And clearly, some of the increased cost in fuel and navigation and airport fees will have to find their way b ack in the cost. That's the only way to keep a sustainable business, and Indi Go is committed to continue to do that. And in that balancing, again, you'll see prices going up and down. Apologies for a bit of a long answer, but I thought it was good to basically incorporate some of the previous remarks and questions in this as well.

Moderator: The next question is from the line of Jinesh Joshi from Prabhudas Lilladher Private Limited.

Jinesh Joshi: Sir, is it possible by any chance to share how much claim have we raised on Pratt & Whitney to the AOG issue? And how much have we received so far?

Gaurav Negi: Jinesh, sorry, we will not be able to share that. We've mentioned this in our earlier calls also that it is something between IndiGo and the OEM. So, this is not something that we'd like to discuss in this call.

Jinesh Joshi: Sure. One related follow -up is a recognition on the compensation part, which happened. So, you mentioned that there was some recognition which happened in the other operating revenue and some bit of compensation also get adjusted into the supplementary rent als part. And if I remember right, in one of your earlier calls, you had also mentioned that the income gets adjusted in the other income line item. So, can you please explain, I mean, how does the attribution basically happen

to each line item?
Gaurav Negi: We've never attributed anything to the other income line items. So, it's always gone into the other operating income line item and some of it has gone into the maintenance. So , as and when we are able to close out an arrangement with the OEMs, which we had done in the past, as the arrangement got closed out, there was an allocation that will define at the get -go with the OEMs towards maintenance and the rest was across various l ine items. As a result, we had attributed that to the other operati ng income line items.

In Q3 and Q4, what we accrued was something which was still being negotiated. As a result, we did not have clarity of where the final kind of negotiation is going to settle. So as a result, we attributed everything to the other operating income line items .
But as we closed the contract with the OEMs for this particular quarter, there's visibility that we have, how much is going to go into other operating income and the maintenance. That's how the allocation we've broken about. So, it's based on firmed -up agreements that you have with the OEMs that we are able to attribute between these 2 line items. There's nothing that went to the other income line item ever.
Moderator: The next question comes from the line of Arvind Sharma from Citi.
Arvind Sharma: First of all, on the codeshare part. If you could just share some more details how does the revenue recognition work on the codeshare arrangements that you have?
Pieter Elbers: It's pretty straightforward. If most of the partnerships we're having are

somewhat different. But
for the partnerships, and I was referring to the partnership with Japan Airlines, which has been announced, there's a portion of the entire sector, which is f lown on the IndiGo aircraft , and Indi Go is getting revenues by the respective airlines, Air France, KLM, Qantas, Qatar and soon also Japan Airlines who are having their customers flying on that specific sector of Indi Go, and that will be recognized in our revenues.
Arvind Sharma: Got it. Also, interesting that you shared that in some of the routes you are testing inflight entertainment, is that still a very, what do you say, a very elementary test phase? Or is it something that IndiGo could launch on a broader scale going forward as well? And I believe this means not the data, the proper screen , right?
Pieter Elbers: Let me first share a little bit the strategy and the philosophy behind. I think the way Indi Go is moving is we're combining different pieces or different parts of the very same puzzle. So, if I fast forward a couple of notions; 2030, we will be doubling in size; 2027, we will have wide -body in operation; 2025, we will have the XLR coming in; and by the end of this year, we'll introduce a business product on the country's business and busiest routes.
So, if you combine these elements, we felt it was also a good opportunity to start testing what we call on -app entertainment. So, this is accessible through the app of Indi Go; an app, by the way, which will soon be further enhanced and further upgraded in order to enhance the digital experience of our customers. We're investing heavily in that digital experience of our customers. And I guess India by nature is becoming more a nd more a digital savvy nation. And against that backdrop, we feel it's the correc t time to do that.
So, we have selected one specific route, where we are testing this on -app entertainment. That means -- it's on the device of the customers themselves. They can view movies, play games and even the geographical sort of functions and actually, we get very, very positive feedback from our customers on that. We'll review after a while what we do going forward, but it's clearly these types of testing are part of a broader puzzle.

I think what speaks to the entrepreneurship of IndiGo is we're testing a thing like this, and then we take a call whether we roll it out on a broader basis or not.
Moderator: The next question comes from the line of Sabri Hazarika from Emkay Global.
Sabri Hazarika: Congratulations on good numbers. So, I have a couple of bookkeeping questions and one question on strategy. So, in terms of your fuel CASK, so it has gone up sequentially despite the fact that there was some marginal reduction in fuel prices. So, you mentioned that there are some states which have increased the VAT, something of that sort. So, was it the only reason or there was something else also given that you have increased the number of damp lease aircraft also?
Gaurav Negi: All of them actually, Sabri . Because like we've said in one of the questions, we are deploying or we are taking mitigation measures, wherein we are bringing in some CEO technology. So, as you know, CEO is obviously is not as efficient on the fuel front. So that is adding to the increased fuel. If you will compare the fuel rates between last year to this year, it's already a 10% increase on the fuel rates. So, you'll see on account of that, the fuel -- overall fuel cost has gone up. Obviously,

the growth that we had, so the capacity driven growth that we have is also adding to increased fuel cost.
And finally, what we are experiencing is some states have, like I alluded to earlier, we've seen some of them had reduced their fuel, the VAT rates, but we are now seeing that some of them are actually started with the reverse trend. A couple of them have started a reverse where rates have gone up.

So that's also impacting the overall fuel kind of a category that you're seeing. So, it's a combination of all these elements that's playing itself out now.
Sabri Hazarika: Right. And another bookkeeping question, your employee incentives that has been accounted for this quarter? Or is it -- it's not?
Gaurav Negi: Yes, everything has been accounted for. So, there's a combination of what we had done last quarter. In this particular quarter, we basically gave incentives to the employees, that has also been accounted for in this particular quarter.
Sabri Hazarika: Right. And secondly, regarding this Noida International Airport. So, what is the thought process? I think the VAT there is like very less in UP. I think it's like 1%, 2%, what I know in terms of ATF. So are you looking to like -- I mean just to give some idea what kind of like shift could happen from Delhi Airport to Noida Airport in terms of your volumes. And can this benefit you in terms of your cost structure or in terms of like new demand creation and including even Navi Mumbai also got it better, but of course, it's within the same state.
Pieter Elbers: Yes. I assume this is not your bookkeeping question but your strategic question. So let me answer that one. Clearly, the VAT is an important aspect of it. And if you take a step back and we have the ambition to build India into a global aviation hub, this is a very important aspect.
And clearly, airports, and we have seen some great examples of airports where states have reduced the VAT, have been able to attract a larger share of the growth. So, I would probably put more emphasis on where it's going to be the emphasis of growth rather than per se shifting from one

place to the other one. That may happen in some specific places maybe lesser so in this case. But if we see that there's -- and Gaurav alluded to that, we get one plane coming in each and every week for the many years ahead. So, for IndiGo itself, we are developing today a strategy on where will this significant growth take place and where will the emphasis of the growth will take place.
And clearly, Noida is positioning itself with this at least to the information we have today, with this position to take a significant share of that growth. So, I would rather focus here on where will the emphasis of growth be and clearly, again, building India into global aviation hub, taking some comparison with other parts of the world where if you were to fly international, there's no VAT and where you fly do mestic, you pay VAT, and I give that example earlier.
If you take a domestic sector, connecting Delhi and then fly somewhere else, you pay VAT. And if you take that same sector and you connect into hub in the Middle East, you don't pay VAT. So, to that extent, I think we are engaging in some of these discussions, how to make sure that the strategic objective of building India into a global aviation hub is compatible with some of these dynamics. A bit of a broader answer than just Noida, but I th ink it's relevant.
So, for Noida, we look forward to the opening and we are committed to build it and clearly, a competitive or as low VAT point as you alluded to, will be very beneficial in terms of attracting a larger share of the growth we have planned going forward.
Moderator: The next question is from the line of Kushagra from Old Bridge Asset Management.
Kushagra: Just 2 questions. One, on the yield side, if you can give more colour about both the domestic as well as the international yields, whether you saw both of them start of holding on versus the comparing quarters or it was more like the international, which w as doing the heavy lifting there?
And a related question is, over the longer term, when you were explaining about the pricing scenario and that whole India growth story, how do you see the yields between the domestic and the international over th e

longer term? Like was you sort of alluding to that the domestic yield should catch up and converge with the international yields over the longer term?
Pieter Elbers: If we look to yield development, I think it's sometimes going a bit into waves and fluctuations because yield , to some extent , is an outcome of the relationship between or the balance between supply and demand. And if that gets out of balance and yields are consistency too low, airlines will be out of business, and if yields would be consistently too high, customers would no long er fly.
So, if we take yield as a function of the balance between supply and demand, you can naturally expect some fluctuations where sometimes international or sometimes domestic is sort of a better proposition. Overall, still the international yields are competitiv e and are in a way that we see as sustainable. Therefore, today, the international share of IndiGo is around 27% of the ASK. We have announced earlier that that percentage is expected to grow, and we'll continue to build on

that. And we believe that th e long -term perspective of international yields will be there.
And clearly, also here with the change of some of the Indian consumer, some of the Indian consumer trends, we can expect also that solidifies going forward. And if we take lessons from

what happened in Europe or what happened in the U.S., I think we can see similar fluctuations in India itself as well in the timing they had.
Kushagra: Just last question, two data questions attached together. One is like you called out international capacity share at 27%. If you can also call out or sort of, give a range of what would be the profit share between the domestic and international.
The second data question is, since you have focused a lot on these newer initiatives, these online things, mobile digital things, if you can also call out how much of your bookings today are coming directly through either your mobile apps or your website. Any such indication -- data indication will be helpful.
Gaurav Negi: So, on the first one, we usually don't provide a split. What we've kind of shared in the past also is that international is more accretive than domestic for us. So, we usually don't want to give a separate split between the two. But definitely, international is definitely more accretive than what the domestic is for us.
Pieter Elbers : And when it comes to the distribution side of it, there's different aspects. There's the direct sales we're having on our own app and web, then there's a percentage where we have the direct sales from some of our corporates and especially the small and med ium enterprises.
Then of course, we have sales, which is going through the OTA channel, then we have the, let me call it, more traditional agents, and we're not providing a detailed breakdown for each of these segments. But clearly, part of our customer promise is an inte raction within IndiGo . And recently, we have launched a 6Eskai app for our customers to interact with us. That's more servicing rather than sales. We have introduced WhatsApp as a communication channel for our customers.
So, part of that digital journey is in fact, making sure that, let me call it, being where our customers are. And increasingly, we see our customers online, and therefore, we explore these new channels and again, without going into the precise percentage for each of the channels.
Moderator: The next question is from the line of Achal Kumar from HSBC.
Achal Kumar: So, first of all, in terms of yield. So, you mentioned that the next quarter yields are going to be flat year-on-year. That confuse s me a bit because I think the last year, second quarter, I think the capacity was up almost 20%. And this year, you are guiding much lower capacity growth. And then yet you're expecting a yield, a flattish yield. So, I mean, could you just break it down a bit

and give us a bit more colour in terms of are you sort of reducing the fares to inflate the demand? Or is i t like how much of it is like underlying yield strength and how much is because of the network mix? So, what exactly happened on the yield? So, if you could break that up and then give a bit more colour, that would be helpful.
Pieter Elbers: There's a couple of elements here. There is the year -over-year comparison, there's the quarter - over-quarter comparison. I think we all recognize that last year was a special year. It was the first sort of full year after COVID, which has seen a lot of reco very and a lot of catch -up demand and very significant growth.

And now if we only look to Indi Go, we welcomed in 2023, 100 million customers as compared to 78 million, which was the peak before. So, an incredible increase of 20 -plus percent, which we had there. That is not a sort of year -over-year 20% growth.
So, we look to a longer -term significant growth perspective, but not every year 20%. So therefore, it's exactly why we gave the capacity guidance for this year in the low double -digit numbers. And we feel comfortable that, that low double digit is the capacit y guidance we'll be able to achieve.
And the 11% is the actual percentage which we had for the Q1. Q2 is the quarter ahead, which is usually a seasonally weaker quarter. So of course, we tune our capacity to the demand quarter - over-quarter.
Achal Kumar: Okay, fine. My second question is about more on the international side. So now, of course, given that you're not very far from taking XLRs' deliver ies and then you are also preparing for wide bodies. So, I just want to understand in terms of taking the flight rights and especially the sixth freedom right, which is quite important since India is getting an international hub. So , how do you see them? Do you see any challenges at the moment? Have you not started preparation yet? Or are you finding it easy to get all the flying rights which you need for international operations? Could you please help on that?
Pieter Elbers: Sorry, did you say fifth freedom or sixth freedom?

Achal Kumar: Sixth freedom.
Pieter Elbers: Okay. IndiGo is building up its international network. And we've shared that earlier with all of you when we announced the wide -body, I think there are 2 things happening. First of all, the Indian market, when it comes to international travel is still unde rpenetrated, both from a point of sales, India as well as from the foreign visitors into India. If you look only to the wealth of tourism sites and heritage India is having, I think we have a great potential in also attracting more foreign visitors, business, tourism, visiting family and friends. And the same would go for the outbound one.
So, one is international demand, which will continue to grow. And two is a share in that international demand for Indian carriers, which is lower than what some of -- especially in some countries, of the share of the foreign carriers. So, I think we have two dimensions why we feel comfortable we can grow.
One is the sheer growth size of the market. And secondly, the size and the share, which is being done by Indian carriers. And against that backdrop, there are still opportunities, there's still markets out there where these traffic rights are available. Then whether we use that for point -to-point or connecting traffic, that's part of a broader strategy.
And we have seen really, in some of the recent introductions, and I mentioned in my opening remarks, the successful introduction of Central Asia, when we launched that, and that's actually one year ago, it was early August last year, we started flights into, not only Nairobi, but also Baku, Tbilisi, Almaty and Tashkent. We started 3 -4 a week into these cities. Today, they're all moving up to daily and if not more going forward. So, we believe there are st

ill opportunities in adding
that. You have seen in t he first quarter, even we've added more routes and new routes, we have

ambitions in the second half of the year to add a couple of new international stations as well, and that is all within the existing portfolio of available traffic rights.
Moderator: Ladies and gentlemen, we will now take the last question, which will be from the line of Prateek Kumar from Jefferies.
Prateek Kumar: Congrats on the good results. My first question is on compensation again. So past 3 quarters has seen total cumulative compensation of Rs.2,300 crores, Rs.2,400 crores. Is this attributable cost of Rs.2,400 crores for the same 3 quarters and net spread neutral for the company as such ? And maybe now the quarterly impact or compensation would be Rs.800 crores -- to the tune of Rs.800 crores going forward?
Gaurav Negi: Prateek, sorry, just repeat that question. What's the Rs.2,300 crores, how you get from that?
Prateek Kumar: So that other operating income Rs.1,300 crores this quarter, plus Rs.500 crores each in last 2 quarters. So Rs.2,300 crores.
Gaurav Negi: You're aggregating it, okay. Got it.
Prateek Kumar: Yes. Just aggregating. You said it was 2 ups of last quarter. So, is it like on a 3 -quarter basis, is it like neutral on spread and as a result, like last year, second half, you said I would have been much higher versus what they have reported for the company? And going forward, like they're simply averaging 3 quarters at like Rs.800 crores kind of average, that could be the compe nsation going forward?
Gaurav Negi: Like I said, it's going to be based on the number of AOGs that are going to be there. So, it's not going to be as simple. Because the AOG number in Q3 was a different number and Q4 is a different number, and it keeps changing. So, this particular number will keep changing depending on the number of AOGs, that is how.
Our endeavour was obviously to get the maximum in terms of what the cost structure is. But as has been mentioned, that while there is a cost dimension to it, there is obviously an increased cost for the mitigation measures that we've taken. That increased cost is like I gave kind of a reference point, the fuel is going to be higher. There's going to be higher rentals because some of the secondary aircraft that we're getting are at a higher cost.
So, all elements of costs will not get kind of covered, while a substantial portion will get covered, but this is the best kind of an arrangement that we could get with the OEM, keep ing all aspects into account in terms of working with them to reduce the AOGs as well as the long -term relationship that we have to maintain with them.
Prateek Kumar: Just a clarification on an adjusted true up basis, it's like neutral on spread, right? Or is it like positive on spreads in some period and negative on spread the other periods?
Gaurav Negi: No, it's not going to be neutral, like I said, it's always going to be less than what the overall cost is going to be. For the 3 quarters that we've had, if you'll aggregate the 3 quarters, you will not be able to cover all dimensions of the cost through the compensation.

Prateek Kumar: Okay. My other question is on the 6 wet leased aircraft of you talked about Qatar. This would be like Boeing aircraft, right? And does this change anything for the company as such because we have been operating only Airbus?
Gaurav Negi: Not really. These are going to be damp. So, these are going to be operated the same way we are operating the wide -bodies, which are again a Boeing aircraft, 777. This is a similar structure that we're getting it. So, the entire ACMI is going to be with Qatar. So operationally, we'll be providing -- our cabin crew is going to get trained to operate these aircraft the way we've done it with the 777s also.
But all ot

her elements in terms of the flight crew is going to be there. The cockpit crew is going to be there. Aircraft maintenance is going to be done by them. The insurance is with them. So, all maintenance is going to be with Qatar, not with us. So, it doesn't complicate the execution of it because we have an Airbus operations.
Moderator: Ladies and gentlemen, that will be our last question for today. I now hand the conference over to Mr. Pieter Elbers for closing comments. Thank you. Over to you, sir.
Pieter Elbers: Thank you so much. Ladies and gentlemen, thank you so much for joining us in this call. Let me just summarize it. We're very pleased to report another strong quarterly financial performance for this very first quarter of the financial year 2025. A continue d growth in total income of 18% as compared to the same period last year to around Rs.202.5 billion and a net profit of Rs.27.3 billion, resulting in a very solid margin of around 14%.
And this 14% is solid and strong, especially keeping in mind the increased cost in the form of fuel, forex, aircraft grounding s and some of the global dynamics. And I'd like to use this opportunity to extend a heartfelt gratitude to our 28 million customers this quarter for their continued loyalty and choosing IndiGo for their travels.
In a few days, we will celebrate our 18th anniversary, when we will unveil our recently announced new initiatives to address the evolving market developments and our customer feedback. I would also like to thank all my IndiGo colleagues for their continue d dedication, professionalism and commitment in serving our customers.
Ladies and gentlemen, once again, thank you for joining. Wish you a happy Friday evening, a good weekend. Thank you.
Moderator: Ladies and gentlemen, on behalf of IndiGo, that concludes the conference. Thank you for joining us. You may now disconnect your lines.

Note: This transcript has been edited for readability and is not a verbatim record of the call

Call: Oct 2024

October 30, 2024 IGAL/SECT/10-24/10
To
National Stock Exchange of India Limited
Exchange Plaza, C - 1, Block G
Bandra Kurla Complex
Bandra - (E), Mumbai - 400 051
Symbol: INDIGO To
BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street, Fort
Mumbai - 400 001
Scrip Code: 539448
Subject: Transcript of earnings call
Dear Sir / Madam,
Pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find attached the transcript of earnings call held on October 25, 2024, on financial results for the quarter and half year ended September 30, 2024.
The above is for your information.
Thanking you,
For InterGlobe Aviation Limited
Neerja Sharma
Company Secretary and Chief Compliance Officer
InterGlobe Aviation Limited
Registered Office: Upper Ground Floor, Thapar House, Gate No. 2, Western Wing, 124 Janpath, New Delhi – 110 001, India.
M +91 9650098905,
F + 91 11 43513200 Email: corporate@goindigo.in
Corporate Office: Emaar Capital Tower-II, Sector-26, Sikanderpur Ghosi, MG Road, Gurugram-122002, Haryana, India. T +91 124 435 2500.
CIN no.: L62100DL2004PLC129768

"IndiGo Second Quarter Fiscal Year 2025
Financial Results Conference Call"

October 25, 2024

MANAGEMENT : MR. PIETER ELBERS – CHIEF EXECUTIVE OFFICER
MR. GAURAV NEGI – CHIEF FINANCIAL OFFICER

Operator: Good evening, ladies and gentlemen and welcome to IndiGo's Conference Call to discuss the second quarter of fiscal year 2025 financial results. My name is Neerav, and I will be your coordinator. At this time, the participants are in a listen -only mode. A question -and-answer session will follow today's management discussion.
As a reminder, today's conference call is being recorded. I would now like to turn the call over to your moderator, Ms. Richa Chhabra from the Investor Relations team of IndiGo.
Richa Chhabra : Good evening, everyone, and thank you for joining us for the second quarter of fiscal year 2025 earnings call.
We have with us our Chief Executive Officer - Pieter Elbers and our Chief Financial Officer – Gaurav Negi to discuss the financial performance and are available for the Q&A session.
Please note that today's discussion may contain certain statements on our business or financials which may be construed as forward -looking. Our actual results may be materially different from these forward -looking statements.
The information provided on this call is as of today's date and we undertake no obligation to update the information subsequently.
We will upload the transcript of prepared remarks by day end. The transcript of the Q&A session will be uploaded subsequently.
With this, let me hand over the call to Pieter Elbers.
Pieter Elb ers: Thank you Richa. Good evening, ladies and gentlemen and thank you so much for joining the call.
We announced our financial results for the second quarter of the financial year 2025 today.
For the quarter ended September 2024, as we continue our growth path our capacity grew by around 8 percent which is in line with our guidance. We reported a total income of 178 billion rupees, which is an increase of 14.6 percent as compared to the same period last year. Driven by the peak grounding s of mid -seventies and rising fuel costs, we reported a net loss of 10 billion rupees as compared to a profit of 1.9 billion rupees during the same period last year.
Our performance in the September 2024 quarter, was impacted by seasonal trends and shift in religious period. In addition to these factors, as experienced in the global markets we have also observed some normalization in the demand in the last few months when compared to the very high base of last year. Currently, while some of the markets are still underserved, some markets especially international are witnessing added competitive intensity.

As we have communicated earlier, we are facing headwinds in the form of aircraft grounding situation. We reached the peak number of groundings , in the mid -seventies, during the quarter and the number has already started moderating downwards. The expensive mitigation measures as against these grounding s is a well thought through short -term investment in the business, as to ensure that we can serve our customers with the best possible flying options in the upcoming seasonally stronger quarters. Additionally, fuel costs have impacted us negatively in this quarter when we compare them to the very same period last year. Gaurav will delve further into the financial performance.
When I joined a little over two years ago, we set a point on the horizon being 2030. We laid out what type of airline does India need by 2030. And the vision at that point was and still is India would need a very strong domestic carrier but also an airline connected strongly across the world.
In August, we celebrated our 18th Anniversary, and it offered us the perfect opportunity to reflect on our journey so far and set our sights on the next chapter of IndiGo growth. At the same event, we unveiled our tailor -made IndiGo business class. And w e start the offering in only three weeks from now on the Delhi -Mumbai route. By the end of 2025, we will launch this on 1

2 metro routes
with a fleet of 40 plus aircraft of this configuration. It will create a desired option for many who are aiming to travel business class, some of them seasoned and some perhaps for the very first time in their lives.
We also started our loyalty programme - BluChip in October. Customers who become members of the program will be able to accumulate IndiGo BluChips on each and every flight. It offers one of the highest rewards per spend on flights and ensures life -time validity and hassle -free redemption on every flight up to the last seat available throughout the year. With lakhs of customers already signed up for the BluChip programme, we are witnessing positive traction in our loyalty programme. Th e programme will furthe r increase our customer loyalty and will also

provide us further insights on the consumer preferences.
In our continuous endeavour to enhance customer experience through digitization, we have revamped our website and app with an interactive design experience and a state -of-art modernized technical architecture. These upgrades will offer customers a more user -friendly and hassle -free way to book and manage their travel plans.
In addition to this, if you recall we had announced the launch of our venture capital arm, last year, to invest in startups, which have the potential to redefine the future of aviation and beyond. We have recently received SEBI approval for IndiGo Ventures . Currently, IndiGo will have a total contribution of up to 3 billion rupees in the fund and will start to invest in startups by the end of this financial year.
While we are deeply rooted in India, and we are also continuously adding capacity in international markets and our capacity share in the international market has reached to 28 percent. We announced two new international destinations – Jaffna and Mauritius during th is quarter. We are likely to launch two more destinations – Penang and Langkawi in the coming months, and we aim to add another three international destinations before the end of this financial year. These

additions will take our international destinations to a total of 40 by the end of this year. As a result of these additions, our international capacity share is expected to reach the targeted levels of 30 percent.
We are continuously investing towards our future growth by enhancing our distribution strategy. We have partnered with Amadeus to make our NDC content available to travel sellers across India and the world. This will simplify the booking process, for corpo rate clients and travel agencies, by providing direct access to our full range of products. It will not only streamline operations but will also deliver the ability to offer exclusive deals tailored to individual traveler profiles.
Further, to nurture the next generation of pilots and support our growth plans, we have partnered with two world -class aviation academies - Marigold Aviation and Garuda Aviation Academy, over the past six months. With these partnerships, we have a total of nine partnerships under our coveted Cadet Pilot Program, which offers aspiring candidates with world -class training ecosystem. Additionally, recently in October, we have opened two new learning academies, one in Gurugram near our headquarters and another one in Mumbai. With these additions our training capacity has increased by around 60 percent.
Through these efforts we are laying the groundwork for significant further growth in the years ahead. We recognize that growth is projected to happen at a pace where we also need to keep up with the infrastructure both on the ground and in the air. While a lot of the effort is being made to make sure that infrastructure is being ramped up. Infrastructure at a few Major Hub locations such as Delhi and Mumbai will take time to match this growth, which will have an impact on the operational performance of the airl

ines as well as their ability to increase capacity at these airports.
Given our size and with around 40% of our flights touching Delhi and Mumbai, the impact is more profound.
Operationally, on 5th October, we experienced a major system outage due to system update by Navitaire, affecting our booking s and our operations. Our teams did an excellent job in managing the disruption and due to their Agile approach, we cancelled only one percent of the flights on that specific day. We are working with Navitaire to avoid such disruptions in future.
Further, as we discussed during our Annual General Meeting, during the last winter season, we faced significant operational challenges due to weather -related disruptions. These challenges taught us valuable lessons which have prepared us to navigate such u ncertainties ahead. While we have taken steps such as increase block times and enhance some of our operational procedures to mitigate the impact of weather -related challenges, however, these challenges remain unpredictable at times. What we can control is how we respond to these challenges. This year, we made a whole set of preparations as to be better equipped to manage the situation with improvement in processes, systems, and training.
In closing, the headwinds that we are facing in the form of groundings, had an impact on our financial performance during the September quarter. If the grounding of aircraft was not there, our financial performance would have been in line with the seasonal ity. While in the last 8

quarters, we have seen a consistent increase in the number of groundings, we have now turned the corner with the grounding situation and the number of aircraft groundings have started reducing. Basis the development, we will start adjusting our mitigation measures in the quarters to come. As we move forward, we also expect to see a natural rebound in passengers in the seasonally strong third quarter.

We will continue to execute our long -term strategy and are fully confident in meeting our full -year capacity growth guidance of the early double digits. We are investing in growth, people and new initiatives while remaining focused on our customer promises. These investments will help us to reach new heights, with a strong sense of our roots.
Let me now hand over the call to Gaurav to discuss the financial performance in more detail.
Gaurav Negi : Thank you, Pieter and good evening, everyone.
For the quarter ended September 2024, we reported total income of 178 billion rupees an increase of around 15 percent as compared to the same period last year.
We reported a net loss of 9.9 billion rupees with a negative net profit margin of 5.8 percent compared to a net profit of 1.9 billion rupees with a net profit margin of around one percent during the same period last year. If we compare the quarter performance versus the las t year, while we continue to grow our revenue and capacity, this year we have been impacted by headwinds related to:
• Costlier mitigation measures given we had the peak number of AOGs in the quarter
• Increased fuel costs driven by increas ed VAT in some of the states and increases in oil marketing companies' charges
• We have also spoken about the inflationary environment which are contractual in nature and is impacting various line items on the P&L side
• And we continue to do growth -oriented investments in digitization, people and infrastructure.
• Additionally, as we had shared last year, we had some one-time reversals in the airport charges due to the RCS provision s and OEM claims that were accrued in Supplementary Rentals & Maintenance line, which we do not see repeating itself in the current year .
In terms of per unit revenue performance, the passenger unit revenue (PRASK), came in at 3.76 rupees vs. 3.70 rupees in Q2FY24, an increase of around 2 percent, broadly in line with our guida

nce. The yields came in at 4.55 rupees, an improvement of 2.3 percent as compared to the same period last year and a similar load factor of around 83 percent.

Revenue from domestic market , which forms around three -fourth of our total passenger revenue , grew more than the international markets as the yields in the international markets have tapered as compared to last year.
Our overall unit revenue, which is RASK, came in at 4.45 rupees, which is around 5 percent higher compared to the quarter ended September 2023.
In terms of the fuel costs, while the benchmark fuel prices went down on a year -over-year basis, our fuel CASK has increased by around 4 percent driven by increased consumption due to changes in the fleet mix, congestion at major airports , that we are experiencing, leading to increased block times and increase in VAT on ATF in certain states.
The CASK ex fuel ex forex came in at 2.90 rupees, which is 23 percent higher on year -over-year basis. However, it continues to be consistent on a sequential basis, across all our cost categories, with what we had communicated in our earlier calls. This quarter, we have taken deliveries of 6 aircraft from Qatar on ACMI basis and are also paying enhanced summer rates on existing ACMI based leases from European lessors, from May onwards which is leading to a marginal increase in aircraft and engine rentals seq uentially.
The year over year increase in CASK ex fuel ex forex , as shared earlier , is largely driven by:
• Groundings and mitigation related costs
• Annual contractual inflation increase s in airport charges driven by new control periods and enhanced annual escalations.
Moving to the aircraft on ground situation, as Pieter mentioned , we have already passed the peak levels of groundings, and our current grounded aircraft have reduced to high sixties from mid -seventies levels in the first & the second quarter. Further, based on the current discussions with the OEM, we are anticipating that the groundings will continue to moderate downwards to sub -sixty level by the end of the calendar year and in the forties by the start of next financial year.
The impact on the profitability related to the costlier mitigation measures will also start to moderate downwards as we start returning the short -term damp leases sometime in the first half of next year.
During the quarter, we inducted 31 aircraft of which 9 were inducted as part of our mitigation measures in the form of damp leases and secondary leases. Further, if you recall we had incorporated a captive leasing unit in the Gift city last year and post the necessary regulatory approvals we have started to finance our aircraft from this entity. From an IndiGo consolidated financial statements perspective , there will be no change, and we will continue to record our lease liabilities and right of use assets from these leases. Further, we redelivered 3 aircraft during the quarter resulting in a total fleet of 410 aircraft. With these changes, we have become the first

Indian airline to have a fleet of more than 400 aircraft.

Now i n terms of the balance sheet side, we ended the September quarter with a capitalized operating lease liability of 477.8 billion rupees and a total debt, including the capitalized operating lease liability of around 592 billion rupees. As explained in the last earnings call, given that, we are also adding finance leases the capitalization of ROU and the lease liability per aircraft is increasing. However, at the end of the lease term we will be owning the asset at a nominal value. Our right to use assets at quarter end were around 415 billion rupees.
As we continued to take deliveries of our aircraft and move into a seasonally stronger quarter, our liquidity has further improved as we ended the September quarter with a free cash of 243.6 billion rupees

and a restricted cash of 150 billion rupees.
For the third quarter, we are expecting to add capacity in the early double digits as compared to the same period last year , and we also remain firm on our full year guidance of early double digits capacity addition. Further, on the revenue side basis the trends of October, we are estimating early to mid -single digit moderation in passenger unit revenues for the third quarter a s compared to the same period last year.
In Summary, while the September quarter results were modest due to expected seasonal effects and current headwinds related to groundings, we are committed to generate long term shareholder value. We have launched our new initiatives during our 18th Anniver sary celebrations, our IndiGo business class and our loyalty programme – BluChip. These new initiatives align with our customers' needs and we believe that the timing is right to embark on this chapter of our journey. As we grow, we will do so by continuin g to keep our customer promises.
With this, let me hand it back to Richa.
Richa Chhabra: Thank you, Pieter, and Gaurav. To answer as many questions as possible, I would like to request that each participant limit themselves to one question and one brief follow -up question, if needed. And with that, we are ready for the Q&A.
Moderator : Thank you. We will now begin the question -and-answer session. The first question is from the line of Binay Singh from Morgan Stanley. Please go ahead.
Binay Singh : Just a follow -up question from the opening comments. When we look at CASK ex -fuel ex -forex, it's up around 23%, and we basically said there are 2 reasons for it. One is aircraft grounding. The second is inflation in different line categories. Could you give us a little bit of a breakup between the 2 so that we can get a better sense on what normalized CASK ex -fuel ex -forex is? Linked to that, when we talk about inflation in categories, there is a lot of news flow on a irport charges rising up, and you also talked about VAT rising up. Do you think that inflation that you see today is already built into the Q2 CASK? Or is there more to go through that? And the third point is I couldn't catch what you said on 40 aircraft i n FY'26. Is that your estimate that 40 aircraft will be grounded on average in FY'26, if I got you correctly on that.

Gaurav Negi : So, Binay, on the first question, if you look at CASK ex -fuel, ex -forex, yes, it's gone up by 23%. The broad categories of that driving that increase is one is the AOG related cost that is sitting in the cost side. An offset of that is in the revenue bec ause that's where we get the claims from the OEMs. So, there is an offset of that sitting in the other operating income line. So, that's one element of the cost increase that you will see. The other element of the cost increase that we have called out is the mitigation measures that we have taken, which again, has driven the cost higher for us. So that's the second category of the cost increases.
The third category of the cost increases relates to all the inflation that we have been talking about across the various line items. So, these are the 3 broad categories that has driven the cost, barring the fact that, obviously, you have the operational i ncreases. So, given our capacity has grown by close to 8%, there is a cost increase related to that operational growth. Alongside that, there are other factors which are AOG, mitigation and then the inflationary environment that we have seen across line it ems that have contributed to this 23% growth.
Binay Singh : And the 40 number that you said on AOG, that is what you are expecting starting FY'26 or that is for the whole year?
Gaurav Negi : No, so, like, we have been communicating, our AOG number has been in the mid -70s, and also the fact that there are mitigation costs related to these AOGs that we have taken. Now

what we
are experiencing is that the mid -70 number has started to trend downwards. We have managed to reduce this. It's trending now below the 70s, it's in the high 60s. And what we are expecting now

working with OEMs that this number will start to trend further down and be in the mid -40s by the
start of the next financial year. And over a period, it will kee p trending downwards. So, the
trajectory that we were experiencing, where the AOGs were increasing, has now taken a turn. And
as a result, this number will continue to taper downwards. And beginning of next financial year,
the number is in the mid -40s and will further come down.
Binay Singh : When you said the AOG is offset in the operating line item, so even the mitigation factors are
offset in the operating line item or you basically are not fully able to offset that? So, overall, the
idea is to get that when things normalize, what will be either a CASK or a RASK tailwind at the
net level basis?
Gaurav Negi : So, what we get is like and I have kind of shared in the past, the combination of AOG that we have
and the mitigation measures that we have taken has an offset sitting in the other operating income
line, which is the OEM -related claims that we are gettin g. So, a combination of these 2 are an
offset. Like in the prior calls, I have expressed, we are not completely getting an offset related to
all these cost items. So, that's about what I can share with you. There is not 1:1 kind of a
correlation , but we are obviously carrying a higher cost that has been said related to these
groundings, which surface in the form of mitigation measures that we have taken.
Binay Singh : This is very helpful. So, all the inflationary pressures are built in that you see today? Or you see
more coming up? There is a lot of talk about airport charges rising.

Gaurav Negi : The way the airport, and obviously, it's kind of regulated by the regulatory authorities that you
have. But some of the airports will be going through a shift as far as the control periods are
concerned. So, when an airport goes through a control period shift, there is usually what we have
experienced is a revision in the rentals that they have. So, as and when a particular airport is going
through a control period shift, we are more likely than not likely to see some kind of a revision in
those rates. A large part has already been seen and like you rightly pointed out, the airport rentals
have gone up. But as and when the other airports also kind of have their control periods coming
up, we are likely to see some kind of a revision over there, t oo.
Moderator : Next question is from the line of Amyn Pirani from JPMorgan. Please go ahead.
Amyn Pirani : My first question is actually on demand growth itself. So, like you rightly pointed out, your load
factor in 2Q FY'25 is similar to last year of around 83% despite the fact that you had an increase
in AOGs, and your ASK growth has also moderated. So, bas ically, it looks like your domestic
RPK growth is around 4%. So, is this because of a moderation in growth? Or is it because some
of your AOGs are in routes where you could have lost sales, and once these AOGs come back in
service, the RPK growt h itself could see an acceleration?
Pieter Elbers: No. If we look at the growth numbers, I think in the introduction, we have also mentioned it, there
is a bit of a normalization. Last year, of course, was characterized by very high growth numbers.
And this year, we see some normalization on a quarterly b asis of these growth numbers, especially
in the somewhat traditionally weaker seasons. And obviously, Q2 is a somewhat weaker season. I
think what's important for us is that despite this very high number of AOGs and we have taken all
these mi tigation measures, that has enabled us to still have a significant capacity growth and with
that to keep serving the market. So, without the AOGs o

bviously, our financial situation would
have been better, but we would not have been able to serve the market and accommodate the
growth. So, for us, the sort of long -term view on how the Indian market is growing is unchanged.
But clearly, there is somewhat traditionally weaker season, the growth was somewhat moderated.
I think also there were a couple of very specific elements in this quarter, which was the sort of the
post-election travels, which were there. There were some specific weather elements also affecting
it. So, there were a couple of specific items. But overa ll, I would say it was pretty much in line
with our expectations, and that's exactly why we put out the capacity projection for the entire year
of the early double digits, and we had a single -digit growth predicted and actually executed in the
2nd Quarter. So, the fact that we have a stable load factor in this quarter is very much in line with
what we anticipated. And in fact, where we were foreseeing prior to the quarter itself.
Amyn Pirani : Just a follow -up on the costs. Now obviously, AOG mitigating factors will moderate as these
planes come back and the damp leases are given back, but the inflation is something which would
be impacting you as well as the industry. So, would it be fair to say that if you have to go back to
normalized spreads, then the yields in the industry and your yield have to go up materially higher
from here? Or do you think that the ASK growth itself can take care of the inflation that we are
seeing in the non-AOG path?

Gaurav Negi : Obviously, there is inflation that is two -folds. One is the domestic inflation, one is the international related inflation because part of our cost structure is also linked to the international. So, as there is moderation in those inflation levels, the u nderlying contract will also automatically start moderating downwards because those are all linked to indexes, which are global in nature. So, those moderations of inflation at a global level will obviously start flowing through as far as our moderation and inflation levels.

Similarly, from a domestic standpoint, we have talked about the airport rental related inflation. But there is also inflation inherently within the country, which also is directly correlated to the expenses that we incur, meaning our crews are also staying in various hotels that are there. There is an inflation linked to hotels. So, all that is linked to external elements, environments, as they start to moderate downwards, so will we also kind of benefit from that moderation. So, that's how I will probably answer this.

But to your other point, yes, we are still growing on the revenue side. We are committed to deploying more capacity. We have grown 8% this quarter. We are again looking at early double digits. And the total year, like Pieter mentioned, is still commitment of early double -digit capacity growth, which is also in a way to absorb some of the inflationary pressures that we are experiencing. So, there is a combination effect that is playing out. And we are hopeful that some of the inflation will start moderating downwards also, which will then kind of play itself out.

Having said that, obviously, the yields are going to get tested out any which ways in order for us to absorb some of these costs. Which is going to be a balance of, again, load factors and yields. We usually look at PRASK as a measure. We don't individuall y look at yield and standalone yield and standalone load factors.

Moderator : Next question is from the line of Arvind Sharma from Citi. Please go ahead.

Arvind Sharma : First question would be on the yield trends or the passenger unit revenue (PRASK) trends, which you said there could be a bit of moderation in third quarter. Any specific reason for that because the market share is fairly strong. So, is it a manifestatio n of some decline in demand? Or what could be the reasons for that? That would be the first question.

Gaurav Negi : Arvind, if you see the way the first half trended, obviously, there was a bit of a moderation in the demand. And again, as was stated, we have seen a significant kind of a run-up last year. Because last year turned out to be a very strong reference point because we had significant demand coming through, a lot of capacity got added. And as a result, it turned out to be a very strong year. So, that's where the kind of a new ba seline got established from a revenue and a PRASK standpoint. The first half played out well because at least the PRASK was holding in majority of the places. It held to the level that was there prior. And there was demand -related pressures that did surface in the first half because you had the election in the first quarter. You had some weather -related that Pieter just alluded to, you had some kind of disruptions related to systems and infrastructures also. And you've got some congestion related challenges also. So, those have impacted the demand.

What we are now experiencing, at least in October, the demand has started to kind of creep up. It is obviously a festival -related kind of a demand creep -up that we have already started to see. But that's what we can see at least trending in October. And li kewise, what we have guided to, that the PRASK is going to be a little moderation that we expect in Q3 because there is capacity addition that has happened. The good part is demand has started to come back. At least what we are seeing in October is going t o be at least high single -digit to early double -digits on the domestic side I am talking about. While the international demand is very much there, there is increased competition that we are seeing it because India is becoming very attractive for many. So, there is a capacity build that we are experiencing on the international side, which sees a bit of a moderation, again, on the yield side.

But on a whole, passenger unit revenue (PRASK) wise, we have said that between probably early single -digit to mid -single digit moderation is likely for the third quarter vis -a-vis the last year because last year was again a very strong kind of a performanc e, Q3 was a very strong performance for us, if you will see in terms of both demand as well as the yield levels and the PRASK levels, load factor levels that was reached.

Arvind Sharma : Staying on revenue, there was a sharp increase in the ancillary income, again, quarter -on-quarter basis because this is ideally a relatively weaker quarter. Any specific reason for that?

Gaurav Negi : I think within the ancillaries, obviously, various categories that we have and various initiatives that we keep carrying out, large part is obviously related to cancellations, to seat, to baggages. But a large part is also embedded in that is the cargo s ide of the business. And our cargo business has started to do very well for us. So, as a result, that's where you will probably see a bit of an increase on the ancillary when you club it together. Our cargo business, our freighter business has h ad a good run at least in the more recent months, which has contributed to a better performance on the ancillaries.

Arvind Sharma : One very quick view on the inflationary part. Due to that higher damp and wet leases, probably those are the mitigation measures you are talking about. Inflation would be even higher than what it would have been, if you had all the planes. So, once the AOGs go down next year, i.e., FY'26, I mean, I don't know if we call it a reversa l of inflation, but easing of inflationary pressures, like, say, second half of next year?

Gaurav Negi : Too forward an outlook to say, let's see where that goes. But like I am saying, our underlying contracts are linked to obviously, the right kind of indices, which are linked to inflation, so environment -relat

ed inflation that is there. So, it could be la bor related, it could be various commodity related. So, all are considered and factored in. If you foresee those to be moderating, yes, they will moderate downwards, but it's a little too further out for us to kind of call out right now.

Moderator : Next question is from the line of Krupashankar NJ from Avendus Spark. Please go ahead.

Krupashankar NJ : My first question was on the international side. While we do see that load factors have come off seasonally because we are expanding. But Gaurav, you did mention that the competition in the international side is increasing. Is it likely because 85% what we reported in the first quarter was

one of the highest load factors we have recorded internationally in the past. So, is it likely that the load factor probably has peaked out and from hereon because we are on an expansionary trend, it will moderate at close to about 82% to 84%, roughly. Is that a fair assumption?

Pieter Elbers : Well, I think that would be a bit too quick jumping into conclusions basis on what's happening in the quarter. I think what we have seen taking a step back is that the international demand is strong and actually still stronger or even stronger, I should rather say, than the domestic demand. We are exploring new markets, new destinations. I think for example, Jaffna is a great example of a new market. All our growth in Central Asia. So, we keep growing these international markets. And with som e of the new announcements, again, we will start to explore new international markets. So, I would not link it to a specific load factor in a specific quarter to take any view on that.

The Indian traveller, as we can see, is still very keen to travel international. We see a couple of international markets where visa restrictions are being either lifted or eased, an enormous surge of demand. We expect that to continue. We will reach our 3 0% share of international ASKs very soon. We continue to add new destinations and open up new markets in that. So, we remain very optimistic and bullish on that.

Yes, we do see some sort of quarter -over-quarter changes in the load factor and some sort of increase of some of the international carriers coming also on these routes again. India has been viewed, I think, over the past 12 to 24 months as the world's fast est-growing market, and obviously, other airlines or other airlines from other countries are looking to reallocate some of their capacities to this market. I think this will only further let the market grow and develop the Indian international market.

Krupashankar NJ : My second question was on the ATF prices. While we have seen a sharper decline coming in, in the third quarter, at least October numbers are giving quite a sharp decline, sequentially. Gaurav, do you see probably that adjusted for even the VAT and other OMC related costs, are you seeing a decline in fuel cost? Or are there any other inflationary pressures, which is keeping the cost at similar levels?

Gaurav Negi : No. On the fuel side, the way it works is obviously, its linked to last month's MOPAG pricing. So, it's kind of a defined formula. So, if the price is moderate, the moderation then gets factored in, in the next month's pricing from the oil marketing comp anies. But because of some of the challenges that the airlines are running into with the congestion, there is a bit of a larger kind of fuel burn that we are experiencing because our block hours are getting more expanded out. So, that's a bit of inefficiency that we have, which, obviously, as things ease out because there is obviously efforts that are being taken by everyone in order to reduce or improve the congestions, will also kind of then ease out the pressure that we have on the fuel side.

I have also talked about the fact that, yes, there are certain states where the VATs have increased, that's also

gone up, which then becomes incremental costs for the airline. And we're working with the oil marketing companies also because while the underl ying MOPAG may be changing, there are certain oil marketing company -related charges that have also started to go a little upwards.

So, the formula to calculate the underlying fuel remains well established. So, whichever way the fuel is going to move, that's going to be passed on to the airlines through the oil marketing companies as a defined process. So, if you are experiencing that October, the fuel has gone down, we will get to see that in November, barring some of the other elements that I am talking about, which are offsetting those declines. And hopefully, we are just hopeful, let's see where that goes. If the congestion situatio n improves our operational efficiency improves, and that's going to come

through on the fuel side.
Moderator : Next question is from the line of Prateek Kumar from Jefferies, India. Please go ahead.
Prateek Kumar : My question is regarding your revamp on website and your app. So, how have you seen like the hotel bookings. We see that you have started hotel booking. So, how has been the ramp -up there on the platform? And what is the revenue model here as the busines s is probably powered by external platform. This is the first question.
And other related question is how much of your site bookings as a percentage are like sort of happening direct on your platform? And is it something where you also see a significant business for yourselves in terms of going forward. And we see that pricing at your direct booking is like at least 2% to 5% lower versus what we see in another platforms. So, how do you see this business going forward?
Pieter Elbers : Well, let me take a different angle in responding to your question, and thanks for bringing that forward. I think the first angle was that we needed to upgrade our existing architecture and IT infrastructure. And you have seen that we have gone through t he cloud, and we actually spend a lot of efforts and work with all the teams over the past 24 months to make sure that we are future proof. And for a whole host of reasons, this was all stopped during COVID, and we revitalized on that.
So, we have created actually the architecture and infrastructure, which is future proof. That’s probably outside the view of everyone, but it’s been a very important part and comparing us to some other companies in the world, I think we have done it very q uick and very efficient. So, we have moved to the cloud, and that’s the infrastructure.
The second part was all around revamping our web and also app. You see now that we have, for example, a fare calendar on our website. And that’s really being received by our customers very positively. What is the key driver of that actually is to make sure that we have more direct customer contact and direct customer interfacing with our customers. We serve over 100 million customers per year. And actually, we would be able to serve them through our digital channels in an even better way today than we have been doing going forward. So, that’s the strategy behind it.
So, when it comes to the numbers, the number of direct bookings on our own web and app was relatively limited compared to some other parts of the world. That’s clearly a strategy. Today, we are in the high teens when it comes to some of these direct channe ls. That’s a number which is still likely to go up going forward. And again, with more of the initiatives that number will go up.
We do that both, on sell side. So, we are selling through our web. We are selling through app, but importantly, also the servi cing, so our 6Eskai which we have introduced to serve our customers in

a digital fashion is also up.
The last part of that, and that’s still in the very early stages is to offer some of the hot

el bookings
and linked to hotel bookings. So, we have also started with that. That’s only for the past 3 months. So, it’s probably still too early to come out with exact numbers. But I am actually quite encouraged by the first inputs on that. Again, early stages, but quite encouraging. So, a journey from first, creating the architecture then putting on a lot of new features on the website and the app from the strateg y to interact directly with our customers and that will create a platform where also links are being made to hotel bookings going forward. So, foundation is there. And from there, we start to build going forward.
Just an additional elucidation to that. If we have 100 million customers a year, and that was the achievement of last year, and you all know that we are growing this year, so that number will be even bigger. Against that backdrop, some of the initiatives l ike a loyalty program, like this hotel sales. It’s a natural extension of the customer bases we are having. And whereas probably 5 years ago, we had just a handful of frequent flyers that with the change of India is changing rapidly. So, all the parts and the pieces of that more strategic puzzle with business products, with a loyalty program, with direct sales, with direct interaction with our customers is all matching to where we want to be and where we will be moving towards in 2030.
Prateek Kumar : Some of your IndiGo Ventures fund might also be investing in these companies who might be helping powering these direct bookings or hotel bookings on the website?
Pieter Elbers : Absolutely. I think whatever we would like to do is sort of extending our ecosystem and with the customer bases, again, we are whether it’s #6 or #7, I guess time will tell. But we are clearly in the top 7 airlines in the world when it comes to customer numbers. And that’s against the backdrop of aviation in India, which is still, to some extent, under penetrated. We have announced that we are going to double in size by the end of the decade. So, if you just take that 100 times 2 as an indica tive number where we could end up in 2030, that’s a fantastic customer base and should enable us to do a lot of other customer interactions and customer service than flying only. Well, and against that backdrop, the IndiGo Ventures will provide us an oppor tunity in a vehicle rather to start working with start -ups with other companies to become part of that ecosystem of serving our customers.

Prateek Kumar : And one other question regarding competitive intensity because you talked about the moderation. So, cost environment seems to be obviously hurting you, but it would likely be hurting your competition maybe more similarly or maybe similar basis. But despite inflationary environment, we still like sort of seeing a moderation in yield. I mean, how do we generally explain that, especially in a season which is going to be very fantastic otherwise for demand persp ective?
Pieter Elbers : I am not sure if you could link that cost to what's happening on the yield side. I think what is important for IndiGo is to keep our focus on maintaining our cost leadership. We have a setting which is rather unique in terms of what is the impact of some of the global supply chain challenges and what is the impact of some of the more recent announcements, for example, on the powder metal, I think what IndiGo has done, and I would invite you to look at the situation of some other airlines in the world where the supply chain challenges have stepped in.

IndiGo has been able to deal with that by a whole range of mitigating measures, where, of course, there is a cost to it, but at least that has allowed us to maintain our capacity guidance, One. Two, maintain, if not improve our market position. Three, cont inue to make use of that capacity to expand our network, open up new destinations and new routes and to make sure and that

process
has started now. And I cannot underline enough the importance of what Gaurav mentioned earlier. We used to be in the mid -70s, which isn't an incredible high number. We are now in the high 60s, and we expect to start the next year in the mid -40s. Against that backdrop, I think we have done the right thing by taking at this point in time, these additional costs and all these measu res. And that means we have created, in fact, a platform to start growing on that.
And then the yield, yes, the yields will show variations season over season and how the cost of our competitors look, I leave that to you, it's not our focus. We are committed to continue our cost leadership. All the initiatives we have in place are exactl y to keep doing that. And with the AOGs going down and the associated cost of mitigation going down, we will see that cost leadership continues to be there.
Moderator : The next question is from the line of Achal Kumar from HSBC. Please go ahead.
Achal Kumar : First of all, coming back to revenue side. So, basically, you have guided to a yield moderation. I just want to understand, apart from this yield moderation, you will have some dilution from the loyalty program. So, what kind of dilution you're expecting 1%, 2%, 3% and would that impact your yields more than what you're expecting? And of course, in terms of pricing strategy, do you think any difference in terms of pricing strategy because of the loyalty program?
Gaurav Negi : There is not going to be any material impact from a loyalty standpoint on the revenue on the yield because we are just launching that program right now, and it's more of a deferment of revenue that will play out on loyalty. So, on the contrary, it will s upport us at a later point as the burn starts kicking in and when the burn starts kicking in, it's going to start probably pushing up the revenue side. So, there is no material impact on the yields because of loyalty.
Pieter Elbers : Sorry, let me add, Achal, sorry to interrupt you. Why are we introducing this loyalty program? We are introducing this loyalty program in order to make sure that we start to build on a loyal bases of customers. And that, in fact, IndiGo is becoming even more than today their airline of choice, both domestic and international. So, with the international growth going up and with the initiatives which we have launched in the premium segment with the introducing of the business class with the XLR , which will start to come in by the end of next year and even further in the future with the 350, we are in fact, creating that loyal customer base and the loyal customer base over time, for sure, will help us to not only maintain yields, but even improve yields.
And if you, again, there look what's happening at some other parts of the world, we see exactly that's happening. So, of course, the entire system is based on points and recognition of points and then you move forward. But over time, and that's exactly why many of the most successful airlines in the world are having a very successful loyalty program is precisely for that reason. And then we also tie it to the previous remark on ancillaries, our investments in the web and whatever we do with hotels and all k ind of associated bookings. This is in order to get a larger share of the wallet, if I may call it like that, from our customer spending.

Achal Kumar : No, exactly. I agree with your point, but just want to understand the kind of a dilution in terms of percentage, which will happen because of the loyalty program?
Pieter Elbers : I don't think there is any percentage to be linked to that.
Achal Kumar : My second question is around the pricing strategy. So, I just noticed that there is a significant difference, especially now in terms of pricing for the peak hour flights and on the non -peak hour flight, and especially I am talking about IndiGo in terms of In

diGo website. So, is there a change
in the pricing strategy? Is it like you have more corporate customers in the peak hours and that will offset to your lower fares on the nonpeak hours. So, I just want to understand a bit on the pricing st rategy and how would you offset lower ticket prices in the nonpeak hours?

Pieter Elbers : No, I think there is no change of pricing strategy in itself as we have a very consistent pricing strategy and there is always a correlation between pricing and demand, and we do our revenue management accordingly, which, again, is a very normal industry element. By the way, not only the airline industry, there is the very same thing happens in the hospitality and hotels. So, we have no change in that.

What we do have is actually a very significant number of routes and a very significant number of city pairs. So, you will see that where some of the dynamics in pricing are sort of very much throughout the year, and Diwali, I think, is a good example. But there is other seasonalities or other events, which differ very much on regional basis or even domestic and international basis, and some of the traffic to the Gulf is not always the same in terms of seasonality. So, probably you see a bit more variation o f that seasonality as our network continues to grow and as our number of routes continues to grow, but the strategy is the very same.

And yes, with 20 flights a day between Delhi and Mumbai, you see some different fare levels on the different timings of the day. Again, that’s a total normal industry practice and standard. And if you check the prices on our website, which is always good t o do, and you will find very competitive prices on our website, you will see even against the backdrop of the Indian market, which is very late booking that even there, you will find a lot of variations in the last couple of days prior to departure.

Moderator : Next question is from the line of Pramod Kumar from UBS Group. Please go ahead.

Pramod Kumar : First accounting question on the tax rate expectations, what do you have for FY’26 and FY’27, Gaurav?

Gaurav Negi : Pramod, we still have close to Rs. 13,000 crore of carry -forward losses. So, as a result, we have enough for us to kind of offset any kind of profit. So, there is no tax -related provision that will be needed. Barring a very small amount that we are alrea dy doing in the current quarter because that’s related to finance income and the finance income cannot be offset. So, what you will see in our Reg 33, there is a certain amount of tax provision that we have to make for finance income. But on the business income side, we still have close to Rs. 13,000 crores to offset.

Pramod Kumar : Given that you highlighted hotel charges have got expensive, and there are some other cost elements, which are also kind of going out of control. So, is there a thought to use the balance sheet what you have to kind of probably look at investing in hotel infrastructure or something like that, because that’s a fixed, permanent cost for you, given the business model, right? So, is it some kind of a thought that you can look at investing or creating accommodation spaces which are not exactly very fancy like a 5 -Star and end up paying the same rate. And something which can reduce your costs over a longer term for what do you spend on accommodating your crew?

And also on the airport charges side, is there a discussion with the government because ultimately, any airport charge is borne by the customer, right? And in a few cases, even the airlines will have to bear some of the cost. But is there a discussion with the government that some of these airports which are increasingly turning out to be like more like fancy lounges and very expensive looking airports, is there a discussion with this on the government that is there a way they can probably relook at the ent ire way these airp

orts are done and the kind of CAPEX approval, which are given
because the return is linked to the CAPEX what you do to an extent, right, for the airport operators and the guys who make the airports, because ultimately the cost is being bo rne by the consumer. So, any thoughts on that, please?

Gaurav Negi : On the latter, we have got a regulator that regulates the costs. So, obviously, we keep talking to the regulator, we keep talking to the airports also. It’s in our collective best interest that we have more footfall and we have more passengers because th at’s where it will bode well both for the airlines as well as for the airports.

Having said that, some of the investments that are being made in the airports are also long term in nature because you need to kind of project out what kind of a footfall and the fact that you’ve seen India from a hub standpoint. So, those are investments that are being done.

So, there is always going to be a discussion related to how you can balance it well because the initial investments will look a little more on the higher side. But when you have a long -term view, again, I see to the point that they probably have a long -term view around how they can develop their respective infrastructure, which can be of international standards also and as a result, attract more footfalls through of hub creation.

As far as the other, we will take it as a cost idea. What usually happens is when your operations become significantly large, there is always a discussion related to in -source versus outsource kind of model. So, what you’re suggesting is an in -source model . But that’s not always practical

because our core business is largely to be focused on ensuring that we provide the best of services to our customer from an aviation standpoint. So, that's where our focus is.
We will always take measures to reduce the cost wherever possible. But all ideas are welcome.
So, having said that, there is always an evaluation that is being done, but the extent of ideas always get kind of deliberated upon from a lens of in -source versus outsource and keeping your core kind of activities closer to yourself and try to do a lot more than what is needed.

Moderator : Ladies and gentlemen, that would be our last question for today. I will now hand the conference over to Mr. Pieter Elbers for closing comments.
Pieter Elbers : Ladies and gentlemen, thank you so much for joining us in this call. In summary, our top line grew by 14.6% on a year -over-year basis. Our 2nd Quarter Results were impacted by seasonal factors and the temporary headwinds related to the peak groundings du ring this quarter. With respect to the groundings, we have turned the corner, and number of grounded aircraft have started reducing.
Ladies and gentlemen, thank you for joining. Looking forward to talking to you next quarter and for now Shubh Deepawali to you and to your family members. Thank you.
Moderator : Thank you very much. Ladies and gentlemen, on behalf of IndiGo, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.

Note: This transcript has been edited for readability and is not a verbatim record of the call

Call: Jan 2025

January 30, 2025 IGAL/SECT/1-25/14

To
National Stock Exchange of India Limited
Exchange Plaza, C - 1, Block G
Bandra Kurla Complex
Bandra - (E), Mumbai - 400 051

Symbol: INDIGO To
BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street, Fort
Mumbai - 400 001

Scrip Code: 539448

Subject: Transcript of earnings call

Dear Sir / Madam,
Pursuant to Regulation 30 of SEBI (Listing Obligat ions and Disclosure Requirements) Regulations, 2015, please find attached the transcript of earnings call held on January 24, 2025, on financial results for the quarter and nine months ended December 31, 2024.

The above is for your information.

Thanking you,
For InterGlobe Aviation Limited

Neerja Sharma
Company Secretary and Chief Compliance Officer

Encl:a/a

InterGlobe Aviation Limited
Registered Office: Upper Ground Floor, Thapar House, Gate No. 2, Western Wing, 124 Janpath, New Delhi – 110 001, India.
M +91 9 650098905,
F + 91 11 43513200 Email: corporate@goindigo.in
Corporate Office: Emaar Capital Tower-II, Sector-26, Sikanderpur Ghosi, MG Road, Gurugram-122002, Haryana, India. T +91 124 435 2500.
CIN no.: L62100DL2004PLC129768

“IndiGo Q3 FY 25 Financial Results Conference Call”

January 24, 2025

MANAGEMENT : MR. PIETER ELBERS – CHIEF EXECUTIVE OFFICER
MR. GAURAV NEGI – CHIEF FINANCIAL OFFICER
MS. RICHA CHHABRA – HEAD OF INVESTOR
RELATIONS

Operator: Good evening, ladies and gentlemen and welcome to IndiGo’s Conference Call to discuss the third quarter of fiscal year 2025 financial results. My name is Neerav, and I will be your coordinator. At this time, the participants are in a listen -only mode. A qu estion -and-answer session will follow today’s management discussion.

As a reminder, today’s conference call is being recorded. I would now like to turn the call over to your moderator, Ms. Richa Chhabra from the Investor Relations team of IndiGo.

Richa Chhabra: Good evening, everyone, and thank you for joining us for the third quarter of fiscal year 2025 earnings call.

We have with us our Chief Executive Officer - Pieter Elbers and our Chief Financial Officer – Gaurav Negi to discuss the financial performance and are available for the Q&A session.

Please note that today’s discussion may contain certain statements on our business or financials which may be construed as forward -looking. Our actual results may be materially different from these forward -looking statements.

The information provided on this call is as of today’s date and we undertake no obligation to update the information subsequently.

We will upload the transcript of prepared remarks by day end. The transcript of the Q&A session will be uploaded subsequently.

With this, let me hand over the call to Pieter Elbers.

Pieter Elbers: Thank you Richa. Good evening, ladies and gentlemen. And since this is the first time that we are interacting in 2025, kindly allow me to wish you all a very happy new year 2025 and thank you for joining the call. Earlier this afternoon, we announced our financial results for the third quarter of the financial year 2025. It’s a pleasure to share that we have delivered an exceptional third quarter results. And there were several driving forces that led to this remarkable performance.

- We witnessed a substantial growth in demand for air travel,
- We continued our strategic expansion across markets, and
- Thirdly, we enhanced our operational performance

Fuelled by the festive period, year -end holidays, and general rise in consumer spending across industries, we witnessed a significant surge in demand. This led the industry load factors in domestic markets to remain above 90 percent for the most parts of N ovember and December.

We welcomed around 31 million passengers in the December quarter, achieving the highest

number of passengers served during any quarter in the history of IndiGo. This reflects a growth of around 13 percent on a year over year basis. Further, in the calendar year 2024 around 113 million passengers chose to fly with us which is around a 10 perc ent growth as compared to the year before. Our ability to meet this growing demand with improved operational efficiency positions us as the airline of choice.

The surge in demand for air travel led to a strong revenue performance as we reported a total income of 230 billion rupees for the third quarter of the financial year 2025, which is an

increase of around 15 percent as compared to the same period last year as against a capacity increase of 12 percent. In terms of profitability, excluding the impact of currency movement we reported a profit after tax of around 38.5 billion rupees or 3,850 crore rupees.
Including the impact of currency movement, we reported a profit after tax of 24.5 billion rupees or 2,450 crore rupees. And Gaurav will talk through the currency movement and our hedging strategy.
As we continued our robust growth path, we achieved yet another milestone by operating a peak of 2,200 daily flights during the quarter. And today, we are placed amongst the top airlines across the world when it comes to the scale, reliability, and efficie ncy of operations. Operating at such a large scale requires careful planning, teamwork, and flawles

s execution
by all IndiGo employees. From ground operations to flight crews, from maintenance teams to customer service, our employees exemplify excellence at every level.
If you recall, our operational performance was impacted from the start of the winter season last year. We learned valuable lessons and took several steps to improve our performance. Through targeted initiatives such as improved schedules and enhanced opera tional procedures supported by, of course, lower disruption days, we have reaffirmed our leadership position in terms of on -time performance.
Our industry is dynamic, and the needs of our customers are evolving, and we are committed to staying ahead of the curve. As we move forward, we have a clear strategy in place, which is based on striking a balance on two key focus areas – first, honoring o ur customer promises – affordable fares, courteous and hassle -free service, on -time performance, and unparalleled network, and second, catering to the ever -evolving needs of our customers.
In that direction, we launched IndiGo's business class - IndiGo Stretch on the Delhi -Mumbai route, mid -November. And to build on the momentum, we have launched Stretch on the second route Delhi -Bengaluru more recently and we are gearing up to launch the De lhi-Chennai very soon. In the year 2025, we will launch Stretch on 10 more metro -to-metro routes across the country with a total of 45 aircraft.
The initial feedback, on this new product, is promising, highlighting IndiGo's alignment with the evolving travel needs in India and the revenue potential of these business class seats.

We also continued to further densify our unparalleled network. In the last few months, we have announced 2 more domestic destinations – Puducherry and Bikaner. With these announcements, we have a network of 90 domestic destinations. On the international si de, we have announced 4 new destinations – Mauritius, Langkawi, Penang and Medinah. And with the addition of these new destinations, we now have 38 international destinations. We are aiming to end this financial year with at least 40 international destinat ions.
However, our network expansion is not just about adding more destinations but also adding more routes and frequencies. During the third quarter, we added 50 new routes and provided our customers with more options to travel in the shortest time possible and with minimal hassle.
As the Indian economy maintains its position as the fastest growing major economy in the world and is projected to become world's third largest in the coming years, Indian businesses are expanding internationally, our citizens are exploring more destinatio ns than ever before, and our diaspora continues to grow. Given these factors, air travel demand is poised to continue to grow, and we are privileged to be able to contribute to this growth. However, there are still certain key markets which are underserved , and this represents a vast reservoir of untapped potential. As the most preferred airline of the country, we are uniquely positioned to bridge these gaps and unlock the full potential of our country's global connectivity. For this purpose, subject to reg ulatory approvals we are exploring interim solutions for earlier induction of long -range aircraft to our fleet through wet leases. Route and network opportunities are being explored at present and we will communicate as and when it is finalized. And if you look back, in the last two years amidst supply -chain disrupted environment, we have developed a capability of leveraging secondary market capacity to cater to the robust demand in the market and we are hopeful that soon we will be able to cater to the dem and in the long -haul markets too.
Recently, IndiGo was recognized as the "Airline of the Year" by CAPA for our role in growing and transforming commercial aviation in India. To receive this award amid

st some of the
world's biggest and brightest airlines is very encouraging and a source of pride. We feel privileged by the fact that all the hard work of IndiGo's employees in running a world -class airline is being recognized.

In addition, with our investments toward the modern fuel -efficient fleet and other initiatives, we are focusing on sustainability to ensure that our growth is not just profitable but also responsible. Our efforts and investments in this direction have been recognized as our Dow Jones Sustainability Index (DJSI) score has improved by around 80% in the last 2 years. We have recently launched a Zero Waste Airport Project at Indore which aims to minimize the environmental impact of airport operations and set a new standard for sustainable waste management in Indian Aviation.

All these initiatives are building blocks of our clear and well -defined strategy and reflect our

commitment to continue this growth momentum. As we mentioned during the last earnings call, we have turned the corner on the grounding situation, and it is on a downward trajectory now. During this quarter, we were able to adapt our capacity to meet the gr owing demand. These results during the quarter highlight our agility and adaptability in tuning our capacity to the demand environment.

Looking forward, we see tremendous opportunities on the horizon. And with the robust long - term demand, fundamentals of the Indian aviation industry, we are confident in our ability to serve the growing demand while navigating external challenges effectivel y.

With this, ladies and gentlemen, let me now hand over the call to Gaurav to discuss the financial performance in more detail.

Gaurav Negi : Thank you, Pieter and good evening, everyone.

For the quarter ended December 2024, we reported a net profit of 24.5 billion rupees with a profit margin of 11% compared to a net profit of 30 billion rupees for the quarter ended December 2023.

Excluding the impact of foreign exchange movement, we reported a profit of around 38.5 billion rupees with a margin of 17.4% compared to 30.5 billion rupees with a margin of 15.7% last year. This reflects a growth of around 26% on a year -over-year basis.

We reported an EBITDAR of 61 billion rupees compared to an EBITDAR of 55 billion rupees during the same period last year. Our strong financial performance was primarily driven by strong demand in domestic markets, our continued investment in capacity to cater to this demand and benign fuel prices.

In terms of the revenue performance, we have performed better than our guidance as the demand came in stronger than anticipated in the months of November and December. During the quarter, Indian aviation industry reached new heights and achieved the histor ic milestone of serving more than 5 lakh domestic passengers in a day. We also had the privilege of serving more than 3 lakh daily domestic passengers. This is a strong rebound that we have seen after a moderate growth in the first half of the year which w as driven by various factors including elections, heat wave and a general slowdown across industries.

The passenger unit revenue came in at 4.72 rupees which is flattish on a year -over-year basis. The yields came in at 5.43 rupees, which is around 1 percent lower as compared to the same period last year and a load factor of around 87 percent, which is 1 po int higher as compared to same period last year.

Our overall ancillary revenue also continues to grow as we expanded our cargo operations, leveraged technology integration, and tailored our other ancillary offerings.

Our overall unit revenue, which is RASK, came in at 5.44 rupees, which is around 2 percent higher compared to the quarter ended December 2023. As Pieter mentioned, while our top - line performance exceeded our expectations, the profitability was adversely im

pacted by rupee
depreciation during the quarter.

Third quarter saw continued weakness in rupee primarily due to strengthening of the US economy and at the end of the quarter it depreciated around 2 percent as compared to the September quarter end resulting in mark -to-market foreign exchanges losses of ar ound 14 billion rupees

Our exposure to foreign exchange risk is largely due to a significant portion of our lease liabilities and maintenance obligations, that are denominated in the US dollars. If we look at the net exposure – forex denominated liabilities less the assets which is primarily our dollar deposits, for every rupee movement leads to a mark to market loss of around 7.9 billion rupees at the end of December, this impact is recorded in the foreign exchange line item. These liabilities are payable over a long -term period but as per the accounting norms we accrue the currency impact at the quarter end.

While the currency remains volatile and has further depreciated in January, we have been actively taking steps to reduce this volatility in the financial statements by hedging part of our foreign currency outflows. In the current quarter we have recorded a gain of 591 million rupees on our hedging contracts. Going forward, we will further enhance our hedging positions and as we add more international capacity, we expect the natural hedge to also improve.

On the cost side, as the global fuel prices went down by more than 20 percent on a year over year basis, our fuel CASK has also reduced by 16 percent. Forex depreciation, VAT increases, higher number of CEOs in operations and congestion at some key airport s continue to put pressure on the fuel costs.

While sequentially, the CASK ex fuel ex forex remained stable at INR 2.90. On a year over year basis it has increased by around 10 percent, compared to the same period last year primarily driven by:

• Grounding related costs

• And contractual escalations across expense line items and annual increments

Also, sequentially while on a per unit basis the aircraft and engine rentals has reduced, the absolute cost has remained stable due to increase in the number of damp -leased aircraft as offset by lower winter rates on certain leases.

Moving to the AOG situation, as we mentioned in the last earnings call, we are past the peak of groundings and the groundings are on a downward trajectory in the sixties currently. Based

on the latest guidance from OEMs, we will begin the next financial year with the groundings in the range of 40s and expect the number to further go down as the year progresses.

In terms of fleet, during the quarter, we inducted 33 aircraft of which 23 are from original order book. This includes 15 aircraft which have been inducted through our entity in GIFT city. We also inducted 8 aircraft in the form of damp leases and 2 aircra ft in the form of secondary leases, to cater to the robust demand in the market. We also redelivered 6 aircraft during the quarter resulting in a total fleet of 437 aircraft.

On the balance sheet side, we ended the December quarter with a capitalized operating lease liability of 496 billion rupees and a total debt, including the capitalized operating lease liability of around 651 billion rupees. Our right to use assets at quart er end were around 468 billion rupees.

With the strong financial performance during the quarter, our liquidity has further improved as we ended the December quarter with a free cash of 289 billion rupees and a restricted cash of 149 billion rupees. We have also purchased 3 ATR aircraft and acqu ired 10 aircraft on finance leases, as part of cash utilization initiatives. Going forward, we will continue to invest in aircraft, infrastructure and technology.

Now, if you recall last year in January, we had faced sudden groundings that had led to a lower capacity. Therefore, for the fourth quarter of this fi

nancial year we are expecting to add capacity of around 20 percent as compared to the same period last yea r and we remain firm on our full year guidance of early double digits capacity addition. Further, on the revenue side basis the trends that we see in January, we are estimating an early single digit moderation in unit passenger revenue as compared to the h igher base of last year where the industry had faced a significant supply -chain constraint.

The performance during the quarter reflects the strength of our clear and well -defined strategy, trust of our customers and the resilience of our operations. As we move forward, we remain focused on our competitive strength of being one of the lowest cost airlines in the world and we are confident in our ability to drive long -term value by balancing growth and with financial discipline.

With this, let me hand it back to Richa.

Richa Chhabra: Thank you, Pieter, and Gaurav. To answer as many questions as possible, I would like to request that each participant limit themselves to one question and one brief follow -up question, if needed. And with that, we are ready for the Q&A.

Moderator : Thank you. We will now begin the question and answer session. The first question is from the line of Pramod Kumar from UBS . Please go ahead.

Pramod Kumar : Hi, thanks and congratulations to the team IndiGo for the very solid performance . Before I ask the question , just a clarification on the yield bit what Gaurav was talking about , the line was a bit distorted , did I hear that quarter -on-quarter the yields will mo derate by mid single digit or

thereabout ?
Gaurav Negi : Early single digit.
Pramod Kumar : Early single digit, o k that’s good to hear. And Gaurav, P ieter, to both of you , on the ASK side, if I work with the numbers what you said for 4Q and even extrapolate those for the next year and then tak ing AOG situation getting better and the planned capacity of fleet addition , are we kind of looking at ASK growth kind of stepping up meaningfully higher than F Y25 levels , is that understanding right? And th en thereby kind of the operating metrics , if you can just comment a bit on that , please ?
Pieter Elbers : I think we have been very consistent for the last 2 -3 years in delivering up to our capacity guidance and what G aurav was alluding to and you see that in the results. So, far, we are living up to our capacity guidance for this year. This quarter, which we published today, has an ASK growth of 12%, which is very much in the early double -digit numbers as we announced . The fourth quarter as Gaurav alluded to, we will have a very significant increase mostly because last year had a significant decline and with that increase of the 20% which we have published or just shared with you for Q4, we confirm basically our guidance for FY25 . For FY26 , that is part of the discussion we have actually right now . Again, as we have seen in the recovery of the demands, and Gaurav share d that with you the first half of the year was somewhat muted for probably a whole host of external reasons. If you see this last quarter, it has been very solid and we have seen that in load factors , we have 2 consecutive months with a load factor higher than 90% is very telling. We touch ed the record of 10 million customers in a single month in the month of November and I think we were 20,000 short of touching 11 million customers in the month of December . So, that brought us to 31 million customers in thi s very last quarter. So, clearly we are very much encouraged by these numbers, and we are right now in the process of setting up our plans for next year.
Pramod Kumar: And P ieter, just a follow up on the domestic bit, because it is happening in a context where there is concerns about the moderation, the economy, some of the other discretionary categories have s

tarted seeing deceleration and commentary is not that great and also does not open store also , just if you help us understand some of the finer aspects of the nuances of the domestic growth, which are the p ockets where you are seeing better demand, metro, non -metro, any color which you can share and related to that, just some comments on the international operation because we have clearly seen domestic has been ver y very robust . Thank you .

Pieter Elbers : I am not an economist leave alone specialist on the Indian consumer trends. So, let me put those two disclaimers upfront . But what we see, even in some other industries, actually quite positive rebounds in towards the latter half of the year. So, what we do see that the under penetration of air travel in India provides just an incredible reservoir of opportunities to be tapped. So, there may be some variations in yields quarter -over-quarter , there may be some variations of pricing quarter -over-quarter, but the fact that the percentage of Indians using air travel compared to the rest of the world is still relatively low , gives us a lot of confidence on these growth numbers and in the Q2, thanks to the heat wave, thanks to the election , so we had seen some sort of external effects which we haven't seen in this quarter. So, we are sort of back to the growth levels and year-over-year, the month of December was 8% , I think November was 12% , so we see actually very strong quarter . To your further detailing , we have seen it all across the board and the strength of IndiGo really is , we have a network very strong in the metros and clearly very strong metro to metro position. But we have also very much a broad based network which some 450 routes domestic and soon 90 destinations domestic. We serve first time flyers quite a lot of them, but we also serve the corporate markets. So, all these segments, actually we have seen a very healthy demand on that side. On the international side , we have done a lot of the expansions. They have basically welcomed very much and very good by our custome rs. We have now touched 28% of all our ASK s are now on the international side. You remember we had that discussed a couple of times and that i s going to be sort of a leading part of our growth and also that is there. So, the Indian traveler wants to explore , I think Indi Go provides a fantastic opportunity to have those new flights , new routes and I think some of the new ones which we have introduced Langkawi, Penang have been welcomed very positive in the market itself.
Moderator: Thank you. Next question is from the line of Am yn Pirani from JP Morgan. Please go ahead.
Amyn Pirani: Yes, Hi and thanks for the opportunity. I just had some clarifications on the forex loss. So, A, can you quantify how much of the forex loss amount in the P &L is due to unreali zed mark -to-market ? And related question is that the reali zed forex hit that you would have taken for expenses incurred in the quarter , are they also in this line item or are they distributed on the various revenue and cost line items?
Gaurav Negi: Amyn, a large part of the mark -to-market is unreali zed. The realized portion is a very small portion , somewhere in probably double digits only compared to the large part of the unreali zed,

which is close to Rs. 1,400 crores that we have called out in this quarter.
Amyn Pirani: Ok, that is helpful. And secondly, you know , if I remember in the Fiscal ‘2 4 Annual Report , the 1% movement and US D INR was something like Rs. 500 crores , that number has increased to something like Rs. 700 crores if I got it right in the initial remark ?
Gaurav Negi: You are right, because if you look at the balance sheet, the balance sheet is also growing with both the lease assets that we have as well as the maintenance obligations. So, as we continue to grow our business, th

e fleet size has increased , commensurate to that , the liability side also increases, so the 500 crores that you are referencing is now closer to $8 billion of net obligations

in USD that we carry . So, that number also correspondingly has increased for every moment of the quarter .
Amyn Pirani: And just l astly, your international revenues, is it fair to assume that most of them are in foreign currency and as it increases, that should create a natural hedge?
Gaurav Negi: Yes, that is the goal and that is what I kind of called out in my earlier part of the script that I shared with everyone. So, 10% of our revenue comes from international (point of sales) . Again, there could be some elements which are point of sales happening in India, but the intent is to keep growing international and as our point of sale also increases in the international arena that is going to play an element of natural hedge for all our obligations, which we have to pay in dollar terms also.
Moderator: Next question is from line of Prat eek Kumar from Jeff eries India. Please go ahead.
Prateek Kumar: Good evening, everyone and congrats for great results. I have one question on yields , our expansion into international routes , it seems to be like taking priority versus domestic growth in terms of ASK allocation. So, is this coming at a lower yield versus total average and has a depressing impact on overall yield performance? That is my first question, and my other question is on your a ncillary revenues of 22% growth , is there a hotel segment side to contribute meaningfully to that performance for the company ?
Pieter Elbers : Let me start with your first question on the international side. You know, y ields go up and down in general, the longer you fly, the lower the yield per ASK is, so that is sort of generic, but also the lower the cost per ASK is, so it is not per se the yield I think we should look at, we should look at the margin . But I think more strategically, Indian Airlines , have a lower share than foreign airlines, one. Two, t he penetration of air travel for international travel is even lower than for domestic travel, so we just believe that these two factors would dri ve for a surge of growth on international travel, and we have identified that strategy 2 -3 years back and basically we are just now executing that strategy going forward. So, we look at the spread between domestic and international. Again, these go up and down. I think it is also a good way and we see that in oth er parts of the world to have a healthy mix between domestic and international. It was just mentioned earlier, it serves to some extent as some natural h edging in terms of forex , so that that is helping and for now, we continue that path. Probably , I would not like to call it correct you, but supplement probably on what you just said , you said international ASK has taken priority over domestic . That is not really the case. The basis for domestic is s o large that the absolute addition of ASK s on domestic is still larger than what we do on the international. So, what we do see is a gradual sort of rebalancing today. It is 28% , a few years back it used to be 20%, so we see a gradual rebalancing within absolute number of ASK s and growt h is still more on the domestic side than on the international. So, our strategy really here is to solidify our foundation in the Indian market. And again, there have been examples in other parts of the world where airlines were lacking a strong domestic basis and j ust having a lot of international operations and that didn't turn out to be the m ost effective way. So, I think what IndiGo was doing, we are

solidifying our domestic position, and we are building on that international and the results and that is partly the forex for a minute. If we look

at the result , the profits excluding forex , which had a jump as G aurav mentioned earlier of 26% from Rs. 3,000 crores last year to Rs. 3,850 crores this year . I think that is just underpins the growth of our strategy. The forex is beyond our control, and we take , of course all th is what you call mark -to-market going forward. But if we just look at the operational performance of the company , beside the on-time performance, but just running the business side, basically the strategy is really paying off and we see that jump from Rs. 3,000 crores last year to Rs. 3,850 crores this year.
Prateek Kumar: Thank your Sir, a nd the other question was on, ancillary revenues and contribution from New

Digital that include hotel segment ?
Pieter Elbers : That is still at the very early stages, I would say. We have launched it, we start to explore it . Maybe probably good to highlight at this point in time the introduction of our loyalty program . Basically, which started also to run in this quarter , it was announced in August , it, started to register in October. We actually see a very positive response. So, these are all parts of , I would , say the pieces of the very same puzzle and so we have the infrastructure for the hotels in place, yet numbers today are still at the startup phase. But we are confident that the moment it will start to get together , hotels, our loyalty program, our stretch product, further internationalization, all these things will start to help each other. But we will take a bit of time on the hotel to see real increase in the numbers.
Moderator: Thank you. Next question is from the line of Binay Singh from Morgan Stanley. Please go ahead.
Binay Singh: Hi team, thanks for the opportunity and congratulations for a good set of numbers. Just a few follow up questions. First is the forex gain that we talked about , where exactly is it sitting in the P&L, the 591 million or so ?
Gaurav Negi: Binay, t hat is in the other income category.
Binay Singh: And secondly, what percentage , like we said 10% of revenues are from international (point of sale), what percentage will be dollar denominator ?
Gaurav Negi: Large part is what we are saying is going to be dollar or any foreign currency denominat or.
Binay Singh: And what exactly is our hedging strategy now, so that when we look into the future, what should we assume for forex losses versus gains? So, if you could talk a little bit about hedging strategy?
Gaurav Negi: What we rolled out as a policy , Binay , is we are looking at least of what our cash outflows are going to be in the next 12 months. So, our hedging strategy currently looks out for the next 12 months, while our obligations given what we have on our balance sheet goes for a much extended period . We started to kind of hedge positions which are kind of there for the next 12 months. Towards that obviously we have a certain amount of inflows, like I said, a natural hedge that

comes through. So, whatever is the natural hedge is taken out, which is the 10% that I have talked about in terms of revenues that are coming from international point of sales . We have some inflows that come from incentives that we receive on deliver ies. Outside of that, we have got a policy that we are going to hedge up to 20% of the remainder. So, in aggregate, we are hedging for the next 12 months up to 60 %-70% of our positions . Going forward , we wi ll also keep testing whether we want to extend this out from a 12 -month window , can we extend this out to a longer window given our obligations go longer, but for now at least, we are hedging all our positions for the next 12 months between a natural hedge and the forward instruments that we are taking up to 60 %-70%.
Binay Singh: Ok, that is good to know. So, the number that you gave about 1 rupee movement having the loss on the P &L t

hat is after this hedging number ? So that is post the hedging number ?
Gaurav Negi: So, this number is on the balance sheet and then because that goes all the way for the extended period of leases and the maintenance obligations, they could be up to 8 -10 years. So, that is on the balance sheet number. So, I am giving a reference point so that when you look at the balance sheet, you will get a ga uge that h ow much is the net exposure on the balance sheet in terms of my liabilities that I carry . On tha t any movement for the rupee is going to be translating into a number that comes like , earlier question was, our exposure was up to $5 billion because we had 300 aircraft on balance sheet. Today , we ha ve got more than 400. That number has gone up to $8 billio n. So, you got ga uge on that, but the hedge is going to be a subset of that, like I am saying . Anything which is 12 -month payout that I have or a cash outflow I have, I am going to hedge that position.
Binay Singh: So, in a depreciating rupee environment, every quarter we will probably have a little bit of a forex gain that you will report in your other income ?
Gaurav Negi: Subject to which direction the forex is going to move in that particular window.
Binay Singh: Yes, and also versus the rate at which you would have hedged , like the 12 -month exposure , any guidance you are sharing on that, at what rate would you have hedged that?
Gaurav Negi: No, we are not giving any guidance right now. It is a rollover mechanism. You ha ve got many rates that keep playing out because you keep doing it on a monthly basis. It is the roll over mechanism we have, so it will be very difficult for us to give you any type of g uidance on that.
Binay Singh: That is very helpful. Just one last question, we have talked about the AOG situatio n, how it is hitting us on the CASK side and there is also some compensation on the topline side. Any number you would like to share on th e spread level ? Then once the AOG situation passes by, any benefit at the overall spread level that you will see ?

Gaurav Negi: It is going to be better. So, we are not giving any kind of a number out related to that. All I can say the si tuation is improving , if I were to give you some kind of a gauge , it is going to be in the single digits in terms of spreads, so that is where I will leave it at.
Binay Singh: RASK minus CASK s pread , right?
Pieter Elbers : Well, the impact of it, yes. You asked for the impact , again, I think what is important we discussed last time . Last time , we said we have turned the corner for the A OG addition, and it had started to decline . Then, what is the pace of decline and at what point in time , time will tell but it is important that we have started to improve the situation, and our mitigating measures have been extremely effective. You know w e have delivered the growth in this quarter despite AOG situation, but slowly, we wi ll see that effect go down and hence we will see it coming back in the bottomline and of course, yes that i s going to be better. What precise number is open for debate, but surely , it will have a positive impact on the spread there .
Moderator: Thank you. Next question is from the line of Pulkit Patni from Goldman Sachs. Please go ahead.
Pulkit Patni : Thanks for taking up my question. First is a clarification , the yield guidance that you have given, is it Q-o-Q or is it Y-o-Y?
Gaurav Negi: Y-o-Y, Pulkit .
Pulkit Patni : Ok right , so similar guidance to what it was in the last quarter, low single digit moderation in yields Y -o-Y, right?
Gaurav Negi: That is right , Pulkit . Last quarter was a little bit towards the midpoint also , low to mid. This one is towards the low end of the single digits.
Pulkit Patni : Ok, so this is clear . My second question is on the cost of damp leases, I remember

last quarter
you had highlighted that the Qatar Airways planes etc ., had come towards the end , so only partial costs have been booked, but your lease costs has actually not come that high? So, any other adjustments we have done, have we been able to send some of those planes high-cost wet lease planes back just a flavor on our cost control in general has been better in the quarter , so wanted to get a flavor on what really d rove that?
Gaurav Negi: I think I had shared the last time also, we were experiencing a higher rate for those damp leases because of the summer rates . Those leases had come from Europe. Th ey had a summer rate that was higher. Those rates moderate down during the winter, and that is the moderation that has happened in this quarter , but having said that, that reduction got offset with more damp leases that we have taken. So, on an absolute basis, what you will see is that the costs have remained neutral despite an increased damp leases, but a moderation in the rates, which kind of set each other off, so there is no increase in absolute terms, but the number of damp leases have gone up

and the rates have reduced f rom summer rates that were being applied on certain leases that we had taken from Europe now have shifted to a winter rate.
Pieter Elbers : Which has a positive effect on the results because in fact , we have more ASK s for the same lease cost.
Pulkit Patni : Great, this is something I learned. And my last question is other non -operating income given that large part of this was contributed by AOG. A s AOGs come down we were expecting this number also to be lower, but look like sequentially that number has jumped up , anything other than that which is driving it?
Gaurav Negi: Should be largely the same , Pulkit if there is not too much variation except for the number of days that would be there. So, on an average basis, it will largely be the same , so no ma jor variations.
Pulkit Patni : But from the next fiscal start , where AOG s come down , this number should logically come down in the same sequence, right?
Gaurav Negi: Yes, absolutely. So, the claims are directly proportional to the number of AOGs .
Moderator: Thank you. Next question is from the line of Joseph George from IIFL S ecurities. Please go ahead.
Joseph George: Hi, thank you, just one question, trying to get my hands around the mark -to-mark et loss. So, out of the total cash balance that you have of about Rs. 40,000 crores approximately , how much is dollar denominat ed?
Gaurav Negi: Roughly around Rs. 14,000 crores.
Joseph George: So, when I look at the total liabilities, total debt including the lease liabilities, that is about Rs. 65,000 crores and if I were to deduct say Rs. 14,000 crores of dollar denominated cash works out to slightly more than Rs. 50,000 crores. So, I am trying to figure out how does the 2% change in the currency from 2Q end to 3Q end result in Rs. 1,400 crore of forex?
Gaurav Negi: So, you have got what you have seen is lease liability, th ere is maintenance obligations also which you need to add to that because the combination of the two, the lease liability that you have on the rental side and the maintenance obligation in aggregate , if you were to consider

those , net of this restricted cash that I am talking about is going to give you a net exposure of somewhere around $8 billion . So, every dollar movement that will happen will translate into Rs. 800 crores for you . And given it is a two points of shift that has happened and average of that is coming to Rs. 1,400 crores of mark -to-market . So, what you are missing out in your calculation is the maintenance obligations also.

Moderator: Thank you. Next question is from the line of Sabri Hazarika from Emkay Global. Please go ahead.

Sabri H azarika : Good eve

ning. So first to clarify, you mentioned your current AOG that is Q3, end AOG in the 60s you have said, s o is it like mid 60 s or low 60s?

Gaurav Negi: You are not getting specifics on the numbers, it is in the 60s. We leave it at that right now , Sabri .

Sabri Hazarika : Fair enough, and secondly, in terms of , what we have seen is that there is a significant like fleet addition which has happened , almost like 70 aircraft have been added in the last 9 months , and you have also up the guidance of ASK significantly for Q4. So, like you said, I think December was like somewhat not that strong around 8% passenger growth, b ut are you expecting , like you have mentioned also that the demand is back. So, are you expecting double digit sustain able growth of the Indian market for the upcoming period?

Pieter Elbers : Yes, maybe to clarify a few points, the number I was referring to was the total market for the month of December, which was just published yesterday. So, the total market for December had gone up 8%, Indi Go had gone up with almost 13% in the month of December. So, we have recorded very strong month and actually very strong quarter with that 31 million . So, that is just reconfirming the fact that after the first half of the year we see really a strong growth of the demand in the second half of the year. We expect that to continue in the quarter to come. We will have a 20% capacity growth in th is quarter, year -over-year. That is not because we are adding that number of planes, but that is mostly becoming we had a significant drop last year because last year you may recall, we had the powder metal issue and ground lings were increasing and so there was a lot of issues last year. So, basically with the growth now, we have totally recovered from whatever happened in the timeframe. So, if you just take a step back and look what happened, we had a very difficult year last year with the number of groundlings increasing. We have recovered from that . Thanks to the fact that we got the new plane coming in pretty much every week , we have been able to address that capacity situation and with that growth, we are very confident that we will deliver up our c apacity guidance again for the year FY25, which is in the early double digit.

Sabri Hazarika : And s econd question is regarding your fuel cost. So, despite higher damp leases, I think there has been some efficiency which has been seen in the fuel CASK , so any specific reason behind that?

Pieter Elbers : I don't think that any specific efficiency, there has been some drop in the prices of fuel year - over-year. We have seen that and there has been no specific efficiency . Of course , we have a whole range of programs looking at fuel efficiency, but if you look the numbers which are here, there has been no specific efficiency included in this.

Moderator: Thank you. Next question is from line of Jinesh Joshi from PL Capital . Please go ahead.

Jinesh Joshi: My question is on fuel CASK. So, if I look at this quarter, the fuel CASK has mirrored the price trend, which is down on a Y-o-Y basis, however, if I look at them last quarter the trend was inwards, the fuel prices were down, but the fuel CASK was up. However, in this quarter, the trend is slightly different, but the reasons that you highlighted and the con gestion issue part you spoke of or for example the VAT rate increase that you had highlighted , the reasons are more or less the same , but the trend is different. So, can you highlight what are the specific reasons for the trends to be reversing 2-3 quarters?

Gaurav Negi : I don’t think of the trends are different. The tr ends are quite alike. We had experienced the same kind of reduction last quarter, but some of these reductions that we have seen bot h in terms of MOPAG and Sin gjet are getting offset by what we have mentioned the las

t time also was because of increased VAT that we had already started to see , some increases because of all marketing companies charges that they kind of adjust ed as well , also a lot of congestion that we had started to experience, which was leading to a higher fuel burn. So, similar to this quarter that we have kind of called out , the fuel CASK adjusted by over 20 points year-over-year. However, what is getting reflected for us is around 16 points. So, there is some erosion that happens while it should have been higher, but bec ause of these headwinds that we ha ve seen both in terms of increased VAT , increased congestion s that we have experienced , some forex related and all marketing company charges , the moderation has happened on that particular fuel CASK number and it is quite similar to what had happened in Q2 also.

Jinesh Joshi: Sir, m y second question is on the AOG count, you mentioned that it is in high 60s and from the start of the next fiscal it should be in 40 , so ideally, if the environment on AOG is expected to improve , the wet lease count, ideally on sequential basis should have declined , but that has increased from 25 to 33, so does this mean that the AOG issue will take a bit longer to resolve than what we have been guiding?

Pieter Elbers : No, a flat clear answer to that. I think we adjust the situation with the leases as per our desire to match the market demand and accommodate the growth which is there. And if you look at the third quarter and you see that we recorded for the longest period in the history of Indi Go, a load factor of 90% everyday and again two consecutive months more than 90% load factor that just underlines that we have taken the right call by making sure that we have adequate capacity in place. Let me correct you when you said high 60s, I think that is not what Gaurav and I have mentioned. He said 60s without any further definition , where we were in the 70 s, we ar e now in the 60s and we expect that to continue to decline going forward. So, we keep some flexibility of these leases going forward. There are some seasonal effects which are clearly helpful in having this and basically we have the flexibility on the quarter basis to further attune , to further align and as we basically have demonstrated for this strong quarter.

Moderator: Thank you very much. Next question is from the line of Kushagra from Chanakya Wealth Creation . Please go ahead.

Kushagra: Just two questions, one on the gross spread side, which is your RASK minus fuel cost, the thir d quarter number was probably one of the best. So, is this sort of an indication that the overall your numbers on the gross split side are shifting to higher base for longer? And if do you believe so do you see it playing out both on the domestic and the international side , so maybe some color there and also some color on the third quarter domestic and international yields ? That is my first question. The second question is really just a small one qualitatively , again on the new aviation bill, so do you see this bringing any benefit to you on the cost side , on the leasing side or operationally or the se are still early days on the new aviation bill

Gaurav Negi: First, on the last question o n the aviation bill, it is a positive thing like that has been at least approved by the cabinet. Let us wait for it to get ratified in Parliament. It is long overdue. Given the growth that we are seeing in aviation, obviously all airlines need a lot of capital and such kind of an acknowledgement that will come from the government , related to a convention which is a global convention will obviously boost a lot of confidence for the global lessors to start participating as far as financing aviation is concerned, so it is a positive move . And we are eagerly awaiting for it to get at least ratified in the Parl

iament. It is long overdue in that regard .

Related to yields, the question that you had, obviously we have seen yields slightly moderated down versus last year , like I mentioned, one point down on the domestic side, but the lo ad fact ors came in stronger. But as far as international is concerned, obviously the loads came in stronger, but there was a higher degree of moderation given the intensity of capacity addition as well as more interest by foreign airlines to participate in India . So, what we have seen is domestic is doing good. There is at least the yield is holding up as well as the load factors have held up, but on the international side, the intensity of competition went a little higher. So, there was a higher degree of moderat ion that happened on that front, but nonetheless the demand is very strong. So, it is getting offset by the demand side. We wi ll continue to keep monitoring again as we have given the guidance for Q4, there is a 20% increase in capacity that we are seeing. It will again be spread between domestic and international, more so international given we had a strong Q3. You refer to Q3 in terms of th e spread, domestic wise Q3 is always the strongest. So, that has played out well. It has played out even better than what we had guided during our Q2 call . And now, like I said, in Q4, we will see some bit of a moderation on the passenger unit revenue side. So, we are expecting at least the yield to be lower because last year, year -over-year, the yields were very strong given the capacity was less. We had taken down a lot of aircraft because of AOG, so as a result industry wi se, there was less number of aircraft. This time around we are adding capacity, but overall, we expect the quarter to be strong given what we have seen from a demand standpoint, November, December and the early parts of January have been very strong for us.

Moderator: Thank you. Next question is the line of Siddhartha Negandhi from Alitus Advisory. Please go ahead.

Siddhartha Negandhi: I want to understand your fleet addition has been 22% higher versus December last year whereas your available seat kilometers are 12% higher , you are adding a shorter routes or are these due to an increase in any other factor ? That is one. The second question that I wanted to understand

is again in relation to this, it is available seat kilo meters are higher by 12% , then why the rental costs going up by 22%, what is the impact of these wet leases and when do we expect the wet lease number to come down significantly, thereby reducing the rental cost?

Pieter Elbers : Let me address the first question. We are comparing quarter end to year end and in one year there are a lot of deliveries , at the beginning of the quarter in another year, there are a lot of deliveries , at the end of the quarter, it sort of distorts the percentages , so you cannot make the calculation as you just did. It is just sort of point in time where we compare one point in time to the other point in time. So, that it doesn't suggest a different utilization o n another utilization. In fact, the IndiGo utilization remains at the very high level and at the very stable level really when it comes to aircraft utilization itself , so that you cannot translate that to the 12% growth . I think what is important and an incredible asset IndiGo has, th e fact that Indi Go has the largest order book in the world and we still have a lit tle over 900 planes to be delivered in the decade to come is providing IndiGo a very solid strategic position because if you take a little bit step back from the sort of quarterly results up down ASK s 12% to 11% every week, there is a new plane coming in for the next decade. That in itself will provide us with such a steady flow of capacity to address the growing demand in India. So, you will see more of these sort of percenta

ges going up and down depending on the delivery of the planes , but there is no rel ation to that exact number you were calling out.

Siddharth Negandhi: And on the rental costs, which have gone up by 23% versus the capacity addition which is at 12%, given that, when do we expect this wet lease situation and is that entirely due to wet lease? If so when do we expect the wet lease situation to improve and for us to continue to operate on operating leases bringing this cost down?

Pieter Elbers : Again, I am sorry to say t hese numbers are not comparable. First , the increase of 12% is the entire fleet , it is wet leases, it is bas e fleet, it is the fleet which is coming in is everything. So, the whole lot year -over-year is 12%. Then there is a certa in set of external sort of lease in damp lease in capacity, and there we see some increased rental cost that is again year -over-year, an increase of that. To your point, when can we expect it to disappear , we a re doing a lot of that at the moment to address the capacity situation. I think going forward and probably not the next 2 quarters, but ther eafter we would need to start to make a differentiation between what all are we doing to deal with seasonal capacity fluctuations and what all are we doing to deal with the aircraft on the ground and supply chain challenges . For the time being , the key driver is to deal with the supply chain challenges . It has served IndiGo extremely well in terms of serving the demand, keeping our market position, building our network, creating a customer basis. So, we will continue to do that going forward and at one point in time, there is going to be sort of focus on seasonal fluctuations over the AOG situation.

Siddharth Negandhi: So, you mentioned one aircraft delivery per week at 12 weeks , if I had to assume 12 aircraft there 8 aircraft increased on the wet lease side, is that therefore fair to say that the total capacity addition quarter -on-quarter is 27 and therefore 7 is the AOG reversal?

Pieter Elbers : No, you cannot say it exactly like that, but perhaps there is a lot of detail, may I suggest you get in touch with the IR team directly and they will be able to help you further.

Moderator: Thank you very much. Ladies and gentlemen will now take the last question from the line of Ansuman Deb from ICICI Securities. Please go ahead.

Ansuman Deb: Thanks for the opportunity. My question was regarding the business class that we have launched. Globally , we have seen very good results on premium classes and multiple airlines have a kind of indicated that surely we would also reach some of these benefits going ahead . If you can give some color on the initial experience and expected help in the overall spread that we can see , maybe in FY26 and FY27, any ballpark thing that we have done our outlook you can share?

Pieter Elbers : Thank you for bringing up the question . Indeed , globally and in som e other markets, we see a surge of the premium demand and airlines who have that are able to benefit from that. I think what IndiGo actually is doing today is making sure that w e are ahead of the curve. So, we are introducing something new which is exactly matching the evolving needs of the Indian consumers. And we have started it only in the middle of November. So, it is still in the na scent stage. We started with 6 flights and by the end of the year all our 40 sectors, we fly 40 sectors a day, 20 each direction between Delhi and Mumbai were operated with th is new product. The reactions from the market have been very positive, people appreciate the product , people are s ort of welcoming it and to say, hey, that is a great opportunity in doing it. We have launched it on

Jan 10th on Delhi - Bangalore, so at that point in time, all the flights between Delhi and Mumbai were done and we are now on Delhi - Bangalore , same

story , very positive reception of that in the market. Of course, the Christmas time is not for business travelers, not the busiest time of the year, but the weeks prior and the week after , we really see very positive momentum in the market , and the fact that we offer this product to our customers is really received very well. And again, I just like to reiterate what I said earlier , it is exactly the combination of all these elements , loyalty program , this new product in the market , we will have 40 -45 planes in operation by the end of calendar year 25 , and all the metro to metro routes which have been selected are there. You asked for the impact , I don't think we have a precise number out here for you . The very core of the operation will be still what we have today, but this is actually a very tailor made solution and we keep all options open going forward if we should expand it to other regions or other parts of the network. But again, having 40 -45 planes in this configuration on a total of 400 planes gives you a bit of an indication on the magnitude of it. It is a substantial part of it and again our confidence in it is growing, seeing the reactions from our customers.

Moderator: Thank you very much . Ladies and gentlemen , that would be our last question for today. I would now hand the conference over the Mr . Pieter Elbers for closing comments.

Pieter Elbers: Thank you so much. Ladies and gentlemen, thank you so much for joining us in this call a nd actually, we are proud to have delivered a strong third quarter results as excluding the impact of currency fluctuations, we reported the profit after tax of around Rs. 38.5 billion, or Rs. 3, 850 crores. This reflects a growth of around 26% on a year -over-year basis. Our remarkable

performance was driven by robust demand and growing demand in the market and our ability to serve that demand . As the fundamentals of the Indian aviation industry remain strong, we are confident in our ability to cater to the evolving customer demands along with delivering on our key customer promises. Ladies and gentlemen, with that once again, thank you for joinin g and looking forward to talking to you in the next quarter and for now, t hank you so much.

Moderator: Thank you very much . Ladies and gentlemen, on behalf of Indi Go, that concludes this conference. Thank you for joining us and you may now disconnect your lines. Thank you.

Note: This transcript has been edited for readability and is not a verbatim record of the call

Call: May 2025

May 28, 2025 IGAL/SECT/ 5-25/10

To
National Stock Exchange of India Limited
Exchange Plaza, C - 1, Block G
Bandra Kurla Complex
Bandra - (E), Mumbai - 400 051

Symbol: INDIGO To
BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street, Fort
Mumbai - 400 001

Scrip Code: 539448

Subject: Transcript of earnings call

Dear Sir / Madam,

Pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find attached the transcript of earnings call held on May 21 , 202 5, on financial results for the quarter and financial year ended March 31 , 202 5.

The above is for your information.

Thanking you,
For InterGlobe Aviation Limited

Neerja Sharma
Company Secretary and Chief Compliance Officer

InterGlobe Aviation Limited
Registered Office: Upper Ground Floor, Thapar House, Gate No. 2, Western Wing, 124 Janpath, New Delhi – 110 001, India. M +91 9650098905,
F + 91 11 43513200 Email: corporate@goindigo.in
Corporate Office: Emaar Capital Tower -II, Sector -26, Sikanderpur Ghosi, MG Road, Gurugram -122002, Haryana, India. T +91 124 435 2500.
CIN no.: L62100DL2004PLC129768

“IndiGo Fourth Quarter and Fiscal Year 2025
Financial Results Conference Call”

May 21, 2025

MANAGEMENT : MR. PIETER ELBERS – CHIEF EXECUTIVE OFFICER
MR. GAURAV NEGI – CHIEF FINANCIAL OFFICER
Ms. RICHA CHHABRA – HEAD OF INVESTOR
RELATIONS

Operator: Good evening, ladies and gentlemen and welcome to IndiGo’s Conference Call to discuss the fourth quarter and fiscal year 2025 financial results. My name is Yashashri, and I will be your coordinator. At this time, the participants are in a listen -only mode. A question -and-answer session will follow today’s management discussion.

As a reminder, today’s conference call is being recorded. I would now like to turn the call over to your moderator, Ms. Richa Chhabra from the Investor Relations team of IndiGo.

Richa Chhabra : Good evening, everyone, and thank you for joining us for the fourth quarter and fiscal year 2025 earnings call.

We have with us our Chief Executive Officer - Pieter Elbers and our Chief Financial Officer – Gaurav Negi to discuss the financial performance and are available for the Q&A session.

Please note that today’s discussion may contain certain statements on our business or financials which may be construed as forward -looking. Our actual results may be materially different from these forward -looking statements.

The information provided on this call is as of today’s date and we undertake no obligation to update the information subsequently.

We will upload the transcript of prepared remarks by day end. The transcript of the Q&A session will be uploaded subsequently.

With this, let me hand over the call to Pieter Elbers.

Pieter Elb ers: Thank you so much, Richa. G ood evening, ladies and gentlemen and thank you for joining this call. We announced our financial results for the fourth quarter and the financial year 2025 today.

Before we begin, I must take a moment to address the recent tragedy that shook our nation. Following the tragedy in Pahalgam, our country has gone through a tough time, and our hearts go out to the victims and their loved ones.

Now turning on to our financial performance, for the financial year 2025, we reported a total income of around 841 billion rupees which is 18% higher than financial year 2024. This , by the way ladies and gentleman, is for the first time we have reached a USD 10 billion mark in terms of revenue.

Excluding the impact of foreign exchange, we reported a profit of INR 88,676 million or INR 8,868 crores, maintaining a solid performance very much similar to last year. These results are a testament to our collective focus and strategic clarity. With the impact of foreign exchange loss, we reported a net profit of INR 72,584 million or INR 7,258 crores.

As we reflect on the financial year 2025, the first half witnessed a temporary moderation in demand led by the elections and the heatwave across our nation . By the beginning of the second half, we witnessed a remarkable surge in demand, primarily driven by festivities, wedding season and of course the Maha Kumbh.

For the fourth quarter of the financial year 2025, we reported a total income of 231 billion rupees and a net profit of 30.7 billion rupees or 3,068 crore rupees. This has been one of our best performances for the fourth quarter as we achieved many milesto nes including the highest number of customers served during any quarter and the strongest profit for the fourth quarter in any year since our inception.

During the quarter, we saw a surge in domestic traffic primarily driven by the Maha Kumbh. We responded swiftly to cater to this increased demand and optimized our network to operate incremental capacity through gauge upgrades and additional frequencies to Prayagraj and a few other airports around the region.

I, personally, also had the opportunity to attend the event, and I must say that it was a truly surreal and humbling experience. The scale, the spirit, and the devotion I witnessed were unlike anything I have ever seen.

The overall demand during the quarter, including in international markets, was high, as we served around 32 million pas

sengers representing a growth of 20 percent and international markets demonstrating an even stronger growth of over 30 percent on a year -over-year basis.

During the financial year, we had the privilege of welcoming a total of 118.6 million passengers on board, around one million passengers every 3 days. With this, we closed the year with a growth in passengers of more than 11 percent. From families to business travellers , from first-time flyers to returning citizens – all placing their trust in us to fly them to their destinations, safely and comfortably. And, I would like to thank each and every of our customers for choosing to fly with IndiGo.

In terms of aircraft deliveries, in the financial year 2025 we added a total of 67 aircraft on a net basis. Further, during the year 2024, we received deliveries of 58 aircraft from Airbus as part of our original orderbook. This represents around 7 percent of the total commercial aircraft deliveries by Airbus during the year. It gives us a lot of pride at IndiGo that we were the single -largest receiver of Airbus aircraft globally. Here we are an 18 -year-young Indian airline with one of the largest orderbook s in the world and taking the highest number of plane deliveries globally, representing our long -term vision, scale and rising leadership in the global aviation landscape.

Our investments in the world -class new generation fleet was recognized by ch -aviation and we were recognized as the “World’s Youngest Aircraft Fleet 2025” in the category of airlines operating more than 100 aircraft. This is a testament to our commitment o f operating a world -class , young and efficient fleet.

Now on the operational performance, we had taken a comprehensive series of initiatives such as

reviewing block times and enhancing some of our operational procedures, which have really helped us to reclaim our leadership position in terms of on -time performance from September 2024 onwards . While these initiatives laid the foundation, it was driven by the “Power of We” spirit as demonstrated by all IndiGo employees. This is a remarkable achievement at our scale with operating more than 2,200 departures per day. Our IndiGo employees showed exceptional agility and commitment during challenging times such as the AOG situation, recent shifting of operations from terminal 2 to terminal 1 on the Delhi airport and the Crowdstrike outage. From ground operations to flight crews, mai ntenance to custom er support, their commitment to performance, safety and hassle -free service has been nothing short of extraordinary.

On the network side, we continue to invest in scale and readiness and further densified our domestic network by adding 3 more new destinations, multiple routes and increased frequencies. Today, we operate out of 13 different bases in India. And our foundation remains deeply rooted in India and now we operate such a well -diversified network of nearly 490 routes domestically.

It is the diversity of our network that plays a key role in safeguarding our operations during times of disruption. More recently, this was tested in May wherein our operations from 11 airports , in the Northern part of India, were suspended for a period of 8 days leading to the cancellation of around 170 daily flights. Our teams, especially in the north -west region, rose to the occasion – supporting one another and most importantly caring for our customers with empathy.

Operat ionally, the impact was limited , as we continued to operate more than 2,050 daily flights with strong domestic load factors of around 83 percent during the same period.

Internationalization remains a key focus strategic area as we added an impressive 7 new destinations across Asia during the financial year. When I joined IndiGo three years ago, we had around 25 international destinations. We closed the financial year 2025 with 40 international destinat

ions . And last week we added Fujairah b eing our 41st destination . That's nearly 65 percent growth within a period of less than three years. We have expanded into newer countries, regions and continents with enhancing connecti vity to north and central Asia, to the west with a flight to Nairobi, and to the east to Indonesia. However, when it comes to international travel, India remains highly underserved. The further you go, the lower is the market share of Indian airlines. This presents us with a huge opportunity to expand into further markets. In terms of international capacity share, this year, we have reached around 30 percent of total ASKs , and we have projected that to go up to more than 40 percent by the end of financial y ear 2030.

As part of our broader strategy, we signed an agreement to damp lease six B787s wide bodies with Norse Atlantic Airways. We have already deployed the first B787 on the Delhi -Bangkok route and have received a positive response from our customers and we will be receiving the other 5 during the second half of this financial year. Starting July, we will be further expanding our horizons and will launch Amsterdam and Manchester from Mumbai using damp leased aircraft. This marks an important milestone in our journey to competing meaningfully on long haul rou tes and sets the foundation for our widebody operations.

During the financial year 2025, we launched a series of new initiatives including our business product – Stretch and our loyalty program – BluChip. We have launched Stretch on 5 domestic

routes so far with 16 aircraft. In addition, we have also launched Stretch on the Delhi -Bangkok route on our damp -leased B787. Going forward, as we get more deliveries we will continue to add routes with the S tretch product.

On the loyalty program, around 2.9 million customers have already signed up for the program in just 7 months. We have announced partnerships with brands such as Accor and Swiggy, which will help offer a value proposition that will drive deeper member engag ement and loyalty. Apart from this, these partnerships will also provide us with additional revenue.

The year 2025 is a n extremely exciting year for Indian aviation with two key upcoming events.

- The first one - after 42 years, the prestigious IATA AGM will be returning to India, with IndiGo inviting them and as such being the host airline . This comes at a very appropriate time with the global rise of India and Indian aviation is so much on the forefront . We are proud to welcome the global aviation community to India next week , providing opportunity to reaffirm IndiGo on its path of becoming a global aviation giant.
- The two megacities of India – Delhi and Mumbai will have second airports. We have committed strongly to both new airports. We had the honour of doing the first test flights at both locations and are committed to developing connectivity through these new ai rports. As of now, we are expecting to commence operations at these two airports sometime during this year.

Together, all these initiatives form a cohesive strategy, not only, aimed at achieving our vision of making IndiGo into a global aviation player but also help us realize India's vision of developing India into a global aviation hub. We are focused on our path ahead through a well -defined strategy and are investing for the future.

We remain focused on execution of our strategy — anchored in strong operations, cost leadership and a future focused mindset. In this direction, we are accelerating our international expansion — adding more destinations, wide -bodies and XLR aircraft. This will be a major step in building our global footprint.

To conclude, we closed the financial year with robust financial stability. Our retained earnings have also turned positive, and our balance sheet reflects a strong financial position.

Let me now hand over the call to

Gaurav to discuss the financial performance in further detail.

Gaurav Negi : Thank you, Pieter and good evening, everyone.

For the year ended March 2025, we reported a net profit of 72.6 billion rupees with a net profit margin of 9.0% compared to a net profit of 81.7 billion rupees for the year ended March 2024. Excluding the foreign exchange impact, we delivered a profit of 88.7 billion rupees, closely aligned with our performance in the financial year 2024. This consistent performance underscores

our disciplined execution and operational efficiency, enabling us to effectively manage cost pressures while staying on course with our strategic goals.

We reported an EBITDAR of 212.5 billion rupees for the year ended March 2025 compared to an

EBITDAR of 175.4 billion rupees for the year ended March 2024.
We reported a passenger revenue of INR 697 billion rupees for the financial year 2025, a growth of around 15% against a capacity increase of around 13% primarily driven by improvement in unit passenger revenue.
Now onto the quarterly performance, for the quarter ended March 2025, we reported a net profit of 30.7 billion rupees with a margin of 13.8% compared to a net profit of 18.9 billion rupees and a net margin of 10.6% for the quarter ended March 2024. This tr anslates into a net margin improvement of 3.2 points driven primarily by improvement in unit passenger revenue and continued favorable fuel environment.
Further, in recognition of our strong financial performance and stable financial position, we are declaring a final dividend of 10 rupees per share subject to the approval from the shareholders in our ensuing AGM. This marks a significant milestone in our post pandemic recovery journey – a testament to the clearly defined strategy. We are committed to consistently deliver long-term value to our shareholders.
For the quarter ended March 2025, the unit revenues came in at 5.26 rupees, which is about 3% higher on a year -over-year basis. The yields improved by 2% and the load factors came in strong at 87.4%, an improvement of 1.1 points on a year over year basis, driven by the Maha Kumbh & an extended wedding season.
On the cost side, the fuel CASK reduced by 6.6% on a year over year basis primarily due to a reduction in average fuel prices.
The CASK ex fuel ex forex came in at 2.94 rupees, which is sequentially higher by 1.4% and 2.8% higher on a year -over-year basis driven by
- Annual escalations in the maintenance cost and airport charges
- Impact of currency depreciation on the dollar -denominated expense s
- Cost increases as we execute the redeliveries of our aircraft through the global MROs
- This impact was partially offset by savings from reduction in number of groundings on a year-over-year basis

We remain focused on cost leadership and are actively leveraging operational synergies to keep our costs range bound in the coming year.

Now, m oving to the aircraft on ground situation, we reached the peak number of groundings in Q2 of financial year 2025. The number of AOGs has been reducing since Q2 from mid 70s to 60s in Q3 to 50s in Q4 and is currently in the 40s. It was our team's agility and executional capabilities, which enabled us to meet our capacity guidance despite the grounding situation.
In terms of the fleet, during the year, we inducted 67 aircraft on a net basis. This includes 33 aircraft which have been inducted through our entity in GIFT city. With the reduction in grounded aircraft and steady flow of incoming aircraft, we have also started to redeliver the damp -leased aircraft. We redelivered 8 aircraft in the March quarter and another 5 in April. Going forward, we will continue to assess the demand & supply situation to adjust our damp leased capacities.
Our balance sheet is strong , which is underpinned by financial prudence, disciplined

capital
allocation, and a robust capital structure. I am pleased to share that this financial strength has been firmly recognized through our debut international credit rating, where we are awarded an "Investment Grade" rating by leading global credit rating agency - Moody's. This initial assessment highlights our strong liquidity position, sound capital structure and the financial headroom to pursue our strategic goals.
Further, our liquidity has further improved as we ended the March quarter with free cash of 331.5 billion rupees. This translates to an increase of 42.5 billion rupees as compared to the December quarter end.
During the quarter, as part of our cash utilization initiatives, we have purchased 2 ATR aircraft in the quarter, with this we have a total of 8 owned ATRs. During the year, we have also invested in our training facilities and have added 4 new ifly trainin g centres during the financial year, and made investments in digital initiatives such as NDC and Advanced Revenue Management System.
We ended the quarter with a capitalized operating lease liability of around 480 billion rupees and total debt, including the capitalized operating lease liability of around 668 billion rupees. Our right to use assets at the quarter end were 491 billion rup ees.
Now, f or the financial year 2026, we have already provided capacity guidance that we will broadly grow our capacity by early double digits as compared to the financial year 2025.
For the first quarter of financial year 2026, we expect to add mid -teens capacity compared to the same period last year. April performed well from a revenue standpoint. However, following the geopolitical disruptions, we have seen some impact on the overall revenue environment due to increase in cancellations and impact on booking trends. We are closely monitoring the evolving trends to assess t he impact on PRASK for Q1 FY2026 .
As Pieter mentioned, we launched a number of initiatives during this financial year in the direction

of our broader vision of becoming a preferred airline globally and to represent our nation with pride. All these initiatives are building blocks of this un ified and long -term strategy.
As we scale new heights, our investment -grade credit rating stands as a testament to our robust

financial health and prudent governance. Coupled with our continued commitment to shareholder returns, the announcement of the dividend reflects our confidence in the business and our disciplined capital allocation strategy. We remain well -positioned to deliver sustained value and lead from the front in the years ahead.
With this, let me hand it back to Richa.
Richa Chhabra: Thank you, Pieter, and Gaurav. To answer as many questions as possible, I would like to request that each participant limit themselves to one question and one brief follow -up question, if needed. And with that, we are ready for the Q&A.
Moderator : Thank you very much. We will now begin the question -and-answer session. We will take our first question from the line of Binay Singh from Morgan Stanley.
Binay Singh: Hi team, thanks for the opportunity. Congratulations on the good set of numbers , and best wishes for the long-haul foray. I will actually just ask Gaurav to comment a little bit more about the trend in yields and cancellation that he talked about. Have we started to see improvement in those trends, or we have not seen any pickup over there? Or if you could comment a little bit about, what are you seeing on the yield side also?
Gaurav Negi : Like I mentioned, Binay in my script, April was very, very strong. So, both in terms of passenger growth as well as yields they were holding. So, it was coming to be very, very strong. The moment that the geopolitical event kind of transpired, we have seen a significant amount of cancellation that has also started to happen. So, between the period of April

22, still, I would say a few days
back, the cancellation and the booking trends have taken a sharp decline.
What we have started to notice in the last few days, at least that has stabilized and has started to uptick now. To what extent it's going to bounce back and how quickly is it going to bounce back is something that we are monitoring. But at least from our vantage point, we have seen the worst in terms of the peaking of the cancellation and dip in booking, but the trend has started to reverse.
We are very still very optimistic and hopeful that it will probably , May as well as June, which is one of the holiday periods at least in India is probably going to see a recovery quickly, the same way that we had seen the geopolitical events also last only for a few days. Hopefully, the trend of cancellation of booking will also turn around quickly, and we will have a very strong June. But this is, again, our optimism. Let's see how it transpires.
Binay Singh: Right, right. Thanks for that. And my second question is, globally, when we look at low cost, long -haul foray, we have seen very mixed results across airlines. So as IndiGo is starting on to this journey, what are the challenges that you anticipate? And how is IndiGo or the IndiGo product changing or you are planning to change it to cater to that?
Pieter Elbers: I think if I may, you should make a difference between the low cost and low -cost operations or a low-cost basis, if you wish. And I think IndiGo prides itself, and we remain committed to that to be an operator with a very low-cost basis that has not meant domestically that we are having a product which is not from high quality.

On the contrary, courteous, hassle -free, on -time performance and affordable fares. So that has been the basis of success for IndiGo. What we have done, though, with the start of the operation into Europe, we will adjust our product to what is required for Europe. So, we will have meals all across the aircraft as part of the overall price proposition on the flights to Amsterdam and Manchester. And we have our premium product, IndiGoStretch being available on those flights as well.
That doesn't mean any change in the domestic and regional proposition. And actually, it's encouraging to see in other parts of the world where they basically go back to exactly the proposition IndiGo is already having on this domestic and regional network. So, I think IndiGo is on the way to becoming a global aviation giant, and this is precisely part of that trajectory. And it may be good to add that even for the XLR, we have announced a dual class configuration as well.
Binay Singh: Great. Thanks, P ieter, for that response. I will come back in the queue.
Moderator: We will take our next question from the line of Amyn Pirani from JPMorgan. Please go ahead.
Amyn Pirani : Hi, thanks for the opportunity. My first question is that if you could help us understand the sensitivity or quantify the impact that the closure of the Pakistan airspace could have on our operations and costs?
Pieter Elbers: Take a step back and look through the network of IndiGo. And here, really, the strength of a strongly diversified network operating from a country with a large geographical scope is really helping us. So, to put things in perspective, IndiGo operates 131 destinations. Due to the closure

of the Pakistani airspace, we have suspended 2 - Almaty and Tashkent. So out of the 131, 2 have been suspended.
Then if we look to the other flights, it basically impacts around 19 routes and a total of around 30 flights. 34, I think, is the precise number, but it depends a bit on wins and directions and all. So, we have 2,200 daily flights. And there, we have a total of 34 being affected. Within the range of 20 to 30 minutes of additional flying time, which, of course, there's an impact financially when it comes to bringing additi

onal fuel, but if you look to the overall scheme of things at IndiGo , and the size of the operation to other geographies, the impact for us is relatively limited and these flights is a low single -digit number as part of the total of our flights being affected.
Amyn Pirani: Okay. Thanks for that. And my second question was on broadly speaking, codeshare as a whole, how much does it form part of your overall revenue? And if you can help us understand how does the accounting work? Like is codeshare a direct flow through to profits? Or are there costs associated with it? If you can just help us understand that, that will be really helpful.
Pieter Elbers: Yes. Without making it into masterclass codeshares, let me simplify it. We have 2 types of codeshares - one codeshare foreign operators are having their codes on IndiGo's domestic flights. So Virgin Atlantic fly from London to Bangalore and connects Bangalore to Goa on IndiGo. So there, we get a certain amount of rupees on that flight. That is an arrangemen t we have with about 10 different airlines in place, and that's actually increasing a lot. And with the network of IndiGo and for example, the recent signing up with Japan Airlines is really helping us. So that has

increased a lot. It's still a single -digit number, but it has increased a lot compared to a few years back.
So that's one codeshare we are having. The other codeshare we are having is codeshare where we fly to a certain point and then beyond that certain point, we codeshare on someone else. And that is what we have with Turkish and with Qantas. So, we fly to Singapore from Chennai to Singapore, and there we connect on Qantas to Perth for that matter.
Then your second question, how does it accounting -wise works . That works very simple. We have agreed on a certain price for that Singapore -Perth. And that means we collect the overall price for the entire journey from the customer , and we pay Qantas for the remaining part. Also, that has really increased over the last few years. And again, Turkey is one of them with the 2 flights connecting over Istanbul to the rest of the network and the other one is Qantas.
Amyn Pirani : And any broad number like of our revenues, how much is it codeshare? Is it like a significant number like 5% or less than that?
Pieter Elbers: Well, if you look to the margins we operate and the overall margin, we operate . This quarter, we published a 9% margin. So even if it's a single -digit number, it's additional revenue, which is very helpful for us.
Amyn Pirani: Understood. Understood. Thanks for that. I will come back in the queue.
Moderator: We will take our next question from the line of Krupashankar NJ from Avendus Spark. Please go ahead.
Krupashankar NJ : Hi, and thank you for the opportunity. My first question is on business class . if you can share the load factors of business class in the domestic market, that would be really helpful. Or probably a few qualitative comment on the traffic, what you are seeing on new routes, which you have started?
Pieter Elbers: Thank you. Stretch is still in the implementation phase. We started in November with Stretch. We started on Delhi -Mumbai, and that route was completed. All the 20 daily return flights were operated with Stretch.
By now, we have 5 domestic routes in operation. and a total of 16 planes. Out of the 16 planes they are operating on these 5 routes, and we basically continue to add 1 plane every week on that , in order to come to that total number of around 40 planes with the Stretch configuration.
I think it's a bit too early to go into specific load factors. We see that the routes which are very well established, like Mumbai -Delhi, they are operating strong and solid, and we see some sort of initial additional attention needed on the new routes like Delhi -Chennai. And I am very confident that we will see the same

as we saw on the Delhi -Mumbai route . By the time that all the frequencies are operated by Stretch, we will see an increase in load factors , because especially that segment of customers have the tendency to move from one flight to the next. So, it's important to have all the frequencies being operated on that. So, I guess by the end of this calendar year, all the flights are operated, and we will be able to have a proper evaluation of the load factors.

Krupashankar NJ : Thanks for that. My second question is on the international side. Is it possible to split between the leisure and VFR and business demand on your international routes?

Pieter Elbers: No, not really. And I don't think you will be surprised if we find that quite a few people combine VFR and business -related travel also. So, we are not really having that split being made. Where we see that, clearly, the strength of our network with domestic and international to have it both is really helping us for the customers to create a more holistic travel solution. And the fact that our BluChi p program, we have like 3 million people who have already signed up, I think is a demonstration to the fact that we have that combination of an incredible domestic coverage with 490 routes and an increasing international presence.
And that presence international, just like domestic is actually serving all these different segments ranging from VFR to business. And the new routes, Amsterdam and Manchester, I think, are a great example of that as well. We see tourists from Europe comin g to India. We see business travelers and we will see VFR as well. And they have gone in the open for sale as from today, and we are confident that we will see a similar mix as we see on other routes.
Krupashankar NJ : Last question, if I may. On the cost side, cost escalation side in FY '26, what are the major escalations you are forecasting. And any mitigation measures with respect to forex side, if at all? How have you taken that forward? Some thoughts over there, please.
Gaurav Negi : Addressing the second part, Krupa, we have shared with you the FX hedging strategy that we have laid out in the couple of calls that we have had in the past. So, we continue to push that particular where we said that we will continue to hedge our positions related to 12 months out, any cash outflow that we have, net of any inflows that are there. So, we continue to pursue that on the FX side from a currency standpoint.
Also, the fact that we continue to scale up our international operations that itself is also going to create a natural hedge for us.
As far as the first part of the question is concerned, the cost side. So, there is going to be a natural escalation that are going to be there in the contracts that we have. Whether it relates to maintenance contracts, whether it relates to the airport charges, so these are elements of costs that are going to be there. What we mentioned in my script also is the fact that we are trying to hold the cost at the similar levels of 2025 , reason being we had a large part of our AOG mitigation strategy, which was damp leases.
We are scaling down those damp leases as some of the aircraft , which were AOGs are coming back. So those offsets will enable the inflationary increases that we will have in all the line items that are there. So, we are making this attempt to make sure that the cost levels remain at the same levels that we had in 2025 , because we have seen an uptick in 2025, largely because of the increase in damp leases that we had introduced to offset the AOG situation that we faced.
Krupashankar NJ: Thank you very much for answering my questions. All the best.

Moderator: Thank you. We will take a next question from the line of Kushagra from CWC Advisors. Please go ahead.
Kushagra: Yes, hi. Thanks for the opportunity. Jus

t 2 questions. One, so on your international aspirations with 40% international ASK target, if you can give us a sense on what kind of share you are anticipating among Indian airlines, ASK overall when you reach that target? And how much of this you are expecting from the long -haul travel once you reach that 40% international ASK target?
Pieter Elbers: No, I think when you look to international, we should not look at what is our share in the Indian market space. We should look at what's the total Indian and foreign operators and what would be our share in that.
I think what's extremely important that if you take a step back and probably 7 -8 years ago, the share of Indian operators as part of international traffic was in the mid -30s. So, it was like 65 -ish by international operators, 35 -ish by Indian operators.
Over the last years, and thanks to a lot of the expansion of IndiGo, we have now moved to a share of Indian operators more in the range of 4 5-46-ish percent , but that is still tilting very much to regional capacity. The further you go away from India, as I mentioned, the lower that share is becoming. So, I think the opportunity is really to make sure that, for example, Europe, and that's part of our announcements today, the share of Indian operators is about 1/3rd, 2/3 rd of all the traffic is going on non -Indian operators. And that's for direct flights only, and then there's still a lot of indirect flights as well.
So, the opportunity in that field is massive. And like for domestic, we are not setting a market share target, we don't do it for domestic , neither do we do it for international. But I think with the product and the cost basis IndiGo is having, we should be able to get a significant share of that market on IndiGo flight.
Kushagra: Sure. And so, there was one more part of the question, which was how much of your international would be your thinking of doing long haul only in that 40% international ASK target?
Pieter Elbers: It becomes a bit of a question, what is your definition of long haul? And here, the XLR , for us, is actually a very important tool, which is somewhere between the precise definition of long haul, 9 -plus hours of flying and the definition of regional 5 -6 hours of flying. And exactly in that space,

the XLR will have a great opportunity for us to do that. So, we are very bullish on having those planes coming in , and start to operate the route s, for example, Delhi to Nairobi or Delhi to Bali, which today both Nairobi and Bali are being operated, but from Mumbai and Bangalore, respectively.

So, the opportunities are huge. If you just look to our fleet composition, the wide bodies eventually in 2030 will be in the range of 30 on a total fleet basis of around 600 aircraft and that 600 narrow - body aircraft will have a lot of regional operation and XLR. So that's how we come to this number in ASKs, but real long haul is going to be limited to the 350 s.

Kushagra: All right. Sir, the second question is actually, can you tell us more about your capital allocation plans in terms of how much you are going to allocate between, let's say, dividends, keeping cash on balance sheet, buying planes and engines and the AIF investments, which you had called out earlier. So, a broad understanding there.

Gaurav Negi : So again, on the capital allocation, we have been prudent. Like we said that we have been now rated investment grade by Moody's also. The broad allocation that we have given in the past also is a large part of our cash is going to be deployed towards keeping a safety net. As a thumb rule, we have mentioned that it's going to be somewhere around 20% to 25% of our overall top line. So that's going to be a safety net that we will continue to carry.

As our ownership model changes, we will look at that particular percentage. Outside of that, the allocation is going to be largely t

owards our growth initiatives that we are driving. And towards that, the biggest part has been our digital initiatives that we are launching. A massive amount of investments we are doing in various digital tools for us to prepare for the growth that we see and the infrastructure that we need to build by 2030. So, there's investments happening towards that.

We have also highlighted that we have started to acquire some assets. So, we mentioned that we have acquired 8 ATRs. So, we started small because in order to deploy our cash towards prudent allocation, we started small. We started to own assets, which are ATRs as well as we are looking at acquiring and owning the engines. So, in a way, we are prioritizing in terms of where we are deploying capital.

And beyond that, whatever is going to be available is going to be kept for the purpose of acquisition of all forms of aircraft, which is going to be narrow -bodies or for that matter, the wide - bodies that are expected to start coming in 2027.

They may not be an outright purchase in its entirety. It could be a higher contribution of equity that we may want to do for the finance leases that we are doing. So that's the broad construct of the capital allocation that we are doing. We have kind of recommended and will go to the AGM for the shareholders to approve a dividend in order to reward our shareholders also. So that's also part of our capital allocation strategy.

Kushagra: All right. Thank you. Thank you and all the best.

Moderator: We will take our next question from the line of Prateek Kumar from Jefferies. Please go ahead.

Prateek Kumar : Hello, good evening, everyone, and c ongrats for great results. My first question is a bit of a clarification on your capacity growth . Have you increased your capacity group guidance from early double -digit to mid -teens expectation now?

Gaurav Negi : No, Prateek, the early double digit is for the whole year. So, what we have said for the mid -teens is for Q1 of FY’26, so this quarter.

Prateek Kumar: Sure. So, in relation to the redeliveries that is expected to moderate into the later part of this year, that is what we are sort of expecting.

Gaurav Negi : No sorry, I didn't get that question.

Prateek Kumar: So, because of redeliveries of aircraft s and maybe the returns of damp leases of aircraft. So, the growth is slightly coming off from like mid -teens expectation in 1st Quarter . That's what we are looking at during the year.

Gaurav Negi : So, I will just repeat. So, what we have guided is for the whole year, there is going to be early double -digit increase on the capacity side. So, we have closed this year with 157-odd billion of ASKs. There's going to be an early double -digit growth in this capacity.

Now contributing to this capacity growth is going to be additions in terms of new aircraft coming in, as well as redeliveries also happening. So, it's all factored in when we have given early double - digit guidance for the full year.

Now when we come to the quarter, which is Q1 of FY’26, we are saying the capacity increase is going to be in the tune of mid -teens levels from where we are today. So, it's going to be year -over- year. So, it's going to be an increase of mid -teens from Q1 of FY’25 to Q1 of FY’26, there's going to be a mid -teens increase in capacity.

Prateek Kumar: Sure. Other question is regarding recent geopolitical tensions that have had recent uproar against

Turkish relationship across businesses. How do you see your partnership of damp lease with Turkish Airlines, which is also coincidentally up for renewal by this month end. And do you have any mitigating measures there if it ends there? And how does that particularly works with your codeshare agreements for 40 -plus connections, which are rel ated to that partnership?
Pieter Elbers: Let me take that one. Well, the flights between India and Turkey

are governed and are within the
framework of the air service agreement between the 2 nations. I think that's one. Two, the operations which are taking place are fully compliant and in line no t only with the regulatory framework, but also by the other rules and regulations from the government. Then certainly, we had and we still have lots and lots of Indian customers booked on these flights , mostly connecting over Istanbul and fly to other parts of the world for their travel needs.
And then on the renewal, that's up for the government to decide on that. we have this operation in place for some time now. It has served the Indian customer s well and whether it is compliant, and there the government has the view of what is the overall landscape and the overall setting and the holistic picture, and we operate within that guidance and framework.
Prateek Kumar: The related question was like if this relationship like doesn't continue beyond May. So, does that change anything in terms of business , because we have a codeshare agreement , which helps connection to other destinations in Europe?
Pieter Elbers: As a good airline, we make sure that we have full back up plans in case of changes. And I think we have demonstrated over the last years, be it domestic, be it international, be it the topic we just discussed around the closure of Pakistan i airspace, we will deal with it, and we adjust our network accordingly. But for now, we focus on serving our customers and making sure that they can go to and come from their final travel destinations.

Prateek Kumar: Thank you and all the best.
Moderator: We will take our next question from the line of Ankur Periwal from Axis Capital. Please go ahead.
Ankur Periwal: Hi. Thanks for the opportunity and c ongratulations for a strong set of numbers. First question on your thoughts on yields, given where fuel prices are and sort of some pass -over there. So how are you looking at yield there? And the commensurate question will be on the spreads, your thoughts there, how do you see them happening over FY '26?
Gaurav Negi : Ankur, we usually don't give guidance around the yields. It's very difficult to give guidance even for the quarter right now , because of the recent events like we mentioned. So, where the yields are going to settle is something that we will have to monitor. They have obviously gone down , given the events that have happened between May 7 and May 10.
We are hopeful that there's going to be a recovery, both in terms of the booking as well as the yields. So, it's very hard to give guidance right now where Q1 is going to be. But beyond that, we usually don't give a guidance. We are hopeful that things will come back to normal. The yields have held up if you look at the entire 2025 . FY'25, the yields have held up to be strong, they have increased year -over-year. So, we are again hopeful. But given the recent events, it's very difficult to call out where Q1 is going to be, let alone what the total year is going to be like.
Ankur Periwal: Sure. I appreciate that. Just secondly, a clarification . So, you did mention earlier that overall costs are expected to be flattish for FY '26, if I am comparing FY '25, I am presuming this is ex of fuel cost?
Gaurav Negi : Yes, ex of fuel cost. The way fuel has been favorable, like we mentioned in our commentary also, is played to be favorable. Where I mentioned the offsets of the cost is going to be , the extent of the damp leases that we had is going to scale down and the offset to that is going to be the increase , normal escalation that one experiences across various line items.
Ankur Periwal: Okay. That's it from my side. Thank you.
Moderator: Thank you. We will take our next question from the line of Achal Kumar from HSBC. Please go ahead.
Achal Kumar : Hi. Thanks for taking my question. So, first of all, moving back to the Paki

stan airspace closure,
do you see any changes to your network plan or strategy towards your long -haul international operations? You have announced flights between Mumbai and these 2 preannounced destinations, Amsterdam and Manchester, although Delhi is the biggest international hub, and we are talking about Delhi quite a lot. So, has that decision been impacted because of Pakistan airspace closure? And how do you see that? And have you done any exercise on your brand awareness score in the international markets , because that is very important for inbound international tourism?
Pieter Elbers: Yes. Well, thank you for that. Let me cut the answer into 3 parts. Our today's network, I mentioned it before, we suspended Tashkent and Almaty, the remainder of the 19 routes is a bit longer , and

no further changes are being expected. So, we continue to operate, and there's no change in that. So that's one.

Two, when we look to our further international expansion, today, we only have one 787 and the others are coming in, in the second half of this year. So, we still have time to take a final call. And I think we have a good habit not to make our competition , sharing anything more than strictly necessary , so we keep it to the very last moment to disclose from where these flights are operating. I think the opportunity of India really is with 787s, we can operate them from pretty any hub we have in India into Europe. So, we have chosen Mumbai for this time, but we can operate it from pretty much anywhere.

And even outside Delhi and Mumbai, we have opportunities. Specifically for Amsterdam and Manchester, I think the opportunity is great for actually both cities to be connected into Mumbai. Our connecting network in Mumbai is not as strong, and you are right in that, it's not a strong as it is in Delhi, yet it does have actually quite a couple of good connections even to the southern part of India, where some of these flows are going. So, we have made that evaluation, and we figured that this was actually a very good way of starting this operation.

When it comes to brand awareness, you are absolutely correct that the brand awareness is an important topic. But in one of the earlier calls, I shared the fact that we do have these codeshares. And even in today's call earlier, there was a question on codeshares. The fact that we have codeshare a greement with British Airways, Air France, KLM, Virgin, and they all have their customers on our domestic network , means that there's quite a lot of Europeans today who are increasingly aware of these flights. And b y the way, by the time they figure out that these are competitive fares and that affordable fares of IndiGo are now also available in Europe that would, I am sure, stimulate and create demand from Europe into India and even beyond.

Achal Kumar : Okay. Perfect. Thanks P ieter. My second question is around again, the international operations. How do you see the opportunities for your ancillary revenue , given that you are planning to sell hot meals and all, so the cost will go up. But do you have plans to increase your ancillary revenue sales , cargo or any other ancillary revenue to offset that cost pressure? And obviously, when it comes to international operations, I think it is very important on the F DTL things. So, do you see any challenges there on FDTL side, please?

Pieter Elbers: Yes. Allow me to say that these are 2 very different things, FDTL and ancillary revenues. But I guess you just used the opportunity to address both questions, which is perfectly fine.

When it comes to ancillary, you are absolutely right. Cargo is an important aspect. And also there, the start which we have done, and that's actually quite nice for us that we have taken a lot of initiatives over the past 3 years, which were I guess, needed some explanation for people to se e where it was leading to. And we i

naugurated the narrow -body freighters some 2.5 years back, and we have a few of them in operation now.

And when we started our flights into Bangkok with the 787, actually, we saw suddenly cargo loads of 8, 9, 10 tons per flight, obviously, significantly larger than the kilos we carry on the narrow bodies . So, the opportunity for cargo really is very, very significant in terms of flight s operating. I think it nicely coincides with the fact that one , Made in India is becoming more and more prominent in terms of India as a global production hub, not only as a service, but also as a global production hub and I think very much in mind also with the vision of the Indian government.

If we look to the share of international cargo on Indian carriers, and we spoke earlier about the share of passengers on Indian carriers, on cargo, it's actually in often, it's a single -digit number, which is share on Indian operators. And that means all the rest is going on foreign operators. So, the opportunity for us to take some of that international cargo on our widebody flights is really fantastic. So, the focus will be clearly on that.

I think for the meals, it's clear that for a flight of these distance to make an operational feasible product and to make sure that our customers have a holistic proposition, we opted for this one, and I think that will resonate actually very well in the market.

And FDTL for these flights is not so relevant , because these are so -called damp leases. So, the cockpit is being operated by the operator, Norse in this case. For domestic, clearly, the F DTL will have some impact, but that's a very different discussion than these long -haul operators. And again, for the first phase in July onwards, it looks like that there's a low single -digit impact on that for that phase. But again, that's domestic. It has nothing to do with the international piece.

Achal Kumar: Perfect. Thank you so much, P ieter.

Moderator: Thank you. We will take our next question from the line of Jinesh Joshi from PL Capital. Please go ahead.

Jinesh Joshi : Yes. Thanks for the opportunity. I think you mentioned that we redelivered about 8 aircraft, 8 damp lease aircraft s in 4Q. And I think more 5 are to be redelivered in April. But if I look at our aircraft engine, these rental costs, it has increased by about INR 64 crores. Perhaps this could be due to the escalation in wet lease rental s. So how should we think about this cost going ahead? Is

it that the benefit of lower AOG, which was in 40 s, as you mentioned in your commentary, will
be eaten away by the higher wet lease rentals going ahead? So, your thoughts on that?
Gaurav Negi : The increase that you saw was on account of more damp leases that had come and when you start comparing it probably sequentially also. And if we look at Q2, there is a delta in terms of the rates that were applicable. So Q2 of FY'25, the significant increase in the damp leases on account of the summer rates that we had mentioned, that started to moderate down as we have entered into Q3 and then Q4. But at the same time, the number of damp leases has also increased when we had gone into Q4.
Fag end of Q4 as well as going into April, what we have called out is we have started to return some of these damp leases. So, you will start seeing a decline in this particular line category. We

also introduced the wide -body Norse that had also now come into , where the cost related to that will come in this particular line item. So, it's a play of rates started to moderate downwards from summer to winter .
Also, the fact that the smaller narrow -body damp leases now getting returned as our AOG situation improves. But at the same time, we have added now the wide -body damp lease on Norse aircraft that one has already come in , and there are more that will start coming in, but for

a different
purpose. So that's what you will start experiencing on this particular line item. That's when the moderation will start.
Jinesh Joshi : Understood. Sir, one last bookkeeping question from my side. I think the capitalized operating lease liability is up by about 10%. That is what we have stated in the PPT. And we have inducted about 67 aircraft if I compare it with March '24.
Now historically, when the number was slightly lower in terms of aircraft induction, the addition to the operating lease liability number was a bit high. So , just wanted to check, has there been any change in the capitalization method, I just thought of asking , because the share of finance lease is rising and over here the full value of the aircraft basically gets capitalized. So, what are your thoughts on that?
Gaurav Negi : You are right. You have captured it rightly. Earlier, we had all operating leases, what we have been calling out our number of finance leases continues to grow now. So, there's an even mix of operating leases as well as finance leases that continue to be added. And like you rightly pointed out, the liability associated with the finance lease is going to be higher than the operating leases , because at the end of the lease term, you get the right to own the aircraft. So that's what's transpiring and playing out, and that's why you will see an increase on the overall capitalized lease liability line.
Jinesh Joshi : So, the number in the PPT just captured the operating lease number, the finance lease liabilities captured separately is what you are saying ?
Gaurav Negi : No, no. It's in the same line item. I am saying the contribution of the finance lease liability is going to be at an accelerated rate than what it used to be with the operating leases. So, the shift in the mix that has started to happen since last year has been that our finance lease liability numbers have started to start to increase . All the new deliveries that are coming in , has a higher mix of finance leases also.
Jinesh Joshi: Okay. Thank you. Thanks for the clarification.
Moderator: Thank you. Ladies and gentlemen, we will take that as the last question for today. I now hand the conference over to Mr. Pieter Elbers for closing comments. Thank you, and over to you, sir.
Pieter Elbers: Thank you so much. Ladies and gentlemen, thank you so much for joining us in this call today. We have delivered strong full year 2025 results as excluding the impact of foreign exchange, we reported a profit after tax of around INR 88.7 billion and welcomed an impressive 118.6 million passengers during this financial year.

In recognition of the strong financial performance for this year, we have declared or actually recommended a dividend of INR 10 per share subject to shareholders' approval. And this will be after a period of 5 years. Also, now IndiGo is part of a select few airlines in the world, which have received credit rating from leading international credit agency.
Ladies and gentlemen, thank you once again for joining. And on a personal level, Gaurav, this is the 11th time we do it together, and it's so nice to see how the strategy is turning out to these very positive numbers and development.
Ladies and gentlemen, looking forward to talking to you next quarter. And for now, thank you.
Moderator: Thank you very much. Ladies and gentlemen, on behalf of IndiGo, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Note: This transcript has been edited for readability and is not a verbatim record of the call

Call: Aug 2025

August 5, 2025 IGAL/SECT/8-25/1
To
National Stock Exchange of India Limited
Exchange Plaza, C - 1, Block G
Bandra Kurla Complex
Bandra - (E)
Mumbai - 400 051

Symbol: INDIGO To
BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai - 400 001

Scrip Code: 539448

Sub: Transcript of earnings call on financial results for the quarter ended June 30, 2025

Dear Sir/ Madam,

Pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find attached the transcript of earnings call held on July 30, 2025, on financial results for the quarter ended June 30, 2025.

This disclosure is also being made available on the Company’s website at www.goindigo.in .

The above is for your information.

Thanking you,
For InterGlobe Aviation Limited
Neerja Sharma
Company Secretary & Chief Compliance Officer

Encl: a/a

InterGlobe Aviation Limited
Registered Office: Upper Ground Floor, Thapar House, Gate No. 2, Western Wing, 124 Janpath, New Delhi – 110 001, India.
M +91 9650098905,
F + 91 11 43513200 Email: corporate@goindigo.in
Corporate Office: Emaar Capital Tower-II, Sector-26, Sikanderpur Ghosi, MG Road, Gurugram-122002, Haryana, India. T +91 124 435 2500.
CIN no.: L62100DL2004PLC129768

“IndiGo First Quarter Fiscal Year 2026
Financial Results Conference Call”

July 30, 2025

MANAGEMENT : MR. PIETER ELBERS – CHIEF EXECUTIVE OFFICER
MR. GAURAV NEGI – CHIEF FINANCIAL OFFICER
Ms. RICHA CHHABRA – HEAD OF INVESTOR
RELATIONS

Operator: Good evening, ladies and gentlemen and welcome to IndiGo's Conference Call to discuss the first quarter of fiscal year 2026 financial results. My name is Rayo, and I will be your coordinator. At this time, the participants are in a listen -only mode. A question -and-answer session will follow today's management discussion.

As a reminder, today's conference call is being recorded. I would now like to turn the call over to your moderator, Ms. Richa Chhabra from the Investor Relations team of IndiGo.

Richa Chhabra : Good evening, everyone, and thank you for joining us for the first quarter of fiscal year 2026 earnings call.

We have with us our Chief Executive Officer - Pieter Elbers and our Chief Financial Officer – Gaurav Negi to discuss the financial performance and are available for the Q&A session.

Please note that today's discussion may contain certain statements on our business or financials which may be construed as forward -looking. Our actual results may be materially different from these forward -looking statements.

The information provided on this call is as of today's date and we undertake no obligation to update the information subsequently.

We will upload the transcript of prepared remarks by day end. The transcript of the Q&A session will be uploaded subsequently.

With this, let me hand over the call to Pieter Elbers.

Pieter Elb ers: Thank you, Richa. Good evening, ladies and gentlemen and thank you for joining the call. We announced our financial results for the first quarter of the financial year 2026 today. Before we begin discussing our quarterly performance, I would like to take a moment to express our deepest condolences to the families and loved ones of the passengers and crew affected by the AI171 tragedy. The entire IndiGo team stands in solidarity and united in spirit with our colleagues at Air India in this dif ficult time.

Moving on to our quarterly performance, the quarter started on a strong note but was later shaped by significant external challenges – geopolitical tensions and airspace restrictions – leading to increased block times on certain routes and an increase in c ancellations across several key air corridors.

- The l atter half of April was marked by the devastating terrorist attack in Pahalgam leading to the tragic loss and disruption in flights and demand, specifically for the Srinagar routes. This was followed by Pakistan airspace restrictions, which led to increased block times on certain western international corridors from north Indian airports impacting more than 30 daily flights. It also led to the cancellation of flights to

Almaty and Tashkent.

- As we moved to May, NOTAMs issued during the first week led to the cancellation of around 170 daily flights across 10 airports for more than a week.
- In June, as the booking trends & passenger cancellations were beginning to normalize, we had the tragic AI171 accident . This led to a caution in travel sentiment particularly on the international side. Further, conflict in the middle east region led to airspace closures from mid -June, which in turn led to cancellation of over 100 flights for a period of two days.

These series of cascading external headwinds created sustained impact on the operating environment for the whole industry. During this period, while the industry passengers grew by around 6 percent, we served more than 31 million customers , reflecting a solid growth of 12 percent compared to the same period last year. A double -digit growth during a turbulent quarter speaks volumes about the strength of our network and the relevance of our offering. We deeply value our customers' confidence, and I want to th ank each and every customer for choosing to fly with IndiGo.

I would also like to take a moment to acknowledge the efforts of IndiGo teams from planning to

operations, who played a critical role in adapting to our network in line with the regulatory directives and safety protocols, thereby reflecting our commitment to upholding the highest standards of safety across every part of our operations.

It is the combination of customer loyalty and organizational agility that gives us confidence in our ability to navigate short -term headwinds and continue building on our strong growth trajectory.

For the first quarter of the financial year 2026, we reported a quarterly total income of 215 billion rupees, which is an increase of 6 percent as compared to the same period last year. In terms of profitability, we reported a profit after tax of 21.8 billion rupees, or almost 2,200 crore rupees with a profit after tax margin of around 11 percent.

This quarter also marked a landmark moment for IndiGo on the world stage as we had the privilege of hosting the 81st IATA AGM in New Delhi, which brought together the most influential voices shaping the future of our industry. The presence of our Honorable Prime Minister elevated this event to a moment of national pride and global significance. It was a powerful recognition that India remains the fastest growing major aviation market. It also highlighted IndiGo's growing stature on the world stage and our r ole in driving conversations that will define the next era of aviation.

As part of our growth strategy, we have taken a number of decisive steps this quarter to strengthen our position and prepare for the opportunities ahead:

- To unlock the massive long -haul opportunity ahead of us and to enhance connectivity between Indian cities and major international destinations, we signed an MoU with

Airbus to convert 30 purchase rights into firm order. These widebodies will give us the reach, flexibility, and scale to tap into unserved global routes and position us as the preferred airline for long -haul journeys. As the deliveries of our initially ordered widebodies will start from 2027 onwards and deliveries of these additional 30 aircraft are expected to start from 2032 onwards, to en sure that we do not lose on the opportunity, we signed an agreement with Norse Atlantic for 6 widebodies on damp lease . We have already inducted one widebody aircraft which is currently flying from Mumbai to Amsterdam and Manchester. Touching down in Europe is a huge thing for us because of many firsts — flying long haul, serving hot meals, and having Stretch on internati onal flights. So, it is much more than just two new destinations in Europe. It marks the start of a very new chapter in the book of IndiGo. We will be inducting the remaining 5 aircraft during this financial year. The initial feedback from customers is very encouraging wherein our ability to curate product -market fit is being appreciated - a fit-for-purpose product . Further, based on this feedback, we are enhancing the flight frequencies to current destinations from September onwards , bringing Amsterdam to six a week and Manchester to four a week. We will also be launching London & Copenhagen in the coming months.

- Given the huge Indian diaspora, the emergence of Indian aspirational traveller who likes to go abroad and India is being seen by more and more companies and countries as a relevant trade partner makes us very confident that the international market will continue to grow. With this fact in mind, we are planning to add many more new international destinations – from all directions in India.

- In addition to our domestic Stretch product, which is currently available across 5 domestic routes, we took a significant step in March 2025 by introducing Stretch , also international, on the Delhi –Bangkok route using our damp -leased widebody aircraft. Though this was a temporary deployment, featuring over 50 stretch seats, it served as an effective market test. I am pleased to share that the f

eedback was overwhelmingly positive, with s trong demand observed on this route. Based on these insights, we've decided to expand our Stretch offering using our A321 aircraft across select regional international markets. Since the beginning of July, we have begun a phased rollout of Stretch product across all frequencies to Bangkok, Singapore, Dubai and Phuket from Delhi and Mumbai.

- Another important cornerstone of success in international operations is strong and

mutually beneficial codeshare partnerships. We have announced new partnerships during this quarter providing enhanced travel options to Indian travellers and increasing our brand awareness amongst non -Indian travellers.
o Our existing partnership with KLM has become reciprocal that will enable IndiGo customers enhanced connectivity to 30 destinations in Europe and the UK through Amsterdam . Further, our existing relationship with Japan Airlines has also become reciprocal with us also placing our marketing flight codes on Japan Airlines ' flights between points in Southeast Asia and Tokyo.

o In addition, we have also signed a codeshare agreement with Jetstar enabling convenient connections to Australia and New Zealand.
o At the IATA AGM, w e announced a partnership with Delta Airlines which will enable IndiGo's customers to connect to Delta's broad transatlantic network.
o And l astly, our partnership with Virgin Atlantic will also become reciprocal. This will enhance connectivity between India, UK, and North America.
- On the domestic network side, we have already launched 2 new destinations – Hindon in Ghaziabad and Adampur in Jalandhar. We are also gearing up to be the launch carrier at the two new airports – Jewar and Navi Mumbai. These new airports are a critical par t of India's next wave of aviation infrastructure and will allow us to tap into new catchment areas. In addition to launching new destinations , we will continue to further densify our unparalleled domestic network, by adding new routes and frequencies, strengthening our leadership in India and deepening our regional network.

Adding new destinations, growing partnerships with airlines and airports will not only be greatly beneficial to our customers but is also at the very heart of our purpose of giving wings to the nation. We do see an increasing middle class and a newer generation that focuses on experiences, we see an increasing international link both for Indian companies going abroad and foreign companies coming here. So, if you take all these into account then what we have b een doing, with all these steps, is cultivating and keeping the foundation of the company ready for growth.

Our loyalty programme has received a very positive response with around 3.8 million members already enrolled, and we have onboarded several key brands. Recently, with the aim of elevating the travel and lifestyle experience, we have launched Co -Branded credit card in partnership with Kotak Mahindra Bank.

In terms of operations, since November last year, we have been the leader in terms of on -time performance and maintain one of the highest technical dispatch reliabilities in the industry , highlighting the core of one of our key customer promises.

As we approach our 19th anniversary in just a few days, it is a moment of pride for everything we have built – an unparalleled network, 7th largest airline , in the world, by daily departures, a trusted brand and a passionate team that has redefined air travel in India. While we take a moment to acknowledge how far we have come in such a short span of time, our eyes are firmly set on the future.

While near -term disruptions may impact individual quarters, our long -term direction is clear and built for sustained success. Our growth story remains intact, and our ambition undimmed. Our confidence is underpinned by the structural growth opportunity fo r air travel in I

ndia. While the first quarter saw some impact of these external headwinds, the second quarter is witnessing stabilization, and we remain optimistic for the third and fourth quarter to have a strong rebound

and growth.

We are defining the next phase of our growth with clarity, ambition and discipline. The steps we have taken in the last couple of years are laying the foundation for growth, leadership and value creation in the years to come. This is an exciting time for all of us at IndiGo. And w e are proud of the journey so far and even more confident of the road ahead.

With this, ladies and gentlemen, let me now hand over the call to Gaurav to discuss the financial performance in more detail .

Gaurav Negi : Thank you, Pieter and good evening, everyone.

For the quarter ended June 2025, we reported a total income of 215 billion rupees and a net profit of 21.8 billion rupees with a net profit margin of 10.6 percent compared to a net profit of 27.3 billion rupees with a net profit margin of around 13.9 percent during the same period last year.

As Pieter mentioned, the June quarter was marked by series of external impactful events – geopolitical events, airspace restrictions and the unfortunate accident in the Indian Aviation – leading to higher flight and pas senger cancellations and a moderation in yields. Amid a series of external challenges, we delivered a robust 12 percent growth in passengers served — double the industry growth of 6 percent — highlighting the strength of our network, brand and execution. While profitability was impacted by ongoing geopolitical headwinds, this was partially offset by a favorable fuel price environment.

While the large part of April performed well as our domestic number of passengers grew by 14 percent compared to an industrywide growth of 8 percent, and the revenue environment was also supportive, May and June were marked by significant geopolitical headwinds, which led to a significantly higher cancellations and did not allow normalization of yields.

Our total income increased by around 6 percent compared to the same period last year. Excluding the impact of one -timers in Q1FY25 related to claims that we had called out last year, the increase in total income would have been even higher.

In terms of per unit revenue performance, the passenger unit revenue (PRASK), came in at 4.21 rupees vs. 4.54 rupees in Q1FY25, a reduction of around 7 percent. The yields came in at 4.98 rupees, a reduction of 5 percent as compared to the same period last year and load factors came in at around 85 percent, which is 2 percentage points lower compared to the same period last year.

We took massive strides in our journey of becoming a global aviation player by launching direct flights to Amsterdam and Manchester. We also introduced specially curated, complementary hot meals and beverages, by iconic home -grown Indian brands, to our cust omers on these routes.

We remain prudent in our approach to growth. We are a fit -for-purpose airline. While the core of our product remains the same, we are developing group s of products depending on the routes we operate. The product design is focused on fit for purpose and a value -for-money proposition. Our product is designed to feel at home for Indians and offer a taste of India for non -Indians.

On the cost side, the fuel CASK reduced by 21.9 percent on a year over year basis driven by a reduction in average fuel prices, contract negotiation and redeliveries of older generation aircraft, which were inducted as part of mitigation measures for the A OG situation.

The CASK ex fuel ex forex came in at 2.89 rupees, which is lower by 1.5 percent on a sequential basis driven by reduction in number of damp leases partially offset by annual increases in airport charges and annual increments.

On a year -over-year basis, the CASK ex fuel ex

forex has increased by 1.8 percent primarily due

to annual contractual increases across line items partially offset by reduction in number of damp leases. As communicated earlier, CASK ex fuel ex forex for thi s financial year is expected to remain at similar levels as for the financial year 2025.

In terms of fleet, during the quarter we inducted 8 aircraft through our captive leasing unit in the GIFT city. Further, as guided during the last earnings call, the number of grounded aircraft remains stable in forties and with the reduction in number of groundings, we have started returning damp -leases from March onwards and have redelivered 16 damp leased aircraft during this quarter. The same is reflected in the reduction of our aircraft and rentals line item during this quarter.

Further, we continue to assess the demand and supply situation and remain open to inducting additional damp -leases, as we move forward.

On the balance sheet side, we ended the June quarter with a capitalized operating lease liability of 468 billion rupees and a total debt of around 685 billion rupees. Our right to use assets at the quarter end were around 508 billion rupees.

Further, our liquidity has improved as we ended the June quarter with free cash of 348 billion rupees and restricted cash of 146 billion rupees.

As part of our strategic initiatives, we launched our venture capital arm, IndiGo Ventures, in August 2024 primarily to invest in early -stage startups driving innovation in aviation and allied sectors. During the quarter, we achieved a couple of important milestones with the first close of fund at INR 450 crores and announced our debut investment in Jeh Aerospace, which is one of the fastest growing aerospace startups, based in Hyderabad, focused on high -precision aerospace and defense manufacturing.

Further during the quarter, we also signed an MoU with Bengaluru International Airport Limited to develop MRO capabilities. Together with BIAL, we are further shaping the future of Indian aviation by focusing on innovation, growth and global connectivity t hat will define India's leadership in the skies. A dedicated state -of-the-art MRO facility will offer a significant advantage in terms of aircraft availability, greater cost efficiencies and quicker turnaround benefiting us and our customers.

Moving on to the capacity guidance, we remain firm on our full year capacity guidance of early

double -digit capacity addition. For the second quarter, we have taken a number of proactive steps, as part of our annual plan, to align capacity with demand, by adjusting frequencies on certain low - demand sectors. At the same time, we are using the downtime to co nduct structural inspections on some aircraft and implement fleet upgrades, ensuring the fleet is fully prepared for the seasonally strong third quarter.

As a result of these adjustments, we are expecting to add capacity in the mid to high single digit as compared to the same period last year.

Further, on the revenue side, basis the July trends, we are estimating similar passenger unit revenues (PRASK) for the second quarter as compared to the same period last year. As Pieter mentioned, the July trends confirm stabilization, we are expecting fur ther recovery in August and September.

We are focused on our holistic growth to be able to offer affordable, convenient, on -time travel experience to our customers on a growing domestic and international route network. We also remain determined to maintain our cost leadership while continuously enhancing our operational efficiency and profitability, thereby ensuring strong returns to our shareholders' trust, support, and investment.

With this, let me hand it back to Richa.

Richa Chhabra: Thank you, Pieter, and Gaurav. To answer as many questions as possible, I would like to request that each participant limit themselves to one question and one brie

f follow -up question, if needed. And with that, we are ready for the Q&A.

Moderator : Thank you very much. Participants are requested to use handsets while asking questions. The first question is from Am yn Pirani from JP Morgan. Please go ahead.

Amyn Pirani: Thanks for the opportunity. My question is actually on your comment on the 2Q ASK guidance. At mid to high single digits on a base of last year 2Q, which was also in single digit, so is it a reflection of the fact that the slowdown that you started to see in May and June because of the disruption, you are expecting it to continue this quarter as well? And if that is the case, can you maybe give some colour on whether this is mostly domestic or international, some colour there would be very helpful.

Gaurav Negi: On the contrary, actually, the reflection on the ASK is largely driven by the softness that typically you see in the Q2 quarters. So, if you see historically, the Q2 quarter is the softest quarter in terms of travel related activities, at least on the domestic side. You do have travel on the international side. And that's where we continue to keep adding capacity. Like I kind of mentioned in the opening remarks, we have taken a judicious call to look at our fleet holistically in terms of ensuri ng that we are not spending too much capacity, but deploying our fleet towards maintenance and various activities that we need to serve our aircraft with in the Q2 quarter so that we gear up to be able to scale up in the Q3 quarter. So, deploying too much capacity in the Q2 quarter, which is the softest, doesn't make sense. So, that's what we have done. You will see

that year -over-year, we have already grown a lot of capacity. And that same translates now with a single digit growth for this particular quarter. But on the whole, what I also mentioned for the whole year, we are still committed to an early double -digit growth in the capacity numbers.

Amyn Pirani: Okay , yes, I appreciate the fact that 2Q is a soft quarter. But actually, my question was more regarding that last year 2Q was also a soft quarter. And on a YoY basis, still the growth seems low. But I guess you are expecting a bigger growth to come back in 3Q and 4Q ?

Pieter Elbers: No, every year you will find Q2 being a soft quarter. Like in Europe, every year, Q1 of the calendar year is a soft quarter. So, in India, Q2 is every year a soft quarter. So, despite the fact that it's a soft quarter, we are moderating our capacity to a single digit number. Single digit, by the way, still allows us to grow. We also have still room in the load factor to further grow. We have adjusted our capacity and made sure that, for example, we have reduced some of our damp leases a nd tha t should help us also even from a financial perspective. So, I would say it's a very normal trend. Every year you find Q2 not to be a great quarter. It was included, by the way, in our initial planning. Otherwise, we would have also revised our guidance for the entire year, which we haven't.

Amyn Pirani: Okay, great. Thank you. I will come back in the queue.

Moderator: Thank you. The next question is from Krupashankar from Avend us Spark . Please go ahead.

Krupashankar: Good evening and thank you for the opportunity. My first question is on the A321XLR deliveries. We do note that there are considerable delays with respect to these capacities coming in. How does that shape up your guidance post FY26, probably over the medium term ? And h ow do you see this ramp up coming through?

Pieter Elbers: We still expect our XLR to come in this year. There is no change in that. That was perhaps, if you would have asked that question two years back, there was a different day. But this one now is very consistent. We still expect that plane to come in this year itself. And thereafter, we continue to build our network in the calendar year f

ollowing, which is the calendar year of '26.
We are not having yet given any capacity guidance for FY 27, and neither are we going to do today. But what we have demonstrated, I think, over the years is that we have the ability to find alternative aircraft if needed so. And clearly, the planes which I alluded to earlier, the planes which we have taken from Nors e are really helping us to step up our international footprint on the longer haul as well.
Krupashankar: Got it. The second question is on the implementation of flight duty time limitations, which started from July 1st. Just wanted to get a sense, i s the employee cost in 1st quarter a fair reflection of the increase, which is likely because of the implementation of this norm, or you do anticipate a further increase coming in from second quarter onwards?
Gaurav Negi: Krupa, the first quarter reflects the normalized increase that the employees get every year. So, it kicks in in the first quarter . That's what you get to see over here. The implementation of the FDTL starts from 1st of July. Most of it is going to get absorbed through efficiencies that we are

looking in -house. The second phase starts off around the November time frame. That particular thing is still under evaluation in terms of what exactly is going to be the changes that are being kind of recommended by the regulators. So, what you see in the first quarter is largely the annual increa ses that are across the board for all the employees.
Krupashankar: Okay, got it. Thanks a lot, and I will get back in the queue .
Moderator: Thank you. Next question is from Binay Singh from Morgan Stanley. Please go ahead.
Binay Singh: Hi, team. Thanks for the opportunity. A very good quarter given the volatile environment that we were facing. Two questions, one on international and one on the Mumbai airport change. On the international side, in a few calls back, we had talked about rising competition, especially from Middle East carrier in the international space. Could you comment a little bit about how is international profitability been for you? I know it's very early to comment on the long -haul flight that you've started , but any initial feedback on load factors also over there? The second is on this year, we will see the change in the Mumbai airport. Do you expect any disruption to operations or any market share losses because of that change ? Only these two questions , Thanks.
Pieter Elbers: Thank you. You thanked us for the opportunity, and I thank you for the reflection on this quarter by quoting it a very good quarter. That's exactly how we would reflect on it, given all what happ ened in India and outside India a nd then still to have a Rs. 2,200 crore and 11% margin was our qualification as well. So, thank you for highlighting that. Coming back to the international, indeed we have grown significantly on the international front. We had significant expansions to Abu Dhabi, Muscat, Dammam , Ras Al Khaimah, and more recently also Fujairah was added to it. And clearly , there we have competition both from the Indian operators as well as from the local operators in that part. I think we continue to believe that IndiGo is very well -positioned to deal with that competition. The four customer promises we are having underpinned by a relentless focus on keeping our cost leadership is really, really helping us to deal with that competition. The fact that the market has grown 5% to 6%, and that's a combination of domestic and international, and IndiGo has grown 12%, I think that speaks for itself in terms of dealing with that. So, that competition is there. We welcome competition. It's good it's there. But for us, we feel that our proposition and our cost leadership are equipping us very well to deal with that regional competition. When it comes to the new flights to Amsterdam and Manchester, really, I thi

nk it's a great opportunity for Indian travellers to fly nonstop to these destinations. And Manchester, again, wasn't served directly. Now IndiGo provides a direct service. I had the pleasure of being on that flight and being in Manchester myself. Wonderful to see how not only the Indian community in Manchester is responding very positive, but also the British business community is responding positive. And the recent agreemen t between the UK and India will further drive business development between the two countries. And I think our flight, therefore, is very well -timed and that allows us to step up. We have seen a very positive response. We went actually out live just after less than a month of open for sale and we have seen both bookings from the European as well as from the Indian side. Another thing maybe to highlight here, and that aligns very much with the vision of the Indian government, is that we actually do see quite a few customers connecting in Mumba i and using the IndiGo flight to connect to places in Southeast Asia or Sri Lanka or other parts where our network really provides a very

competitive opportunity. And the geographical position of India clearly positions us very well to deal with that traffic as well. And for precisely that reason, we have decided to step up the number of frequencies and further build on that. To your second question on, do you expect any disturbance in Mumbai? Changing of terminals and opening and closing of it, there is always going to be some disturbance and some disruption. But I take the example what happened in Delhi with the closing of T2. I think it's actually very impressive how collectively the entire system, the airport, and the operators, have dealt with such a massive change in re - accommodating at other places th en fine tuning. So, I am not ruling out that we will have some operational effects, but I am very confident that we will be able to minimize any disruption and any impact for our customers on that.

Binay Singh: Thanks for that, P ieter. So, fair to assume no market share losses or anything that you foresee because of that change?

Pieter Elbers: Market share is always an outcome. And if you see today's market share of IndiGo , it's an outcome of all the things we have been doing. And we continue to do what we do, and we are not focused on every month, whether the market share goes a bit up or it moderates or it goes down by 0.5% or whatever. So, our focus is continuing to serve our customers, keep our cost leadership, build our network. And again, I think the numbers speak for themselves.

Binay Singh: Great . Thanks for the detailed response. Thanks.

Moderator: Thank you. Next question is from Aditya Mongia from Kotak Securities. Please go ahead.

Aditya Mongia: Thank you for the opportunity. I will go ahead with my question. The first one was on load factors. There is a unique position that is emanating on both domestic and international legs for IndiGo as a lead over others. I wanted to check with you whether this is more linked to let's say smart pric ing yield management or is that an increasing preference for customers to fly IndiGo versus other elements that you are trying to pick up?

Pieter Elbers: So, the line was a bit cracking. You asked about the load factor, that it was lower or lower compared to others. I am not exactly sure.

Aditya Mongia: So, let me repeat the question. We have seen i n recent months the load factor of IndiGo being much better than that of competition. And this is true in carriers both on domestic and international routes. I wanted to check whether the same is a function of smarter pricing by IndiGo or is there an increased preference that you are seeing of customers traveling IndiGo ?

Pieter Elbers: Yes, I would almost say all of the above, Sir. We have in that first quarter ; we have an 85% load factor. And

you have seen that it's slightly lower than it was last year, but significantly larger than some of our competitors. And what we do is indeed, we have a focused strategy in that. But to the two points you mentioned, allow me to add a third one. I think the network of IndiGo is really supporting that. And the fact that we do operate to the 93 destinations in the country itself makes that if we connect a new city to, especially if we connect it to one of the larger cities in the network, it's not only a connection between two points, but in fact, it adds a connection to

the entire network of IndiGo . And I think that really is helpful. So, that goes for domestic, and obviously that also goes for some of the international additions we have done. They are connecting to the point they are operated from, but they are also connecting from that point to a whole lot of domestic Indian destinations. So, I think our network really should also be taken into consideration next to the other two points which you have mentioned. And therefore, the power of our network is a great asset for our customers, wherever you have to go in India, actually IndiGo serve s it. And just as a reminder for everyone, 90% of the Indian population lives within 100 kilometres of an IndiGo served airport. That's a phenomenal number, I would say. And that helps us really also to stimulate the load factor.

Aditya Mongia: Understood. The second question that I had was more on the fuel cost movement on a quarter -to-quarter basis. Now it seems to be much larger than what could be explained by the movement in ATF prices. Is this solely reflective of the increased fuel efficiency that is coming from damp leases going out? Or are there any other one -off factors that we should be taking into account?

Gaurav Negi: So, Aditya, it's going to be a factor of where the ATF prices are. On top of that, incremental to that is going to be the damp leases that are being reduced, which was part of our network, as well as some of the negotiations that we have recently done related to our fuel being acquired from the oil market companies. So, the combination of those three factors is what is driving the fuel down

Aditya Mongia: Yes, well, just to confirm, this can be sustained at the current levels if ATF prices don't change, right?

Gaurav Negi: Yes. So, the first two can be, but the damp lease impact has already come through. So, as we reduce the damp leases, that would have already kind of diluted itself. So, that's already played out. But the ATF prices and the negotiated prices that we have is going to play itself out at least for this year.

Moderator: Thank you. Next question is from Pulkit Patni from Goldman Sachs. Please go ahead.

Pulkit Patni: Sir, thank you for taking my question. So, first is on aircraft rental. We have seen a pretty significant dip in the quarter. But parallelly, the other income number has not really changed much. Now, our understanding was that as the AOGs come back, both your other income as well as aircraft rentals will go down as the damp leases go away. So, just help me reconcile whether the current rate of airc raft rental is going to sustain? And parallelly, how does this play out in the other income number?

Gaurav Negi: So, what you are looking at as the other income is largely going to be finance income that we have . You've got other operating income if you are looking at that , you will probably see a reflection in terms of what we get related to the rentals that you are trying to extrapolate. So, the aircraft rental is directly proportional to the number of damp leases that we have. So, that number continues to go down. Having said that, this number will stabilize because now we will be taking the Norse aircraft also which are coming in. So, while the narrow -body damp leases will come down, but as was called out, that we

are now going to be increasing the number of leases that

we have on the wide -body side. So, we already have one. There are 5 more coming in this year. So, that's why the aircraft rental line will probably reflect now more of the wide bodies than of the damp leases that we had on the narrow bodies.
Pulkit Patni: Sure, this is clear. So, my second question is on yield. When you guide for yield, which will be flat on a Y oY basis in second quarter based on what you are seeing today, this is what you see today or based on the assumption that it will increase through August and September?
Gaurav Negi: So, given that we are giving a guidance for the whole of Q2, this is what we expect that it will be. So, we are estimating again for August and September. We are seeing some improvements that already started to happen from June to July. That same trend we are expecting will continue to keep improving going into August and September. And I am saying this on a year -over-year basis. So, on a year -over-year basis, what we are saying is we are going to be in line in terms of price to what it was last year. But having said that, we have experienced a significant softness in June. We have seen some improvement already happening in July. So, there is some bit of stabilization. We expect this to improve in August and September leading to a year -over-year kind of a flattish price that we anticipate.
Pulkit Patni: Okay, very cl ear. Thank you so much, Gaurav.
Gaurav Negi: Thanks, Pulkit.
Moderator: Thank you. Next question is from Ankur from Axis Capital. Please go ahead.
Ankur: Yes, hi. Thanks for the opportunity and congrats for the continuous market share gain there. First question on the overheads or the overall cost side. Just wanted your thoughts on while your earlier guidance was that on non -fuel basis, we will be likely able to maintain these numbers on a YoY basis. Any specific line items wherein you are seeing slightly higher inflationary trend, especially among the other expenses and the airport fee and charges?
Gaurav Negi: So, largely on that, like I said that we are expecting that the overall CASK ex-fuel ex-forex is going to be in line with what it was last year, '25. And the '25 was a little elevated because of the damp leases that we had taken. We had taken significant amount of damp leases to offset the AOG situation. As that came down, the cost in other line items that we have across the P&L is going to have their natural inflation/ escalations that are going to come in through. So, as a result, the CASK ex-fuel ex-forex for the whole year, we are expecting to be flattish compared to '25. Now this is across the line items while fuel has been a little benign. But in other line items related to maintenance, airport charges, airport fees, international airports that we have, as well as other expenses, we will have our natural inflation/ escalations that is going to come in. But the guidance has been that FY 26 is going to be in line with what FY 25 was on a unit basis, on a CASK ex-fuel ex-forex basis.
Ankur: Sure, Gaurav, that's helpful. And just one clarification, the narrow body leases are coming down while the wide bodies will be going up. So, from a, let's say Q1 versus maybe a Q2 or Q3, the other operating income here will go up in sync with the increase in cost at the aircraft rental side.

Will that be a fair assumption?
Gaurav Negi: No. The other operating income had largely the AOG -related claims that we were getting. So, the AOG, so it's going to be directly proportional to the number of AOGs we will continue to carry. If the AOG numbers, which has been declining, so it was in the mid -70s, that's why the number used to be high. It's already moderated down to the 40s that we called up. As this number goes down, the AOG -related claims wil

l go down. So, as a result, that particular line item will also start moderating downwards. The rental side is what you pay for these damp leases. The wide bodies will start coming in. Having said that, while the damp leases for the narrow body, we have already moderated, given it's a softer quarter, Q2, we are returning most of them. Given the Q3 and Q4 demand that we project is going to be strong, we will assess if we need more of these damp leases to then serve again the demand that we foresee coming through in Q3 and Q4.
Ankur: Okay, that's helpful. Thank you and all the best.
Moderator: Thank you. Next question is from Achal Kumar from HSBC. Please go ahead.

Achal Kumar: Hi, team . Thanks for taking my question. So, I have two. First of all, could you please give a bit of a colour in terms of the increased aircraft incidents in the recent months at IndiGo ? What's happening there? Is there a specific maintenance problem? What exactly is happening and what are you doing? Because just taking forward from Air India crash, of course, there is a bit of fearness and then, of course, we can see a lot of increased aircraft incidents these days. So, what's happening? My second question is about, so Indian government recently increased the number of seats by 50% under the bilateral agreement with Kuwait, which is definitely an interesting move. How do you see that? And do you think we are close to further increase the n umber of seats to other Middle East destinations? Everybody is sort of begging to Indian government to increase. And if that happens, do you see increa sed competition from the Middle East carriers? Thank you.

Pieter Elbers: Let me start with your second question. I think some of the bilateral have been changed recently. I think the Indian government has concluded bilateral agreements with Thailand, with Indonesia, and I believe there is other discussions underway. So, I think the philosophy here, and we shared that before, if there is a desire on both the foreign and the Indian side to increase the bilateral regime, then there is an opportunity to expand. But as long as both sides are not aligned on either the need or the sort of opportunity, then it's not taking place. So, I would say some of the recently concluded increased bilateral are being filled and if we take Thailand as an example, there is additional frequencies being concluded. Indian operators, not only IndiGo , but also other Indian operators are operating additional flights into Thailand. If I am correct, also Kuwait recently has been updated in terms of when it comes to the air service agreement. And that is also a reflection, I guess, of an update being done. And again, the Indian government takes a holistic approach and a holistic chance to this. And whenever there is additional frequencies being granted, Indian operators will operate them. But there has to be, and I shared that before in an international forum, it's a bilateral service agreement. So, that means that two sides must be of the view that changes have to be made. And if one side of the view is making more noise, it doesn't mean that you are more right. Coming back to your first point, I think what is important to underline,

IndiGo is having in place a robust safety management system and is totally aligned with not only all local regulations and standards and protocols, but also aligned with ICAO as the international body on that. We do operate 2,200 flights on a daily basis. And that's why aviation industry as a total is still one of the safest modes of transportation. There is a lot of protocols and experiences and things coming into place. Obviously, after the tragic incident, it has a highlighted sensitivity in elements which are happening. And there is a lot of focus on things which may not got the news six months ago, which are coming in the news now. But IndiGo ,

as I said, has a robust system in place, continues to focus. There is always an evaluation of every event, what happens. There is a close liaison with not only the regulator, but also the OEMs whenever incidents are occurring and we learn and develop on all of them. If we look to the technical dispatch reliability of IndiGo 's operation, it's a very high technical dispatch reliability. I would call it one of the leading in the industry. And with that, we continue to focus on the operation and safety can and should never be taken for granted. So, it has our daily attention and our daily focus, deeply rooted in the company and full focus on that.

Achal Kumar: Thank you. I will come in the queue.

Moderator: Thank you. Next question is from Arvind Sharma from Citigroup. Please go ahead.

Arvind Sharma: Hi, thank you for taking my question. My question would be on the yield trends that were reported for 1QF Y26. It was down YoY. Is it just a high base or like you said, the various unfortunate events that happened w hile you said that 2Q, it should be flattish YoY? Purely on 1Q numbers, what should one assume that how much was the impact of the high base? And how much do you think was because of the unfortunate events that unfolded in 1Q? Purely on the yield part, traffic, we have the data.

Gaurav Negi: No, Arvind, if you look at April , the trending in the April, that was on a year -over-year basis was coming even stronger than what it was in FY 25. So, these are all largely impacted by the events that we have spoken because our best reflection is the fact that April was coming very strong. It was on the back of a very strong Q4 also, given that we had a very strong Q4 last year. But April is an indication that the yields were holding up and were improving year-over-year basis. But these unfortunate events that transpired had then seen a significant moderation in the yield levels. Despite that moderation, like we said, the demand was very strong still. So, the moderation in the yields happened, but the demands will continue to be very, very strong. And as a result, so to your question, Q1 is more a reflection, at least from our vantage point, is a reflection of the external factors that played their role bas ed on what we saw in April. And the same trend that , like I mentioned, in July, we are seeing some stabilization. We are hopeful that August and September is going to at least offset some of those, the recovery that we are trying to do, both from a May, June, July standpoint, in terms of the trend. So, August and September

is going to be better.
Arvind Sharma: Thanks. Thanks so much for this. And staying with the demand, just a corollary to it. You said that 2Q, the ASK would be mid -to-high single digit because you are reassessing some of the lower traffic routes. Does that mean that from a demand perspective or RPK, if you may term that, it would not be as bad? I mean, it would be probably better than the mid to high single digit

what you are building in?
Gaurav Negi: Again, it's going to be a factor of also where the overall market is going to be. We are anticipating that the demand side is going to be stronger because there is a lot of capacity that the industry is taking out. Typically, in Q2, you will find most of the airlines taking out a lot of their capacities. Given the capacity is going to be lower, the demand is going to be stronger. We anticipate that the load factors are going to be stronger and likewise the demand should be stronger for us also because we see across the board reduction in capacity right now.
Arvind Sharma: Sure. Thank you. Thank you so much for the answers. That's all from my side. Thanks again.
Gaurav Negi: Thanks, Arvind.
Moderator: Thank you. Next question is from Kushagra from CWC Advisors. Please go ahead.
Kushagra: Hi. Thanks for the opportunity. Just two questions. O

ne is factoring in 2Q guidance and your comment on the full FY 26 guidance. It appears that there is little room for error, and you need to add significant quote -unquote capacities, right? So, can you give us some more sense on what's going to help there? Is it largely those accelerated reversal of AOGs or it's going to be addition of new planes or some deferment of the database? Some sense there if you can give. That's the first question.
Pieter Elbers: Well, it may be good to repeat that IndiGo has not only the world's largest order book, but last year there was no airline in the world which took more planes than IndiGo . We continue to have and I am not aware of all the precise order books of others, but IndiGo continues to have a plane being delivered each and every week. So, that allows us also with a combination of phasing in and phasing out the aircraft with stepping up or stepping down the number of damp leases to adjust our network very much to the s easonal demand. So, I would slightly disagree with your statement that airlines do not have a lot of ability to fluctuate their capacity on a quarterly basis. I think in the first quarter we delivere d a capacity growth of 16% year -over-year. In the second quarter we spoke about we intentionally reduce it a bit in order to adjust our network and our offered capacity with the seasonality of the demand and we are very confident that we can step it up again in Q3 and Q4 by the factors which I just mentioned and those are the classical very strong quarters which by the way is pretty similar to what we have done last year in terms of our strategy. And here what you see that as the Indian av iation market matures and today already it's the third largest aviation market in the world . As the Indian aviation market matures, we will see increasingly trends which are very common in other parts of the world with high season and peak season and lower season and clearly, I think the agility IndiGo has demonstrated over the past years is also being projected on this year. So, that makes us confident that adjusted a lower I should say not adjusted a lower , a plan lower because it's in line with planning , a lower single digit growth in Q2 can be followed by a double -digit growth in Q3 and Q4.
Kushagra: Awesome . All right . Second question , so can you give us some sense on the increase in the aircraft cost which you have negotiated with the OEMs and this is due to this whole geopolitical stuff some sense there and if I can chip in one more data question so every time you call out that

international is 30% of the ASKs on the revenue front we got this it's around 23 % odd, so if you can give a some number a similar number on the profitability side as well, those were my question s. Thank you.
Gaurav Negi: Again, no guidance on profitability for the future quarters . Related to the question on the negotiated cost of an aircraft , the deliveries that we are getting is actually from our 2015 order book . So, this was something that was negotiated back in 2015 , those are the deliveries . So, it kind of reflects on the pipeline to Pe iter's point the order book that we have of more than 900 aircrafts , the surety of the supply chain is reflective of the fact that even today we are getting deliveries from our 2015 negotiated order book . There is still a 2019 and a 2023 order book that is yet to be executed . So, there is no kind of negotiati on happening on the pricing of the aircraft now.
Kushagra: All right . Thank you and all the best.
Moderator: Thank you very much . In the interest of time, we will be able to take one last question . We take the last question from J inesh Joshi from PL Capital please go ahead.
Jinesh Joshi: Yes, I just have one bookkeeping question . Can you highlight what are the benefits of having a finance lease versus having an operating lease bec

ause if I look at our total finance lease count
that has increased to about 69 from 31 in the base quarter and if I am right in finance lease the depreciation and interest cost is higher in the initial period which is also hurting our profitability to a certain extent . So, is there any specific advantage that we get from having the finance lease versu s operating lease?

Gaurav Negi: Jinesh, I will probably answer in short, but you can follow this up with the I R team . But the benefit of a finance lease is that you have an option to buy out the aircraft at the end of the lease term. In an operating lease you are basically returning an asset . You already know what the situation of the supply chain is across the globe related to aircrafts ; everyone would love to possess an aircraft . So, in that regard as we look towards and from our standpoint we are looking at building an airline which is going to have ownership of the assets so that's why we drove that ship from largely doing operating leases for a large part of our existence of 16, 17, 18 years we are shifting now that we will start owning aircrafts and the finance lease approach is the first step towards that , but you can always get in touch with the I R team , they will take you through the accounting . You are right , there are some trade -offs, but the biggest benefit is going to be ownership and that's where our MRO strategy also comes in because once you start owning these aircrafts you will also have your own MROs to maintain these aircrafts . So, it's kind of an integrated approach that we are talking about .

Jinesh Joshi: Got that, and I know we have spoken about this a lot in today's call, but I just want to get some better understanding of the ASK guidance of mi d to high single digit for 2Q . So, even if I agree with 5% growth , I get an ASK of about 40,000 odd which is a decline on sequential basis . Even a high digit number of about 8% presents an ASK of approximately 41,000 odd which again is a decline on a sequential basis so while you have mentioned that 2Q is always softer than 1Q , historically I mean even if I look at FY 25 or even FY 24 our 2Q ASK number has not been lower

than 1Q . So, in that context how to read this guidance . I know that for the full year we are not changing our guidance, but does it mean that in 2Q we are expecting some significant different demand or anything specific which you want to highlight given how the trend is in FY 26 versus the earlier years ?

Gaurav Negi: Again, if you look at Q1 because you are comparing from a Q1 standpoint like we said we had damp leases also operating in Q1 because it's a peak we anticipated this to be a peak quarter in that regard . So, as a result you deploy capacity to serve the passengers . You know that Q2 is going to be a soft quarter , there is no point deploying a lot of capacity during this particular quarter and that's the judicial planning that we talked about . We are not deploying more capacity it's going to be a softer quarter . Having said that the point Pieter also made Q3, Q4 is going to be a stronger kind of a quarter we anticipate that and that's where we will deploy our capacity and bring in capacity . It could be in all forms , it could be in the form of new deliveries that are coming in which are now scheduled so that they are timed in a manner where they are being received in a peak period , ready for the peak period that is coming in the second half , it could be in terms of additional damp leases that we try to bring in . So, all put together if you wrap this , we are still committed to an early double -digit capacity growth for the full year . So, we have already done 16% capacity growth in this particular this sizable it's much more than anyone else that is , any other airline that is putting in so we are balancing this out in terms of manage the downside especial

ly of a softer quarter . The total year guidance is still holding true; we will be growing early double digits .

Jinesh Joshi: Sure. Thank you so much . Thank you .

Moderator: Thank you very much . We will take that as the last question . I would now like to hand the conference over to Mr. Pieter Elbers for closing comments .

Pieter Elbers: Thank you so much . Ladies and gentlemen , thank you so much for joining us in this call . The June quarter was marked by a series of external impactful events , geopolitical headwinds , tragic safety event in the industry and airport and airspace closures . With these events we still saw a strong growth of around 12% in number of passengers for IndiGo - double the industry growth of 5% to 6% and a very resilient quarter despite industry headwinds and it brought us Rs. 2,200 crores of profit and 11% of margin . Basis the stabilization of trends in the second quarter , we remain very confident of a strong rebound and robust growth in the third and the fourth quarter . The steps we have recently announced demonstrate our conviction in the long -term growth story of Indian aviation . Ladies and gentlemen , once again thank you for joining and looking forward to tal king to you next quarter and for now thank you . Thank you.

Moderator: Thank you very much . On behalf of IndiGo that concludes this conference . Thank you for joining us ladies and gentlemen , you may now disconnect your lines .

Note: This transcript has been edited for readability and is not a verbatim record of the call

Call: Nov 2025

November 10, 2025 IGAL/SECT/11-25/8
To
National Stock Exchange of India Limited
Exchange Plaza, C - 1, Block G
Bandra Kurla Complex, Bandra - (E)
Mumbai - 400 051
Symbol: INDIGO To
BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai - 400 001
Scrip Code: 539448
Subject: Transcript of earnings call on financial results for the quarter and half year ended September 30, 2025
Dear Sir/ Madam,
In compliance with Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed transcript of earnings call held on November 4, 2025, on financial results for the quarter and half year ended September 30, 2025.
This disclosure is also being made available on the Company's website at www.goindigo.in .
The above is for your information.
Thanking you,
For InterGlobe Aviation Limited
Neerja Sharma
Company Secretary & Chief Compliance Officer
Encl: a/a
InterGlobe Aviation Limited
Registered Office: Upper Ground Floor, Thapar House, Gate No. 2, Western Wing, 124 Janpath, New Delhi – 110 001, India.
M +91 9650098905,
F + 91 11 43513200 Email: corporate@goindigo.in
Corporate Office: Emaar Capital Tower-II, Sector-26, Sikanderpur Ghosi, MG Road, Gurugram-122002, Haryana, India. T +91 124 435 2500.
CIN no.: L62100DL2004PLC129768

"IndiGo Second Quarter Fiscal Year 2026
Financial Results Conference Call"

November 04, 2025

MANAGEMENT : MR. PIETER ELBERS – CHIEF EXECUTIVE OFFICER
MR. GAURAV NEGI – CHIEF FINANCIAL OFFICER
Ms. RICHA CHHABRA – HEAD OF INVESTOR
RELATIONS

Operator: Good evening, ladies and gentlemen and welcome to IndiGo's Conference Call to discuss the second quarter of fiscal year 2026 financial results. My name is Neerav , and I will be your coordinator. At this time, the participants are in a listen -only mode. A question -and-answer session will follow today's management discussion.

As a reminder, today's conference call is being recorded. I would now like to turn the call over to your moderator, Ms. Richa Chhabra from the Investor Relations team of IndiGo.

Richa Chhabra : Good evening, everyone, and thank you for joining us for the second quarter of fiscal year 2026 earnings call.

We have with us our Chief Executive Officer - Pieter Elbers and our Chief Financial Officer – Gaurav Negi to discuss the financial performance and are available for the Q&A session.

Please note that today's discussion may contain certain statements on our business or financials which may be construed as forward -looking. Our actual results may be materially different from these forward -looking statements.

The information provided on this call is as of today's date and we undertake no obligation to update the information subsequently.

We will upload the transcript of prepared remarks by day end. The transcript of the Q&A session will be uploaded subsequently.

With this, let me hand over the call to Pieter Elbers.

Pieter Elb ers: Good evening, ladies and gentlemen and thank you for joining the call. We announced our financial results for the second quarter of the financial year 2026 today.

For the quarter ended September 2025, we reported a total income of 196 billion rupees, which is an increase of over 10 percent as compared to the same period last year. In terms of profitability excluding the impact of foreign exchange movement and hedgin g, we reported a profit of 1 billion rupees or 104 crore rupees against a loss of INR 7.5 billion rupees, during the same period last year.

Including the impact of foreign exchange movement, we reported a loss of around 25.8 billion rupees during the quarter. This is the consequence of currency movement pertaining to dollar based future obligations during this quarter . The uncertainties around global policy related matters led to a significant rupee depreciation during this quarter , Gaurav will delve into greater details on this topic.

We have delivered strong operational results driven by disciplined capacity deployment, supported by stronger revenue environment and lower fuel prices.

With Indian aviation market growing and also maturing, we see seasonality coming into the picture and as in any part of the world, we have started to structurally incorporate this seasonality into our planning. In the same direction as we had communicated during our last earnings call, along with the capacity cuts due to the Delhi runway closure, we also optimized our capacity allocation during this quarter, to ensure the right flights were available in the right markets at the right times. Against this bac kdrop, we had the privilege to serve 28.8 million passengers during the quarter.

While the first quarter of the financial year was shaped by significant external challenges in terms of geopolitical tensions and airspace restrictions leading to an impact on revenue performance. In the last earnings call we had mentioned July to witness stabilization and anticipated August & September to witness further recovery leading to a notable revenue performance improvement when compared on a year -over-year basis.

During the quarter, we took deliberate steps on the path of disciplined execution against our long - term strategy. Every pillar of our plan — network expansion, fleet strategy, operational excellence, and customer engagement — moved forward with intent and momentum.

- Our domestic network continues to be the ba

ckbone of IndiGo's scale and reach across India. In Q2FY26, we expanded to 94 destinations, further reinforcing our position as the country's most connected airline. The launch of operations from Hindon Airport in Ghaziabad opened new access points in the Delhi -NCR region. During the quarter, we also added Jalandhar in Punjab and Purnea in Bihar, strengthening our presence in high - potential regional markets, and reinforcing our commitment to connect every corner of our country.

- We announced mid -October, we will be introducing our first A321 XLR in the next few months, which will be offered in two class cabins having 183 economy and 12 Stretch seats. And in the new year, we would start operations to Athens from Delhi and Mumbai through this aircraft. It marks a significant step forward in our growth journey as it extends our operational range from the current 5 –6 hours to approximately 7 –8 hours, unlocking access to a much broader set of international destinations across Asia and Europe that were previously beyond our reach. Wit h this extended range, we will be able to deploy nonstop connections to high -demand international markets, reduce dependency on one -stop itineraries, and offer greater comfort, convenience, and choice to our passengers.
- To complement our fleet expansion and accelerate international connectivity, we have also announced MoU for codeshare partnership with Aegean Airlines in Greece . These alliances extend our reach far beyond our own network, giving customers seamless access to more than 80 destinations worldwide. More importantly, they amplify our brand presence in key international markets and position us as a trusted global playe r.
- We have already spearheaded the resumption of flights to China and are operating flights from Kolkata to Guangzhou currently since October 26th. We are super proud to

be starting Delhi to Guangzhou in a few days as from November 10th onwards. With this very important step, we are looking at adding more direct flights to China.

- India stands at the centre of a global aviation opportunity. Long -range connectivity is the next frontier, and we are moving decisively to capture it. To position ourselves for this growth, we have doubled our order of A350 widebodies from 30 to 60, securi ng the capability to serve new international destinations and connect India to key global markets.
- During the quarter, we also broke ground on our new state -of-the-art MRO facility in Bengaluru. Once operational, it will allow us to handle heavy maintenance in -house for our widebodies, cut turnaround times and reduce reliance on third -party providers to some extent. Just as importantly, it will also create high -quality employment opportunities in aviation engineering and technical services — supporting skill development and job creation in the region.
- While we await the delivery of our own widebodies from 2028 onwards, in the interim to support rising demand and maintain flexibility, we have already added 4 B787 widebodies on damp -lease basis and will be adding 2 more in the coming months. These aircraf t are flying to Amsterdam, Manchester, Copenhagen, and London Heathrow. Addition of these destinations is a milestone moment for us — expanding beyond our traditional network and giving customers direct access to markets that were previously out of reach.
- When we launched our tailored business product – Stretch, almost a year ago, it was a bold move to redefine the travel experience of our customers. Today, through our 40 plus A321 dual class aircraft , Stretch is operational on 7 key domestic routes and 8 international routes. We will be adding it to 1 more international route –and Mumbai to Phuket and to 1 more domestic route – Mumbai to Chennai – later this month. Additionally, the Stretch is also available on our new long -haul destinations, being serviced through dam

p leased aircraft with a differentiated product offering to suit the requirements of our customers.
- In terms of our loyalty program, BluChip continues to gain strong traction and is fast becoming a key pillar of our customer engagement strategy. In just over a year since its launch, BluChip has grown to around 7 million members, reflecting the growing af finity travellers have for the IndiGo brand. This quarter, we accelerated the program's momentum with the launch of three co -branded credit cards in partnership with Kotak Mahindra Bank, IDFC First Bank, and SBI Cards. These offerings are designed to seaml essly integrate travel rewards into our customers' everyday spending, allowing them to earn and redeem points across a growing ecosystem of benefits. And a s we continue to scale this platform, we see significant headroom to unlock value through personalization, partnerships, and digital innovation.

Further, operational performance continues to be a source of strength and consistency for IndiGo. We have led the industry especially compared to domestic players in on -time performance for 9 consecutive months now across all major metro airports, a reflection of meticulous planning, real - time coordination across teams, and a relentless focus on execution. This leadership has held firm even as we scaled our fleet, added new destinations, and n avigated seasonal disruptions.

As we entere d the seasonally strong December quarter, our fleet and operational plans have been scaled up to meet the festive and peak travel season al demand. We remain fully committed to delivering a reliable and seamless travel experience through the busiest months of the year. In October itself, we operated more than 2,300 daily flights on several days on our 600 plus routes and as we move forward, we continue to add more flights. With these increases in capacity, we estimate early teens capacity growth for the full financial year 2026 which is slightly higher than our earlier communicated early double -digit guidance of capacity growth.

In closing, the September quarter enabled positive operational results through well -defined and executed fleet strategy. We delivered ahead of expectations on revenue (plus 10 percent) , executed with discipline across all key priorities, and maintained operational leadership in a season marked with external weather -related disruptions across India.

Our entry into long -haul markets, the rapid expansion of our international footprint and the deepening of global partnerships all underscore a singular fact that we are building our future and the future of Indian aviation with purpose, precision, and pace .

With this, ladies and gentlemen, let me now hand over the call to Gaurav to discuss the financial performance in more detail .

Gaurav Negi : Thank you, Pieter and good evening, everyone.

For the quarter ended September 2025, we reported a total income of 196 billion rupees an increase of more than 10 percent as compared to the same period last year. Operationally, the business remained resilient, and we reported a profit excluding the impact of foreign exchange movement and hedging gains of around 1 billion rupees with a profit margin of around 1 percent in seasonally weak September quarter.

The tariff imposition on India and the continued FPI outflows in the second quarter led to a sharp depreciation of rupee of around 4% at the quarter end. The impact of this sharp rupee depreciation has weighed down on our reported profitability for the September quarter as we reported a net loss of 25.8 billion rupees as against a net loss of 9.9 billion rupees during the same period last year.

We reported an adjusted EBITDAR , which is excluding the impact of foreign exchange movement and hedging gains , of 38 billion rupees, with a margin of around 20 percent compared to an adjusted EBITDAR of 27 billion rupees and a margin o

f around 16 percent during the same period last year.

We added capacity in an optimized manner and grew by around 3 percent in terms of seats deployed and around 8 percent in terms of ASKs. This resulted in a flattish domestic capacity growth and a growth of more than 26 percent on international sectors, as compared to the same period last year.

In terms of topline, the quarter was marked by revenue performance exceeding our earlier expectations due to stronger than anticipated performance in August and September, especially in the domestic markets.

The number of passengers served by us during the quarter grew by around 4 percent on a year - over-year basis whereas the overall industry remained largely stagnant.

As explained in our earlier earnings calls, our exposure to foreign exchange risk is primarily from our lease liabilities and maintenance obligations denominated in US dollars. While we have some dollar -denominated assets — in the form of deposits — the net exposure as of th e end of September is approximately 9 billion dollars. This would amount to a foreign exchange loss of around 9 billion rupees or 900 crore rupees for every rupee depreciation at the quarter end.

While these liabilities are long -term in nature and payable over 8 -10 years from a cash flow standpoint . However, based on accounting norms we recognize the currency impact at the end of each reporting period. With the 3.18 rupees depreciation at the September quarter end as compared to June quarter end, we ended up with around 29 billion rupees foreign exch ange loss under the foreign exchange line item in the income statement.

As we highlighted earlier, we have been actively taking steps to mitigate these exposures by hedging part of our foreign currency outflows and have around 850 million USD positions in the hedge book. We have recognized a gain on hedging of around 2 billion rupees in this quarter. In the coming years we will continue to enhance this position. Additionally, as we continue to scale up our international operations and enhance our brand globally, we expect the natu ral hedge — through dollar inflows from internat ional revenues to increase which will provide us with further insulation against currency fluctuations over time.

On the revenue side, the passenger unit revenue came in at 3.87 rupees, which is 3 percent higher on a year -over-year basis. The yields came in at 4.69 rupees, which is around 3 percent higher as compared to the same period last year. The seat factors grew by around 1 percent, however, with increased stage length , our load factors remained flattish at around 83 percent.
On the cost side, the fuel CASK reduced by around 16 percent on a year over year basis largely driven by reduction in fuel prices and the redelivery of some older -generation damp leased aircraft.
The CASK ex fuel ex forex came in at 3.01 rupees, which is higher by 3.9 percent on a year -over-year basis. The increase in CASK ex fuel ex forex was primarily driven by:
- The depreciation of the Indian rupee had an impact on our dollar -denominated cost base.

We have more than 60% of our total expenses such as the fuel, maintenance, directly or indirectly dollar denominated. This leads to inflated costs from a constant currency perspective.
- Annual contractual increases across line items and
- Disciplined capacity deployment leading to reduction in aircraft utilization due to which our fixed costs is being spread over a lower base of ASKs.
Based on our current estimates, due to
- Higher than anticipated currency depreciation,
- Lower than anticipated reduction in aircraft on ground,
- And induction of some additional damp leases,
We are estimating early single digit percentage increase in our unit costs excluding fuel and forex for the full financial year 2026 as compared to the full financial year 2

025. Also note, some of
these will also have an offset in the revenue line item largely towards claims from OEMs for AOGs .
Moving on to the balance sheet side, we ended the September quarter with a capitalized operating lease liability of 497 billion rupees and a total debt including the capitalized operating lease liability of around 748 billion rupees. Our right to use asset s at the quarter end were around 538 billion rupees.
Our liquidity has further improved as we ended the September quarter with a free cash of 385 billion rupees and a restricted cash of 150 billion rupees.
Also, o ur balance sheet continues to remain strong, and we continue to maintain a healthy cash balance which gives us the flexibility to support growth while navigating external uncertainties. This strength is allowing us to take a more strategic view on our fleet ownership.
In terms of fleet, during the quarter we inducted 15 aircraft from our original orderbook — 8 on operating lease and 7 on finance lease — through our captive leasing unit in the GIFT city. We also redelivered 11 aircraft from our original orderbook. During the quarter, we also purchased 6 finance lease aircraft, whose lease terms had ended, at a nominal value. These are now re -classified as owned from finance leased.
At September 30th, we had a total of 14 owned aircraft and 62 finance leased aircraft. In totality, we had a fleet of 417 at the September quarter end of which 56 aircraft have been acquired through the GIFT city entity.
As communicated earlier, while we have historically operated with an operating lease -heavy

model, we are now actively transitioning towards a more balanced structure. By 2030, our goal is to have 30 – 40% of our total fleet held on our balance sheet either in the form of owned or finance leased structures.
Aligned with this approach, as Pieter mentioned we are also deploying around 1,000 crore rupees of cash over the next 3 -4 years towards building a world class 12 Bay MRO for both our narrowbodies and widebodies in Bengaluru.
Moving on to the AOG situation, the number of grounded aircraft remains stable in the range of 40s. Based on the latest guidance as received from the OEM, the number of grounded aircraft is expected to remain range bound at the current levels till the year end. Beyond this we are in active discussions with the OEM for further guidance on grounded aircraft .
While we remain on track to receive one aircraft per week from our original orderbook, the grounding situation has not eased as quickly as we had anticipated and there is market opportunity at hand. Hence, to ensure we are well -positioned to meet strong an d sustained demand, particularly through the peak travel season, we have taken steps to augment our fleet through additional damp lease arrangements. We have already added 2 A320s on damp lease basis in September and plan to add more narrowbod ies on damp l ease in the coming months.
As we move to the seasonally strong second half of the financial year, based on the market

opportunity and addition of long -haul, we are pleased to announce that will be able to grow by high teens for both the third and fourth quarter of the current financ ial year as compared to the same period last year. This will translate to a slight ly upward revision to early teens capacity growth for the full financial year 2026 as compared to our earlier guidance of early double digits growth.

On the revenue side, basis the trends of October, we are estimating a flattish to slight growth in passenger unit revenues (PRASK) for the third quarter as compared to a high base during the same period last year.

In summary, the first quarter saw a series of events including geopolitical tensions, airports closures etc., followed by stabilization in July and a strong rebound in August and September. We are gearing up for the second half of the year, wh

ich is a seas onally strong period. We are prepared to navigate the evolving landscape with agility, and to continue delivering value to our customers, employees, and shareholders.

With this, let me hand it back to Richa.

Richa Chhabra: Thank you, Pieter, and Gaurav. To answer as many questions as possible, I would like to request that each participant limit themselves to one question and one brief follow -up question, if needed. And with that, we are ready for the Q&A.

Moderator: First question is from the line of Krupashankar from Avendus Spark.

Krupashankar: My first question would be on the capacity addition, while you did mention that there will be high - teens capacity addition in the second half of FY '26. We're also noting that the competitors are also adding substantial capacities in the sector. Now taking this into consideration, are you seeing the yields remain robust? And any challenges with respect to the yields? Also, do you expect any escalation in costs and that can shape up the yields over the second half?

Gaurav Negi: Krupa, you're right. We're looking at a significant capacity addition as we go into Q3. It's going to be in the high teens. So based on the trends that we've seen in October, there is definitely an increase in the yields. Again, that is also given the fact that Diwali, which was in November last year has moved into October.

So, we did have a very strong October performance. Like I said in the opening statements also, for Q3, we are at least looking at a flattish PRASK, if not slightly better. So, the October has been very strong. We are still looking at a flattish to a sligh tly better performance in terms of PRASK unit revenue performance.

Given the fact that last year also was a very strong Q3 performance. So, our strong Q3 performance last year, similar performance from PRASK, we are anticipating this quarter also, Q3, and a significant capacity push, which is in the high teens is the way we are looking at the quarter.

Krupashankar: Got it. And any cost escalations you're expecting, Gaurav?

Gaurav Negi: For the cost escalation also I kind of alluded to. One is going to be the FX. We'll have to see because we do have U.S. dollar -denominated expenses. So, while we do have the mark -to-market movements, but there are underlying costs related to U.S. dollar -denominated expenses, which will naturally move in line with the way the FX is going to move.

Having said that, one of the elements that we covered in our opening statement is the AOGs, the AOGs what we had anticipated were to taper down. We were in the high 70s in Q1 of last year. We've managed the situation very well to bring it down to mid -40s. We are actively engaged with the OEMs, but the guidance right now is that this number will remain in that particular range. So, it's going to be a range bound. We are in active discussion.

If the AOG doesn't trend downwards, obviously, there is going to be a cost dimension. There's an element of claims, and we've always said that the claims do not cover the cost. So that's going to be one dimension of the cost that we do foresee.

Let's see how that plays out, depending on how the AOG situation plays out. Alternate to that, we are going to be beefing up capacity in the form of damp leases. So, we are bringing in more damp leases. Those damp leases, as we had earlier also kind of mentioned, are at a marginally higher cost compared to if they were our own fleet.

That was something that had tapered down. We had returned most of our damp leases by the time we were coming into Q2. We'll start scaling up. So, there is going to be a bit of a cost element, which is going to start creeping upwards. We've mentioned that also in our opening script, where we're seeing at least early single digit increases in unit cost structures.

But let's see how

the yield environment plays out. It's been very strong in October. We anticipate,
again, a flattish to a slightly higher yield structure, which will offset some of these costs that I've talked about.
Krupashankar: Got it. I think on pilot inflationary costs, given the attrition pressures, which have been spoken about on public forum. Anything to talk about that?
Gaurav Negi: The attrition scenario remains stable, and we've spoken about this also in the past that there's a new FDTL norm that has kicked in from November. So given that the FDTL has now kicked in, there is going to be some element of cost dimension that is going t o start playing out. There is going to be an increased cost that we'll have to incur related to the implementation of the FDTL.
How that kind of plays out given the various efforts that we are trying internally within the organization to optimize productivity and to keep the cost low. But we do anticipate there will be a slight uptick in the cost given the new Phase 2 that has been kind of implemented. While it's a scaled -down version from what was initially proposed by the regulators, but nonetheless, there will be some incremental cost.
Moderator: Next question is from the line of Binay from Morgan Stanley.
Binay: Congratulations for a good set of results.
Moderator: Binay, sorry to interrupt you. Can you speak a little louder, please, you are sounding too soft.
Binay: Congratulations on a good quarter. I'll just pick up from the earlier question. Gaurav, you talked about early single digit increase in CASK ex fuel. Earlier, we were talking about it to be flat. And in your opening remarks, you also said there is a counter support in that in the top line also in terms of compensation. So, when you take both into account at the profitability level, also the picture sort of deteriorate or it remains unchanged?
Gaurav Negi: So, there are various drivers that are hitting the CASK. One is the FX. So, there's no offset to that. So, there is going to be pressure that is going to come in from an FX standpoint, the U.S. dollar denominated. The piece I was alluding to offset is going to be the AOG.
So, if the number of the AOG doesn't kind of move in what we had anticipated, the cost related to AOG is going to come in the cost side, whereas the claims will come as we've kind of communicated in the past on the revenue side, so revenue from other operatio ns.
So that's going to be the offset that will be there, but not all elements of costs will not have an offset. It's largely the AOG bit that will have an offset sitting in the revenue side. But barring that, there is going to be costs related to what I menti oned in terms of FX that is there. Obviously, the damp leases that we are getting in will be an increased cost, there's no offset to that also.

So, there is going to be a marginal increase on the CASK side in the early single digits that I mentioned. So, part of it, offset in the revenue but large part is still going to be an increased cost .
Binay: And secondly, when we look at your capacity guidance, on a Q -o-Q basis, this will be one of the sharpest capacity increases that we've seen from IndiGo in a long time. Could you share a little bit of thoughts about how does it go between domestic and inter national? Because like last quarter, bulk of the capacity went to international.
And secondly, linked to that, typically, we see Q2 is always a buildup quarter. You had a lot of costs ahead of Q3 in terms of staff, in terms of damp leases. So fair to say that some of these costs for this very sharp 16% jump in capacity Q -o-Q are built into Q2?
Gaurav Negi: Binay, your voice is all muffled, so we were hardly able to hear. I don't know the moderator if you were able to hear, but at least at our end, it was not coming through.
Binay: Is this better, Gaurav?
Gaurav Negi: Yes. Now it's better. A

gain, please try.
Binay: Yes. So, when we look at capacity guidance for Q3, on a Q -o-Q basis, this is one of the biggest increases that we've seen from the company. Could you share the breakup between domestic international, how you are thinking? And secondly, fair to assume that some of the costs related to this capacity would have been built into Q2 costs also?
Gaurav Negi: Again, the large part of the capacity increase is going to happen again, disproportionate towards the international. Like as you're aware that we are scaling up to a large extent, on the wide -body operations and long -haul operations. So, we've already announced some of those partly got played out in the second quarter with Manchester as well as Amsterdam.
And subsequently, we've also opened Copenhagen and London Heathrow. And there's more to come. So, a large part of the capacity development, both on the wide -body side, even on the narrow body is going to be on the international.
We will continue to kind of grow capacity on the domestic side subject to, again, the opening of some of these airports that have got deferred out while we were hopeful that they will open up a little earlier than what we had anticipated, but they're kind of moving to the right. So, in short, we will deploy capacity where there is an opportunity and we feel it's the right place to go, but a disproportionate increase is going to be towards international.
Pieter Elbers: If I may add there, I think the quarter -over-quarter capacity development is not the most important.

We just take a step back and look to the strategy, which we have launched 3 years ago, we would become for largely domestic operator into an international or, if you wish, global operator.

And the things we have been doing ever since, we have kind of doubled our international footprint from a little over 20 destinations 3 years back to 43 today, and we continue to build on that. The growth is even larger when we look to the number of routes, and the number of routes today is exceeding the number of hundreds.
So, we're kind of building on these numbers. And we'll continue to do that quarter -over-quarter. We've given an earlier guidance of having in the range of 30% of our ASKs in terms of international. We have achieved that. And with the wide bodies coming in, th at percentage will grow to 40%.
So, you'll continue to see these variations, and I think it's good when we speak about Q2, optimize capacity. We see that on the domestic side, we had basically a flattish situation and basically all the growth was only in international side. And domestic was a mixture of the Delhi airport closure and some capacity reallocation, which we have done.
So, the opportunity , I mean, more strategically rather than quarter -over-quarter comparison, is there's an enormous growth market and with that growth market, IndiGo continues to grow well. I think IndiGo is very well positioned with enormous order book we're having. That's o ne.
Two, the international side, where the capacity share of Indian operators was significantly lower than foreign operators. We're rapidly catching up. And we see now that on the international side we are one of the leading airlines rather than a small player in that field going forward.
In the near future, the XLR will help us to make the next step that's arriving in the next quarter, and we'll go into the operation in Q4. And clearly, the further growth of the wide body. So again , quarter -over-quarter, we see this dimension , but it's part of a holistic and larger strategy where you see the dimension moving into building that network.
And our domestic network will remain the backbone of the IndiGo operation connecting the nation, having this impressive 94 destination I have shared that earlier, 90% of the Indian population lives within 100 kilometres of an IndiGo served airport, that

in itself, I think, is a very strong statement
and a very strong asset we're having.
And with that, that international connectivity is building, not only for Indian customers, but increasingly also for foreign customers who choose India as a transfer point for their journey. And we see that for example, with the flights coming from both M anchester and Amsterdam, connecting in Mumbai to other parts, either domestic or international.
Moderator: Next question is from line of Prateek Kumar from Jefferies India.
Prateek Kumar: Congrats for the results. My question is around you said that you're looking to accelerate international, while still your PRASK guidance remains flat to positive year -on-year. There is a general perception or understanding that international yields are li ke kind of weaker versus domestic. So that PRASK guidance kind of factor your accelerated addition into international side?
Pieter Elbers: If you look at the yields per ASK, by definition, the longer that you fly, the lower the yield per ASK. So that, I guess, is an observation. But the same would go for the cost per ASK, the further you fly the lower the cost per ASK. So, I think that, you cannot just draw the conclusion that flying

international is having a lower yield because also you have a lower unit cost.
That's one. Second observation here is that given the geographical position of India, we're having the opportunity to expand to East, West, North, now clearly with China being added. We have a new opportunity of opening new revenue markets. So, the international network also allows us to participate in markets, which have stronger seasonality and stronger variations.
I think some of the things we have been doing is moderate our domestic capacity and reallocated international and also, we could do the other way around. So increasingly, this international footprint allows us to put capacity where at that point in time, market and demand is and as such, optimize the revenues.
Another thing, and perhaps that will come in a later question, but let me preemptively address it. The internationalization helps us also by addressing some of the natural currency hedges we're going to do a more internationalization that clearly brings i n again here in unit revenue, not only unit revenue in rupees, but also in dollars or euros or British pounds.
So, we get all this foreign currency coming in, which clearly helps us to provide a more natural hedge. So again, here, it's a combination of all the different factors as, I would say, holistic ingredients of our strategy.
Prateek Kumar: Sure. And one other question is kind of related. So, we have like now an almost 1 year of launch of Stretch seats on domestic routes. How is the unit revenue like sort of panned out on a blended basis

on that segment versus your ongoing economy segment in domestic routes? Or maybe a blended average for comp any?

Pieter Elbers: Yes. We're very pleased with the start. So, we started indeed almost 1 year ago in the middle of November of last year. You may recall, we started on the route Delhi to Mumbai and then it took a couple of months before all the planes were there, and that's from I guess the middle of Jan of this year, that was done.

And then we moved to Bangalore and then moved to Hyderabad. So, what we see now is that the flights which were launched initially have really picked up steam and customers are increasingly better aware and knowledgeable of the product and things were happening. It's to some extent, also connected, I would say, to our loyalty program because clearly, a certain part of the Stretch customers are those who are flying frequently and those were also signed up for a loyalty program. So, we see that the actual load on those flights with a combination of Stretch and economy class is actually doing very, very well. Again, the ones we introduced at the begi

nning, like Delhi -Mumbai
has matured, the ones we have introduced more recently like D elhi-Kolkata or are still in, I would say, in the growing phase and will take a bit of time to further mature and get the market awareness.

Enthused by the positive reaction on the wide body in Bangkok, we've decided to accelerate or prepone some of the in ternational expansion.

So, we started flights into Singapore, Bangkok and Dubai with international stretch. Load factors there are actually better even than the domestic one. It's just 12 seats on these highly business routes and actually performing well as the demand is actually v ery good. So that enthuses us to look at

other opportunities. We haven't decided it yet, but clearly, we will look to further optimization.

I think here, again, the strategic picture is not what was the load factor on a specific route in the last quarter. But as part of our journey in becoming a global aviation player, does this make sense and if we take stock now after a year it certainly ha s and will optimize a little bit the exact allocation of domestic and international. I think we have done the right thing by putting this only on the nation's busiest and business routes.

We may optimize a little bit here and there. We put our toe in the water when it comes to short - range international, Bangkok, Dubai, Singapore, that's resonating very well. So, for sure, we'll continue to build on that. And the overall unit revenue of a plane with and without actually is a better proposition on the planes with.

Moderator: Next question is from the line of Bhavin from Sameeksha Capital.

Bhavin: Yes. I just wanted to ask and wondering on from a cash flow perspective, and I'm only looking at the cash items in the cash flow, what is likely to be the growth or relationship of increase in the lease payments and interest on lease, those items in the financing that reflect the aircraft cost. How do we think about that in relation to capacity growth or whichever metric you can track because of the change in the aircraft acquisition strategy?

Gaurav Negi: Bhavin, probably this will take a bit more time, and we can have a separate discussion. But if you look at the cash flow that we published for September, you will see our CFO A incre asing. So, year-over-year, you'll see the increase in CFO A. As we continue to grow business, the cash flow correspondingly is increasing.

Through that increased cash flow, obviously, we've been able to manage to pay all our leases as well as any obligation related to the leases. We do have incremental cash that got generated in this quarter. Between June to September, we've added close to IN R4,000 crores of cash on top. So we continue to kind of increase our cash generation through the operations and the growth that we have, the cash flow is supposed to keep increasing.

Having said that, we now need to disclose the cash to utilization. We already have, as I mentioned in my opening remarks, close to INR38,000 crores of cash that we've accumulated. A large part of that is going to be towards our safety net that we want to ensure we have. Beyond that, we are deploying cash towards, what was mentioned, towards investments in MROs that we are coming up with.

A large part is going to be going towards infrastructure bills and digitization, and the rest is going to be towards financing most of our aircrafts, whether it's in the form of taking more finance lease where you have an equity participation or outright purchases, those are the areas we'll continue to kind of explore. But if you need further colo ur around the cash, you can separately have a conversation with the IR team.

Bhavin: And just one quick one. The wide body wet leases, now you're going from 4 to 6. Does it mean that you already have seen enough in terms of evidence of profitability for this particular type of activity?

Pieter Elbers: When we started this wide body expansion, the notion for us was we have ordered the Airbus 350s. However, it will take a couple of years before they will be delivered. That's the nature of the industry we're in. And I think I mentioned at that point in tim e, India is in a hurry and so is IndiGo. So we didn't want to wait for that.
So, we signed up for the 6 in basically 2 steps. It's too early to judge. We started on July 1, actually, the flights into Amsterdam and Manchester. The fact that we're expanding on Manchester that we have expanded on Amsterdam, you can take both of that as a positive sign. Same goes for the first start on C openhagen and London.
Now it takes a bit of time. We've launched these flights relatively short for departure. But looking at the performance, we speak a lot on the passenger side, but also on the cargo side, I think it's important to mention that the number is 90 -plus percent of all cargo out of India is flying on non - Indian operators. So, the opportunity for Indian operators is to be part of the Make in India story is really helpful.
So we actually see good loads on the cargo side, both in and outbound. So we're very encouraged by the 6. I think it's more loads and initial market response than exact numbers, but clearly, we'll move forward. And with the start of London, for every airline with global ambitions flying into Heathrow is a very important milestone.
Moderator: Next question is from the line of Pulkit Patni from Goldman Sachs.
Pulkit Patni: I've got a couple of them. The first is there are 2 thought processes. One is, okay, let me add capacity because I have the benefit of fleet availability being the largest player having access to fleet. So, let me add fleet and passengers will follow?
And the second is because you have access to data way better than us, are you seeing the passenger traffic growth all sort of picking up? And my question comes because at least based on what we are tracking the growth is still sort of subpar relative to w hat we've seen.
So, I just wanted to get your thoughts on what's driving this optimistic capacity addition? Is it saying we want to just go and capture market right now and then traffic will follow or we are actually seeing traffic demand or bookings being so strong? That's question number one, sir.
Moderator: Management, can you hear us?
Pieter Elbers: Yes, we can hear you.
Pulkit Patni: Okay. I'll repeat my question. So, my question is your capacity addition guidance, which is very optimistic. Is it based on some data and foresight because when we look at hindsight and the data that we have seen, the classic trends are not as encouraging? So just wanted to know your thoug ht process on that?
Pieter Elbers: Yes. So I think that's the part of the question, which we got. We started to build our strategy as part of the India growth story. And there's a couple of metrics which are there. One is that what's the GDP growth and how do we see the GDP growth for India going forward and what's correlation

between GDP growth on the one hand side and growth of passengers on the other hand side.
So that is I would say, a global metric where in a market which is still growing a lot, there's a certain ratio between GDP growth and passenger growth. And whether that is 1.5 or whether that is 2, there's a relation between the GDP and market growth. Th at's one.
The second element is India is still largely underserved looking at the number of planes, looking at the seats per capita, looking at the international seats. India, it's not only the largest population in the world, but also the largest diaspora in the wo rld.
So if we take these factors, we actually have next to the GDP metric, we have the population and the young population and the growing middle class. And with that, the seats per capita,

which when
you compare it to not only mature markets like the U.S. or Europe, but even markets like China or Indonesia, there are still significant growth opportunities going forward. So that's two.
So those 2 drivers are driving our long -term capacity growth, and we're fueling our decisions which we took to order the 500 planes and to have today world's largest order book in terms of fleet going forward.
Then naturally, quarter -over-quarter, we see some fluctuations. And let me just refresh the memory. Q4 of last year with the Mahakumbh was a phenomenal quarter in terms of passenger growth overall, and everyone was like, are we going to have this for the next couple of quarters? Are we going to have this growth?
Then Q1 following Q4 was a quarter with a couple of very sad external events, external sort of when it comes to IndiGo. But we had the Pahalgam, then we had the Operation Sindoor. And then, of course, we had the tragic AI171, which dampened the situation in Q1.
And in Q2, it was a combination of recovery on the one hand side, and the Delhi Airport restrictions on the other hand side. So, we take a holistic look on that capacity. We are confirming our capacity guidance for the year basis all these different dynamics with the growth in the first half. Clearly, we are stepping up our growth efforts in the second half because we believe that in the long run,

this capacity will be needed to fuel this.
Whether that is exactly the same demand for Q3 and Q4, we are confident that these markets will be there and both the combination of domestic and international. So going back to the GDP and the overall projections and looking what happened in H1, we see t hat more as a consequence of some events which happened rather than a structural change in the market demand.
You will see whatever the 2 new airports are opening in Navi Mumbai and Jaipur, you get a totally different landscape again. So, we keep an eye on the long -term trends. And with that, we're comfortable with the capacity which we have added in Q3 and later on Q4.
Pulkit Patni: Okay. That's very helpful. My second question is on these draft paper for cancellation within 48 hours and name change between 48 hours. Any rough sense on what kind of impact it could have if it's implemented? I know it's early, but if you could just help us understand this?

Pieter Elbers: No, we need to see what exactly it means. I should also, I guess, draw some lessons what happened on a global basis. I think we have done operationally well, but clearly, the market and looking at the overall market, these are quite challenging sort of per formances here and there. So, we should make sure that we find a good balance in that.
So, we will be looking at what does it exactly mean, what are the exact consequences of it. But clearly, if we have kind of free cancellations in such time frame, there's going to be some consequences to that, and that will share and not per say for us only. It's going to be for everyone.
And with that, we should look at how do we build up a sustainable aviation ecosystem in the country. And I think that is a very important part.
So, it's perhaps a bit premature to precisely react on that. But more generically, I think all policies and efforts should strike a right balance between what's good for the customer and how to, at the same time, maintain our vision and our strategy to build up an aviation ecosystem in India, which can stand the test of time, and which can continue to deliver on its growth promise.
Moderator: Next question is from line of Aditya Mongia from Kotak Securities.
Aditya Mongia: Congratulations on a very strong set of results. I'll go ahead with my first question. This one is on the BluChip program where the company has made good trades. You're at today 7 million kind of count. When do you start seeing the real monetization happen ing from

BluChip perspective at what
kind of...
Moderator: I'm sorry to interrupt you, your voice is breaking.
Aditya Mongia: Is it any better right now? I'll join into the queue again.
Moderator: No, it's still breaking.
Aditya Mongia: Let me join back in the queue. That will be better. Sure.
Moderator: Next question is from the line of Jinesh Joshi from PL Capital.
Jinesh Joshi: I just wanted to check with respect to the MRO remarks that we made in the opening statement. I mean currently, are we fully outsourcing the MRO work? And with this new captive unit that is expected to come up in Bangalore, what kind of savings can we expe ct?
Pieter Elbers: So, I couldn't hear the question properly. I don't want to guess what the answer is .
Jinesh Joshi: Am I audible now?
Pieter Elbers: Yes.
Jinesh Joshi: I just wanted to check on the remarks that were made on MRO in the opening statement. So just wanted to know whether currently, are we fully outsourcing our MRO work? And with this new capital unit that is expected to come up in Bangalore, what kind of sav ings can we expect?

Gaurav Negi: In summary, large part, I would say 90% - 95% of our activities are outsourced, meaning we send it to third -party MROs, whether domestic or international. The large part is going to international.
Some is going to domestic also because we've got 3 domestic MROs also. If I got your question right , the captive MRO that we are building is going to come up in the next 3 to 4 years. So that's what the time frame that we are looking at.
And it's going to offset some of these aircrafts and the aircraft that we are sending outside to third - party MROs to be then serviced within the captive MRO, which we are building within India.
Pieter Elbers: I think it's an enormous strategic opportunity for us. What we see in other parts of the world, there's a shortage of labour , there's a shortage of parts and there's a shortage of pretty much everything.
And that is driving up lead times. It's driving up cost and it is sort of not helping us in the operational performance.
By bringing this work into India, we serve a lot of different objectives at the very same time. First, it will help us to reduce the cost by bringing it into India with a lower cost base. Secondly, we're building up capabilities in a country and company where we don't have a shortage of skilled people.
On the contrary, we have a lot of very well skilled a nd very well trained and capable workers when

it comes to this part.

Three, we're building up an Indian aviation ecosystem, which will allow us to also be better when it comes to seasonality, when it comes to developing certain repair capabilities. And that, in the long run, should give us not only cost advantage, but even an operational advantage. So, I think it's a very strategic step for us. It will take a few years before it's fully operational, but given the growth we're having, given the objective to double by the end of the decade.

By that time, we should have 600 -plus aircraft in operation slightly even more. And on that number to have our own large MRO facilities, I think it's not only a great opportunity, but it is a necessity when it comes to delivering and continue to keep our cost leadership to continue to be a leader in terms of utilization and continue to develop capabilities in India itself rather than bringing everything outside the geographical shores in India.

Jinesh Joshi: Sure, sure. Sir, one last question from my side. I think we also mentioned in the opening remarks that for every rupee depreciation, the MTM FX impact is approximately INR900 crores. But I guess in the past, this number was slightly lower at about INR700 c rores to INR800 crores.

Now I do understand that if more aircrafts get added, the FX liability will increase and consequently, the loss impact will also be there if the rupee depreciate

s. But if I look at 3Q of FY '25 where we
saw a material FX loss come through because of rupee depreciation. Our aircraft count in that quarter was 436 and currently, we are slightly lower than that number. But our MTM impact has widened. So if you can just, please clarify on this part?

Gaurav Negi: What you saw in the earlier period, and you're trying to translate this in terms of number of aircrafts. The mix of the aircrafts has also changed. So the mix has gone from operating lease liabilities, finance lease liability. With the finance lease liabil ities per aircraft is going to be higher than what you will have for an operating lease liability.

So as a result, you'll not be able to correlate this on a number of aircraft basis, but you'll have to look at the mix also. The finance lease liability is higher than the operating lease liability. Hence, the mark -to-market has increased.

Moderator: Ladies and gentlemen, that will be our last question for today. I would now like to hand the conference to Mr. Pieter Elbers for closing comments.

Pieter Elbers: Thank you so much. Ladies and gentlemen, thank you so much for joining us in this call, and we're actually happy that we have delivered a solid 10% growth in top line revenues and turned into an operational profit of INR104 crores compared to an operationa l loss last year without the currency impact.

As India's aviation sector continues to grow and mature, we understand how critical it is to structurally align capacity during seasonally weaker periods to maintain profitability. Beyond the financials, this quarter was also strong operationally. IndiGo continues to lead the on -time performance chart, and we have seen great customer appreciation, and we have expanded our network meaningfully.

Now while the year started with some significant external challenges across the industry, we saw things stabilize in July and recovery through August and September. Looking ahead, we have scaled up our operational plans for the second half to meet the rob ust demand and keep driving growth. And with that momentum, we have notched up our capacity guidance for the full financial year 2026. We are expecting slight upward revision to our earlier guidance of early double digits growth. Ladies and gentlemen, once again, thank you for joining and looking forward to talking to you next quarter. And for now, thank you.

Moderator: Thank you very much. On behalf of IndiGo, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Note: This transcript has been edited for readability and is not a verbatim record of the call

Call: Jan 2026

January 28, 2026 IGAL/SECT/1-26/13
To
National Stock Exchange of India Limited
Exchange Plaza, C - 1, Block G
Bandra Kurla Complex, Bandra - (E)
Mumbai - 400 051
Symbol: INDIGO To
BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai - 400 001
Scrip Code: 539448
Subject: Transcript of earnings call on financial results for the quarter and nine months ended December 31, 2025
Dear Sir/ Madam,
In compliance with Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed transcript of earnings call held on January 22, 2026, on financial results for the quarter and nine months ended December 31, 2025.
This disclosure is also being made available on the Company's website at www.goindigo.in .
The above is for your information.
Thanking you,
For InterGlobe Aviation Limited
Neerja Sharma
Company Secretary & Chief Compliance Officer
Encl: a/a
InterGlobe Aviation Limited
Registered Office: Upper Ground Floor, Thapar House, Gate No. 2, Western Wing, 124 Janpath, New Delhi – 110 001, India. M +91 9650098905,
F + 91 11 43513200 Email: corporate@goindigo.in
Corporate Office: Emaar Capital Tower-II, Sector-26, Sikanderpur Ghosi, MG Road, Gurugram-122002, Haryana, India. T +91 124 435 2500.
CIN no.: L62100DL2004PLC129768

"IndiGo Third Quarter Fiscal Year 2026
Financial Results Conference Call"

January 22, 2026

MANAGEMENT : MR. PIETER ELBERS – CHIEF EXECUTIVE OFFICER
MR. GAURAV NEGI – CHIEF FINANCIAL OFFICER
Ms. RICHA CHHABRA – HEAD OF INVESTOR
RELATIONS

Operator: Good evening, ladies and gentlemen and welcome to IndiGo's Conference Call to discuss the third quarter of fiscal year 2026 financial results. My name is Neerav, and I will be your coordinator. At this time, the participants are in a listen -only mode. A qu estion -and-answer session will follow today's management discussion.

As a reminder, today's conference call is being recorded. I would now like to turn the call over to your moderator, Ms. Richa Chhabra, Head of Investor Relations at IndiGo.

Richa Chhabra : Good evening, everyone, and thank you for joining us for the third quarter of fiscal year 2026 earnings call.

We have with us our Chief Executive Officer - Pieter Elbers and our Chief Financial Officer – Gaurav Negi to discuss the financial performance and are available for the Q&A session.

Please note that today's discussion may contain certain statements on our business or financials which may be construed as forward -looking. Our actual results may be materially different from these forward -looking statements.

Also, we have a few one -off items in our third quarter results, which have been reported under "Exceptional Items" head, which we will discuss today. You can also refer to our press release and investor presentation published this afternoon for more inform ation.

The information provided on this call is as of today's date and we undertake no obligation to update the information subsequently.

We will upload the transcript of prepared remarks by day end. The transcript of the Q&A session will be uploaded subsequently.

With this, let me hand over the call to Pieter Elbers.

Pieter Elb ers: Good evening, ladies and gentlemen. As this marks our first interaction in the new year, I would like to extend my warm wishes for a very Happy New Year 2026. Thank you for joining today's call. Earlier today, we announced our financial results for the thi rd quarter of the financial year 2026.

The quarter opened with the industry rebounding after a seasonally weaker second quarter, when Indian carriers had reduced capacity to align with softer demand trends. October marked the period of capacity addition ahead of the festive and wedding season. This accelerated addition continued through November leading to strong capacity growth across the market, supported by strong passenger demand and high load factors – signalling solid underlying momentum as we moved into peak travel period.

However, as you are aware, early December we experienced operational disruptions that weighed

on our performance. I will address this in detail shortly.

During the quarter, we served nearly 32 million customers, with festive period delivering record highs and our busiest days crossing 3.8 lac customers. For the full calendar year 2025, we had the privilege of serving around 124 million or 12.4 crore customers , a 9 percent increase on a year over year basis.

For the quarter ended, December 2025, we reported a total income of 245 billion rupees, around 7% increase year over year and for the full calendar year 2025 we reported a total income of 888 billion rupees, around 12% increase on a year over year basis.

Profit after tax for the quarter stood at 5,491 million rupees or roughly 549 crore rupees. Profit excluding impact of exceptional items and currency movement stood at INR 31,306 million, compared to INR 38,461 million during the same quarter last year.

Now, I want to address the operational disruptions that began in the first week of December and that led to cancellations of more than 2,500 flights and delays of hundreds of flights during the

period of 3rd to 5th December.
As an airline that has prioritized reliability for over 19 years, we recognize that this event fell short of the standards we have set for ourselves and for our customers . On behalf of everyone at IndiGo, we d

eeply regret the inconvenience caused to our customers during this period.
From the outset of the disruptions, our focus was to first support the impacted customers. And to minimize passenger inconvenience, we rapidly mobilized teams across airports and significantly expanded our customer service capacity. Our AOCS, customer supp ort, OCC teams, ground staff and others worked , literally, round the clock to ensure we were able to restore operations to normal levels within a very short period of time.
Post normalized operations, we scaled back swiftly to operate around 2,100 -2,200 daily flights, NPS was back to normalized levels, and we rebounded to 3.8 lakh plus customers every day . We are thankful to our customers, our employees, the Government, Aviation Authorities, and all other partners in the Indian aviation ecosystem for their support in helping us to turnaround our operations.
We have processed timely refunds of all of the impacted customers and, further, as a gesture of care, we have also extended travel vouchers to lakhs of severely impacted and stranded customers in addition to regulatory compensation.
We are in the process of conducting an in -depth review of robustness and resilience of our internal processes to ensure we emerge stronger out of the event. Additionally, we have strengthened some of our internal processes and are preparing thoroughly for the transition to the revised FDTL norms in February.
Now to update you on our new introduction, recently we proudly introduced India's very first

Airbus A321 XLR, a milestone for IndiGo and for the Indian Aviation industry. The aircraft has a dual -class cabin with 12 IndiGo Stretch seats and 183 economy seats, offering greater seat pitch than our current narrow -body fleet for enhanced comfort on long -haul fligh ts. For the first time, IndiGo customers will enjoy hot meals onboard with ovens, charging points at every seat, and thoughtfully designed interiors that make seven to eight hour's journeys seamless. Tomorrow itself , we will commence our operat ions on our Mumbai - Athens route, followed by Delhi - Athens route the day after.
On 25th of December, we were honored to be the very first airline to begin operations at Navi Mumbai International Airport. We have started with around 15 daily flights to key cities and will continue to expand our presence in the months ahead, including adding international routes.
We had launched our business class product – Stretch in November 2024 and have received a positive response during the first year. Currently, we are operating Stretch on 8 domestic and 9 international routes. Building on the positive response received for our Stretch product, we are expanding it to a total of 65 aircraft en abling wider network options for business and premium customers.
Another important milestone this quarter was the rapid scale -up of our BluChip loyalty programme, which has now reached around 10 million customers. This is a significant step forward in our customer engagement journey. BluChip helps us deepen relationship s with our frequent travellers and understand their preferences better.
While early December saw one of the most challenging weeks in our company's history. It is also important to remember that this event does not solely define our journey as an airline and our track record. Over the past 19 plus years, we have built a track record of scale, strong operational performance, and service that speaks for itself. During the calendar year 2025, that includes December, we delivered one of the highest OTP levels amongst the top 20 global airlines.
Today, IndiGo employs more than 68,000 dedicated professionals and has served over 850 million customers since inception – all while maintaining robust operational performance. This legacy of trust remains the very foundation on which we will continue to improve and serve our c

ustomers.
While every crisis is unique, the lessons from this event will enable us to strengthen our systems and take certain long -term measures to enhance operational resilience. IndiGo was built on the values of reliability, accessibility, discipline and customer focus. This moment is an opportunity to reflect, learn and rebuild stronger. We continue to serve India with the same focus that built this very airline.
Thank you. With this, ladies and gentlemen, let me now hand over the call to Gaurav to discuss the financial performance in more detail .
Gaurav Negi : Thank you, Pieter and good evening, everyone.
For the quarter ended December 2025, on a consolidated basis, we delivered total income of 245

billion rupees, up over 6.7% year over year, despite the operational disruptions we faced in early December.
In terms of profitability, EBITDAR came in at 60 billion rupees, broadly similar to EBITDAR during the same quarter last year.
We reported a net profit after tax of 5.5 billion rupees, with over 2% profit margin, compared to 24 billion rupees in the same quarter last year.
As you are aware the rupee has depreciated significantly in the last 12 months by around 5%. Rupee depreciated by more than 1% at the third quarter end as compared to the second quarter end leading to a forex loss net of hedging of 10.4 billion rupees, on our dollar -based net future obligations of around 10 billion dollars .
Further, this quarter saw impact of one -off items, reflected under exceptional items, on the reported profitability.
- During the quarter, Government of India has consolidated multiple existing labour legislations into a unified framework comprising four New Labour Codes. These legislative changes have revised the definition of wages for the purpose of computation of emplo yee benefits and expanded the scope and eligibility of certain employee related social security benefits, such as gratuity and compensated absences. We have evaluated the incremental impact arising from the implementation of the New Labour Codes, based on our current estimates, we have recognized an estimated provision of around 9.7 billion rupees towards the implementation of these new labor laws.
- Additionally, the operational disruptions we faced in early December led to significant cancellations and delays leading to customer inconvenience. The Company, in accordance with the applicable regulation, is compensating the affected customers and in add ition as a Gesture of Care also extending travel vouchers to the severely impacted customers. Additionally, On 17 January 2026, the Company received an order from the Directorate General of Civil Aviation (DGCA) imposing a penalty of 222 million rupees in connection with the operational disruptions. While the order is being evaluated by the Company, the amount has been provisioned for as an exceptional item. These items together with the expenses incurred to provide support and assistance to the impacted customers towards accommodation, transportation, meals, etc. resulted in a total provision of approximately 5.8 billion rupees.
The net profit excluding the impact of exceptional items and currency depreciation was around 31.3 billion rupees as compared to 38.5 billion rupees during the same period last year.
Based on our revised estimates of profitability for the year, we have adjusted our nine months' current tax provisions down by 154 crore rupees in the quarter. Further, based on assessment of our short -term taxable profits on a conservative basis we have also reassessed the deferred tax assets and retained it down to 252 crore rupees.

We provided our revised capacity guidance on 10th December, capacity in terms of ASKs grew by around 11% for the quarter, at the upper end of the guided range. In terms of passenger revenue, the quarter started on a strong note with Oc

tober & November witn essing healthy loads driven by festive season. December had the impact of the operational disruptions — cancellations, optimized capacity and then schedule adjustments along -with subdued booking curves.
The passenger unit revenue came in at 4.51 rupees, which is 4.5 percent lower on a year -over-year basis, in line with our revised guidance. The yield came in at 5.33 rupees, which is around 2 percent lower compared to the same period last year and a load f actor of around 85 percent, which is, again 2 points lower as compared to same period last year.
On the cost side, our fuel CASK has reduced by 3 percent compared to an increase of around 2 percent in benchmark Singapore Jet fuel prices, primarily driven by benefit of our negotiated rates, change in fleet mix and increased international network.
On a year -over-year basis, the CASK ex fuel ex forex came in at 2.96 rupees, around 2 percent higher due to
- Annual contractual increases across line items ,
- Inflated dollar -denominated costs due to depreciation of Indian rupee by 5%
- Moderation in capacity growth leading to fixed costs being spread over a slightly lower base of ASKs
- And it was partially offset by a lower number of damp leases
We are currently estimating mid -single digit percentage increase in our unit costs excluding fuel and forex for the full financial year 2026 as compared to the full financial year 2025, this revised guidance is based on the revised capacity estimations.
On the balance sheet side, we ended the December quarter with a capitalized operating lease liability of 524.8 billion rupees and a total debt, including the capitalized operating lease liability

of around 768.6 billion rupees. Our right to use assets at q uarter end were around 551.1 billion rupees.
We continue to maintain strong liquidity as we ended the December quarter with free cash of 369.4 billion rupees and a restricted cash of 146.6 billion rupees. Our robust liquidity gives us the flexibility to navigate short -term challenges while investing confidently in long -term growth. A key part of our strategy is to have a significant pool of unencumbered assets, which ensures we have a strong credit profile, ability to respond decisively to market opportunities, and manage unforeseen risks without cons traints. In addition, it also helps us in mitigating a certain portion of our foreign currency exposure.
In the same direction, we had announced a capital investment of 820 million dollars in GIFT city

entity to be deployed primarily towards acquisition of aviation assets. We have utilized part of such investment towards prepayment of loans of 12 finance -leased aircraft resulting in ownership of these aircraft. We are building a balance sheet that is not only strong today but capable of supporting the scale and ambition of tomorrow. With this transaction we have a total of 28 owned aircraft at the quarter end and around 20% of aircraft either owned or finance leased.
In terms of fleet addition, in the calendar year 2025 we received deliveries of 57 aircraft from our original orderbook – 55 A320 family aircraft and 2 ATR aircraft. An important milestone is our position as the largest recipient of Airbus aircraft globally for the second consecutive year, accounting for around 7% of all Airbus deliveries worldw ide.
During the quarter, we inducted a total of 24 aircraft from our original orderbook, out of which 18 were inducted through our entity in GIFT city. In addition, we also inducted 12 aircraft in the form of damp leases – thus adding 36 aircraft, on gross basi s. We redelivered 13 aircraft during the quarter resulting in a total closing fleet of 440 aircraft at the quarter end.
Moving on to the forecast for the fourth quarter of this financial year, we are expecting to add capacity of around 10 percent as compared to the same period last year. This modera

tion in our
capacity growth for the fourth quarter is primarily driven by ad justments related to reduced schedule to align with the regulatory requirements.
Further, on the revenue side, basis the trends that we see in January, we are estimating an early to mid single digit moderation in our unit passenger revenue as compared to a high base of the same quarter last year which had a very strong tailwind in the form of the religious congregation for the Maha Kumbh.
As we close, I want to thank our customers, employees, shareholders and other stakeholders for their trust and patience. Over the past 19 years, operational efficiency has been our hallmark — and that legacy guides us as we move forward. We are committed to learning from the experience of operational disruptions and building an operation that is stronger, more resilient, and ready for the future.
With this, let me hand it back to Richa.
Richa Chhabra: Thank you, Pieter, and Gaurav. To answer as many questions as possible, I would like to request that each participant limit themselves to one question and one brief follow -up question, if needed. And with that, we are ready for the Q&A.
Moderator: Thank you very much. We will now begin with the question -and-answer session. First question is from the line of Binay from Morgan Stanley.
Binay: Just one question. As we move away from the cancellation episode, could you comment how that will impact, a), capacity, like 10% of our winter schedule was cut? When do you expect it back? Do you expect any impact on summer schedule? b), its recurring impact on CASK ex -fuel? Like are there any CASK line items, staff or so where you see that FY '27 cost structures could be higher than where we are today? So that is it.

Pieter Elbers: At this point in time, all our focus is to make sure that we have a smooth transition into the month of February, bearing in mind the capacity curtailment, which is there, which all in all is leading to that capacity guidance, which was just shared by Gaur av, for a growth of 10% year -over-year in this fourth quarter. So, bearing in mind this curtailment of capacity.
And again, all the focus of the teams and the operation is really to make sure that we have that smooth transition. At this point in time, we have not concluded yet our planning for the summer. So, I guess giving any number in terms of projected growth numbers or impact numbers would be very premature.
Binay: And comments on CASK, any recurring impact of this on CASK?
Gaurav Negi: So, Binay, as far as the CASK, like, has been expressed, there is going to be an increase of the CASK given the curtailment on the capacity side. What we are looking at, at least for the short term, to close FY 2026 upwards of mid-single digit compared to FY 2025. So, as we further refine

the numbers for 2027, we'll come and communicate. But as of now, the short -term guidance towards FY 2026 is a mid -single digit increase on the CASK compared to 2025 financial year.

Binay: And just to reconfirm, in fact, the impact of the new FTDL norms on the staff expense would already be built in, right? Because you yesterday stated that you are all set to meet these norms on 10th Feb, so it means that the staff cost is already there in y our numbers.

Gaurav Negi: That's right.

Moderator: Next question is from the line of Amyn Pirani from JPMorgan.

Amyn Pirani: My question is actually a continuation on what Binay asked on the CASK ex -fuel. Now Gaurav, your guidance during the year has changed, and I mean we appreciate that it is mostly because of exogenous factors based on FX as well as the FTDL norms as it has evolved. So, can you give us some color as to when you're giving this latest guidance ?

What is the kind of FX expectations or expectations on costs that you're building in beca use it has been a moving target? And like I said, it has been driven

by exogenous factors. So, it will help us

understand as to what you are already building in terms of these things? And how should we think about maybe the next few quarters?

Gaurav Negi: Again, I mean, that's the most difficult part in terms of projecting what the FX impact is going to be. If you see , if I just go back what the guidance was, when we started the year, the guidance was that we're going to be flattish to FY 2025. So that's how we had started the guidance on the cost side, knowing that we had a bit of a high 2025, given that we had a signif icant number of damp leases at that particular point.

Over the course of the year, then we started to moderate that guidance because the FX started to behave the way it started. So, we said that the CASK ex -fuel ex-forex is going to start. The cost is going to start increasing towards 1 to 2 points higher than what we had guided. Along with that came the headwind that the moderation in our AOGs was not to the same levels. And as a result, we need to bring back damp leases, which, like I mentioned, we brought back more damp leases

in this particular quarter also.

The headwind on the FX continues to grow on us. So, it's becoming difficult. I can't pinpoint a number to say that this is what it's going to be. Average increase that we've seen throughout the year has been a 5% increase in FX. When we started the year, it was more towards a 2% or a 3% increase. That's al ready gone up. This quarter itself has been a 1% increase in FX. The rupee already is behaving the way it's behaving as you would have seen in the news today also. Large part of that cost is again subject to when you're settling those during the quarter.

So very difficult to call that out. But the guidance that we are saying mid -single digit increase potentially factors in a reasonable kind of projection on the FX has already been catered to. If there's going to be an abnormal increase, then the unit cost will be even higher. Sorry, I don't have a pinpointed kind of a response, but there are so many variables and moving parts right now that we are dealing with. It's very difficult to kind of call that out. But we'll continue to guide as we get more information.

Amyn Pirani: Sure. Appreciate that. And just a related one, you already put in some exceptional items as far as the labor code is concerned. Are there any recurring costs that we should watch out for? Because I think one is, I think, gratuity related or other things fo r existing employees. But I think going forward also, there is some changes in the way you need to make these provisions as a percentage of salary. So, any recurring kind of impact that we should watch out for? Or there is nothing that you foresee as of now?

Gaurav Negi: So today, what we've done is we've taken the new labor code as an exceptional item. So, it's not coming in the cost line items. Going forward, the impact of following the new rules is going to start coming in the employee benefits line items. So, this is going to roll over from a catch -up or a true -up of the new rules, which has happened today. Tomorrow, it's all going to be part of the employee benefits line item.

So that's where it's going to be kind of transitioning from an exceptional line item into an employee benefits line item related to this new labor code because there's going to be an ongoing impact of truing up based on the number of employees and then the tenure, the actuaries are going to run the models and give us what the number needs to be. So that's going to transition into employee benefits from exceptional. That's one. And then the ongoing annual inflation that you have, part of the contractual term s that you have is going to be part of the cost structure.

Amyn Pirani: Okay. And all that is bu ilt in your guidance of CASK ex -fuel already, basically?

Gaurav Negi: So, like I said, I've just given you a sho

rt -term guidance right now. So, I'm not giving you anything

which is long term. This is just the short -term guidance. So, this will start rolling in from April onwards also.

Moderator: Next question is from the line of Krupashankar from Avendus Spark.

Krupashankar: My first question would be on the current situation with pilot shortage. Just wondering if there are adequate wet lease opportunities globally for Indian airlines to meet the demand -supply mismatch.

Pieter Elbers: So at this point in time, we have few damp leases in operation already. So, we do have a number of damp leases supporting the network of IndiGo already, and that was decided and implemented already prior to the operational disruption. Some of the challenges we have in terms of AOGs are global supply chain challenges. And with tha t, there's not an abundance of lease opportunities all across the world.
So, I think we are good where we are now in the wet leases we have. And these are also not leases you can induct kind of overnight. It requires a proper preparation and paperwork and all the sort of preparation to have planes here. So, we focus now on making sure that we have a good matching of the pilot availability and the program being operated, including some additional focus and preparation to make sure that the FDTL in Feb will be implemented smoothly.
Krupashankar: One more question was primarily on , do you see incremental employee costs because of inflationary aspects beyond the short -term guidance what you're doing for? Well, is that something we should probably consider given the fact that historically these cases have resulted in a really strong es calation in employee costs?
Gaurav Negi: So again, Krupa, give us time because we're planning up to March. More important point, like Pieter said, February 10 is going to be the more critical point. We'll address all aspects in terms of how we ensure that we have the right kind of manpower and su pport to execute to that. So, give us more time. I'll not be in a position to answer that question right now.
Pieter Elbers: I think it's perhaps, if I may add to that. A lot of work is being done by the teams to restore the operation, and you have seen that even in the various communications that after 3 days of disruption, the operation was announced that we would expect back to stability between 10% and 15%. The reality was it was on 8% or 9% already back to a stable operation. We ar e serving for , basically after the middle of December, we were back to 3.5 lakh to 3.8 lakh customers every day with an OTP basically, which was actually good at that point in time.
So, despite the fact that the IROP season has started. So, despite all the problems we had in the first week, only focus was on that. And we'll come back to some of the more detailed questions you're rightfully pointing out to go off, but perhaps a bit of understanding for all the focus we had on restoring the operation and making sure that we were dealing with our customers, processing the refunds, having the gesture of care being in place and all the elements leading to that.
You see that back in the results with the INR 577 crore s as an exceptional item, I think it's good to highlight on the like -for-like reduction of the PAT. There are 3 components which are highlighted in the press release. One is the exceptional item around the implementation of the labor law, the operational disruptions, obviously, INR577 crore. The labor law is close to INR1,000 crores. And then there's the FX impact to which Gaurav has already alluded to.
Moderator: Next question is from the line of Prateek Kumar from Jefferies India.
Prateek Kumar: I have a couple of questions. Firstly, can you discuss how your schedules were adjusted versus what you were thinking on capacity growth of upwards to mid -teens for 3Q and 4Q? Is there new scenario on capacity cut

s suggested by the regulator?

Pieter Elbers: There was a filed schedule, and the regulator has told us to cut down on the domestic network on that file schedule, which we have done. And there's always , you filed for a season. We had already some months in operation, then there are some operational impacts . But that if you add that all together, we come to the 11% of capacity growth, which we had in Q3, and 10%, which we're now forecasting for the Q4 quarter.
Prateek Kumar: I mean, I was wanting to ask like the schedule adjustment was towards , I mean, cutting your growth, be like attributable to the new routes, which you would have been planning, or I mean the popular metro to metro route, how was it adjusted?
Pieter Elbers: Together with the guidance on the capacity cut, there were some guidance on, you shouldn't cancel or should not leave certain routes. So, we looked at all factors and all sectors. Of course, we try to keep the impact for our customers as limited as possible. So, you find sectors where we used to operate 5 a day. They are now back to 4 a day or when we are 3 a day, we're back to 2 a day. And I think a proof of that is that the Navi Mumbai opened on the 25th of December, and we started operation in Navi Mumbai itse lf.
As I mentioned earlier, we have the XLR, which we received at the early part of January, a very big milestone for Indian aviation that will start to operate tomorrow, the first international flight to Europe from Mumbai itself. So, we took the government order, and we try to minimize the impact on the network coverage, which we have throughout the nation. I think I highlighted that number before, IndiGo has a network covering all the major cities in the country.

And if my number is correct, I think we have 9 6 domestic destinations in operation, 90% of the Indian population lives within 100 kilometers of an IndiGo served airport. So, we really try to retain that proposition to our customers, make sure that we have the connectivity in place, that the connectivity remains there. So, you'll find it primarily on routes where we had 4, 5 a day and now cutting down to 3 or 4 a day in that network.
And that will be also the focus for the Q4, which we have started now. So that's the way we've done it for December, and we continue to liquidate that way for the fourth quarter. How we exactly developed the network for next year, that's another step to be taken. But as I said earlier, we had to climb from the low point of 3rd to 5th December to stabilization first, then recovery and then go through IROP S.
IROP S is now coming to sort of the end of the line for those on the line -- those on the call, who live in Delhi, we've all seen quite a challenging past couple of 6 weeks with fog, and not only in Delhi, but also Prayagraj, Amritsar, and a lot of other places, Chandigarh, where we have been confronted with quite foggy situations.
I think the teams have done a very good job in helping our customers to the best possible way in these airport closures and low visibility operations. Now we move to Feb, and thereafter, we start to build on the network for the summer.
Prateek Kumar: My other question is, can you elaborate on your pilot hiring plans, which you would have been thinking in October, November last year, basically before the disruption and the core , the rules, which was already known? Based on the number of aircraft addition also expected in following

months and under new flight duty norms, and how that plans have changed post disruption, if at all? And, if you can tell about how the industry's ability to kind of source pilots from based on number of commercial pilot licenses that are issued in the country annually?
Pieter Elbers: Well, pilot planning is a constant process, which is constantly being reviewed. And as you have seen, even in our opera

tion, be it AOGs, be it other dimensions, it's a process which is constantly being reviewed, whether it's the timing of delivery of XLR, whether it's some of these new rules and regulations in place. So, it's a permanent process.
I think all the growth over the last couple of years was supported by growth of pilots as well, and we continue that track going forward. And clearly, we have a much longer horizon when it comes to pilot hiring on that. And then you need to link the pilots to the network you're operating and make the connection between those 2 elements. So, we continue on that track of consistently reviewing the schedule and hiring as well.
Prateek Kumar: No, my question was, has it changed materially versus what you were thinking in October, November in current scenario?
Pieter Elbers: Again, it's a continuous process, and I don't have the exact thing of last year, October here in front of me. But clearly, it is a continuous process, and we k eep focusing on that, on an adequate hiring process.
Moderator: Mr. Prateek, can I request you to come back for a follow -up question, please. Next question is from the line of Chintan Sheth from Girik Capital.
Chintan Sheth: Yes. So, on the DGCA penalty, any more review is pending, which can result into a higher penalty going forward? Or this is a final reading from the regulator? And nothing incremental likely to come through going forward? If you can elaborate on that.
Pieter Elbers: At this point in time, we have no reason to believe so. We have received the orders. The orders are being evaluated by the Board. I think there has been a press release on that from the company when the orders were received, they have been reviewed, and we have no reason to believe otherwise.
Chintan Sheth: Sure. And second on the FDTL, the 10% guidance which for the 4Q, it implies that we have already adequately prepared ourselves in terms of recruitment and everything and that is factored in our assumptions, right, in terms of pilot availability and roster availability for 4Q?
Pieter Elbers: Yes.
Moderator: Next question is from the line of Pulkit from Goldman Sachs.
Pulkit: I have 2 questions. The first is, I want to better understand your guidance for Q4. So, in your capacity guidance of 10%, is it fair to assume that your domestic capacity will not grow, all the growth will come in your international capacity. And similarly, in your revenue per unit guidance, is it fair to assume that you have not assumed the fair caps being removed for the entire quarter? That's question number one.

Gaurav Negi: As has been in the past quarters, the growth is going to be much larger on the international side. There is some growth that we've considered in the domestic side. But a disproportionate amount

of growth related to the capacity guidance is towards internat ional, which is in line with what the
earlier quarters have also been.
Pulkit: Okay. And on the revenue? Yes.
Gaurav Negi: Yes. So again, on guidance on the PRAS K side, it does factor in the cap that is in play today.
Pulkit: Okay, very clear. My second question is assuming there was no cap on capacity. If you were to
run your full capacity in this quarter, can you tell us what will be the total number of pilots and
first officers that you'll be short of, just an absolute numbe r?
Pieter Elbers: I don't think that is a calculation one can make. You make a network and then a network has a link
to a number of pilots and depending on rosters, all kind of underlying assumptions. So, we cannot
just have a number and say this would have been otherwise the number.
Pulkit: I'll tell you where I'm coming from, Pieter. I'm just trying to understand that , and there's so much
pressure on this, so it's always colors one's thought process is what is the actual shortage that we
have at this stage in terms of pilots for us to be able to run

a full capacity? So, any rough number
would also be really helpful.
Pieter Elbers: No, I understand you asked for any number, rough or less rough, but I don't think we're in a position
to share any number.
Moderator: Next question is from the line of Venkat from 3Sigma Financial Services.
Venkat : Congratulations for bringing the operations back online. With the media and everybody actually
bouncing on IndiGo, we were really nervous as investor, but good that you were able to bring back
the operation. So, my question is primarily on foreign exchange.
In the previous call, Pieter mentioned that our overseas operations will partially offset the foreign
exchange , whatever, the price, the fluctuation, the rupee dollar fluctuation, and the hedging part.
So, what was the difference of adding these 2 against what we call the foreign exchange
fluctuation? What was the percentage difference we had?
Gaurav Negi: Sorry, I couldn't understand the question. But let me tell you what we are doing because we talked
about the foreign exchange exposure that continues to grow. Today, we've got a U.S. dollar
exposure close to $10 billion, largely consisting of all the aircr aft that we've taken as well as our
maintenance obligation. Now in order to kind of derisk ourselves with the exposure, we've taken
various steps.
Step one was we've started to hedge, which we have already shared. We had a $1 billion hedge
program that was in play. We scaled that up to now $3 billion. So, we'll now start hedging
ourselves. We were hedging for the next 12 months. We'll extend the tenure so that we are able to
hedge up to $3 billion. That's step one.

The second step that we've already taken, which we also called out, use the cash that we have to
start acquiring the aircraft. That, in a way, also limits any further exposure that you carry on the
dollar side.
The third element is growth of our international operations because that also kind of creates a
natural hedge. Today, we were largely doing domestic operations and short -haul operations. With
the expansion to Europe, there is going to be a revenue stream t hat is going to generate non -INR
based kind of revenues, which is going to create a natural hedge.
Those are the steps that we've already taken in order to derisk ourselves given the exposure that is
developing on the FX side. But these are, again, these are steps that we've already started to walk
down on, but it will take time for them to scale up.
Moderator: Next question is from line of Aditya Mongia from Kotak Securities.
Aditya Mongia: The question that I had was more focused on the guidance for CASK ex -fuel ex-forex for the full
year as in it implies a fairly large Y -o-Y growth in the fourth quarter. So, could you elaborate on
which line items are actually driving this change in guidance? And are there any one -off effects
such as rejoining bonuses that one needs to strip out because it seems as if the fourth quarter CASK
ex-fuel ex-forex would be a fairly large number?
Gaurav Negi: So, this is a continued guidance that was given at the beginning of the year. We've been scaling
that guidance upwards, like I said. So, when we had given a guidance, it's going to be flat to 2025.
In the earlier quarter, we had guided that this is already trending upwards for the reasons because
FX exposure continues to be higher. So, the dollar -denominated expenses are becoming costlier.
We mentioned that damp leases are also which were supposed to taper off, given the AOG
situation would have improved. It is going to come back, which has already started to come back.
It has an incremental cost that we had not anticipated as well as now th e capacity guidance. So,
the impact on the CASK is going to be more driven by the capacity being moderated downwards.
We had a guidance which was higher than what we were trending.
So, it's not exclusively on the fourth

quarter. The guidance for the total year, which we are saying
is going to be somewhere on the mid -single digit is year -over-year. So, a large part started to play out with the capacity being scaled down in Q3, followed by Q4. So those are the elements. But broadly, the other parameters that were there in terms of increased cost because of escalation, increased costs because of FX, offse t by reduced damp leases that we had anticipated, which is not taking shape are the drivers to it.
Aditya Mongia: Understood. The second question that I had was more on the slots that have been taken by DGCA. Just wanted to understand that, our understanding that this is a temporary loss of slots and by default they are available to be bid for in the summer schedule? Or will the final authority over here will be whatever DGCA says on these slots?

Pieter Elbers: Well, if airlines are not operating certain slots, it is the duty of the airline to hand back unutilized slots arising out of non -utilization or planned cancellations. And we know what our plan is now for the next 2 months . So, we are handing the slots back. The reallocation of those slots is the prerogative of the airport, and that will be part of further sort of evaluation going forward on how that exactly will play out.
Aditya Mongia: Okay. So, to understand that it is between the airport and the airline to then decide post March? Or will DGCA have a role to play in deciding who gets what?
Pieter Elbers: I think it's the airports who are handing out the slots, to the best of my knowledge , let me put a little disclaimer here, to the best of my knowledge.
Moderator: Next question is from the line of Achal Kumar from HSBC.
Achal Kumar: So first of all, going back to FDTL , just wanted to understand, given that new FDTL norms and that means increased requirement of number of pilots, do you expect the growth could slow down going ahead? Or do you think , I mean, you've been expecting 1 aircraft per week and 52 aircrafts per year, and that means whatever the growth comes in, so do you think that growth will continue and you'll be able to hire the pilots with the new FDTL norms? Or do you think generally the growth would slow down because of the new FDTL norms a nd the pilot hiring is any which way a big challenge? Can you give us a bit of color, please?
Pieter Elbers: Yes. As I said earlier, we have a long -term and continuous update of our pilot reviews. That includes the longer -term fleet planning, which we're having, including that flow of pilots. Then there's always an influx and an outflux of pilots, and that's the balance, of course.
We look closely at how many pilots are joining or how many pilots are coming through the internal pipelines and what are potential or possible attritions for pilots who are deciding to leave the company. So, there's a permanent review of that process.
And as I said earlier, we have not made any changes in our long -term ambitions and our long -term growth plans, and I think we mentioned earlier, but that's by now 1.5 years back to double in size by the end of the decade. The planes orders are there, and w e are planning accordingly.
Achal Kumar: So, you mean that the growth will continue as it is, as you planned?
Pieter Elbers: Yes. And there's always going to be quarter -over-quarter variations in terms of seasonality, airport capacity, geopolitical dimensions. I think there's a lot of dimensions. If there's new opportunities, IndiGo will step in.
As you have seen, the airspace or the flights between China and India were resumed, and IndiGo was the first one actually to start the operations first from Kolkata to Guangzhou and later on follow it from Delhi to Guangzhou.
So, these are new opportunities and new developments. We have started the flights from Navi Mumbai. So, we're fully committed to our plans, our growth and our future. And in

that equation,

there's always going to be quarterly changes pairing with seasonality opportunities.
And Gaurav already mentioned, we had some capacity refinement in the Q2, given the traditionally lower season, we were stepping up in Q3, where November was already stronger than October. And as the Indian aviation market continues to grow and mature, we are seeing seasonality patterns like you see in other parts of the world increasingly with high demand in peak seasons and lower demand in lower seasons.
And if you look to the overall development of the Indian market, that's exactly what we see happening and we'll align our capacity to that. So, I think there's a short -term quarterly focus which we always have, and there's a long -term strategy, ambition, growth opportunity, which is going to be there. And all the plans we're having to continue to build to help India into moving into a global aviation hub.
I mean, just look at the number of 124 million customers, which we served over the calendar year of 2025, that was a 9% increase year -over-year. If you compare that to a 77 million number of

customers we had around the just the year 2022, it just shows what an incredible increase, it was from 77 million customers to 124 million customers.
We operated last year, calendar year '25, we operated a little short of 8 lakh flights in a single year. That's a number which brings us to number 7 or number 8 in the world. With an on -time performance number, which is also somewhere in the top 3 to 4 in the world, depending a little bit on the metric you use, including even the December number.
So, I think the fundamentals of the company in terms of growth, market, ambitions, plans are there. Clearly, this has been an effect, a major operational disruption affecting our customers. We take it internally also as a way how to address processes, structu res, further refinement, see what we can do in digitization and review our SOPs and stuff like that.
We try also to learn this has happened in other parts of the world. A few years ago, other airlines, or actually more recently, even other airlines went through the same thing. So, we see what we can learn from other large operators. And on one side that IndiGo has become such a large operator from where it used to be that we should also start to compare and learn ourselves from some of the developments in other parts of the world o f airlines who are in that same league of sort of the largest airline in the world.
So back to your question, no change in plans and growth strategy. You will see some variations quarter -over-quarter. Actually, like we would have had this year, I mean if the December would not have happened, clearly we would have had a different number for Q3. But then if you look at the results for Q3, and I think it was highlighted already, there was the INR577 crore s.
But the other exceptional items are of a nature which are even larger as compared to this. So, the underlying foundations and even the October and November operation actually was pretty much on track to the initial plans. Sorry for elaborating a bit more, but I think this is about the last question. So let me just highlight that.

Moderator: Achal Kumar, I request you to come back for a follow -up question. Next question is from the line of Jinesh Joshi from PL Capital.
Jinesh Joshi: Just one question on the pilot side. As of FY '25, our pilot count was 5,400, if I'm not mistaken. But the document that was published yesterday, which essentially mentions that we are on track to kind of beat the revised schedule, and we have the desired pilot availability. The count mentioned over there was about 4,600 -odd. So, if you can just explain this a bit?
Gaurav Negi: What probably you have seen is account of the Airbus line -ready pilots. Alongside that, there are other

pilots that operate our ATRs also. So, if you add up those, you'll probably get to the number that you're talking about. So, this one is excluding the ATR and this was only for the line -ready pilots database. So, we've got more pilots than the number that you quoted. The one that you quoted initially is a consolidation of line -ready pilots, pilots which are with us but are not flying and then the ATR pilots also.
Jinesh Joshi: Sir, one last question from my side. I think at the 2Q call, we had stated that the PRAS K is likely to remain flat or report marginal growth in 3Q. Whereas in this quarter we have seen some kind of a decline on that side. While I understand that because of the issues that we have faced, there could be some capacity constraints that can come thr ough. But I believe that has also impacted pricing, but October and November, I think, trended well. So just wanted to understand how come the pricing got impacted in December so much that the overall track for the quarter declined on Y-o-Y?
Pieter Elbers: You're right . October and November, the demand returned compared to the quarter before. We saw a healthy growth in the market. And clearly, these 3 days, there was an uncertainty how quick IndiGo would restore its operation, and there were different views on how quick the capacity would be back, and that clearly has led to some views in terms of people booking and going in other places. So, I think it's a natural sort of fallout or consequence of those 3 days. And pretty soon, I think we'll be back to regular market dynamics.
Moderator: Thank you very much. Ladies and gentlemen, we will take that as the last question. I'll now hand the conference over to Mr. Pieter Elbers for closing comments.
Pieter Elbers: Thank you so much. Thanks for participating in the call. Let me highlight that despite the operational challenges we faced in December, our teams have acted quickly and decisively, proving the resilience on our operations and the strength of the IndiGo peo ple. Their focused execution helped us to stabilize the network swiftly, allowing us to continue delivering reliable service at scale. And thanks to these efforts. We served nearly 32 million customers during this quarter.
This quarter was also significant for our long -term growth trajectory. We welcomed India's first Airbus XLR and continued expanding our fleet to meet future demands. Being one of Airbus' largest global recipients of aircraft for the second year in a row un derscores the scale of our

network and the deep confidence our partners have in IndiGo's strategy and execution. The first week of December with operational challenges does not impact our fundamentals and our long -

term growth trajectory, as I just alluded.

As we look ahead, our priorities remain clear, further strengthening operational robustness and building a durable, efficient platform that supports sustainable growth for the years to come.

Ladies and gentlemen, once again, thank you for joining. Looking forward to talking to you next quarter. And for now, thank you.

Moderator: Thank you very much. Ladies and gentlemen, on behalf of IndiGo, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.

Note: This transcript has been edited for readability and is not a verbatim record of the call

Call: Jun 2026

June 4, 2026 IGAL/SECT/6-26/6
To
National Stock Exchange of India Limited
Exchange Plaza, C - 1, Block G
Bandra Kurla Complex, Bandra - (E)
Mumbai - 400 051
Symbol: INDIGO To
BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai - 400 001
Scrip Code: 539448
Subject: Transcript of earnings call on financial results for the quarter and financial year ended March 31, 2026
Dear Sir/ Madam,
In compliance with Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed transcript of earnings call held on May 29, 2026, on financial results for the quarter and financial year ended March 31, 2026.
This disclosure is also being made available on the Company's website at www.goindigo.in .
The above is for your information.
Thanking you,
For InterGlobe Aviation Limited
Neerja Sharma
Company Secretary & Chief Compliance Officer
Encl: a/a
InterGlobe Aviation Limited
Registered Office: Upper Ground Floor, Thapar House, Gate No. 2, Western Wing, 124 Janpath, New Delhi – 110 001, India. M +91 9650098905,
F + 91 11 43513200 Email: corporate@goindigo.in
Corporate Office: Emaar Capital Tower-II, Sector-26, Sikanderpur Ghosi, MG Road, Gurugram-122002, Haryana, India. T +91 124 435 2500.
CIN no.: L62100DL2004PLC129768

"IndiGo Fourth Quarter and Fiscal Year 2026
Financial Results Conference Call"

May 29, 2026

MANAGEMENT : MR. RAHUL BHATIA – MANAGING DIRECTOR
MR. GAURAV NEGI – CHIEF FINANCIAL OFFICER
Ms. RICHA CHHABRA – HEAD OF INVESTOR
RELATIONS

Operator: Good evening, ladies and gentlemen and welcome to IndiGo's Conference Call to discuss the fourth quarter and fiscal year 2026 financial results. My name is Neerav and I will be your coordinator. At this time, the participants are in a listen -only mode. A question -and-answer session will follow today's management discussion.
As a reminder, today's conference call is being recorded. I would now like to turn the call over to your moderator, Ms. Richa Chhabra, Head of Investor Relations at IndiGo.
Richa Chhabra : Good evening, everyone, and thank you for joining us for the fourth quarter and fiscal year 2026 earnings call.
We have with us our Managing Director – Rahul Bhatia and our Chief Financial Officer – Gaurav Negi to discuss the financial performance and are available for the Q&A session.
Please note that today's discussion may contain certain statements on our business or financials which may be construed as forward -looking. Our actual results may be materially different from these forward -looking statements.
The information provided on this call is as of today's date and we undertake no obligation to update the information subsequently.
We will upload the transcript of prepared remarks by day end. The transcript of the Q&A session will be uploaded subsequently.
With this, let me hand over the call to Rahul Bhatia .
Rahul Bhatia : Good evening, everyone and thank you for joining us on this call.
We announced our fourth quarter and financial year 2026 results today. This quarter we reported a loss of 25.4 billion rupees and for the financial year ended March 2026 a loss of 23.9 billion rupees. As you are aware, the past year has been one of the mos t demanding periods for the Indian aviation industry .
We navigated a landscape shaped by repeated external disruptions. The year reinforced that disciplined execution and organizational resilience remain fundamental to sustaining operations in a volatile environment. Gaurav will discuss the financial outcomes in detail in a while.
First and foremost, let me address the events of December with candour and clarity. Not only did the December disruption cause a significant impact on our results, what transpired fell short of the standards we set for ourselves when we began this journey in 2006. Our customers deserve better. We are committed to the service standards we set for ourselves, and the customer promise that has differentiated IndiGo over the years. I am grateful to the 123 million customers who chose to fly with IndiGo during the financial year, for their patience, understanding, and continued tru st

during the disruption.
At the same time, it is important to acknowledge the extraordinary professionalism, resilience, and sense of responsibility demonstrated by our frontline colleagues and operational teams in exceptionally demanding circumstances, their commitment and dignit y under pressure truly reflects the spirit of IndiGo.
My colleagues worked with unwavering commitment —often through long hours, intense pressure, and considerable personal sacrifice —to stabilize operations, restore system integrity, and bring the airline back to normalcy.
I am equally grateful to our broader stakeholder community, including the G overnment of India , regulators, airport operators, partners, and suppliers, for their strong cooperation and support through this difficult period.
Since December, we have further strengthened resilience and execution discipline across the airline . This is evident in outcomes, with us consistently leading in on■time performance across the last quarter, clearly demonstrating the speed and effectiveness with which operational

efficiency has been restored.
Further, from March onwards the escalation of geopolitical conflict in the Middle East has led to several route disruptions and a sharp

increase in jet fuel prices. In response, airlines globally —
including IndiGo — were required to take certain short -term measures to protect operational viability.
As IndiGo steps into its next phase of growth, scale, and global expansion, we have taken decisive steps to further strengthen our leadership. During the quarter, the Board has appointed Willie Walsh as IndiGo's ne w Chief Executive Officer. He is expected to join us from early August. Willie brings over four decades of deep global aviation experience. His proven leadership positions IndiGo well for its next stage of evolution. Alongside this, we have continued to bui ld leadership depth across the organizati on with the appointment of Aloke Singh as Chief Strategy Officer.
As IndiGo grows, we are strengthening leadership across the organization — investing in people, building depth, and placing accountability close to operations. Ultimately, the progress we make as an airline will be driven by our people.
While the current external environment remains uncertain and volatile, IndiGo's long -term direction remains unaltered . We continue to execute our strategy with discipline and consistency, remaining focused on the long■term fundamentals and opportunity.
Let me allow to hand over the call to Gaurav to discuss the financial performance in detail.

Gaurav Negi : Thank you, Rahul and good evening, everyone.
Looking back at the financial year 2026, it was shaped by a series of external and operational challenges across quarters.
• The first quarter was impacted by geopolitical developments in the Indian -sub continent that affected capacity deployment and operating conditions across more than 10 airports in India.
• The second quarter is a seasonally soft quarter for industry, and during that period we took a deliberate call to rationalize capacity in line with demand.
• The third quarter was the most challenging for us operationally, as the disruption in December impacted our performance.
• In the fourth quarter, just as demand was normalizing, the developments in the Middle East introduced fresh disruptions through airspace constraints, network challenges and selective travel deferrals.
With this background both our capacity deployed and demand were impacted. Against a seat growth of around 5% our passengers grew by around 4%, and we clocked an ASK growth of 9.5% with an RPK growth of 7.5%. Despite these challenges, we did serve more than 123 million passengers in FY 2026, the highest ever.
Now for the financial performance, starting with the full year ended March 2026, on a consolidated basis we reported total income of around 895 billion rupees, a growth of 6.4% vs last year, with a net loss of 23.9 billion rupees. The primary driver of the loss was the significant impact of foreign exchange movement, where the rupee has depreciated by more than 11% against the US dollar in just 12 months, one of the steepest declines in many years.
Additionally, we reported exceptional items in Q3 & Q4 on account of adoption of the December disruption and the New Labor Code.
Despite significant external volatility, if one analyses the financial performance excluding the impact of foreign exchange and the exceptional items, IndiGo delivered an underlying net profit of 75 billion rupees in FY26 as compared to around 89 billion r upees in FY25.
Furthermore, in addition to the 5.8 billion rupees reported as exceptional for the December disruption, as per our assessment we had an incremental impact of approximately 15 -16 billion rupees on account of lower capacity and reduced unit revenue. Factorin g this one -off event, our performance for the year would have been meaningfully stronger and as compared to the prior year.
For the year ended March 2026, we reported an EBITDAR, excluding the impact of foreign exchange movement, of 231.9 billion rupees with a margin of 2

7.3% compared to an EBITDAR

of 228.6 billion rupees with a margin of 28.3% during the year ended March 2025.
Moving to the fourth quarter performance, the first two months of the quarter reflected a clear operational recovery for IndiGo following the disruption experienced in December. Network

stability improved materially, schedules were brought back in line pro gressively, and operating discipline was re -established across the system.
In terms of demand environment, first half of January continued to carry some residual impact of the December disruption, while conditions stabilized through February the demand was disrupted again in March by escalating geopolitical tensions in the Middle East. Again, to remind you the point of comparison here is a very high base of last year due to the religious festival of the Maha -Kumbh.
The Middle East developments have had a meaningful impact on our international operations, disrupting flights to the region as well as to Europe. Together, these markets represent around 18 percent of our total capacity and approximately 160 daily flights, and this weighed on utilization and revenues towards the end of the quarter.
On capacity, we were tracking broadly in line with our planned growth trajectory, with capacity going up by around 10% year■on■year through January and February. However, the escalation of geopolitical tensions in the Middle East led to flight cancellation s and network disruptions and also impacted our operations to UK and Europe as well. As a result, overall capacity growth for the quarter came in at 3%, which was lower than initially planned capacity.
For the quarter ended March 2026, we reported a total income of around 238 billion rupees, an increase of around 3 percent. The EBITDAR excluding the impact of foreign exchange movement came in at 64.4 billion rupees with a margin of 28.7% compared to an E BITDAR of 68.6 billion rupees with a margin of 31.0% during the same period last year The quarter had a net loss of 25.4 billion rupees compared to a net profit of 30.7 billion rupees during the same period last year. Again, to remind you the point of comparison here is a very high base of last year due to the religious festival of the Maha -Kumbh.
At the quarter end, the rupee depreciated sharply by around 5% against the US dollar resulting in foreign exchange losses of 48.2 billion rupees. As has been explained in earlier calls, the foreign exchange losses are largely mark -to-market losses and are primarily recognized on lease liabilities and maintenance accruals, which are long -term in nature and payable over a period of 8-10 years from a cash flow standpoint.
Additionally, as explained in the last quarter, the Government of India has consolidated multiple existing labour legislations into a unified framework comprising four new labour codes. We have evaluated the incremental impact arising from the implementati on of these New Labour Codes, and based on our revised estimates, we have recognized an additional impact of around 2.5 billion rupees. The total provision for the financial year 2026 is 12.2 billion rupees.

Excluding the impact of the foreign exchange movement and exceptional items, we reported a net profit of 19.2 billion rupees for the March quarter vs. a net profit of 29.8 billion rupees during the same period last year.
As guided during the last earnings call, the passenger unit revenue (PRASK) came in at 4.46 rupees, which is 4 percent lower on a year -over-year basis. This is largely due to a higher base of Maha -Kumbh in Q4FY25.
On the cost side, fuel price volatility has intensified sharply following recent geopolitical developments in the Middle East. Benchmark jet fuel prices have spiked significantly over the past three months, materially impacting operating economics across m arkets. On the domestic front of our

operations, the supportive and timely intervention by the Government and the Oil Marketing Companies and airports, to significantly soften and partially pass on the impact of global fuel price increases . Not only did th is enable us to calibrate our fuel charge but also allowed us to respond to cost pressures in a prudent manner.
For clarity, for a large part of our business, there is a natural lag in the reflection of fuel price movements. Aviation turbine fuel prices are notified by the oil marketing companies on the first of each month, based on prevailing international fuel pri ce indices and currency movements of the last month. As a result, changes in global fuel prices tend to flow through our fuel CASK with a roughly one■month lag, rather than on a real■time basis. Therefore, our fuel CASK for the quarter has not been impacte d materially in Q4FY26 rather reduced by around 5 percent on a year over year basis primarily driven by reduction in benchmark Singapore Jet fuel prices.
The CASK ex fuel ex forex for the quarter came in at 3.15 rupees, which is higher by around 7 percent compared to same period last year 2025, primarily due to
• Inflated dollar -denominated costs due to depreciation of Indian rupee at an average of 5% as more than 50% of our costs are dollar denominated.
• Lower aircraft utilization due to airspace restrictions and the recent developments in the Middle East has also impacted the CASK ex fuel ex forex
• Annual contractual increases across line items such as airport charges and maintenance also added to the CASK ex fuel ex forex .
On the AOG situation, our Pratt and Whitney -related groundings are currently in the 40s and are

expected to trend down wards by the end of the year in the 30's. At this point we do not have guidance from the OEM beyond this period.
While the operating environment remains volatile in the near term, our focus has remained firmly on disciplined execution of our long■term strategy. We have stayed anchored to our core principles - scale with discipline, enhance balance■sheet strength and invest selectively in areas that strengthen the franchise.

In terms of fleet, we are executing with one of the largest aircraft pipelines globally. During the financial year, we inducted 51 aircraft from our original orderbook. In addition, we also inducted 21 aircraft on damp lease basis — thus adding 72 aircraft on a gross basis.
We also redelivered 37 aircraft from our original orderbook and 28 damp -leases during the financial year resulting in a fleet of 441 aircraft at the end of FY26.
On the network side, at the end of financial year 2026, we operated 97 domestic and 45 international destinations. Over the last financial year, we have steadily expanded our international footprint with the announcement of new destinations such as Reunion Island and Shanghai across new regions while continuing to deepen connectivity within India, including at newer and under■served airports.
During the financial year, we inducted India's first A321 XLR. The A321 XLR is a central pillar of our international strategy. It allows IndiGo to connect long■haul international markets directly from India. We have already deployed the A321 XLR on service s to high■potential markets such as Athens and Istanbul. As additional XLR aircraft join the fleet, we intend to progressively expand this footprint across select Asian and European destinations.
Moving to the balance sheet side, we ended the year with a capitalized operating lease liability of around 535 billion rupees and a total debt, including the capitalized operating lease liability of around 777 billion rupees. Our right to use assets at qua rter end were around 521 billion rupees.
We continue to maintain strong liquidity as we ended the year with a total cash of around 516 billion rupees of which 362 billion rupees is free cash and restricted cash of 154

billion rupees.
Globally, if you look at the most well -run carriers, they opera te with liquidity levels of around 20-25% of their annual revenue. Against this global backdrop, our balance■sheet strength and liquidity remain a clear source of strategic advantage and allow us to invest today for the future.
Total cash has increased by 437 million rupees during the quarter as compared to profit excluding forex impact and exceptional item of 19.2 billion rupees primarily due to cash utilization in the form of purchase s of aircraft and also due to reduction in forward sales.
We have remained prudent in capital allocation — prioritizing fleet, operational capability, and long■term efficiency — while protecting the balance sheet strength. Investments made during the year are aligned with strengthening core operations and future growth.
We have activel y deployed free cash to accelerate aircraft loan prepayments and increase our fleet ownership. During the year, we had announced a capital investment of 820 million dollars in the GIFT City entity to be deployed primarily towards acquisition of aviation assets, and we have prepaid loans for 17 aircraft. With this, we now have 36 air craft as unencumbered assets in our books aggregating more than 95 billion rupees of book value. Additionally, we have 53 aircraft on finance leases with underlyin g ownership, and this investment also adds to the balance sheet strength.

This is a strategic choice aimed at enhancing asset control, reducing risk, and strengthening the durability of our balance sheet over the long term. We view this as an ongoing lever and will continue to explore similar opportunities where increased ownership meaningfully strengthen ing the balance sheet. Further, we are also prepaying some of our finance lease obligations towards our gift city entity aggregating USD 450mn (43.4 bn rupees), such funds will be utilized towards acquisition of aircraft and engi nes through our gift city entity .
We announced the development of an Integrated Corporate Campus, reflecting a long■term investment in organizational scale, collaboration, and operational effectiveness as we continue to grow and scale. It reflects our confidence in the long■term growth of the business and our intent to build durable institutional infrastructure.
We also continued to invest in our loyalty platform — BluChip, during the year. BluChip's ecosystem has more than 11 million registered members and spans banking partnerships through multiple co■branded cards such as SBI Cards, Kotak Mahindra Bank, Axis Ba nk and IDFC first Bank, hospitality partnerships including The Postcard Hotels, and everyday■spend and lifestyle partners such as Swiggy, EazyDiner, and Adani Duty Free. Our focus is on building a simple, asset■light program that strengthens the customer e cosystem and supports revenue quality over time, while remaining economically disciplined.

Further, given the financial performance for the year and position of distributable reserves we have decided not to recommend a dividend for FY2026.
With the capacity deployed in the last two months wherein middle east has seen an upward trajectory through April and May, we are expecting to add capacity of around 3 -4 percent in Q1FY27 as compared to the same period last year.
Further on the revenue side, based on booking and pricing trends observed across April and May, we currently estimate a mid -teens improvement in unit passenger revenue in Q1FY27 vs Q1FY26, primarily driven by the calibrated fuel charge s which has been imposed, and a lower base during the same period last year due to the geopolitical developments in the Indian sub -continent. However, it is equally important to note that the costs have also become more elevated, driven by higher fuel prices, significant r upee depreciation and annual contractual escalations.
Further, as we enter a seasonally softe

r demand environment from mid -June onwards, combined
with elevated fuel prices, we are adopting a measured approach to optimize capacity. As a part of this, selective recalibration o f certain routes is warranted to protect margins, as was done last year as well.
This optimization will also involve reducing the usage of older -generation aircraft and returning certain narrow body damp -leased aircraft that are naturally more expensive. Additionally, we are also in discussions with our widebody ACMI partner to optimiz e our long -haul operations due to on-going airspace restrictions and elevated fuel costs.
In closing, while near -term conditions remain fluid, the strength of our network, cost discipline,

and balance sheet continues to support resilient operating fundamentals. These provide us the confidence to stay on the course in our long -term strategy, invest selectively, and manage volatility with discipline. As a result, we remain well positioned to d eliver consistent performance and long -term shareholder value.
With this, let me hand it back to Richa.
Richa Chhabra: Thank you, Rahul and Gaurav. To answer as many questions as possible, I would like to request that each participant limit themselves to one question and one brief follow -up question, if needed.
And with that, we are ready for the Q&A.
Moderator: The first question is from the line of Binay Singh from Morgan Stanley.
Binay Singh: Just picking up from the opening remarks when you talk about mid -teens the yield increase or revenue per passenger increase. Are you able to fully pass on the cost pressures with that? If you could comment both on the international side and domestic side? And also, a little bit about how are the utilization rates when you said 3% to 4% growth, what is the breakup of domestic and international? So that's it. Thanks.
Gaurav Negi: Binay, as you're aware, the fuel prices have gone up significantly. So practically, the Singjet went up by more than 100 points. While there has been an intervention and support that has been passed on both from the government as well as from the oil mark eting companies, where the increase on the fuel has been to the tune of 25% to 30%.
On the international side, the fuel continues to be on a much higher kind of scale at market prices. We did introduce a fuel charge to pass on some of those costs related to the increase that has happened. On the domestic side, we have managed to recover t o a large part, the increased cost that is there, which is, like I mentioned, lower than what the market is. And equally, on the international side, we've tried to pass on a large part of the fuel increase, but not in its entirety have been, we've been able to pass on the fuel charge.
So, one is balancing out both in terms of what the fuel charge and the base price needs to be, along with the load factors that the revenue management teams are focused on. So, the objective is to see how much of the cost can be recovered through th is increased revenue, but we've not been able to completely kind of offset the increased fuel environment that we are in. April was a tougher month, but what we've seen is at least for May, things are relatively better in terms of the load factors.
On the utilization side, yes, the utilization has been impacted because we had to cut a lot of our capacity going into the Middle East. So, because of that, like was mentioned, close to 160 flights got impacted both for the Middle East as well as for Europ e. That was largely around 18% of our capacity.
While we did try to redeploy most of our capacity into the domestic routes, given that this is a season largely for domestic, but we do see pressure on the utilization also, which is what is reflected in the overall growth that we are expecting for Q1 2027 .

The mix tends to move around. On an average, it

used to be 70% domestic, 30% used to be
international. But given Q1 is a more domestic heavy kind of a play given the seasonality, the ratio is going to be more skewed on the higher side towards domestic and less on the international and any which way.

International, largely the Middle East is something that we are still in the ramp phase. We are ramping back up again. The 160 flights that we had, especially with the war coming through, we had to cancel a large part of that. But today, that capacity is p robably back to 2/3 of what we were. So, utilization is lower, more capacity being deployed towards the domestic and ramp back up again in the Middle East, especially as we prepare for the Q2 season, which tends to be bigger on the Middle Eastern side than on the domestic side.

Binay Singh: Thanks for that. Any rough number where are the utilization rates on international now, like domestic data we get, just on international?

Gaurav Negi: So, the cash utilization on a stand -alone basis is going to be good for us. So , load factors, again, so we are trying to optimize PRASK, like I said. So , the objective is to increase fares given the fuel environment that we are. So , we are trying to increase that. They were low, as I mentioned, especially with the crisis that was being faced, especially in March and then April. May, things are improving right now. I can't give you a firm number in terms of load factors stand -alone fo r internati onal.

Moderator: Next question is from the line of Arvind Sharma from Citi.

Arvind Sharma: You commented that mid -teen growth in unit revenue in the first quarter. That makes a fairly high number. So purely in qualitative terms, where do you think the demand is, how elastic it is because a mid -teen number would be a very high PRASK yield in 1Q? So, do you think it starts impacting or when does it start impacting the absolute demand?

Gaurav Negi: So, when you look at PRASK, Arvind, you've got to remember what happened in Q1 of last year also because we were severely impacted by the events that played out, especially in May. So till April, the quarter was pretty strong. We had the Pahalgam attack and t hen it followed.

So the May quarter of last year, May month was extremely weak. So that was the time when we were probably having a very low both load factors as well as the revenue environment. So when you do factor that into the base, this mid -teen increase is something which is seeming to be high. But on a base effect basis, it's not that significant.

Couple that with also the fuel increases that have happened. So in a way, it's positive for us that the overall yields have gone up as well as the PRASK is going up, but the base effect is low and the cost increases that we have in the month of both April and May are significant.

Arvind Sharma: Got it. And the impact on demand, if any?

Gaurav Negi: May is coming out to be stronger. So again, with the base. April was soft because we were still in the ramp phase. May is coming out to be positive. And as a result, that's why you have the PRASK

at mid -teens level, which is a combination of both the yield as well as the load factor. So the demand is good for the month of May.

Arvind Sharma: Got it. Thanks. And my second question would be on fleet strategy. Yes, over the near term, the fleet tends to be a little less flexible. But are you seeing any change in the delivery schedules given the demand or change in flights that you're going to ta ke?

Gaurav Negi: We are looking at the capacity that we need to kind of put into production and operations. Our immediate attempt is to first kind of phase out the damp leases because those are the ones which was mentioned in the opening remarks also tend to be more expen sive, both in terms of the cost because there's an inherent kind of markup that is there.

Plus some of them are not the most latest te

chnology as a result, tend to consume a lot more fuel.

So that's the first kind of a space that we are kind of addressing. We will return most of our damp leases, something similar that we had done last year also given a softer Q2 that we envisioned within the cycles that we have.

Then we are also looking at some of our older technology fleets that we have, which is the CO. So we'll look at it given the fuel environment that we are in. These aircraft tend to consume a lot of fuel. So we'll be looking at those. So that's our approach right now.

There is no shift as far as deliveries are concerned related to our order book. But our first attempt is going to be to address it both in a manner of returning the damp leases and then looking at if there are any kind of older technology aircraft that may not need to be utilized as much.

So and then we'll keep monitoring how the fuel environment works because it's anyone's guess in terms of how long this particular situation in the Middle East is going to last and then what the tail effect of that is going to be. So we're going to keep, we 'll be a little more dynamic as far as our fleet planning is concerned.

Moderator: Next question is from the line of Amyn Pirani from JPMorgan.

Amyn Pirani: A 2-part question on your CASK ex fuel ex FX. So in 4Q, if I look at the line items, which comprise your ex -fuel costs, given the disruptions, given the currency depreciation, it seems that the cost inflation was quite well managed, if I look at lines like employee airport fees and even

the supplementary rentals.
So, any mitigating factors that you have already deployed and any color on the cost management?
And the second part would be, like you have been giving guidance last year, any guidance for the CASK ex fuel ex FX trends for the quarter or for the year, whateve r you're comfortable providing?
Gaurav Negi: Yes, you're right, we've kind of tried to manage the cost dimension, but a large part of the cost will also have an underlying FX impact, which will start flowing through because what we absorbed in Q4 was a mark -to-market impact to begin with. So , the rupee depreciated. Going forward, that will also start playing into the CASK ex fuel ex forex.
Equally, the utilization aspects also that got discussed because the longer this conflict continues

and the lesser the deployment of our capacity is going to be, that also has a denominator effect because the ASKs are not going to be as much to defray the fixed cost related to that.
While we've kind of seen a headwind CASK ex fuel ex forex, which is somewhere, we had guided it's going to be somewhere in the mid -single digit, at least for the coming quarters and depending on how things play out in terms of our utilization levels also, we foresee that it's going to be in mid- to high single digits is what our anticipation is right now.
But just bear with us because there's so much volatility right now across the environment that most of these kind of directional kind of views that we are sharing can change significantly depending on how long this kind of continues.
We are making every measure that is there to see where we can tighten. Like I said, we are also kind of reducing fleet that is not the most efficient fleet. We are looking at those spaces . Obviously, cost is a focus area always and even more so in this particular environment for us.
Amyn Pirani: And just you had provided a sensitivity of INR900 crores for every USD -INR depreciation. Can you provide the latest sensitivity? Or is this still the same?
Gaurav Negi: Directionally, it's still the same. The good part is we had mentioned that we have started to do hedging to limit some of this exposure. Our overall net exposure in dollar terms somewhere comes out to be around INR10 billion. We've done a hedging of around INR1.3 billion.
So, give or take, we're still in that

INR900 trajectory right now for every rupee movement on the mark -to-market side. So , anything on the balance sheet, we've got a $1 movement or INR1 movement to dollar tends to translate into INR900 crores. And that's what you would have seen in the Q4 performance also. The impact of FX is somewhere around INR4,800 crores.
Moderator: Next question is from the line of Achal Kumar from HSBC.
Achal Kumar: I have 2. The first one is on the yield going back to your comments on the mid -teens. So I just want to understand if you could please give color in terms of how much of it is coming because of fuel surcharge and how much is the underlying increase in the fares and because of that, the yield is going. Can you please give a bit of color on that?
Gaurav Negi: So Achal, what I gave was the PRASK guidance of mid -teens. So it has both the yield and the load factor. So that's the balancing act that the teams are working. So it's more a PRASK guidance.
A large part is obviously going to be fuel related because the f uel charge or the fuel c ost that we need to kind of because the cost levels have anyways gone up .
So while the mid -teens will look quite positive. But bear in mind, the cost levels of -- or the impact of fuel and the FX that we now need to absorb also is also equally significant. And that's why I mentioned that we are not able to absorb the entirety of the cost increases that are there. So this is on a branch level. We'll keep balancing between the yield and the load factors to try to optimize this.
Achal Kumar: Right. Second question was on the cost side. And on the cost, one part of it is about the salary cost.

So because we thought we are going to hire more pilots because the new FDTL norms and the salary cost could go up actually, and we can see the Q4 salary cost is actually lower than Q3. How is happening? And any plans on the fuel hedging, please?
Gaurav Negi: On the fuel hedging, that's under again, given the environment already the fuel has run up significantly. There's obviously thinking that is going around in terms of developing similar to what we've developed on the currency side, but it's in early stages given that the fuel has already run up significantly.
So, we will be putting our minds to start looking at whether fuel hedging is another option or given that we already have a significant fuel -efficient fleet that we already operate as well as operationally to the extent we can minimize the fuel consumption, t hat will be the longest area of focus for us.
But given what we've experienced in the last 3 months now, that's going to be something that we'll probably start exploring. So not done yet, but something which is in its early kind of internal deliberations.

Moderator: Next question is from the line of Aditya Mongia from Kotak Securities.
Aditya Mongia: My first question was more from the perspective of the pricing strategy of the company. I think in light of the fuel and the cost increase that is there, will the pricing be determined more by that or the extent of demand disruption that may end up happen ing?
I think the underlying question over here is somewhere do you want to set a certain price point and the way costs are going to be passed through independent of demand disruption? Or will it be fairly sensitive to what demand disruption can happen?
Rahul Bhatia: Aditya, allow me to take this question. This is Rahul. So for us, it is very clear that we need to take fares up to protect ourselves against some of these additional costs that are showing up. And for the moment, what we are discovering is that the fares are sticking. The demand is there.
So you obviously have to take the pricing up to the point where you start to see elasticity come in.
For the moment, what we are seeing is as we take the fares up, the market is inelastic to these hikes in fares. And we'll just deal with thi

s on a daily ba sis and see where we go.
Aditya Mongia: Understood. The second question that I had was more on what you elaborated earlier on, I think this was Gaurav on the cash aspect and a fairly large cash position, how it's going to be deployed.
There is a cost of aircraft ownership. Could you give us a sense of how much of that aircraft ownership cost can be mitigated over time as you use cash to purchase aircraft ?
Gaurav Negi: So Aditya, if you were to think of cash which is sitting in the bank, you know what the returns on that is. It will range between 6.5% to 7.5%, depending which period you look at. So that's the kind of return you get on our cash, which is sitting versus a n aircraft which has a lease rental value, which has a money cost, which is much higher.
So there's a natural arbitrage that does exist for one to start deploying the cash to start owning the

assets because there's always some money in terms of finances cost that is involved in this. The second dimension, which is also becoming even more meaningful is the FX related. So the sooner you lock in an aircraft and own it, the exposure related to the FX also kind of gets mitigated to some large extent also. So these are 2 dimensions that come into play as far as aircraft ownership is concerned versus using cash or keeping cash within the banks.
Now having said that, I did mention in my opening statement, given we are in an aviation industry, it's always prudent to keep at least 20% to 25% of your overall top line as a safety net.
That's been our stated strategy that we are sitting on a lot of cash, around 20% to 25%, which is roughly around INR20,000 crores to INR25,000 crores, give or take, is going to be something we'll keep as a safety net. But anything above that, we'll start d eploying towards acquisition of assets, which otherwise would have a much higher money cost to pay than what we will get as returns on those from the banks or the mutual funds that we have.
Moderator: Next question is from the line of Pramod Kumar from UBS Securities.
Moderator: Pramod Kumar, can you hear us?
Management: Pramod, can’t hear you.
Moderator: Pramod, your voice is breaking. Can you hear us?
Pramod Kumar: Yes, I can hear you. Can you hear me?
Moderator: Yes, now we can.
Management: Now we can.
Pramod Kumar: Yeah, yeah. Sorry. Sorry for that. Just a clarification on the employee cost. I think one of my peers did ask a question as to why the employee cost fell on a quarter -over-quarter basis , just clarify that, that will be very helpful.
Gaurav Negi: Sorry, what's the question, Pramod, I missed that.
Pramod Kumar: The employee cost, Gaurav, the sequential decline in employee cost even with higher hiring and all, what led to that decline on a quarter basis?
Gaurav Negi: Okay. So if you look at quarter -over-quarter sequentially, you're saying that there is some reversal that we've taken related to some accruals we were doing related to leadership payouts, which have been reversed out. That's why you see a kind of a reduct ion on a sequential basis. Other than that, year-over-year, the cost would be growing in line with the normalized kind of inflation and increases that we have on the salary front.
Pramod Kumar: Fair enough. And second question is on the corporate side, sir, because we've been hearing a lot of statements from companies publicly and privately that they are kind of tightening the belt on expenses, including travel. So -- and corporate travel trend . If you can just ask for any color target, any...

Moderator: Pramod, sorry we are again losing your audio.
Pramod Kumar : Sorry. Is it any better, sir? Sorry, I'm like -- I'll come back in the queue. Hello?
Moderator: Sir, were you able to get the question?

Pramod Kumar: It was on the corporate travel. Corporate travel, any changes you're

seeing or moderation you're
seeing on the corporate bookings?
Gaurav Negi: No. Like I said, May is coming relatively good. I've already given a bit of a guidance in terms of where we're looking at the PRASK/CASK. So we are not seeing any kind of a softness. So I can't differentiate between corporate right now versus what is for leisure and purposes. But overall, May is coming better. April was soft, but May is coming stronger.
Moderator: Next question is from the line of Krupashankar from Avendus Spark.
Krupashankar: My first question is on the international side of things. I just wanted to get a sense around the long - haul, Rahul, for the rest of the year. I do understand there are restrictions at this point. I wanted to get a sense on whether you continue to lease mo re widebodies and continue to cater to new destinations on the international side, the Far East destinations?
Rahul Bhatia: This is Rahul again. So when you talk about long haul, what markets are you talking about?
Krupashankar: For example, last we started Manchester, Amsterdam, etcetera. So something on those things, probably in the Far East or other geographies?
Rahul Bhatia: Yes. I mean in this journey, we will continue to, on a daily basis, optimize the network to suit the current needs. What that will be tomorrow morning, we can't tell you. But the assurance we give you is that we continue to watch this very closely and to ensure that we are running an optimal operation.
Krupashankar: Understood. The second question is on the new domestic airports, which are in key metros. Just wanted to get a sense around the incremental capacity deployment in domestic.
Moderator: Krupashankar, sorry, we lost your audio. Can you hear us? Due to no response, we move on to the next participant. Next question is from the line of Prateek Kumar from Jefferies India.
Prateek Kumar: I have a couple of questions. Firstly, you talked about ex fuel ex forex guidance of mid - to high - single digit. Of course, it's extremely volatile. But is it possible to give something on ASK growth for full year as well? You talked about the first quarte r at 3% to 4%.
Gaurav Negi: Not yet, Prateek, we'll have to wait because we are not giving annual guidance right now. We're just giving for Q. So in due course, we'll also come up with that.
Prateek Kumar: Sure. Other question is on FDTL situation. Is this largely addressed now? Or is there a major pilot mismatch in terms of current situation. Of course, capacity is only lower right now. But overall, from where in December industry was, has that situation e ased in terms of availability and hiring?

Rahul Bhatia: Yes, our readiness in terms of FDTL is complete and will remain like that into the future.
Moderator: Next question is from the line of Ankur Periwal from Axis Capital.
Ankur Periwal: First question on the capacity management, while you alluded towards this, just curious to understand, given the constraints on the international routes, this capacity you mentioned has been deployed on the domestic market.
One, if you can highlight whether these are more metro or the non -metro routes? And combining this with your earlier comment that the fuel price increase, at least in the domestic market in the month of May, give and take is largely done in terms of yield matching the increase in the ATF prices. So your thoughts there, please?
Gaurav Negi: So large part of the redeployment is on the domestic side is going to be towards, the metro, especially the new airports that are coming up. We've got both Navi Mumbai as well as now Jewar starting shortly, going to be very important towards that.
Plus a large part, at least in the fourth quarter is going to be towards the leisure market in India because this being a seasonally big quarter for travel domestically, these are going to be towards leisure markets. Sorry, I missed the secon

d question tha t you had.
Ankur Periwal: Sure. Yes. The second part there was your comment on domestic yield largely matching the ATF prices, while on the international, maybe on a route -specific basis, it may vary. But on the domestic side, it's largely matching the increase in ATF prices has b een largely passed through?
Gaurav Negi: Yes. Thanks to the fact that the increase on the fuel wasn't as big as we saw in the international side because we did get support from the government as well as the oil marketing companies where the increase was only 25% to 30% vis -a-vis international wh ich was at market where the increase was more than 100%.
So that's why we've been able to manage that relatively better, keep our prices, especially for the domestic season, lower. Otherwise, the price increase would have been even higher. So in effect, it's a tag teaming because the airports also helped out in terms of the airport charges being deferred out.
So a combination of both the oil marketing companies, the airports, the airlines, all collectively working to make sure that the prices do not significantly increase for the consumer, especially in this period, which is Q1, which is big in domestic.
Moderator: Next question is from the line of Sabri Hazarika from Emkay Global.

Sabri Hazarika: Firstly, one clarification. This PRASK guidance of mid -teens, this includes the fuel surcharge or it excludes that?
Gaurav Negi: It includes. It's all in. And so would the all -in cost for us also. So it includes.
Sabri Hazarika: Okay. Now coming to the question in terms of fuel prices, I mean there has been a lot of development. I think Delhi as well as Maharashtra, they have reduced the VAT also significantly

on ATF. So do you see that it is probably the peak of the fuel pricing where we are right now, at least right now.
And I think they have not passed on, I guess, there has been no pass on of the lower VAT or anything of that sort, right? So do you see fuel prices coming down here on? And from April until now, not too much of clarity is there exactly on what is the real fuel prices for the airline. So can you give some idea on that also? Thank you.
Rahul Bhatia: Sabri, this is Rahul. This is work in progress. We are working between the Ministry of Civil Aviation and the Ministry of Petroleum and Natural Gas to come to an agreement into the future.
And as soon as we have clarity, we would let you know.
Moderator: Next question is from the line of Jinesh Joshi from PL Capital.
Jinesh Joshi: Sir, my question is on our hedging policy. If I'm not mistaken, our earlier policy was to hedge the cash flows falling during the next 12 months. Now given the excessive volatility in rupee that we have seen of late, are we contemplating any change in str ategy over here?
Gaurav Negi: We are enhancing the policy that we had, and I mentioned this the last time also. Our initial going in position to hedge was for the next 12 months, and we had a goal of hedging up to $1 billion.
Subsequently, we've increased that to $3 billion. So we int end to hedge up to $3 billion.
A large part is going to be $1 billion towards the short -term cash flow hedges for the 12 -month period. And the remainder of the $2 billion is going to be spread over the 2 -year to 5 -year period.
So we've kind of expanded and enhanced our policy. And as a result today, we are at $1.3 billion, and we'll continue to keep scaling this up.
Jinesh Joshi: Sir, one last question from my side. In the month of March, our international ASK was down by about 33% due to the Middle East crisis. But I think some of the capacity loss would have also come because we might have canceled some of the flights which proba bly are going through that route and now maybe the maybe the rerouting would have been in place.
So just wanted to get some sense in April and May, how is our international capacit

y deployment
shaping up? I mean is the situation better off than March? I mean if you can throw some color on that?
Gaurav Negi: Yes. So immediately, like was mentioned, we have close to 160 daily frequencies that we were running, went to the Middle East as well as into Europe. So once the crisis happened, which was February 28, a large part of this had to be cancelled for obvious reasons because it was a high -risk zone. So 160 flights got cancelled for a couple of days. After that, slowly, we started to ramp up.
We were in the 20s for a large part of March that we were operating. As things stand today, there is a high degree of normalcy that has started to come in into the Middle East. We've started operations approximately two -third of that 160 that we had are no w operating, and we intend to kind of scale back to full capacity by the end of June, which incidentally then rolls into a peak period, which is for the Middle East in Q2.

So that's the way things have shaped up. February, we had to cancel. Slowly, we started to ramp up. We are back to 2/3, and then we intend to take full kind of capacity by the end of June. And this this all subject to the risk assessment that we do both in ternally as well as with various partners that we have.
Moderator: The next question is from the line of Karan Khanna from AMBIT Capital.
Karan Khanna: Firstly, with William Walsh set to take over as CEO in August '26, could you comment on key strategic priorities that are being handed over? And given Mr. Walsh's extensive experience with full-service global carriers, should we anticipate any further shi ft in IndiGo's hybrid model?
Rahul Bhatia: Well, this is Rahul. I'm going to talk about what strategic responsibilities we're going to hand over to him, we are going to hand over the business to him. He is going to be the CEO and he'll run the shop in its entirety.
Karan Khanna: In terms of given his experience as running several shops with full -service global carriers, is there going to be a change in business strategy? Or will it still be more hybrid focused?
Rahul Bhatia: So let me answer that in 2 parts. What is very clear for IndiGo is the fact that our single -aisle program with the 320s and the 21s is going to be always central to the future of this company.
That's the very heart of this business. Now we're adding some mutation to it with the XLRs, with possibly the 350s into the future.
And that will be a hybrid model, and it's something that Willie is well experienced with. I mean

he did that at Aer Lingus. So , we'll continue to build that strategy of starting to create an international footprint while we completely hermetically protect our short -haul business with our 320, 21 fleet.

Karan Khanna: Recently seen Air India take a much more aggressive stance on cutting capacity, slashing nearly 22% of the domestic flights and cutting deep into the international network to combat high ATF prices. Given that IndiGo's domestic curtailment is far milder a nd you are still inducting one plane per week, what is your stance on Air India's capacity cuts? Are you looking at this as a tactical opportunity to aggressively capture the space passenger base?

Rahul Bhatia: Well, we are not at liberty to answer questions on behalf of Air India. All I can say is that IndiGo, we will do what is right for us. We will continue to watch the space and our capacity and continue to optimize our operations on a daily basis.

Moderator: Thank you very much. Ladies and gentlemen, that will be the last question for today. On behalf of IndiGo, that concludes today's conference. Thank you all for joining us, and you may now disconnect your lines. Thank you.

Note: This transcript has been edited for readability and is not a verbatim record of the call .
The financial information presented in this transcri

pt is reported on a consolidated basis.

Call: Jul 2026

July 29 , 202 6 IGAL/SECT/ 7-26/21
To
National Stock Exchange of India Limited
Exchange Plaza, C - 1, Block G
Bandra Kurla Complex , Bandra - (E)
Mumbai - 400 051
Symbol: INDIGO To
BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai - 400 001
Scrip Code: 539448

Subject: Transcript of earnings call on financial results for the quarter ended June 30, 202 6

Dear Sir/ Madam,

In compliance with Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed transcript of earnings call held on July 23 , 202 6, on financial results for the quarter ended June 30 , 202 6.

This disclosure is also being made available on the Company’s website at www.goindigo.in .

The above is for your information.

Thanking you,
For InterGlobe Aviation Limited

Neerja Sharma
Company Secretary & Chief Compliance Officer

Encl: a/a

InterGlobe Aviation Limited
Registered Office: Upper Ground Floor, Thapar House, Gate No. 2, Western Wing, 124 Janpath, New Delhi – 110 001, India.
M +91 9650098905,
F + 91 11 43513200 Email: corporate@goindigo.in
Corporate Office: Emaar Capital Tower -II, Sector -26, Sikanderpur Ghosi , MG Road, Gurugram -122002, Haryana, India. T +91 124 435 2500.
CIN no.: L62100DL2004PLC129768

“IndiGo First Quarter Fiscal Year 2027
Financial Results Conference Call”

July 23, 2026

MANAGEMENT : MR. RAHUL BHATIA – MANAGING DIRECTOR
MR. GAURAV NEGI – CHIEF FINANCIAL OFFICER
Ms. RICHA CHHABRA – HEAD OF INVESTOR
RELATIONS

Operator: Good evening, ladies and gentlemen and welcome to IndiGo's Conference Call to discuss the first quarter of fiscal year 2027 financial results. My name is Sagar and I will be your coordinator. At this time, the participants are in a listen -only mode. A question -and-answer session will follow today's management discussion.

As a reminder, today's conference call is being recorded. I would now like to turn the call over to your moderator, Ms. Richa Chhabra, Head of Investor Relations at IndiGo.

Richa Chhabra : Good evening, everyone, and thank you for joining us for the first quarter of fiscal year 2027 earnings call.

We have with us our Managing Director – Mr. Rahul Bhatia and our Chief Financial Officer – Mr. Gaurav Negi to discuss the financial performance and are available for the Q&A session.

Please note that today's discussion may contain certain statements on our business or financials which may be construed as forward -looking. Our actual results may be materially different from these forward -looking statements.

The information provided on this call is as of today's date and we undertake no obligation to update the information subsequently.

We will upload the transcript of prepared remarks by day end. The transcript of the Q&A session will be uploaded subsequently.

With this, let me hand over the call to Mr. Rahul Bhatia.

Rahul Bhatia : Good evening, everyone and thank you for joining us on this call.

Today, we announced our first quarter of the financial year 2027 results. This quarter we reported a loss of around 2 billion rupees.

The aviation industry, and particularly Indian aviation, continues to operate in an environment that is promising yet demanding. In the near term, what is very clear is that fuel costs remain elevated and we continue to operate in a volatile environment. This makes disciplined execution even mo re important — protecting the business in the near term while staying responsive to fast -changing market conditions.

The quarter was marked by constructive pricing environment, and our ability to pass through a part of the elevated fuel and operating -cost pressure in a disciplined manner. While the quarter saw a sharp increase in the cost , the revenue improvement needs to be assessed together with the movement in fuel and other costs.

At the same time, it is equally important that we do not let short -term volatility cloud the long -term opportunity. Indian aviation remains one of the most compelling structural growth stories in the world. India is still a severely under -penetrated aviation market. Rising incomes, greater mobility, a young population, expanding aspirations, and contin ued investment in aviation infrastructure — all point in the same direction. As we reflect on this, it is also a moment to reflect on IndiGo's journey. We began in 2006 with a simple belief - that air travel in India could be more accessible, reliable, and consistent. Over the last twenty years, this belief has translated into meaningful impact — connecting more and more cities – from heartlands to metros to international markets, serving millions of passengers, and making air travel a practical choice for a wider section of India.

As we build IndiGo for the long term, we have signed a MoU with CFM International for over 1,000 LEAP -1A engines for future aircraft deliveries. This MoU also supports the development of our engine MRO and long -term material services. It is a clear step towards gaining structural strength, investing ahead of growth, and building the platform IndiGo needs as we scale into a larger, more global airline.

That same long -term thinking also shapes how we view the network and fleet choices. The domestic and short -haul business will remain the heart of IndiGo, with our single -aisle programme — anchored by the Airbus

A320 and A321 Family aircraft is central to the future of this airline. Alongside this core, international expansion and product evolution will be important parts of IndiGo's next phase. This expansion is about building a footprint in a disciplined and fit -for-purpose manner.

Let me now hand over the call to Gaurav to discuss the financial performance in detail.

Gaurav Negi : Thank you, Rahul and good evening, everyone.

Let me start with sharing the operating context that we experienced during the quarter, which is important to understand the financial performance for Q1 FY27.

The quarter was shaped by three broad factors impacting the outcome.

• Measured capacity deployment driven by geopolitical situation in the middle east and optimization of our schedule as we transition into a seasonally weaker period starting 15th June onwards.

• Pricing action as a counter measure to offset the pressure on economic performance and outcomes. Revenue environment improved meaningfully on a year -on-year basis, supported by pricing actions, healthy loads and a base effect

• Elevated cost environment led by fuel, currency and inflationary pressures.

Moving to the financial performance for Q1 FY27, we reported a total income of 256 billion rupees, a growth of around 19% year over year, with a yield growth of 21.3% and a load factor reduction of 1.3%. Despite a volatile environment, passenger demand hel d up as we served 31.3 million passengers, a growth of ~1% year over year.

In terms of profitability, EBITDAR came in at 38.3 billion rupees at a margin of 15.6% compared to an EBITDAR of 57.4 billion rupees and a margin of 28% for the same period last year.

For the quarter we reported a net loss of 2.4 billion rupees compared to a profit of 21.8 billion rupees in the same quarter last year. Excluding the impact of currency movement, we reported a net loss of around 56 million rupees compared to a net profit o f around 23 billion rupees during the same period last year.

June quarter's capacity growth came in at 3% on a year -over-year basis, broadly in line with our guidance. Capacity deployment during the quarter remained impacted by geopolitical developments, particularly airspace related constraints and disruption in ce rtain international corridors. As the quarter progressed, we adjusted capacity with customer demand in mind. We moved capacity to markets where demand was holding up better and took measured actions on routes affected by disruption. This helped us stay res ponsive to changing travel patterns while keeping the network aligned with customer needs.

Moving to demand and revenue, the quarter demonstrated the strength of the underlying demand base and the benefit of a more disciplined pricing environment. While demand conditions were not uniform across markets.

• April's demand and load factors reflected the combined impact of disruption, constrained customer sentiment in certain markets and network recalibration.

• May was a standout month for Indian aviation — the best month ever for the domestic industry, reflecting healthy recovery. For IndiGo, it was also a landmark month as we carried over 10 million domestic passengers, our highest ever, underscoring the strength o f our network, our execution and the trust customers continue to place in us.

• June remained constructive from a revenue environment perspective, with yields holding up well even as parts of the international network continued to be managed selectively. International capacity largely recovered during the month, supporting an uptick in revenue.

Driven by disciplined pricing actions and demand -supply dynamics, the passenger unit revenue came in at 5.03 rupees, which is 19 percent higher on a year -over-year basis. This is slightly better than our guidance as June sustained the positive revenue mome ntum. The yield came in at 6.04 rupees, which is aro

und 21 percent higher compared to the same period last year and a load factor of around 83 percent, which is 1.3 points lower as compared to same period last year.

On the cost side, fuel remained the largest source of pressure during the quarter. Global fuel markets continued to be influenced by developments in the Middle East, resulting in significant volatility. While average Brent prices were up by around 50% year -on-year, elevated crack spreads drove benchmark Singapore jet fuel prices higher by nearly 120%.

We saw a timely intervention by the Government, which was followed by our partners from the oil marketing companies (OMCs), to limit and moderate the prices of the domestic ATF during the months of April, May and first eight days of June. This support enab led us to continue to operate largely as per our planned schedules and also pass on the benefit to the domestic passengers in the form of a lower fuel charge. Despite this measure, our fuel CASK increased by around 80% year -on-year.

We are also thankful to the airport authorities, airport operators and partners for their continued support.

Further, on a year -over-year basis, the CASK ex fuel ex forex came in at 3.20 rupees, around 11% higher year over year due to

- inflated dollar -denominated costs due to depreciation of the Indian rupee by more than 11%,
- lower utilization in parts of the quarter leading to a lower ASK base,
- annual contractual escalations

In this environment, we have stayed focused on cost efficiency and the levers within our control to reduce the impact on margins. We are prioritizing flying our more fuel -efficient aircraft and are not operating the older CEO aircraft, wherever commerciall y appropriate. We have also tightened our discretionary expenses and deferred increments for senior -level employees.

Moving to fleet, we inducted a total of 13 aircraft from our original orderbook, which were all inducted through our entity in GIFT city. We redelivered 9 aircraft from our original orderbook and 13 damp -leased aircraft during the quarter resulting in a to tal closing fleet of 432 aircraft at the quarter end.

Let me now turn to network and key developments during the quarter. During Q1 FY27, we commenced flights to Jamnagar — reinforcing our commitment to strengthening domestic connectivity while selectively building our international footprint. We also became the first airline to commence operations from Jewar airport in Noida , further deepening our presence in the NCR airport system and positioning us well for long -term growth in one of India's most important catchment areas.

On the product and ancillary initiatives, there is an important customer dimension to the industry's evolution. As aviation becomes more mainstream in India, customers are looking for more choice, more flexibility, and more seamless travel experiences. As the market evolves, customers have different needs across different journeys. Our task is to respond to these needs without losing the essence of IndiGo.

In the same direction, we introduced "Lite Fare" for customers travelling without check -in bag with the flexibility to purchase add -ons. This supports customer choice and revenue diversification while remaining consistent with our simple, efficient operati ng model.

We continue to strengthen our loyalty program ecosystem through partnerships that deliver greater value beyond the journey itself. Our collaboration with Accor's ALL loyalty platform, which recently went live, extends meaningful earning and redemption oppo rtunities across travel and hospitality, enhancing customer engagement and reinforcing IndiGo BluChip's long -term proposition.

Further, during the quarter, we also tested SITA's OptiClimb, an AI -powered flight optimization solution aimed at improving fuel efficiency.

These initiatives reflect

our strategy in action: expanding the network in a disciplined manner, giving customers greater choice, building ancillary revenue streams, and continuing to

strengthen the efficiency that sits at the core of the IndiGo model.
Turning now to balance sheet and liquidity. We ended the quarter with total cash of INR 529 billion, of which free cash was INR 390 billion and restricted cash was INR 139 billion.
Capitalized operating lease liabilities stood at INR 538 billion. Total deb t, including capitalized operating lease liabilities, stood at INR 815 billion. Right -of-use assets were INR 553 billion.
In terms of cash utilization, during the quarter, we made deliberate capital allocations towards assets that strengthen the platform for the long term — including the purchase of 4 engines through our GIFT City entity and partial payment towards the acquis ition of land for our unified campus.
As we enter a seasonally softer demand period and continue to manage fuel and airspace volatility, we are adopting a prudent and measured approach to capacity. We are rationalizing capacity by selective route -level actions and a few temporary international suspensions. As a result, we are expecting a flattish capacity growth in Q2 FY27 compared to the same period last year.
In terms of unit passenger revenue or PRASK for Q2FY27, with the current balanced demand - supply equation and the higher fares holding up, we are expecting growth of more than 25% compared to the same period last year.

In closing, the June quarter reflects the strength of the revenue environment and the depth of the demand base, but also the reality of a highly elevated cost . We will continue to manage the business with discipline — balancing growth with economics, capacity with demand, and near - term volatility with long -term strategic priorities. Our focus remains on reliability, cost efficiency, balance -sheet strength and long -term shareholder value.

With this, let me hand it back to Richa.

Richa Chhabra: Thank you, Rahul and Gaurav. To answer as many questions as possible, I would like to request that each participant limit themselves to one question and one brief follow -up question, if needed. And with that, we are ready for the Q&A.

Moderator: Thank you very much. We will now begin with the question -and-answer session. First question comes from the line of Krupashankar NJ with Avendus.

Krupashankar NJ: My first question is on the yields, while you have highlighted that the PRASK at least is expected to be high at 25%, what's been the impact you've seen so far with respect to load factors? And is that one of the key reasons why there is a rationalization exercise with respect to capacity, when that the guidance is flattish on a relatively lower base on Y -o-Y?
Gaurav Negi: So, Krupa, the way Q1 panned out for us, we already had at least a 21% increase in the yield. The load factors did not go down significantly. It was just a 1.3% decline on the load factors. As we are looking into Q2, we are seeing that the price discipline is still holding up in the market.
And as a result, the yields have been tapering upwards, and that's why the guidance for Q2 is 25% and north of 25%. We are expecting the loads to be flattish or slightly down similar to what it was in Q1, but that's largely driven by the fact that a large part of the capacity has also been reduced, which is typical of this quarter.
Even last year, we had tapered down or optimized our capacity given that it's off -season quarter.
So, with the decline in the capacity deployment that we've done, we are seeing that the pricing discipline is still holding up. We are able to push up prices, and the loads are also sticking. So that's how we are looking at Q2.
Krupashankar NJ: Got it. And second one is on the rational cash flow. So just wanted to get a sense, given the cost escalations, is th

ere a number you want to keep as a bottom number or a spread number, which you would be comfortable with going ahead until which there can be increasing hikes with respect to your pricing? Is that something which is in the bottom of the calculation, which is always under consideration when you take this hike going ahead?
Gaurav Negi: No. The endeavour is always going to be economically viable propositions so that we keep having a healthy spread. But as you're well aware, the kind of environment that we are in right now, the fuel and the currency have been the biggest drag. So given how things have shap ed up in Q1, we managed it well.

We were hoping that this is behind us because large part of the conflict was coming to a close.
We've recently started to see some flare -up. But our endeavour is always going to be to make sure that there is a healthy spread. And towards that, we'll keep working. But the external factors are

just too significant. The headwinds are too significant.
But like we said, we keep testing high levels of yields in order to offset largely the increased levels of cost that we are experiencing. So , there's no kind of a target, but we just want it to be a healthy kind of a spread.
Moderator: The next question comes from the line of Pulkit Patni with Goldman Sachs.
Pulkit Patni: I have a couple. Firstly, any change to your full year guidance given that your second quarter guidance is flattish one after first quarter also been relatively weak? So how should I look at your full year ASK guidance? That's question number one?
Gaurav Negi: Pulkit, we are holding to the guidance that we gave at the analyst meet. So , it's in single digits. So , it was already tapered down. But post -'27, we had already given a guidance that we'll be back to early double digits. So given the external factors, we are still holding to the single -digit guidance that we will on capacity.
Pulkit Patni: Sure. Sure. That's useful. Gaurav, my second question, it's not typically asked, but would you be able to talk about on a rupee basis, what has been the cost of fuel that you have paid in this particular quarter? And I'll tell you the reason why I'm asking this. Has our fuel consumed per ASK change meaningfully between the last few quarters and this quarter? That number would be helpful for us to just gauge that?
Gaurav Negi: No. So , when you say the two elements of change in the fuel. One is the rate and the consumption. So, there's no change on a per ASK basis as far as the consumption is. Only driver of change has been the rate. And the rates, as you are very well aware, have been going up, and that's been the biggest part of the mitigation that we've been working in Q1.
Pulkit Patni: And for the quarter, what's that rate, if you can talk about? Effective number?
Gaurav Negi: So again, it's going to be , if you look at the reference point, if you look at March because the way the pricing for fuel worked out, March was a reference point went in 1st of April, where the support came in, both from the government and the oil marketing companies, where they said that the increase in the fuel rates is going to be capped at 25% for the domestic space.
So that was defined from 1st April. It worked out in April, it worked out in May. And until the 8th of June, this particular methodology worked out. While the international always was at the market rates, which was where the MOPAG was trending.
Post the 9th of June, even for the domestic space, we've got the market rate, the MOPAG rate that is kicked in. So , it's kind of the way the quarter played out, 1st April til l 8th of June, there was a defined kind of a formula which was supported by the oil marketing companies for all airlines.

That is going to be referenced to a March pricing that you had, a 25% cap on that. Plus, you've got taxes of

VAT and excise duties. Post the 9th, the reference bench shifted, and it was back to the market rates, which way played out for the international space so all domestic had this. International was always at market rates.
Additionally, this was just for the public sector kind of oil marketing companies. The private, in effect, had their own rates that were in place, which was, again, linked to the market prices that were applicable in March.
Pulkit Patni: Sure. I'll take this offline because my implied calculation is showing that the effective rate is close to INR150 per litr e. I'm not sure if that's the right number. So maybe I'll check with you offline to get a better understanding of this.
Gaurav Negi: Sure.
Moderator: Your next question comes from the line of Arvind Sharma with Citi.
Arvind Sharma: Continuing the fuel cost part. If you look at the fuel CASK, that is up almost 60% quarter -on-quarter and 80% Y -o-Y. Now I understand that there was a cap in the cost increase. But there have been multiple releases by the OMCs that stated fuel price would not be increased.
Even after that, a 63% quarter -on-quarter fuel CASK increase, what would be the key drivers? Because even after 9th June, if it was a free market, but a major part of the quarter, the growth might not have been as much as the numbers kind of reflect. If yo u could throw some more light on how the fuel CASK increase was 63% quarter -on-quarter ties up with the actual fuel that you've paid for?
Gaurav Negi: So, Arvind, if you look at -- since you're doing a quarter -over-quarter comparison, if you look at January, February and March, so there were three kind of reference points. So , the fuel was increasing significantly in March. So , it was in the early 80s from SingJet standpoint. It went to around 82 -ish in February, and then there was an increase that happened in March.
So, March becomes the baseline when you're doing a quarter -over-quarter comparison because March became the reference point for April and May and the 8 days of June that you have. So , you were already at an elevated level of a base on which then there was this formula that was being applied, which is 25% that was being applied for domestic, plus the VAT and the taxes, the excise duty and VAT that you had to apply. So that played out on the domestic front.
International, any which ways was the same philosophy of pricing that applied prior to the war was

getting applied. So , the mix of that was the driver of the fuel going up to 63%. Additionally , on that, this was only up to 9th of June. Beyond the 9th of June, it was anyway back to the same methodology of pricing, which was MOPAG -linked.
So, a combination of these two factors, plus the fact that we had international, which was anyway that market, which was 2x of the reference point that you had because the market , the fuel prices had gone up by 120% between March and then April, May, June.

International was at 120%. Domestic was being capped at 25% with additional impact of VAT as well as excise. And the private players that we had were anyway pegging their pricing at the market prices. A combination of these three effects is what will give you the 63% that you've kind of seen in the results quarter -over-quarter sequentially.
So, your starting base itself, March, was on a higher level compared to January and February. Add to that, the elements that I kind of called out is what is driving the 63% increase in the fuel quarter -over-quarter.
Arvind Sharma: Got it. And second question would be on the fleet part. So, is it fair to assume that damp lease will eventually go to zero? Given that second quarter would be a flattish capacity growth quarter, is there a rethink on the fleet strategy for the year or does it continue as usual and adjusted for the damp lease aircraft being given away?
Gaurav Negi: The fleet strategy i

s again, the only tapering that we've done is the older technology CEOs have, some have been parked given the environment. The fuel levels are extremely high. It doesn't kind of necessitate that we need to be operating those.
The damp leases, yes, we've returned most of the damp leases. So , we'll again assess the situation as we come into Q3 where we'll have to probably look at what is the external environment, especially related to Middle East, has that improved? Has the fuel levels moderated down? And if the demand situation has started to improve and the cost has started to taper downwards, we'll assess that situation to see if we need a surge capacity in the form of damp leases. So outside of that, our own fleet continues to be on plan. Damp lease , we'll assess in Q3.
Arvind Sharma: Right. And if I could just ask your comments on, where are you in terms of Middle East capacity? Is it normalized or how much is the headroom for further normalization, the Middle East via N2?
Gaurav Negi: Yes. End of June, we were actually up to the same close to 90, 95 percentage levels of what capacity we were operating. We were close to 150 prior to the war, departures that we had on a daily basis. It went down to around 20 and 30 at the peak of the cris is. Over the course of June, then we started to ramp back up again. We were close to again 130 -plus. But now we are assessing the situation that's developing over there.
Today, probably it's going to be in the north of 90% capacity that we are operating. But we continue to assess the situation because the crisis is again kind of flared up. So that's where we are. But our intention is to keep operating Middle East 'till the point it's safe for us to operate at the maximum amount of capacity that we can go to.
Moderator: Your next question comes from the line of Sabri with Emkay Global.
Sabri: My question is also on the fuel side. So , for the reported number in June was something like INR110 to INR115 per litr e for ATF. Was that also a cap number or did you account , it's much higher than that while taking the market rate after 9th?

Gaurav Negi: No. So , I'll try to address it. Pre the war, the fuel was operating somewhere close to 85, 90 in terms of ATF is concerned. When the war kind of broke out, the fuel prices went up by 120%. So , it was touching more. The SingJet , this is not Brent, SingJet and MOPAG started to touch close to 180 to 200 because of the 120% increase that happened.
So, that's why they were operating at. With that base of March that you start taking and you put a kind of a cap at least on the domestic side, it's 125% was the cap that was put. On top of that, there is VAT and excise duty that you need to add on to.
International operated at 180 -plus at that because there was no release available on the international. So, when you blend these two together, you'll get an average rate. It could be somewhere 140 between the international and the domestic space.
Now in this, this is the portion that comes to you from the public sector oil marketing company partners that you had. You also have private players offering you fuel. The private players did not , not all of them, some of them did, but not all of them, moderate their pricing related to fuel. They continue to operate at the market pricing that was applicable to the international kind of pricing. When you blend these two, you will get the 60%, which is closer to 140 kind of ATF price levels or as an average for the month , for the quarter Q1.
Now during this period, especially in June, at the fag end of June, the ATF did start to moderate downwards at an aggregate level, but it's again linked to the averages that are there. So , it did come

down to 110. On a market level, it was probably tapering from 180, 120, it came down to 140 and then it further tapered downwards.
So, there was a period when the ATF did c

ome down, but now it's again climbed back up. So today, if you were to look at ATF, my guess is it's going to be somewhere around $140 to $150 at international MOPAG levels.
So, the fuel has moved significantly. But when you add these things together, which kind of are different drivers to it, a combination of support that came from the oil marketing companies, the additional VAT and excise that you have to add on to it, the fact that there were two periods in this April to June 8 and then June 8 to 30 June, plus the private supply that comes from private players.
A combination of that will give you the 63% increase, which, from a base of 90 , 85 to 90, that was very much. When you add on the 60%, it's somewhere close to 140, 150 what I think Pulkit was also mentioning.
Sabri: Right. So currently also, the rate is sort of similar $90 of Brent and the $50, $60 of SingJet margins?
Gaurav Negi: That's right.
Sabri: Right. And second question is on the capacity. So , this whole capacity thing is very significantly connected to the Middle East synergies. Is that right?

Gaurav Negi: No. Capacity for Q2, you're talking about or you're talking about Q1?
Sabri: In Q1 also in Q2 that you have like given flat guidance?
Gaurav Negi: Q1 was largely Middle East driven because, obviously, we had a huge amount of cancellation. Q2 is, again, a prudent call that we typically take, where we taper down our capacity, especially for off-season markets. So , we've already given a communication that six of the destinations on the East side, also, we had moderated down those capacities.
We kind of suspended operations, which will restart back again in October. Places like Langkawi, places like Ho Chi Minh City, Hong Kong, Shanghai. So , there are two different kind of periods that we have. Q1 was Middle East driven, Q2 is a little towards the east because of the off -season markets.
Sabri: But that's sequentially, Y -o-Y would still be having a Middle East impact in Q2, right?
Gaurav Negi: I hope not. Like I said, we are already at 90% right now. I hope the crisis kind of tapers down. As far as capacity is concerned, we'll keep operating as long as safe to operate, the maximum amount of capacity that we can throw into the Middle East.
Moderator: Your next question comes from the line of Aditya Mongia with Kotak Institutional Equities.
Aditya Mongia: So essentially, I'm just trying to get a sense on the pricing strategy, wherein today, there is an underutilized fleet, but price points are high. Is there something that could sustain even beyond 2Q?
Gaurav Negi: Beyond Q2, it's going to be the big Q3, which is usually the peak season for us. So , we will be bringing back all the capacity that we have. And that was an approach that we had even last year.
We had curtailed some of our capacity in Q2 because of the off season. And then we bring back the entire capacity that we have, along with damp le ases. That was at least done last year.
We'll again assess the demand -supply situation, especially in the context of increased prices that we'll have to kind of play with , given the cost levels are high. So again, something we'll obviously closely monitor. We intend to bring more capacity back into the market because the demand is more likely than not to be very high, given that it's going to be a peak Q3 again.
Aditya Mongia: Understood, sir. The second question that I had in mind was more linked to news flows that are happening on the cross -holding between airports and airlines and that's being taken out as a provision. And then 2 parts for the question. A, how does IndiGo thi nk about the threat of new airlines, let's say, airports competing with airlines with their own setup? And B, from a constructive perspective, is there a case wherein, let's say, IndiGo would want to partner up with airports where it has happened globally and both of

them then can end up benefiting?
Rahul Bhatia: Aditya, this is Rahul. So , we are reading this news as you are. All I can say is that if the news we may have -- if the news has any merit, one, it has no global precedents because it typically would reflect a massive conflict of interest. And over a period of time, it would actual ly be against the interest of consumers. This said, we should just watch this space and how it develops.

The second part of your question is a moot point right now. Like I said, let's see how this whole thing develops and then we can take a considered view on how to approach things into the future.
Moderator: The next question comes from the line of Prateek Kumar with Jefferies.
Prateek Kumar: My first question is on cost ex fuel ex forex. Which increased 11% during the quarter. Slight I know it's because of lower utilization. Do you still maintain net to high single -digit increase guided for

this number? Also, can you quantify the deferred sala ry increment, which were not kind of accounted during this quarter?
Gaurav Negi: On the cost CASK ex fuel, ex forex, it is going to be on the higher side of the single digit, even to the extent of probably on early double digits because that's what we are experiencing as far as the cost environment and given the lower utilization that has happened. So , for the year, we are still going to be on the higher side of this single digit, possibly even lower end of the early double -digit ranges.
The second part of the question, given the scenario in the environment that we are right now in, there was, again, a deferment related to increments that were to be given to senior management employees.
So that's what we've been , we'll assess again in 6 months' time where this needs to be , what needs to be looked into, given the environment that we are right now in. So , there was a deferment that we had done for all senior management employees within the company as far as the annual increments were concerned.
Prateek Kumar: But your employee cost is still higher by 11% year -on-year. I mean, still like reasonably higher. So that excludes the management increment and maybe that will be part of the cost in later part of the year, which also accounts for this double -digit guidanc e that you're talking about?
Gaurav Negi: It factors in. It factors all that into account as well. But year -over increase is a combination of, obviously, increments that have been done to a certain portion of the team. It is also on account of gratuity. If you remember, we have taken some provisio ns to increase levels of gratuity, head count increases and so on and so forth.
So, gratuity has a higher run rate now compared to what it was earlier. So , we've taken an exceptional kind of cost for that in both Q3 as well as Q4. But the run rate has now started to increase because of that.
Prateek Kumar: My other question is on your capacity growth beyond FY27. I think you while doing analyst meet, you gave the capacity number of 300 billion by FY30. That implied words of mid -teens growth from FY27 onwards post FY27. And you said in your opening remarks, i t was like low double digits. Can you discuss this again?
Gaurav Negi: No, we still hold to the mid -teens. That is going to be from FY2028 to FY 2030 . It's going to be early double -digit to mid -teens levels is what we still are holding to.

Moderator: The next question comes from Achal Kumar with HSBC.
Achal Kumar: So, my first question is on the yield versus the fuel and other cost pressure. So , you mentioned that with such a high increase in the fuel, you were able to cover up with some part of it with the yield.
Now you're guiding 20% yield increase. So , until what level of fuel you can still cover up?
Do you think you'll be able to cover the whole fuel price or is there any sort of -- t

hat with this
increase in the yield, you'll still be able to cover up, say, $120 a barrel or whatever. So , with this increase in costs also. So , if you could give a bit of a color in terms of yield increase versus the cost increase? How should we think about that, please?
Gaurav Negi: If you look at just Q1, Achal, we basically had a yield growth of around more than 20%, 21%, but the cost increase were north of 30%. So that's why the pressure point comes in. When we look at Q2, there's been a moderation as far as capacity is concerned. And we were pushing up the yields north of 25%.
As we see this shift that has already started to happen on the fuel side again because the fuel had tapered down significantly. Now we're seeing that the fuel is again, the SingJet has started to and MOPAG has started to taper upwards as far as the cost. We'll again need to k eep testing high levels of yields to offset that increased cost because beginning of the quarter when we were sitting, end of June, the war was coming to a close.
Then suddenly, the shift that has started to happen between in the Middle East has resulted in increased levels of fuel costs. So , we'll have to keep testing higher levels of yields also just to offset the increased cost.
So, this is a very dynamic situation. There's nothing that is what we can state that this is it where we will increase the yields and then we'll have to probably be able to offset the cost. The cost levels themselves have started to increase again. So , we'll have to test more higher levels of yield. We'll see where this kind of settles depending on the development that happened in Middle East.
Achal Kumar: Okay. Fine. Fair enough. And my second question is around sort of the fuel. You've got some relaxing from the OMCs in April, May in between there was a news that the government is asking airlines to compensate for that in case you don't sign up for the sch eme. If that happens, have you gazed, as in how much extra burden will come to your P&L in case you need to compensate for the losses of OMC made in April, May, please?
Gaurav Negi: No, not really because the way we look at it because when the fuel levels were higher, on the international side, you had to pay market. On the domestic side, the cap that was applied enabled

us then to define a fuel charge that was then passed on to the c onsumer.
So, in effect, whatever was the increase, the 25% increase that happened, which was significantly lower than what the market was and it was kind of a good support that came from both the government as well as the oil marketing companies, was then passed on to the consumer also because our fuel charge did not go higher than what was the increased charge that will be passed to us. So , in effect, it was a pass -through that we enabled us to keep the fare levels low and yet operate the scheduled operations that we had.

Achal Kumar: Is Willie still joining on the 1st of August? Have you got all the approvals in place?
Gaurav Negi: Yes. First week of August is when Willie is going to be joining the team. And also just to answer the earlier question because we've kind of settled the period of April to 8th of June based on the bills that have been also raised by the oil marketing companies on us as per the formula that will define the 25% cap. So , we've kind of settled those bills based on what was the agreed position at that time.
Achal Kumar: So, you're not expecting any extra burden from April, May?
Gaurav Negi: Like I said, because we ourselves did not put any additional burden on the consumer in order to operate our planned fleet. Had the levels of fuel and the charges on us been to the extent of the market prices, we would have taken a different call. But given that support was coming through, we made sure that we pass it on to the consumer.
Moderator: The next question comes from Kushagr

a Bhattar with CWC Advisors.
Kushagra Bhattar: Just two questions. One short term and one longer term. The short -term, the near -term question is, if you can give us some more sense on the RASK minus CASK or the next splits to call, let's say, for both, let's say, international and the domestic because the environment has been challenging across, but the factors which play ed out are slightly different in the first quarter.
And I'm assuming the competitive intensity is also quite different in both of these, which would have implications on the pricing or on the yield differently between these two markets, right? So , if you can help us understand how the net spread evolved for both international and domestic in this quarter?
And then how do you expect it to play out let's say, for the entire year? Is the gap sort of converging between the two markets? Or you're not seeing those trends? That's the first question. I have a second question more on the longer -term perspective?
Gaurav Negi: Honestly, I'll take the second question because we can't give you a guidance on the spread right now. You know how volatile the situation is. When we sat in March before the crisis, we were very optimistic in terms of this year is going to turn out better than the earlier 2 years, given the first year, we had elections. Then the following year, we had the Pahalgam. We were very, very bullish and optimistic related to how the year is going to turn out.
Just the very first quarter itself has kind of turned on us, given the external factors, both the combination of the Middle East prices and the currency. So very difficult to give a spread number right now. So , we are not giving any guidance on that.
Kushagra Bhattar: Okay. No problem. The second question is more like on the industry structure, let's say, apart from the relatively new news, which has come out on the airport operators entering the airline sector. But apart from that, and a related question to that is if the challenges are different again for airlines because a lot of them are at different points of maturity with different balance sheets and different cost structures.

So, are you seeing or expecting a significant or some sort of a decent amount of industry structure, change in industry structure shaping over the next 12 to 15 months weakening of some competition, which is where the motives behind this new news could also b e one of the factors?
So, if you can share some thoughts there yes, that would be helpful. Because is this more like a better way where Indian airports can become global hubs? Or this is more like how the current structure is, which is where the motives behind these new news is co ming up?
Gaurav Negi: Anything we say is going to be in the speculative zone because like what was shared, this is, again, news, which is playing out. We'll see where this goes. The reality is whatever is beneficial for the consumer, there has been certain rules, regulations, w hich have always kept airport and airline separate across the globe also. But we'll keep monitoring the space there. We'll see how we need to act and react whenever this comes as a formal kind of communication, rest is all speculation right now.
Kushagra Bhattar: All right. And just last one, a small one, if I can squeeze in, which is, given the way, let's say, once the international normalizes, which is already 90% and if you continue to take fresh playing, let's say, from second half onwards, do you expect the in ternational ASK share guidance, which target, which you had shared earlier, kind of prepone and the international ASK share could sort of go

much higher than what you had estimated probably by the end of this decade? Yes, that's it.
Gaurav Negi: No, we're still holding to the guidance. We have said 40% that we'll be there by 2030. We were well on track in terms of deliveries of our both the XLRs, whic

h are largely for international markets
as well as the wide bodies that will also start coming in. So, we are holding to that 40% guidance.
And yes, the international side is going to grow faster because it has a lower base. And we had touched close to 33% of our capacity which had gone to international. And by 2030, it's more likely than not, will be somewhere around 40% that we had guided ea rlier.
Moderator: Your next question comes from the line of Jinesh Joshi with Prabhudas Lilladher Capital.
Jinesh Joshi: Sure. Sir, my question is on the extent of FX loss cash we have seen in this quarter, which is to the tune of about INR82 crores and given the extent of rupee depreciation, this number appears to be slightly lower in the context of guidance that we had giv en earlier with respect to the kind of unit cost hit that we have from rupee depreciation that we see versus dollar. So , any reason for this number to be low? Has our expansion with respect to hedge cover increase or what is it?
Gaurav Negi: No. So , you're probably referring to the mark -to-market. So , the mark -to-market, the shift was only 10 paisa quarter end March to June end. So , it was good because at one time, it was trending significantly higher. So that 10 paisa translates into the 8 billion, 9 billion that we typically have called out, which is our currency exposure that we have on a U.S. dollar basis.
That translates into this INR80 crores. So , it's largely because where the currency closed that at a quarter point in June, which actually came out to be favourable because it was at one point, very adverse, but strengthened during the quarter point of June. And as a result, it translates into an INR80 crores, much lower than what we had experienced in the earlier quarters.

Jinesh Joshi: Sure. And secondly, on the supplementary rental side, we have seen that cost increase to about 0.8 on a per ASK basis. Some bit of it could be due to rupee depreciation. But is there anything specific that you would want to call out over here, because the cost is up by about 11%. And this is one area where we have seen the surge be quite higher when I compare with the other cost hits?
Gaurav Negi: Yes. When you look at it from a sequential basis also, yes, there is because in quarter 4, we had some releases because as part of the supplementary rentals, we make provisions for redeliveries. When you redeliver, there is some leftover in terms of you do n't spend as much. And as a result, those releases come through. So that's what happened in Q4.
As a result, what you get in Q1 is a more normalized kind of arrangement, which will play itself out every quarter. The increase in supplementary rentals, as you rightly mentioned, has been because of currency. These are all dollar -denominated as well as t he annual escalation that kicks in. But what you have in Q1 is a normalized kind of a setup, which you'll see quarter -over-quarter now.
Moderator: The next question comes from Jainam Shah with Equirus Securities Private Limited.
Jainam Shah: Sir, just one question. What we've seen between FY22 and '23, while our yield has increased around 13% and 21% during that point in time due to various reasons, and then we have hold it up to those yields till now. And recently, the yields are now upwards of INR6. So , can we expect that post the normalization of the fuel prices maybe after a quarter or 2 or so, can we be able to hold on this thing? What your assessment is or will it be back to the normal given that the competition will be eventually playing out? What's your initial assessments is?
Gaurav Negi: Jainam, it's a good observation because pre -COVID to post -COVID, there was a significant shift that happened on the yield levels. There was a 45% - 40% increase that happened. So , post the crisis, there was obviously revenge travel, there was lower capacity that was available

in the market,
that pushed up the prices.
Subsequent to that, the growth has been largely volume driven. S o, a lot of capacity is what we were pumping in and pushing in while keeping the yields relatively at those levels, which was then being absorbed by the market.
We are again experiencing a similar kind of shift where we are in a crisis in terms of the fuels elevated, the currency depreciation. These have elevated the cost levels. We are testing new levels of pricing. As things moderate, because this is going to be a price -led kind of a growth.
As things moderate, we will look towards again, bringing more volume. That's why the mid -teen kind of growth post '27, and we'll look to holding the prices because the cost basis themselves have also kind of increased, barring the fuel, the normal cost lev els have also increased because of their natural inflation. That is very much prevalent. And the currency, which typically does depreciate every year on an average should depreciate.
So, the cost base continues to increase. It's an opportunity right now for us to push prices to offset those cost bases. But even after the crisis over and the fuel moderates, we're hopeful that we'll be

able to then start driving volume -driven growth where we are able to push more volumes so that more consumers can avail the services related to this.

Moderator: The next question comes from Amyn Pirani with JPMorgan.

Amyn Pirani: Just one more question on fuel. Because the oil marketing companies, the ATF prices that we used to track has become distorted because of the changes which have happened. Just from a simple calculation point of view, given whatever fuel price you have seen in the June quarter, which was made up of the fuel cap and then the removal of the fuel cap and international being at market from the very beginning.

And assuming that in 2Q, you are moving or you are continuing to be on market prices entirely, how should we think about the 2Q number versus the 1Q number based on whatever you can see in the market right now? Obviously, we still have 2 more months. But will it be higher? Will 2Q be higher than 1Q or will it be similar to 1Q? If you can give some broad directional sense?

Gaurav Negi: I wish I could do that. The forward curves related to fuel continue to keep changing. So obviously, Q1 was significantly high where the Brent also went up. If you look at Brent today, I'm using Brent, it's not the right reference point. But if you look at Brent, it's already north of 90 again. But what happened in Q1 was that the crack went up significantly higher.

So, while the Brent went up 50%, the cracks were going up even higher. We'll have to see whether demand supply equation works for turbine fuel, so aviation turbine fuel, because that demand supply then defines what the crack levels and the pricing for MOPAG i s going to be.

So, if you look at the forwards and we keep tracking the forwards on the regulators, we've seen an uptick because no one can kind of crystal gaze in terms of where it's going to be. The best reference point is going to be where the forwards related to MOPAG i s or SingJet is moving.

We've started to see an uptick. We were hoping when we started Q2, they were all moderating downwards. And that's one of the reasons why no one signed up to the scheme because the levels had come down lower than the thresholds.

But now we have again started to see an uptick. So, it's anyone's guess honestly , because the best reference point is going to be the forward that is available. So far, the forwards were lower than what Q1 we re. And as a result, Q2 was supposed to be lower than Q1.

But if the war kind of starts and whatever turn this particular thing takes and the Hormuz canal, etcetera, is kind of blocked, we may see similar levels of Q1. Going in, we had anticipated Q2 is going to be better than Q1.

Amyn Pirani: Ok

ay, okay. But you are assuming Q2 to be better than Q1 because I understand that the forwards are coming down. But in Q1, for a large part of the quarter for the domestic business, you also had a cap. Then shouldn't Q2 still have been higher than Q1 beca use the cap gets removed? I'm just trying to get that calculation correctly?

Gaurav Negi: No, the levels had come down below the cap levels is what I'm saying. Even the levels were coming down even below the cap levels .

Moderator: That would be our last question for today. Ladies and gentlemen, on behalf of IndiGo, that concludes today's conference. Thank you all for joining us, and you may now disconnect your lines.

Note: This transcript has been edited for readability and is not a verbatim record of the call.
The financial information presented in this transcript is reported on a consolidated basis